



NEDBANK

Audited consolidated annual financial statements

for the year ended 31 December 2024

see money differently

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ABOUT THIS REPORT

Our consolidated annual financial statements provide a detailed analysis of our statutory accounting records. These financial statements are independently audited as indicated in the independent auditors' report and provide in-depth disclosure related to the financial performance of the group.

The notes to the consolidated annual financial statements are classified in the following sections:

Section A: Accounting policies

This section briefly outlines the basis of preparation and key accounting policy elections applied in the preparation of the group's consolidated annual financial statements.

Section B: Segmental and performance-related information

This section contains performance-related notes that provide an analysis of the group's consolidated statement of comprehensive income.

Section C: Core banking assets

This section provides information about the group's core banking assets, including loans and advances, and an analysis of the related impairments charge. Information is also provided on the group's investments in government and other securities, other short-term securities, cash and cash equivalents and derivative financial instruments.

Section D: Core banking liabilities

Information about the group's core banking liabilities, including amounts owed to depositors and long-term debt instruments, can be found in this section. A contractual maturity analysis of financial liabilities is also provided.

Section E: Investments

This section provides an analysis of the group's investments in investment securities, associate companies and subsidiaries. Related information, such as related-party disclosure and details about structured entities and securitisation vehicles, can also be found here.

Section F: General assets

This section provides an analysis of general assets such as property and equipment, as well as goodwill and other intangible assets.

Section G: Other assets

Refer to this section for disclosure on the group's long-term employee benefits, non-current assets and liabilities held for sale and other assets.

Section H: Financial instruments

Additional disclosure of the group's financial instruments can be found in this section. Refer to this section for the categorisation of financial assets and liabilities, the fair-value hierarchy and other fair-value-related disclosures. The group's disclosure on collateral and offsetting of financial assets and liabilities can also be found in this section.

Section I: Share-based payments

This section details the group's share-based payments schemes and their effect on the group's financial position and financial performance.

Section J: Other liabilities

This section provides an analysis of the group's non-core liabilities, including provisions and other liabilities, contingent liabilities, undrawn facilities and commitments.

Section K: Risk and balance sheet management

Refer to this section for the group's liquidity gap disclosure and details on market risk in the trading book and interest rate risk in the banking book.

Section L: Cash flow information

This section contains notes to the group's statement of cash flows.

Section M: Additional information

This section contains additional disclosure that may be relevant to understanding the group's consolidated annual financial statements, such as a foreign currency conversion guide and information on events occurring after the reporting period and directors' remuneration.

FINANCIAL HIGHLIGHTS

FOR THE YEAR ENDED 31 DECEMBER

		2024 Rm	2023 Rm
Headline earnings reconciliation			
Profit attributable to ordinary shareholders	Rm	13 061	11 634
Less: Non-headline-earnings items	Rm	136	128
Impairments charge on non-financial instruments and other gains and losses	Rm	171	175
Taxation on impairments charge on non-financial instruments and other gains and losses	Rm	(35)	(47)
Headline earnings	Rm	13 197	11 762
Key ratios			
Net interest income to average interest-earning banking assets	%	3,90	4,07
Credit loss ratio – banking advances	%	0,89	1,10
Non-interest revenue and income to total income ¹	%	38,6	37,2
Non-interest revenue and income to total operating expenses ¹	%	66,6	65,5
Cost-to-income ratio ¹	%	58,0	56,7
Total equity attributable to ordinary equity holders	Rm	90 034	85 586
Return on ordinary shareholders' equity	%	16,0	14,5
Average interest-earning banking assets	Rm	963 400	912 703
Total assets	Rm	1 326 730	1 230 556
Return on total assets	%	1,07	1,00
Total risk-weighted assets	Rm	636 355	610 052
Bank capital adequacy ratios (including unappropriated profits):			
– Common equity tier 1	%	12,2	12,1
– Tier 1	%	14,2	13,8
– Total	%	16,4	16,0
Share statistics			
Number of shares in issue:			
– Ordinary shares	m	28,1	28,1

CONSOLIDATED ANNUAL FINANCIAL STATEMENTS

Nedbank Limited Reg No 1951/000009/06.

Prepared under the supervision of the Nedbank Group Chief Financial Officer, Mike Davis, BCom (Hons), DipAcc, CA(SA), AMP (Insead).

Audited in terms of the Companies Act, 71 of 2008 (as amended).

RESPONSIBILITY OF OUR DIRECTORS

The directors are responsible for the preparation and fair presentation of the consolidated financial statements of Nedbank Limited (comprising the statement of financial position at 31 December 2024, the statement of comprehensive income, the statement of changes in equity and statement of cash flows for the year then ended) and the notes to the financial statements (including a summary of significant accounting policies and other explanatory notes) in accordance with International Financial Reporting Standards (IFRS® Accounting Standards) as issued by the International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRS IC); the South African Institute of Chartered Accountants (SAICA) Financial Reporting Guides as issued by the Accounting Practices Committee; Financial Pronouncements as issued by the Financial Reporting Standards Council; the requirements of the Companies Act, 71 of 2008 (as amended); and the JSE Listings Requirements. In addition, the directors are responsible for the preparation of the Directors' Report.

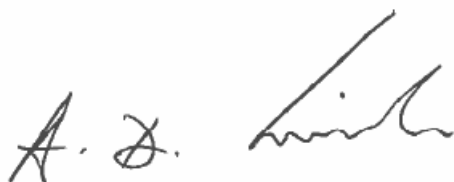
The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and for maintaining adequate accounting records and an effective system of risk management as well as the preparation of the supplementary schedules included in these financial statements.

The directors have made an assessment of the ability of the company and its subsidiaries to continue as going concerns and there is no reason to believe that the businesses will not be going concerns in the year ahead.

The independent auditors are responsible for reporting on whether the consolidated financial statements are fairly presented in accordance with IFRS Accounting Standards and the Companies Act, 71 of 2008 (as amended), and their report is presented on pages 16 to 22.

APPROVAL OF THE CONSOLIDATED ANNUAL FINANCIAL STATEMENTS

The consolidated annual financial statements of Nedbank Limited, as identified in the first paragraph, were approved by the Nedbank Limited Board of Directors on 3 March 2025 and are signed on its behalf by:



AD Mminele
Chairperson

Sandown
3 March 2025



JP Quinn
Chief Executive

CHIEF EXECUTIVE AND CHIEF FINANCIAL OFFICER INTERNAL FINANCIAL CONTROL RESPONSIBILITY STATEMENT

Each of the directors whose names are stated below confirms that:

- a) the annual financial statements set out on pages 23 to 226 fairly present in all material respects the financial position, financial performance and cash flows of the issuer in terms of IFRS Accounting Standards;
- b) to the best of their knowledge and belief, no facts have been omitted or untrue statements made that would make the annual financial statements false or misleading;
- c) internal financial controls have been put in place to ensure that material information relating to the issuer and its consolidated subsidiaries have been provided to effectively prepare the financial statements of the issuer;
- d) the internal financial controls are adequate and effective and can be relied on in compiling the annual financial statements, having fulfilled their role and function as executive directors with primary responsibility for implementation and execution of controls;
- e) where they are not satisfied, they have disclosed to the audit committee and the auditors any deficiencies in design and operational effectiveness of the internal financial controls, and have taken steps to remedy the deficiencies; and
- f) they are not aware of any fraud involving directors.



JP Quinn
Chief Executive



MH Davis
Chief Financial Officer

Sandown
3 March 2025

CERTIFICATION FROM OUR COMPANY SECRETARY

In terms of section 88(2)(e) of the Companies Act, 71 of 2008 (as amended), I certify that, to the best of my knowledge and belief, Nedbank Limited has filed with the Commissioner all such returns and notices as are required by the Companies Act, 71 of 2008 (as amended), and that all such returns and notices are true, correct and up to date.

A handwritten signature in black ink, appearing to read 'J Katzin', with a large, stylized loop at the bottom.

J Katzin
Company Secretary

Sandown
3 March 2025

REPORT FROM THE GROUP AUDIT COMMITTEE

The Nedbank Group Audit Committee (GAC) is pleased to present its report for the 2024 financial year. This report has been prepared based on the requirements of the South African Companies Act, 71 of 2008, as amended (Companies Act), the King Code of Governance for South Africa (King IV), the Johannesburg Stock Exchange (JSE) Listings Requirements and other applicable regulatory requirements. The committee carried out its responsibilities, including those relating to the audit and financial reporting obligations of the group, as set out in its board-approved charter, which was reviewed and updated during the financial year.

GAC's main objective is to assist the board in fulfilling its oversight responsibilities and in the evaluation of the adequacy and efficiency of accounting policies, internal financial controls (IFCs) and financial and corporate reporting processes. In addition, GAC assesses the effectiveness of the internal auditors and the independence and effectiveness of the joint external auditors, as well as considers and recommends to shareholders the appointment of the joint external auditors.

This report aims to provide details on how GAC satisfied its various statutory obligations during the period, as well as on some of the significant matters that arose and how GAC addressed those to assist in ensuring the integrity of Nedbank's financial reporting.

People update

Jason Quinn was appointed as Group Chief Executive (CE) of Nedbank Group and Nedbank with effect from 31 May 2024, following Mike Brown's retirement as Group CE on the same day.

Mr Terence Nombembe was appointed as independent non-executive director and member of GAC with effect from 1 January 2024.

Composition and governance

Members of the committee satisfy the requirements to serve as members of an audit committee, as required by section 94 of the Companies Act, and have adequate knowledge and experience to carry out their duties. All members are independent non-executive directors.

The composition of the committee and the attendance of meetings by its members for the 2024 financial year are set out below:

Members	Meeting attendance
S Subramoney (Chairperson) ¹	8/8
EM Kruger	6/6
HR Brody	6/6
NP Dongwana	6/6
P Langeni	6/6
TM Nombembe	6/6

¹ Only the chairperson of GAC is required to attend the 2 Nedbank College of Audit Committee Chairs meetings.

The CE, the Chief Financial Officer (CFO), the Chief Operating Officer (COO), the Chief Risk Officer (CRO), the Chief Internal Auditor (CIA), the Chief Compliance Officer (CCO) and representatives from the joint external auditors are invited to attend all GAC meetings. Other members of management are invited to attend certain meetings to provide the committee with greater insight into specific issues or areas in the group.

The GAC chairperson has regular contact with the Nedbank management team to discuss relevant matters directly. The CIA and the external auditors have direct access to the committee, including closed sessions without management during the year, on any matter that they regard as relevant to the fulfilment of the committee's responsibilities. The GAC chairperson meets with the CIA and the joint external auditors at times considered necessary by either party. In addition, the GAC meeting agenda allows for a meeting solely with the members of GAC.

Five formal GAC meetings, 2 College of Audit Committee Chairs meetings and 1 Prudential Authority (PA) trilateral meeting were held in respect of the 2024 financial year, aligned with key reporting and regulatory timelines.

The key focus areas of the meetings were as follows:

30 May 2024	Review of the April year-to-date results, approval of the JSE voluntary trading update for the 4 months ended 30 April 2024, review of the external auditors' engagement letter, review and approval of the GAC Charter and the Group Internal Audit (GIA) Charter.
21 June 2024 Trilateral discussion	Annual trilateral meeting with representatives of the PA Bank Supervision Department and representatives from the Financial Sector Conduct Authority for discussion of, among other things, key external audit findings, internal audit matters and regulatory reporting responsibilities.
26 July 2024 College of Audit Committee Chairs	Discussion and review of the group subsidiaries' interim performance, key judgement matters and GIA feedback with respect to the subsidiaries.
1 August 2024	Approval of the interim results for the first 6 months to June 2024. Assessment of the key accounting judgements impacting the interim results, including credit impairments, funding valuation adjustments and macro fair-value hedge accounting. Approval of the joint external FY 2024 base audit fees and transition audit fees and changes to GIA's assurance plan. Review of the solvency and liquidity assessments based on the interim dividend declared and approval of the going-concern assessment.
30 October 2024	Review of the results for the 9 months to 30 September 2024. Approval of the joint external auditors' strategy, plan, scope and fees for the 2024 financial year, pre-concurrence of non-assurance services and 2024 GIA audit plan changes. Review and discussion of the group's Q3 forecast and approval of policies.
28 January 2025	Review of the preliminary results for the 2024 financial year, including a summary of key accounting judgements and tax matters. Review and approval of the GIA audit plan for the 2025 financial year.

17 February 2025 College of Audit Committee Chairs	Discussion and review of subsidiaries' full-year performance and GIA feedback on subsidiaries.
26 February 2025	Discussion and review of year-end reports from GIA and the joint external auditors and feedback from subsidiary audit committees, and reports related to relevant matters from the Group Credit Committee (GCC), Group Risk and Capital Management Committee (GRCMC) and the Group Information Technology Committee (GITCO). Review and approval of the annual financial statements. Review of the solvency and liquidity assessments based on the full-year dividend declared and approval of the going-concern assessment. Review and approval of the 2025 forecast.

The GAC chairperson reports to the board on committee activities and the matters discussed at each meeting, highlighting any key items that the committee believes require action, and providing recommendations for the resolution thereof.

The performance of GAC was reviewed as part of an effectiveness review of the board and all its committees. Evaluations of the Nedbank Group Board and its board committees alternate annually between independent evaluations and internal evaluations. The 2024 GAC evaluation took the form of a self-assessment based on questionnaires completed by each GAC member. The questionnaire comprised 6 rated questions that required GAC members to rate their level of satisfaction with GAC's performance based on the scale – extremely satisfied (5); very satisfied (4); satisfied (3); unsatisfied (2) and very unsatisfied (1) – and 4 unrated and open-ended questions.

The resulting feedback confirmed that there are no areas of concern and GAC members are very satisfied (4.4/5) with GAC's overall performance.

External auditors

GAC is responsible for the appointment, compensation and oversight of the external auditors for the group, namely Ernst & Young Inc and KPMG Inc, in 2024.

During the period GAC performed the following:

- Monitored the transition and onboarding of the newly appointed audit firm, KPMG Inc, as well as the finalisation of the 2023 year-end with the previous joint auditors Deloitte & Touche. This is the first year of the new joint audit of KPMG Inc and Ernst & Young Inc and additional time was spent to onboard KPMG effectively and to consider the audit work split change within Nedbank Group.
- Approved the external auditors' 2024 annual plan and related scope of work, confirming suitable reliance on GIA and the appropriateness of key audit risks identified.
- Approved the proposed audit fees for the year under review, which were aligned to the tender processes in the previous year.
- Monitored the effectiveness of the external auditors in terms of their audit quality, expertise and independence, as well as the content and execution of the audit plan, with the annual review of the audit quality and the performance of the joint external auditors having been undertaken by means of presentations made by each firm.
- Ensured that the appointment and the independence of the external auditors were in compliance with the Companies Act and all other regulatory and legal requirements, which included receiving from the external auditors all decision letters and explanations issued by the Independent Regulatory Board for Auditors (IRBA) or any other regulator, and any summaries relating to monitoring procedures or deficiencies (if applicable) issued by the external auditors to confirm the suitability for appointment of the external auditors and designated individual partners.

- Confirmed that no reportable irregularities were identified and reported by the external auditors in terms of the Auditing Profession Act, 26 of 2005.
- Considered reports from subsidiary audit committees and from management on the activities of subsidiary entities and formally engaged with the chairpersons of subsidiary audit committees.
- Reviewed the findings and recommendations of the external auditors and confirmed that there were no unresolved matters.
- Considered and recommended to shareholders the appointment of Ernst & Young Inc and KPMG Inc for the 2025 financial year.

GAC has a well-established policy on auditor independence and audit effectiveness. The group's external auditors' audit-related services are capped at 25% of their statutory audit fees and non-audit services may be provided only in exceptional circumstances that have to be preapproved by GAC. GAC is of the view that this policy further enhances the external auditors' independence.

Group Internal Audit

GIA performs an independent assurance function and forms part of the group's lines of defence (3rd line). The CIA has a functional reporting line to the GAC chairperson, with an administrative reporting line to the CE. GIA provides independent, objective assurance to the Board of Directors of Nedbank Group Limited, through the authority of GAC, that the governance processes – including professional ethics, management of risk and systems of internal control – are adequate and effective in mitigating both significant current and emerging risks that threaten the achievement of the group's objectives, in line with GIA's methodologies, policies and frameworks.

In order to achieve the requirements and expectations of internal audit, the GIA Reimagine Strategy was developed in 2022 and is refreshed annually, with a focus on the following key outcomes:

- Credible and trusted assurance function respected by all key stakeholders, including the board, executive management and regulators.
- Appropriate risk-based coverage, including being a key contributor to the coordinated assurance (CA) activities of the group.
- Incorporation of data analytics within assurance activities, where appropriate.
- An effective leadership team that drives talent pipelining, mobility, skills development and retention.

While certain aspects of the initial Reimagine strategy will continue to be executed, others require a paradigm shift to position GIA for the technological and operational changes of the future, including compliance with the new Global IIA Standards, which are effective from January 2025. GIA have developed its Refreshed GIA Strategic Plan, bringing a transformative perspective to the following areas:

- Strategically repositioning GIA's role and remit to become a strategic business adviser and change catalyst going into the future.
- Rapidly advancing GIA's digital transformation journey.

- Transforming GIA's operating model and talent strategy, for effective execution of the Refreshed GIA Strategic Plan and agile audit plan.

GAC reviewed and approved the annual internal audit charter, and evaluated the independence, effectiveness and performance of GIA in compliance with its charter by having done the following:

- Received reports from the CIA that highlighted significant issues related to the processes for controlling the activities of the group, including potential improvements to those processes.
- Assessed the effectiveness of the GIA function and reviewed and approved the annual GIA plan.
- Ensured that the CIA had direct access to the CE, the Chairperson of the group and the board, as required.
- Ensured that the CIA had direct access to the Nedbank Wealth Audit Committees' chairs, as required.
- Satisfied itself as to the appropriateness of the expertise, experience and resources of the CIA and the internal audit function.

- Monitored the effectiveness of the internal audit function in terms of its scope, execution of its plan, coverage, resources, independence, skills, staffing, overall performance and standing within the organisation.
- Monitored and challenged, where appropriate, actions taken by management regarding adverse internal audit findings.
- Ensured that GIA complied with the reporting and independence requirements of its charter.
- Satisfied itself that GIA had conformed with the key principles of the International Institute of Internal Auditors (the IIA) standards for professional practice of internal auditing.
- Satisfied itself that an external quality assurance review is performed every 3 years, with the next review having been concluded in February 2025. GIA achieved a 'Generally conforms' rating.

Significant matters

GAC has considered the appropriateness of the key audit matters reported in the external audit opinion and considered the significant accounting judgements and estimates relating to the annual financial statements. These were addressed by the committee as follows:

Significant matter	How GAC addressed the matter
Impairment of loans and advances	As a consequence of the adverse macroeconomic environment and its impact on credit risk and post-model adjustments (overlays), the assessment of impairments was a significant matter. GAC reviewed and discussed the feedback from GCC regarding the level and appropriateness of impairments, provisioning methodologies and related key judgements in determining the impairment balances. GAC considered the key disclosures related to sensitivities and post-model adjustments and considered the feedback from GIA and the external auditors.
Valuation of financial instruments held at fair value	GAC reviewed reports from the CFO regarding the Investment Committee review of investment valuations and details of critical valuation judgements applied to the valuation of group treasury and trading instruments, including funding valuation adjustments. GAC considered the key disclosures and the feedback from GIA and external auditors.

Financial, legal, compliance and regulatory reporting requirements

- GAC received regular reports from the CFO regarding the financial performance of the group, the tracking and monitoring of key performance indicators, details of budgets, forecasts, long-term plans and capital expenditure, financial reporting controls and processes, and the adequacy and reliability of management information used during the financial reporting process. GAC has evaluated and is satisfied with the appropriateness of the expertise and experience of the CFO according to the JSE Listings Requirements and is satisfied with the resources, expertise, succession and experience of Nedbank's finance function. GAC reviewed the adequacy of the regulatory reporting processes as required by the Banks Act, 94 of 1990, which included an evaluation of the quality of reporting and the adequacy of systems and processes, and consideration of any findings regarding the financial regulatory reports by the external auditors.
- The 11th Annual CFO Awards 2024 event was hosted at the Inanda Club on 17 November 2024. Mike Davis, the Group CFO, was nominated by CFO South Africa for multiple awards. Pleasingly, Mike received the awards for Compliance and Governance, Strategy Execution and the ultimate prize of CFO of the Year. This is an incredible achievement by the Group CFO and

recognition of the quality of our finance functions across the Group.

- GAC reviewed the findings from the JSE Proactive Monitoring Panel and noted that management's annual financial statement process considered these findings.

Annual financial statements and integrated reporting process

- The GAC reviewed all formal announcements relating to Nedbank's financial performance and found the reporting process and controls that led to the compilation of the financial information to be effective and appropriate. GAC also assessed and confirmed the appropriateness of the going-concern assumption used in the annual financial statements, considering management budgets and the capital and liquidity profiles.
- GAC reviewed and discussed the Integrated Report, reporting process, and governance and financial information included in the 2024 Integrated Report after having considered recommendations from the Group Transformation, Social and Ethics Committee (GTSEC); Group Remuneration Committee (Remco); Group Risk and Capital Management Committee (GRCMC); Group Climate Resilience Committee (GCRC); and Group Directors' Affairs Committee (DAC). The Integrated Report will be made available at nedbank.co.za on or around 17 April 2025.
- GAC recommended to the board that the annual financial statements be approved. The board

subsequently approved the annual financial statements, which will be presented at the forthcoming AGM.

- GAC reviewed and discussed the annual disclosure review performed by management and, through the 2024 review process. GAC considered management's feedback in relation to the process.
- GAC oversaw the accounting for the acquisition of the Eqstra group and in coordination with GRMC planned a post-implementation review for 2025.
- International Financial Reporting Standard (IFRS) 19: Subsidiaries Without Public Accountability: Disclosures (IFRS 19) was issued by the IASB in May 2024. The objective of the standard is to specify reduced disclosure requirements that an eligible entity is permitted to apply instead of the disclosure requirements in other IFRS Accounting Standards.

IFRS 19 is a voluntary standard and therefore a subsidiary may elect to apply it. The effective date for IFRS 19 is annual reporting periods beginning on or after 1 January 2027. However, early adoption is permitted. For Nedbank Group, it was concluded that an eligible subsidiary may elect to apply IFRS 19 as early as FY 2024. Unless permitted or exempted, comparative information needs to be prepared under IFRS 19. The adoption by the subsidiaries of IFRS 19 is being monitored by Group Finance.

Internal control, risk management and information technology

The Enterprisewide Risk Management Framework (ERMF) operates within a risk philosophy of risk resilience. The group's risk governance and culture ensure that the ERMF is robust, resilient and agile enough to respond appropriately to the challenging external operating environment. The ERMF continues to be refreshed to ensure it remains fit for purpose, in that way remaining resilient and effective in all material respects, enabling Nedbank's overall positive risk outcome in these extraordinarily risky, demanding and challenging times. The overall state of Nedbank's risk management, balance sheet management, internal control environment and risk culture remains sound and robust.

GAC is responsible for reviewing the effectiveness of systems of internal control, financial reporting and risk management for risk allocated to the committee, i.e. financial, accounting and taxation risks, as well as for considering the major findings of any internal investigations into control weaknesses, fraud or misconduct, and management's response.

GAC receives regular reports as part of ERMF processes to assist in evaluating the group's internal controls. The ERMF places emphasis on accountability, responsibility, independence, reporting, communication and transparency, both internally and in respect of all Nedbank's key external stakeholders.

GAC receives regular feedback from the Group Information Technology Committee (GITCO) regarding the monitoring of the adequacy and effectiveness of the group's IT controls as well as new or emerging IT risks associated with the bank's digital transformation journey, and from GCC regarding its oversight of the adequacy and effectiveness of controls embedded in credit monitoring processes and systems.

GAC also regularly receives feedback on issues contained in the group's Key Issues Control Log, Risk Profile (Risk Universe Heatmap), twice-a-year assessment of the internal control environment (ICE), and risk management and internal control letter of representation (LOR) from the CRO and Chief Internal Auditor.

Having considered, analysed, reviewed and debated information provided by management, other board subcommittees, GIA and the external auditors, GAC considered that the internal controls of

the group were effective in all material aspects throughout the year under review.

Coordinated assurance

- Nedbank employs a CA model that incorporates, integrates and optimises risk, audit and compliance functions and assurance activities. This enables an effective ICE across the group, with assurance focused on critical risk exposures, supporting the integrity of information used in internal decision-making (to governance forums) and reporting to external stakeholders.
- CA continued to go from strength to strength in 2024, with more efficient and effective planning demonstrated, and well-coordinated audit, compliance and risk work (second and third lines of defence). Members of the CA Forum consist of executives from GIA, Group Compliance, Group Risk and Group Finance, as well as cluster risk functions.
- CA remains a key tool and strategy to ensure adequate independent assurance coverage of Nedbank's expansive risk universe and remains a significant focus in navigating the expansive risk landscape and the challenging and turbulent operating environment. With the risk universe continuing to expand to incorporate new, emerging and non-traditional risk types, the need for the coordination, alignment and integration of assurance activities becomes even more critical in ensuring the following:
 - » Reliance is placed on work and output of multiple assurance providers to reduce duplication or overlap and the resultant impact on frontline teams.
 - » Specialist risk, audit and compliance skillsets across the enterprise are optimised so that execution is streamlined.
 - » Efforts are directed to the risks that matter most.
- The CA plans continue to be managed through the CA Forum, which meets at least quarterly. During the CA Forum in January 2025, Group Risk, GIA, Group Compliance and cluster risk functions shared information and challenged:
 - » the key focus areas for 2025;
 - » draft plans and coverage for 2025;
 - » the adequacy of the 2025 CA plan in terms of whether it sufficiently covers all risk types and risk categories across the enterprise; and
 - » the outcomes from the 2024 CA thematic and assurance activities.

Internal financial control attestation

Nedbank continues to maintain a strong risk culture and has implemented adequate and effective IFCs to confirm the integrity and reliability of the financial statements. These IFCs safeguard, verify and maintain accountability of Nedbank's assets; are based on established policies and procedures; and are implemented by trained and skilled personnel whose duties are duly segregated. Adherence to the implemented internal controls is continuously monitored by GAC.

Nedbank has successfully completed the fifth year of the internal financial control attestation process in terms of paragraph 3.84(k) of the JSE Listings Requirements. The CFO and CE make positive statements under their names and signatures.

The deficiencies in design and operating effectiveness of IFCs identified via the group's 3 lines of defence (first line via cluster finance, second line via risk functions and Group Finance, and third line via GIA) were reported to GAC. GAC considered the identified deficiencies as well as the appropriateness of management's response, including remediation, reliance on compensatory controls and additional review procedures. As a result, GAC noted the CE and CFO final attestation.

Future accounting developments

The International Accounting Standards Board (IASB) issued IFRS 18: Presentation and Disclosure in Financial Statements (IFRS 18) in April 2024. The objective of IFRS 18 is to improve how information is communicated in the financial statements, with a focus on information in the statement of comprehensive income. IFRS 18 aims to improve:

- comparability in the statement of comprehensive income;
- transparency of management-defined performance measures; and
- the grouping of information in the financial statements so that it is more useful.

The effective date of IFRS 18 is 1 January 2027, with early application permitted. The group has not elected to early-adopt this IFRS Accounting Standard, and its application will begin on 1 January 2027. IFRS 18 is expected to have a material impact on the group as it will affect the statement of comprehensive income and related disclosures.

South Africa is progressing well in the process of local benchmark reform with the upcoming discontinuation of the legacy Johannesburg Interbank Agreed Rate, with the designated replacement rate being the new South African Rand Overnight Index Average Rate. The local benchmark transition follows the recent completion of the corresponding reform of the London Interbank Offer Rate in international markets and is being coordinated extensively through local regulators and the wider industry. The overall timeline of the local benchmark reform is approximately 5 years in duration, with a target completion of 2026 expected.

The group has established a comprehensive steering committee consisting of all impacted stakeholders and relevant personnel to oversee the successful preparation and implementation of benchmark reform in the bank. The group is impacted by local benchmark reform across a range of products. For FY 2024, the group has disclosed the expected quantitative impact of this reference rate reform.

Key focus areas for 2025

- Ensure that the group's financial systems, processes and controls are operating effectively; are commensurate with the group's complexity; and are responsive to changes in the environment and industry.
- Ensure, through the Chairperson's College of Audit Committee Chairs, that there is meaningful engagement between the GAC chairperson and the chairpersons of subsidiary audit committees.
- Continue to monitor the implementation of the amended JSE Listings Requirements, including the effectiveness of internal financial controls.
- Monitor the financial reporting system upgrade during the 2025–2027 implementation plan.

Conclusion

GAC is satisfied that it has complied with all statutory duties as well as other duties given to it by the board under its terms of reference.

GAC reviewed the group and the company annual financial statements for the year ended 31 December 2024 and recommended them for approval to the board on 28 February 2025.

On behalf of GAC



Stanley Subramoney

Group Audit Committee Chairperson

Sandown
3 March 2025

REPORT FROM OUR DIRECTORS

FOR THE YEAR ENDED 31 DECEMBER 2024

The board of directors is pleased to present the consolidated annual financial statements of Nedbank Limited for the year ended 31 December 2024.

Nature of business

Nedbank Limited (Nedbank or the company) is a registered bank that, through its subsidiaries, provides a wide range of banking and financial services.

King IV attestation

Nedbank Limited is a wholly owned subsidiary of Nedbank Group Limited (Nedbank Group) and, as part of the group, applies the principles of King IV. For further information please refer to Nedbank Group's Integrated Report and Governance Report, which we expect to publish on or around 17 April 2025.

Annual financial statements

Details of the financial results are set out on pages 23 to 227 of the annual financial statements, which have been prepared under the supervision of the Nedbank CFO, Mike Davis, and prepared in accordance with IFRS Accounting Standards as issued by the IASB and IFRS Interpretations Committee (IFRS IC); the SAICA Financial Reporting Guides as issued by the Accounting Practices Committee; Financial Pronouncements as issued by the Financial Reporting Standards Council; the requirements of the Companies Act, 71 of 2008; and the JSE Listings Requirements.

Companies Act, 71 of 2008 (as amended)

The board of directors confirms that Nedbank has complied with the provisions of the Companies Act, 71 of 2008 (as amended), specifically related to its incorporation, and has operated in conformity with its memorandum of incorporation (Mol) during the period under review.

Year under review

The operating environment in 2024 remained challenging, with economic activity relatively weak as evident in SA GDP growth expectations of only 0,5% for the year when compared with 0,7% in 2023. The first 6 months were particularly difficult given geopolitical uncertainty, high interest rates and general uncertainty ahead of SA's national election. A peaceful and fair election outcome and the swift formation of a government of national unity brought cautious optimism in financial markets resulting in lower bond yields, stronger equity markets and a stronger rand, while credit default swap spreads also improved. As the environment improved gradually into the fourth quarter of the year, inflation declined further towards the low end of the SARB target range (its lowest level since the Covid-19 pandemic), the MPC cut interest rates by a cumulative 50 bps and business confidence improved. Household credit growth, however, continued to slow to 3,0% by the end of the year, and corporate credit growth increased by 5,4%, remaining relatively volatile and not yet reflective of a material improvement in fixed-investment activity.

In this context, Nedbank Group delivered an improved financial performance as headline earnings increased by 8% to R16,9bn and the group's ROE strengthened to 15,8%, from 15,1% in the prior period, reflecting steady progress towards our ROE targets. HE growth was underpinned by good NIR growth, a lower impairment charge and targeted expense management, offsetting muted NII growth given slower loan growth and margin pressure. DHEPS increased by 11%, benefiting from the share buy-back we executed in 2023. Balance sheet metrics all remained very strong, enabling the declaration of a final dividend of 1 104 cents per share, up by 8% at a payout ratio of 57%.

From a strategy perspective, a key highlight of 2024 was the fundamental completion of our Managed Evolution IT transformation, which has delivered a refreshed modern technology platform. This platform, along with our enhanced digital capabilities, supported ongoing strong digital growth, market-leading client satisfaction metrics, solid main-banked client gains, and higher levels of cross-sell. Under strategic portfolio tilt we recorded market share gains in key areas such as home loans, vehicle finance, wholesale term-lending and retail deposits. We also continued to create wider positive impacts through approximately R183bn of lending that supports sustainable development finance, aligned with the United Nations Sustainable Development Goals. The increase in renewable energy exposures of 32% to almost R40bn and Nedbank being awarded significant renewable energy mandates in Q4 2024 reinforce our leadership in this space. These achievements led to our being named SA Bank of the Year by the prestigious magazine, The Banker.

Our Target Operating Model 2.0 programme has also ended, having delivered cumulative cost benefits of R3bn through headcount reduction, real estate floor space savings and back-office optimisation, resulting in a more client-focused RBB Cluster. Under our new Transform agenda, which emerged as part of our strategy refresh in 2024, our focus is expanding to new areas of growth such as extracting commercial value from our technology investments, with an emphasis on leveraging data and AI, optimising end-to-end processes (Nedbank Intelligent Hyper Automation) and payment modernisation, cross-sell of insurance products to the Nedbank client base, diversifying our portfolio into East Africa by leveraging our strengths and capabilities in CIB, and the launch of a dedicated new offering to transform how mid-sized corporates access financial solutions through our commercial banking business, as well as building out our corporate transactional franchise.

To sharpen execution of our strategy, compete more effectively in the market, enhance cross-sell and unlock new growth opportunities, we have embarked on an organisational restructure of our RBB and Nedbank Wealth clusters, evolving into an organisational design more focused on client centricity. The new structure will see the creation of Personal and Private Banking (PPB), an individual/non-juristic focused cluster, and Business and Commercial Banking (BCB), a juristic-focused cluster. We are excited about the opportunities this will unlock, and I look forward to sharing our progress in the coming reporting periods.

Looking forward, from a macro perspective, we remain cautiously optimistic and expect the economic environment in SA to improve off a low 2024 base, although risks associated with global geopolitics and trade wars remain. SA's GDP is forecast to increase by 1,4% in 2025, inflation to remain well within the SARB target range of 3% to 6%, and the South African prime lending rate to decline by 50 bps in 2025, reaching 10,75%. Corporate lending should pick up while growth in household lending is expected to remain muted. Our improved financial performance in 2024 – together with the progress made in executing on our strategy, our new transform agenda and better economic prospects – gives us confidence that we will continue to make progress to increase our ROE* to greater than 16% in 2025, greater than 17% in the medium term and above 18% in the longer term. I am extremely comfortable with the strong foundations that Nedbank has built, including fortress capital and liquidity levels, a strong and vibrant culture, our focus on diversity, equity and inclusion, leading ESG credentials and significant investments in technology, all culminating in exciting prospects for the group.

I would like to express my gratitude to all Nedbankers for their commitment and unwavering support this past year. Thank you to our 7,6 million retail and wholesale clients who have entrusted Nedbank with serving their financial needs. We appreciate the support of the investment community, regulators and our other stakeholders. As Nedbank, we will continue to play our role in society as we fulfil our purpose of using our financial expertise to do good.

Jason Quinn
Chief Executive

The year under review is fully covered in the 'Reflections from our Chairperson', 'Reflections from our Chief Executive' and 'Reflections from our Chief Financial Officer' sections of the 2024 Nedbank Group Integrated Report, available at nedbankgroup.co.za on or around 17 April 2025.

Share capital

Details of the authorised and issued share capital, together with details of shares issued during the year, appear in note B3 of the consolidated annual financial statements.

Ownership

The holding company of Nedbank is Nedbank Group. Nedbank Group holds 100% of the issued ordinary shares of the company.

Dividends

Details of the dividends appear in note B2 to the annual financial statements.

Solvency and liquidity tests

The directors have performed and comply with the requisite solvency and liquidity tests where required by the Companies Act, 71 of 2008, as amended.

Directors

Biographical details of the current directors appear in the board of directors section of the Nedbank Group Integrated Report, available at nedbankgroup.co.za. Details of directors' and prescribed officers' remuneration, and Nedbank Group shares issued to directors and prescribed officers, appear in note M3 of the annual financial statements.

In terms of Nedbank's memorandum of incorporation (Mol), not less than one-third of the directors are required to retire at each Nedbank annual general meeting (AGM) and may offer themselves for election or re-election. The directors so retiring are firstly those directors appointed by the Nedbank Board since the last AGM, and thereafter those longest in office since their last election.

Furthermore, in terms of the Nedbank Group policy, non-executive directors of Nedbank who have served on the board for more than 9 years, are required to retire at the conclusion of the first AGM held after the 9-year term, unless agreed to otherwise by the board. Brian Dames and Stanley Subramoney have served on the Nedbank Board for longer than 9 years. The Nedbank Board has resolved to extend their tenures and both Brian and Stanley will continue to serve on the Boards as non-executive (but not independent) directors.

- **Appointment since last shareholders' meeting**

May Hermanus was appointed by the board of directors with effect from 15 July 2024, and in terms of the Mol, her appointment terminates at the close of the AGM to be held on 27 May 2025. May makes herself available for election.

- **Longest in office since last election**

As described above, Hubert Brody, Phumzile Langeni, Rob Leith and Stanley Subramoney are also required to seek re-election at the AGM.

Separate resolutions for the above directors' elections or re-elections will be submitted for approval at the AGM on 27 May 2025.

Details of the members of the board who served during the year and at the reporting date are given below:

Name	Position as director	Date initially appointed as director	Date resigned/retired (where applicable)
Hubert Brody	Lead Independent Director	1 July 2017	31 May 2024
Mike Brown	Chief Executive and executive director	17 June 2004	
Brian Dames	Non-independent Non-executive director	30 June 2014	
Mike Davis	Chief Financial Officer and executive director	1 October 2020	
Neo Dongwana	Independent non-executive director	1 June 2017	
May Hermanus	Independent non-executive director	15 July 2024	
Errol Kruger	Independent non-executive director	1 August 2016	
Phumzile Langeni	Independent non-executive director	22 March 2022	
Rob Leith	Independent non-executive director	13 October 2016 and 1 January 2019	
Linda Makalima	Independent non-executive director	1 June 2017	
Daniel Mminele	Independent non-executive director	1 May 2023	
Terence Nombembe	Independent non-executive director	1 January 2024	
Mfundo Nkuhlu	Chief Operating Officer and executive director	1 January 2015	
Jason Quinn	Chief Executive and executive director	31 May 2024	
Stanley Subramoney	Independent non-executive director	23 September 2015	

Directors' interests

Nedbank Group is the beneficial shareholder of all the issued ordinary shares in Nedbank.

The directors' interests in ordinary shares in Nedbank Group at 31 December 2024 (and any movements therein up to the reporting date) are set out in note M3.

The directors have no interest in any third party or company responsible for managing any of the business activities of the group. Banking transactions with directors are entered into in the normal course of business under terms that are no more favourable than those arranged with third parties.

Group Audit Committee and Group Transformation, Social and Ethics Committee Reports

The Audit Committee Report appears on pages 7 to 11 and the Group Transformation, Social and Ethics Committee Report is included in the 2023 Nedbank Group Integrated Report, which will be released on or around 17 April 2025.

Company Secretary and registered office

As part of the annual board evaluation process, the board of directors has conducted an assessment of the Company Secretary. The board is satisfied that Jackie is suitably competent, qualified, and experienced, and adequately and effectively performed the role and duties of a company secretary and provided the board with independent guidance and support. Jackie has direct access to, and ongoing communication with, the Chairperson of the board and the Chairperson and the Company Secretary meet regularly throughout the year. Jackie is not a director of the company.

The Company Secretary's addresses and registered office are as follows:

Business address	Registered address	Postal address
Nedbank 135 Rivonia Campus 135 Rivonia Road Sandown, Sandton 2196 SA	Nedbank Limited 135 Rivonia Road Sandown, Sandton 2196 SA	Nedbank Limited PO Box 1144 Johannesburg, 2000 SA

Property and equipment

There was no material change in the nature of the fixed assets of Nedbank or its subsidiaries or in the policy regarding their use during the year.

Political donations

Nedbank Group has an established policy of not making donations to any political party.

Contracts and matters in which directors and officers of the company have an interest

No contracts in which directors and officers of the company had an interest and that significantly affected the affairs or business of the company or any of its subsidiaries were entered into during the year.

Directors' and prescribed officers' service contracts

There are no service contracts with the directors of the company, other than for the Chairperson and executive directors as set out below. The directors who entered into these service contracts remain subject to retirement by rotation in terms of Nedbank's Mol.

The key responsibilities relating to the position of Nedbank Chairperson are encapsulated in a contract.

Service contracts have been entered into for Mike Brown, Mfundo Nkuhlu and Mike Davis. These service contracts are effective until the executive directors reach the normal retirement age and stipulate a maximum notice period of 6 months (12 months for Mike Brown) under most circumstances.

Details relating to the service contracts of prescribed officers are incorporated in the Governance Report, which can be found at nedbankgroup.co.za.

Subsidiary companies

Details of principal subsidiary companies are reflected in note E3 of the annual financial statements.

The following special resolution was passed during 2024 by a subsidiary company:

- On 30 October 2024, Luxanio Trading 135 (RF) (Pty) Ltd amended its Mol by revising the definition of Final Redemption Date.

Matters relating to Transnet

On 26 July 2024 the group issued a SENS update on the Transnet SOC Limited dispute regarding interest rate swap transactions (swaps) and Nedbank's ongoing engagements with Transnet SOC Limited (Transnet). These swaps were entered into between December 2015 and March 2016, and Regiments Capital (Pty) Ltd had acted as Transnet's appointed financial advisers. The group's media release dated 28 May 2024 and the Nedbank Group voluntary trading update for the 4 months ended 30 April 2024, released through SENS on 31 May 2024, noted the termination of the mediation process with Transnet and Nedbank's position on possible litigation.

In this context, Nedbank confirms that it continues to defend review proceedings served on it by Transnet and the Special Investigating Unit (SIU) in respect of these swaps, as confirmed in Nedbank's SENS announcement on 26 July 2024. Considering internal and independent external reviews commissioned by Nedbank, the board and management remain satisfied that internal governance procedures were followed in respect of these swaps and that there is no evidence of any Nedbank staff dishonesty, corruption or collusion. The joint media statement by Transnet and the SIU of 26 July 2024, which states that Nedbank profited in excess of R2 736 094 704,82 in respect of these swaps, is not a reasonable claim.

In December 2024 the Transnet Second Defined Benefit Fund (fund) served a summons on Nedbank. The fund claims that Nedbank is liable for R106 808 440,00 plus interest, an amount the fund was unable to recover from Regiments Group companies in previous litigation, in which Nedbank was not involved.

Nedbank will strongly defend the litigation against it, including pursuing any counterclaims against the parties and others.

Events after the reporting period

The directors are not aware of any material events that have occurred between the reporting date and 3 March 2025, which is the date of approval of the consolidated and separate annual financial statements.

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDER OF NEDBANK LIMITED

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Nedbank Limited and its subsidiaries (the group) set out on pages 23 to 222, which comprise the consolidated statement of financial position at 31 December 2024, and the consolidated statement of comprehensive income, the consolidated statement of changes in equity and the consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including material accounting policy information.

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of Nedbank Limited at 31 December 2024, and its consolidated financial performance and consolidated cash flows for the year then ended in accordance with IFRS® Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Companies Act of South Africa.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the group in accordance with the Independent Regulatory Board for Auditors' Code of Professional Conduct for Registered Auditors (IRBA Code) and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards). We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

In terms of the IRBA Rule on Enhanced Auditor Reporting for the Audit of Financial Statements of Public Interest Entities, published in Government Gazette Number 49309 dated 15 September 2023 (EAR Rule), we report:

Final Materiality

The audit was influenced by our application of materiality. Final materiality was used in the evaluation of misstatements. The ISAs state that misstatements, including omissions, are considered to be material if the misstatements, individually or in the aggregate, could reasonably be expected to influence the economic decisions of users taken on the basis of the consolidated financial statements. The ISAs further clarify that judgements about materiality are made in light of surrounding circumstances, and are affected by the size or nature of a misstatement, or a combination of both.

Based on our professional judgement, we set materiality for the consolidated financial statements by applying the above concepts and considering qualitative factors in making final determinations regarding what is material to the consolidated financial statements.

Group	
Final materiality	R770 million, which is 4,5% of Profit before direct taxation ("PBT").
Rationale for benchmark and percentage applied	We have identified PBT as the most appropriate basis given the group is listed and profit orientated. Profitability is a key performance measure used by shareholders, investors, analysts and other users of the financial statements because it is a relevant indicator of the group's ability to generate profits and, to a degree, operating cash flows to enable it to meet its obligations as they fall due. The percentage applied to the benchmark was based on our professional judgement after consideration of qualitative factors that impact the group.

Group Audit Scope

Our risk assessment procedures performed determined our audit scope considering which components are likely to include risks of material misstatement to the consolidated financial statements. We considered the size and risk profile of the components in the group, the organisational structure, the group's system of internal controls and the effectiveness of group wide controls, and any changes in the business environment.

In establishing our overall approach to the group audit, we determined the type of work that needed to be performed at each component either by us, as the group engagement team, or by component auditors under our instruction. In doing so, we performed risk assessment procedures across the group and its components to identify risks of material misstatement and identified how the nature and size of the account balances at the components contributed to those risks and determined which account balances required an audit response.

In total, we identified 26 components requiring an audit response, having considered our evaluation of the risks of material misstatement to the consolidated financial statements. 9 components were selected based on the pervasiveness of the risks within those components and for which we therefore performed procedures on the entire financial information of the components. For the remaining components, our audit procedures were focused on certain financial statement captions in which we considered risks of material misstatement to have been identified. For the remaining financial information where audit procedures were not performed, we performed an analysis at an aggregated group level to re-examine our assessment that there is less than a reasonable possibility of a material misstatement in the remaining financial information. This assessment was supported through the performance of group level analytical review procedures.

We performed procedures at a group level in respect of financial statement captions that are centrally managed by the group, the consolidation process, claims and litigations and related parties.

In respect of the reporting components where we performed audit procedures, 91% of the group's profit before direct taxation and 99,7% of the group's total assets was covered by the audit of the 26 components scoped in.

We considered the scope of the audit, as communicated to the Group Audit Committee, to be an appropriate basis for our audit opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period. These

matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

In terms of the EAR Rule, we are required to report the outcome of audit procedures or key observations with respect to the key audit matters and these are included below.

Key audit matter description**How the matter was addressed in the audit****Expected credit losses on loans and advances**

Refer to Section H Financial instruments, Note C1 Loans and advances, Note C2 Impairment charge on financial instruments and Note H6.2 Collateral held to mitigate credit risk to the consolidated financial statements for selected accounting policies and disclosures applicable to this key audit matter.

Overview

Loans and advances, which represent 73% of total assets, and the associated expected credit losses (ECL) are significant in the context of the consolidated financial statements.

The determination of ECL requires significant management judgement and is subject to estimation uncertainty.

The key areas where we applied increased levels of audit focus and professional scepticism in the Group's application of IFRS 7 Financial Instruments disclosures (IFRS 7) and IFRS 9 Financial Instruments (IFRS 9) in respect of ECL includes:

- Definitions, policy choices, judgements made in applying accounting policies including significant increase in credit risk (SICR), stage determination and migration and collateral valuation;
- Judgmental post-model adjustments;
- Forward-looking information; and
- Disclosures in the consolidated financial statements.

Determination of the ECL for loans and advances is significant in the context of the consolidated financial statements due to its magnitude and the significant level of judgement required in determining the value of the ECL. Accordingly, we have identified the ECL on loans and advances to be a key audit matter.

Definitions, policy choices, judgements made in applying accounting policies including SICR, stage determination and migration and collateral valuation

There is judgement involved in the definitions and methodologies applied to the modelled ECL, including the determination of what constitutes SICR and the consequent timely allocation of the loans and advances to the appropriate stage. The group is required to recognise an allowance for either 12 month or lifetime ECL's in accordance with IFRS 9, depending on whether there has been a SICR since initial recognition. This includes an assessment of any refinements to default definitions, curing definitions and industry trends.

In respect of stage 3 exposures within the wholesale portfolio, assumptions are applied to estimate the recoverable amounts (including valuation in respect of the collateral) and timing of future cash flows of individual exposures.

Our response to the key audit matter included performing the following audit procedures across the retail and wholesale portfolios:

- We gained an understanding of management's process over credit origination, credit monitoring and credit remediation.
- We identified relevant controls that address the ECL risks identified and evaluated the design and implementation and where relevant, tested the operating effectiveness of these relevant controls. The relevant controls focused on -
 - the governance processes in place to assess the appropriateness of changes to credit models, new data inputs; and
 - the credit committee's processes where key judgements are considered, and the Nedbank Group Risk ("NGR") ratings and judgmental post-model adjustments are approved.
- We performed an overall stand back assessment of the ECL, by stage, based on our understanding and knowledge, to determine if reasonable considering the overall credit quality of the group's loans and advances portfolios and risk profiles.

Definitions, policy choices, judgements made in applying accounting policies including SICR, stage determination and migration and collateral valuation

- With the assistance from our credit modelling and technical accounting teams, we assessed whether the key judgements made and the assumptions applied in the determination of SICR, stage determination and migration and collateral valuations, in respect to the wholesale portfolio, were appropriate and aligned with the principles of IFRS 9.
- For a sample of performing loans, we performed a review of the counterparty to assess whether there were any indicators of SICR which could indicate a staging migration.
- For a sample of stage 3 exposures within the wholesale portfolio, we considered the impairment indicators and assumptions made by management in their assessment of the recoverability of the exposure. Relating to the sample selected, we inspected the legal agreements and other relevant documentation to confirm the legal right to the collateral and independently calculated the ECL based on our assessment of the expected cash flows and recoverability of collateral at an individual counterparty level.
- We considered evidence from externally available public data to assess the reasonableness of the assumptions applied by management, including evaluating the appropriateness of any guarantees or debtor substitution applied in the valuation of ECL raised for the wholesale portfolio.

Key audit matter description	How the matter was addressed in the audit
ECL modelling risk including data accuracy and completeness The configuration and calibration of ECL models and datasets, which are often not fully observable, require management to apply their judgement. There is a risk that modelling assumptions and data used to build and run the models that calculate ECL is not fully captured by these models. This also includes data related to the loss experience given default and the timing and amount of forecasted cash flows related to the exposures. Judgemental post-model adjustments Judgemental post-model adjustments are applied to address risks resulting from model limitations or risk events not captured or identified by credit impairment models. Given the inherent complexity and subjectivity in applying judgemental post-model adjustments, there is potential for management bias in identifying and calculating them. Forward-looking information IFRS 9 requires that the determination of the ECL should reflect all reasonable and supportable information, including best available information which is forward-looking. Such forward-looking information requires significant judgement and incorporates both global and domestic economic assumptions and consequences as well as the global and domestic policy landscapes and responses. The assumptions and forecasts for the macro-economic scenarios require careful assessment in the context of the upside and downside risks to the economy. The determination of appropriate weightings incorporated into macro-economic scenarios requires significant management judgement. Disclosures in the consolidated financial statements Financial reporting requires inclusion of disclosures that provide an adequate level of transparency regarding uncertainties inherent in the judgements, assumptions and estimates applied in determining ECL.	ECL modelling risk including data accuracy and completeness • Involving our credit modelling specialists, we challenged and assessed management's models, model recalibrations and assumptions including any changes to definitions and methodologies (at a parameter and ECL calculation level). • Assessed the quality of the data used in credit management, reporting and modelling for completeness and accuracy through data analytics and, for a sample of facilities, agreed model input data to underlying supporting documentation. Judgemental post-model adjustments • We tested the design, implementation and where relevant, the operating effectiveness of controls over the inputs, governance and approval of judgemental post-model adjustments; • We evaluated the reasonableness of a sample of judgemental post-model adjustments by assessing key assumptions applied and inspected the appropriateness of the post-model adjustment methodology applied in the determination of ECL. Furthermore, we challenge the post-model adjustments considering the limitations of past performance, emerging risks not yet present in current data and specific sectoral risks. • We understood and evaluated the reliability of data used to determine the post-model adjustments, by agreeing to supporting documentation or other analyses. Forward-looking information • We understood and evaluated the governance process followed as part of the review and approval of the economic scenarios used in the determination of the forward-looking information in the determination of the ECL. • We involved our economics specialists to evaluate the forward-looking model and assess the reasonableness of the macro-economic scenario forecasts generated, to independent industry data. • Together with our credit modelling specialists, we evaluated management's forward-looking models to assess whether the macro-economic inputs were appropriately incorporated into the models. We assessed the linkage of the forecasted macro-economic factors, based on weighted scenarios, to the ECL. Disclosures in the consolidated financial statements We assessed whether the disclosures adequately convey the significant judgements and assumptions made by management in the current economic environment and ensured that the IFRS 7 and IFRS 9 disclosure requirements were met. Based on the procedures performed above in respect of the expected credit losses on loans and advances, we did not identify any significant matters requiring further consideration in concluding on the procedures performed.

Key audit matter description	How the matter was addressed in the audit
Valuation of complex financial instruments Refer to Note H2.1 Valuation of financial instruments of the consolidated financial statements for the selected accounting policies and disclosures applicable to this matter. Complex financial instruments are: • Level 3 derivative financial instruments and the total funding valuation adjustments (FVAs) • Level 3 investment securities Complex financial instruments were a matter of significance for the current year audit due to the significant judgements applied in the methodologies used to value complex financial instruments. The valuations include estimation uncertainty arising from the use of certain inputs which by their nature are unobservable and use complex models in the determination of the valuations. There remains a high level of estimation uncertainty in the current financial year due to the continuing impact of evolving global and local macro-economics. Significant judgement is required in respect of unobservable inputs including counterparty credit spreads, cash flow forecasts, discount rates, forecasted earnings, pricing multiples and developments of valuation methodologies such as discounted-cash-flow analysis, earnings multiples and net-asset-value calculations. As the determination of the fair value for these complex financial instruments are a key source of estimation uncertainty subject to significant judgements and represents a material balance, which requires significant auditor effort, these matters were considered to be a key audit matter in our audit of the consolidated financial statements.	Our response to the key audit matter included performing the following audit procedures: • We evaluated the design and implementation, and where relevant, the operating effectiveness of relevant controls relating to the valuation of complex financial instruments. The relevant controls focused on - ○ the governance processes over the development of the valuation models and methodology policies; ○ the controls in respect of the assumptions applied, data used, model changes, model validations and the monthly independent price verification process. • For a sample of level 3 investment securities and/or level 3 derivative financial instruments and FVAs, with the assistance from our valuation specialists, we: » Challenged the appropriateness of the valuation methodologies and techniques used in the valuation of the specific instruments. » Evaluated the reasonableness of key inputs and assumptions driving the valuations. Our evaluation included comparison with independent market information where available, and where independent market information was not available, we generated theoretical inputs based on other sources, incorporating proxy pricing transactions in the market and model calibrations using historical data or other sources. » Performed independent valuations and assessed these against management's valuations to evaluate the appropriateness of the assumptions and judgements applied. » Evaluated the appropriateness of the disclosures made relating to the valuation of complex financial instruments in relation to the fair value categorisation and hierarchy per IFRS 13 – Fair value Measurement and ensured that the IFRS 7 and IFRS 9 disclosure requirements were met. As a result of our procedures performed, we were able to conclude on the valuation of complex financial instruments.

Other Information

The directors are responsible for the other information. The other information comprises the information included in the document titled "Nedbank Limited - Audited consolidated annual financial statements for the year ended 31 December 2024" which includes the Certification from our Company Secretary, Report from the Group Audit Committee and Report from our Directors, as required by the Companies Act of South Africa. The other information does not include the consolidated financial statements and our auditors' report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Consolidated Financial Statements

The directors are responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS® Accounting Standards as issued by the International Accounting Standards Board and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the directors are responsible for assessing the group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is

higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence, regarding the financial information of the entities or business units within the group, as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

In terms of the IRBA Rule published in Government Gazette Number 39475 dated 4 December 2015, we report that Ernst & Young Inc. and KPMG Inc. have been the auditors of Nedbank Limited for 6 years and 1 year respectively.

Signed by:
KPMG Inc.
61EE9D4B76EA4D8...
KPMG Inc.
Registered Auditor

Per Joelene Pierce
Chartered Accountant (SA)
Registered Auditor
Director
85 Empire Road
Parktown
2193

3 March 2025

DocuSigned by:
Ernst & Young Inc.
F6AB0FBD09CD4D3...
Rohan Baboolal
Director

Chartered Accountant (SA)
Registered Auditor
For and on behalf of Ernst & Young Inc.

3 March 2025

AUDITED CONSOLIDATED ANNUAL FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER

	Notes	2024 Rm	2023 Rm (Restated)
Interest income on financial instruments measured at amortised cost and debt instruments at fair value through other comprehensive income (FVOCI) ¹	B5.1.1	117 437	107 423
Interest income on other financial instruments and similar income ¹	B5.1.1	2 954	4 373
Interest and similar income		120 391	111 796
Interest expense and similar charges	B5.1.2	82 856	74 645
Interest expense related to all activities		83 653	76 132
Less interest expense related to fair-value activities		(797)	(1 487)
Net interest income		37 535	37 151
Non-interest revenue and income	B5.2	23 632	22 033
Net commission and fee income		17 380	16 528
Commission and fee revenue		22 848	21 599
Commission and fee expense		(5 468)	(5 071)
Net insurance expense ²		(63)	(78)
Fair-value adjustments		528	533
Net trading income		3 846	3 559
Equity investment income		602	689
Investment income		180	125
Net sundry income		1 159	677
Share of gains of associate companies		75	80
Total net income before impairment charge on financial instruments³		61 242	59 264
Impairments charge on financial instruments	C2.1	7 695	9 380
Total net income³		53 547	49 884
Total operating expenses	B6	35 490	33 625
Indirect taxation	B7.1	952	1 019
Impairments charge on non-financial instruments and other gains and losses	B1.2	171	175
Profit before direct taxation		16 934	15 065
Direct taxation	B7.2.1	3 727	3 259
Profit for the year		13 207	11 806
Other comprehensive income (OCI) net of taxation	B7.2.3	175	837
Items that may subsequently be reclassified to profit or loss			
Exchange differences on translating foreign operations		32	651
Debt instruments at FVOCI – net change in fair value		90	235
Cash flow hedge losses		(10)	(190)
Items that may not subsequently be reclassified to profit or loss			
Property revaluations		(15)	(37)
Remeasurements on long-term employee benefit assets		80	201
Equity instruments at FVOCI – net change in fair value		(2)	(23)
Total comprehensive income for the year		13 382	12 643
Profit attributable to:			
– Ordinary shareholders		13 061	11 634
– Holders of participating preference shares		153	166
– Non-controlling interest – ordinary shareholders		(7)	6
Profit for the year		13 207	11 806
Total comprehensive income attributable to:			
– Ordinary shareholders		13 236	12 471
– Holders of participating preference shares		153	166
– Non-controlling interest – ordinary shareholders		(7)	6
Total comprehensive income for the year		13 382	12 643

¹ Refer to note A4: Restatements.

² The 'Net insurance expense' line item excludes amounts relating to IFRS 17: Insurance Contracts.

³ The 'Total income' and 'Net income' subtotals have been renamed 'Total net income before impairment charge on financial instruments' and 'Total net income' respectively to better reflect the nature of the items comprising the subtotals. The change has not impacted the amounts presented in the prior periods.

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

AT 31 DECEMBER

	Notes	31 December 2024 Rm	31 December 2023 Rm
Assets			
Cash and cash equivalents	C6	43 317	40 611
Other short-term securities	C4	58 563	59 299
Derivative financial instruments	C7	16 866	13 539
Government and other securities	C3	195 494	168 524
Loans and advances ¹	C1.1	968 464	906 942
Other assets	G3	9 908	8 643
Current taxation assets		61	96
Investment securities	E1	8 032	7 675
Non-current assets held for sale	G2		315
Investments in associate companies	E2	1 481	1 089
Deferred taxation assets	B7.3	178	570
Property and equipment	F1	9 396	9 353
Long-term employee benefit assets	G1.1	5 284	4 690
Intangible assets	F2	9 686	9 210
Total assets		1 326 730	1 230 556
Equity and liabilities			
Ordinary share capital	B3.1	28	28
Ordinary share premium		20 073	20 073
Reserves		69 933	65 485
Total equity attributable to ordinary shareholders		90 034	85 586
Holders of participating preference shares		103	106
Holders of additional tier 1 capital instruments	B4	12 798	10 469
Non-controlling interest attributable to ordinary shareholders		15	22
Total equity		102 950	96 183
Derivative financial instruments	C7	11 445	13 802
Amounts owed to depositors ²	D1	1 148 603	1 058 634
Provisions and other liabilities	J1.1	15 822	16 152
Current taxation liabilities		108	51
Deferred taxation liabilities	B7.3	206	156
Long-term employee benefit liabilities	G1.1	38	38
Long-term debt instruments	D2	47 558	45 540
Total liabilities		1 223 780	1 134 373
Total equity and liabilities		1 326 730	1 230 556

¹ Included in loans and advances are loans to fellow subsidiaries of R42,5bn (2023: R52,7bn) and derivative financial assets to fellow subsidiaries of R3,2bn (2023: R2,8bn).

² Included in amounts owed to depositors are deposits from fellow subsidiaries of R34,6bn (2023: R37,4bn) and derivative financial liabilities from fellow subsidiaries of R5,7bn (2023: R1,8bn).

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER

Rm				Reserves		
	Number of ordinary shares	Ordinary share capital	Ordinary share premium	Foreign currency translation reserve ¹	Property revaluation reserve ²	Share-based payments reserve ³
Balance at 1 January 2023	28 066 479	28	20 073	496	1 315	(1 685)
Additional tier 1 capital instruments issued						
Additional tier 1 capital instruments redeemed						
Preference share dividends						
Additional tier 1 capital instruments						
Dividend to shareholders ⁵						
Total comprehensive (losses)/income for the year				651	(37)	–
Profit attributable to ordinary and preference shareholders						
Exchange differences on translating foreign operations				651		
Cash flow hedge losses						
Movement in fair-value reserve						
Property revaluations					(37)	
Remeasurements of long-term employee benefit assets						
Transfer to/(from) reserves and other movements					(45)	181
Value of employee services (net of deferred tax)						887
Balance at 31 December 2023	28 066 479	28	20 073	1 147	1 233	(617)
Additional tier 1 capital instruments issued						
Additional tier 1 capital instruments redeemed						
Movements in terms of LTI and BEE schemes						(1 158)
Preference share dividends						
Additional tier 1 capital instruments distributions						
Dividend to shareholders ⁶						
Total comprehensive income/(losses) for the year				32	(15)	–
Profit attributable to ordinary and preference shareholders						
Exchange differences on translating foreign operations				32		
Cash flow hedge losses						
Movement in fair-value reserve						
Property revaluations					(15)	
Remeasurements of long-term employee benefit assets						
Transfer (from)/to reserves and other movements					(33)	
Value of employee services (net of deferred tax)						641
Other movements						
Balance at 31 December 2024	28 066 479	28	20 073	1 179	1 185	(1 134)

¹ This represents the cumulative foreign exchange differences that arise on the translation of an entity with a functional currency different from the presentation currency of the parent company. The cumulative reserve relating to a subsidiary or associate company that is disposed of is included in the determination of profit or loss on disposal of the subsidiary or associate company.

² This represents the cumulative amounts that have been recognised on the revaluation of group properties net of deferred taxation. When the property is disposed of, the cumulative revaluation surplus is transferred directly to retained earnings.

³ Equity-settled share-based payment expenses are recognised in the statement of comprehensive income, with the corresponding amount recognised in share-based payment reserves, in the 'Value of employee services' line item. Any excess tax benefit over the relative tax on the share-based payments expense is recognised directly in this reserve. The reconciliation shown in this note is the cumulative share-based payment charge for all share schemes.

For better presentation, management have aggregated all the amounts that relate to the purchase and vesting of the shares in relation to the LTI and BEE schemes – previously disclosed in the 'Transfers from/to reserve' and 'Value of employee services' line items – in the 'Movements in terms of LTI and BEE schemes' line item in the current year.

Reserves								
Other non-distributable reserves	FVOCI reserve ⁴	Other distributable reserves ⁵	Total equity attributable to ordinary shareholders	Holders of preference shares in subsidiary companies	Holders of participating preference shares	Holders of additional tier 1 capital instruments	Non-controlling interest attributable to ordinary shareholders	Total equity
71	552	64 093	84 943	–	51	10 219	16	95 229
			–			1 000		1 000
			–			(750)		(750)
			–		(111)			(111)
		(1 286)	(1 286)					(1 286)
		(11 275)	(11 275)					(11 275)
–	212	11 645	12 471	–	166	–	6	12 643
		11 634	11 634		166		6	11 806
			651					651
		(190)	(190)					(190)
	212		212					212
			(37)					(37)
		201	201					201
(18)		(118)	–					–
		(154)	733					733
53	764	62 905	85 586	–	106	10 469	22	96 183
			–			3 000		3 000
			–			(671)		(671)
		(423)	(1 581)					(1 581)
			–		(156)			(156)
		(1 334)	(1 334)					(1 334)
		(6 515)	(6 515)					(6 515)
–	88	13 131	13 236	–	153	–	(7)	13 382
		13 061	13 061		153		(7)	13 207
			32					32
		(10)	(10)					(10)
	88		88					88
			(15)					(15)
		80	80					80
		33	–					–
			641					641
		1	1					1
53	852	67 798	90 034	–	103	12 798	15	102 950

⁴ This comprises all fair-value adjustments relating to investments in debt instruments and equity investments that are subsequently measured at FVOCI. The expected credit loss (ECL) allowance relating to such debt instruments is also recognised in OCI and accumulated in this reserve. When the debt instrument is derecognised, the cumulative gain or loss is reclassified from equity to profit or loss. For investments in equity instruments the cumulative gain or loss is not recycled but may be reclassified within equity on derecognition.

⁵ Dividends to shareholders includes a non-cash distribution of R15m (2023: R125m) relating to an interest-free loan.

⁶ This represents the profit attributable to ordinary shareholders, dividends distribution to shareholders, the effective portion of the cumulative net change in the fair value of cash flow hedging instruments, remeasurements of long-term employee benefit assets, the share of OCI of investments accounted for using the equity method, transfers from share-based payment reserve on settlement, and transfers from revaluation reserves on disposal of property and equipment.

All movements are reflected net of taxation.

CONSOLIDATED STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER

	Notes	2024 Rm	2023 Rm
Profit before direct taxation		16 934	15 065
Adjusted for:		(23 627)	(20 744)
Non-cash items and indirect taxation	L1	14 300	16 598
Dividends received		(392)	(191)
Interest and similar income	B5.1.1	(120 391)	(111 796)
Interest expense and similar charges	B5.1.2	82 856	74 645
Interest received		120 187	110 022
Interest paid		(81 547)	(70 267)
Dividends received on investments		392	191
Change in funds for operating activities		(16 959)	(5 369)
Increase in operating assets	L2	(102 219)	(64 159)
Increase in operating liabilities	L3	85 260	58 790
Net cash from operating activities before taxation		15 380	28 898
Taxation paid	L4	(4 605)	(4 348)
Cash flows from operating activities		10 775	24 550
Cash flows used by investing activities		(3 566)	(3 580)
Acquisition of property and equipment, and intangible assets ²		(3 772)	(3 397)
Disposal of property and equipment, and intangible assets ²		358	69
Acquisition of associate companies	E2.1	(373)	
Acquisition of investment securities		(2 109)	(1 582)
Disposal of investment securities		2 330	1 330
Cash flows used by financing activities		(4 503)	(17 310)
Issue of additional tier 1 capital instruments		3 000	1 000
Issue of long-term debt instruments	D2.1	12 587	4 842
Redemption of additional tier 1 capital instruments		(671)	(750)
Redemption of long-term debt instruments	D2.1	(10 647)	(9 075)
Capital repayments of lease liabilities		(782)	(780)
Dividends paid to ordinary shareholder		(6 500)	(11 150)
Preference share dividends paid		(156)	(111)
Additional tier 1 capital instruments distributions ²		(1 334)	(1 286)
Effects of exchange rate changes on cash and cash equivalents		¹	¹
Net increase in cash and cash equivalents		2 706	3 661
Cash and cash equivalents at the beginning of the year		40 611	36 950
Cash and cash equivalents at the end of the year	C6	43 317	40 611

¹ Represents amounts less than R1million.

² During the year, the group reviewed the statement-of-cash-flows disclosure. As a result of the review, the 'Acquisition of property, equipment, computer software and development costs' line item has been renamed 'Acquisition of property and equipment, and intangible assets', the 'Disposal of property, equipment, computer software and development costs' line item has been renamed 'Disposal of property and equipment, and intangible assets' and the 'Additional tier 1 capital instruments interest paid' line item has been renamed 'Additional tier 1 capital instruments distributions' to better reflect the nature of the line items. The changes in descriptions have not impacted the amounts presented in the prior period.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

SECTION A: ACCOUNTING POLICIES

A1 MATERIAL ACCOUNTING POLICIES

ACCOUNTING POLICIES

The financial information presented in the consolidated financial statements comprises that of the parent company, Nedbank Limited, together with its subsidiaries, including consolidated structured entities and associates, presented as a single entity (the group). The financial information presented in the separate financial statements comprises that of the parent company, Nedbank Limited (the company).

The group's material accounting policies in preparing the consolidated financial statements of Nedbank Limited are disclosed in the individual sections of the financial statements. This section details the basis of preparation and key accounting policy elections.

BASIS OF PREPARATION

The financial statements have been prepared on a going-concern basis. The financial statements have been prepared on a basis consistent with the prior year. The new IFRS Accounting Standards, interpretations and amendments to existing accounting standards and interpretations effective in the current year do not have a material impact on the financial statements. IFRS 18: Presentation and Disclosure in Financial Statements will be effective for reporting periods beginning on or after 1 January 2027. This standard is expected to have a material impact on the group, as detailed in note A3. During the year the group had complied with externally imposed capital requirements.

The consolidated financial statements have been prepared in accordance with IFRS Accounting Standards as issued by the IASB and IFRS IC; the South African Institute of Chartered Accountants (SAICA) Financial Reporting Guides as issued by the Accounting Practices Committee; Financial Pronouncements as issued by the Financial Reporting Standards Council; the requirements of the Companies Act, 71 of 2008 (as amended); and the JSE Listings Requirements.

The accounting policies of the group apply to the company unless otherwise stated. Separate financial statements for the company are available at the company's head office at Nedbank 135 Rivonia Campus, 135 Rivonia Road, Sandown, 2196, Johannesburg.

The financial statements are presented in South African rands, the functional currency of Nedbank Limited, and are rounded off to the nearest million rand.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS *continued*
FOR THE YEAR ENDED 31 DECEMBER

ACCOUNTING POLICY ELECTIONS

The following accounting policy elections have been made by the group:

Asset/Liability	Option	ELECTION AND IMPLICATION	Note/Section
Property and equipment	International Accounting Standard (IAS) 16 permits the use of the cost or revaluation model for the subsequent measurement of property and equipment (choice per category).	- Land and buildings are stated at revalued amounts, being fair value less subsequent depreciation and impairment. - Revaluation surpluses are recognised in equity, through other comprehensive income (OCI). When the property is disposed of, the cumulative revaluation surplus is transferred directly to retained earnings. - Computer equipment, furniture and other equipment and vehicles are carried at cost less accumulated depreciation and impairment. - Right-of-use assets are carried at cost less accumulated depreciation and impairment in accordance with IFRS 16.	F1
Investment in venture capital divisions	IAS 28 provides an exemption from applying the equity method of accounting if an investment in an associate is held by, or indirectly through, a venture capital organisation.	The group determines, on initial recognition of an investment, whether the investment will be accounted for using equity accounting or at fair value through profit or loss (FVTPL). This election is made separately for each associate considering the type of investment being made and the appropriate measurement basis to be applied.	E2
Financial instruments	IFRS 9 permits trade date or settlement date accounting for the regular-way purchase or sale of financial assets.	Regular-way purchases or sales of financial assets are recognised and derecognised using trade date accounting.	H
Investments in subsidiaries and associate companies in separate financial statements	In terms of IAS 27, investments in subsidiaries and associates can be accounted for in the separate financial statements at cost, in accordance with IFRS 9 or in terms of IAS 28.	- The group has elected to recognise investments in subsidiary companies at cost in the separate financial statements. - The group has elected to recognise investments in associate companies in the separate financial statements in terms of IAS 28, i.e. using the equity method of accounting.	Separate financial statements (available on request)

A2 KEY ASSUMPTIONS CONCERNING THE FUTURE AND KEY SOURCES OF ESTIMATION

KEY ASSUMPTIONS CONCERNING SIGNIFICANT JUDGEMENTS AND SOURCES OF ESTIMATION UNCERTAINTY

The group's key accounting policy elections are set out in note A1 of the consolidated financial statements. Detailed accounting policies are disclosed in the notes to the consolidated financial statements. Certain policies, as well as estimates made by management, are considered to be important for an understanding of the group's financial position since they require management to make difficult, complex or subjective judgements and estimates, some of which may relate to matters that are inherently uncertain. Further information on accounting policies that includes estimates that are particularly sensitive in terms of judgements and the extent to which estimates are used is provided within the notes to the consolidated financial statements. Other accounting policies involve significant judgements and estimates, but the total amounts involved are not significant to the financial statements. Management has agreed the accounting policies and critical accounting estimates with the board and Nedbank Group Audit Committee (GAC).

A3 NEW STANDARDS AND INTERPRETATIONS NOT YET ADOPTED

NEW STANDARDS AND INTERPRETATIONS NOT YET ADOPTED

IFRS 18: Presentation and Disclosure in Financial Statements (IFRS 18) has been issued but is not yet effective. The effective date for this IFRS Accounting Standard is for reporting periods beginning on or after 1 January 2027. IFRS 18 is expected to have a material impact on the group as it will affect the statement of comprehensive income and related disclosures. The IFRS Accounting Standard aims to improve:

- comparability in the statement of comprehensive income;
- the transparency of management-defined performance measures; and
- the grouping of information in the financial statements so that it is more useful.

The group has not elected to early-adopt this IFRS Accounting Standards, and its application will begin on 1 January 2027.

There are no other IFRS Accounting Standards and improvements that are not yet effective and that are expected to have a material impact on the group in the current or future reporting periods and on foreseeable future transactions.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER

A4 RESTATEMENT

A4.1 Restatement of interest and similar income split per IFRS 9 classification

During 2024 the group identified that the 'Interest income on financial instruments measured at amortised cost and debt instruments at fair value through other comprehensive income (FVOCI)' line item was overstated and that the 'Interest income on other financial instruments and similar income' line item was understated by R2 995m respectively. As a result, the prior-year information has been restated. This restatement is a reallocation between line items and had no impact on interest and similar income, profit for the year and headline earnings.

The impact of the restatement on the group's consolidated statement of comprehensive income is detailed below:

Rm	As previously reported	Restatement	Restated
Interest income on financial instruments measured at amortised cost and debt instruments at fair value through other comprehensive income (FVOCI)	110 418	(2 995)	107 423
Interest income on other financial instruments and similar income	1 378	2 995	4 373
Interest and similar income	111 796	–	111 796

Impact of the restatement on note B5.1: Net interest income is detailed below:

Rm	As previously reported	Restatement	Restated
Interest and similar income may be analysed as follows:			
– Interest and similar income from financial instruments at amortised cost	106 965	(2 995)	103 970
– Interest and similar income from financial instruments at FVOCI	3 453		3 453
– Interest and similar income from financial instruments at FVTPL	1 378	2 995	4 373
	111 796	–	111 796

SECTION B: SEGMENTAL AND PERFORMANCE-RELATED INFORMATION

B1 SEGMENTAL REPORTING

B1.1 SEGMENTAL REPORTING

ACCOUNTING POLICY

An operating segment is a component of an entity that engages in business activities from which it may earn revenues, the operating results of which are regularly reviewed by the group's chief operating decision-makers to make decisions about resources to be allocated and to assess the segment's performance, and for which financial information is available.

The group's identification of its segments and the measurement of segment results are based on the group's internal reporting to management. The segments have been identified according to the nature of their respective products and services and their related target markets.

The group has one segment. Therefore, no additional segment disclosures have been provided. The group's measure of segment profit is headline earnings – refer to B1.2 below.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS *continued*
FOR THE YEAR ENDED 31 DECEMBER

B1.2 HEADLINE EARNINGS

ACCOUNTING POLICY

Impairment charges on non-financial instruments and other gains and losses, which include insurance proceeds on items of property and equipment that were impaired, are disclosed separately on the face of the statement of comprehensive income. This line represents remeasurements excluded from the calculation of headline earnings in accordance with the guidance contained in SAICA Headline Earnings Circular 01/2023. The principal items that will be included under these measures are gains and losses on sale of subsidiaries, gains and losses on sale of property and equipment, impairment of property, equipment and intangible assets.

Rm	2024		2023	
	Gross	Net of taxation	Gross	Net of taxation
Profit attributable to ordinary shareholders		13 061		11 634
Impairments charge on non-financial instruments and other losses/(gains)	171	136	175	128
IAS 16 loss on disposal of property and equipment	19	14	87	63
IAS 28 impairment of investment in associate	27	27		
IAS 36 impairment of property and equipment	13	13	2	2
IAS 36 impairment of intangible assets	100	73	85	62
IFRS 16 impairment of right-of-use assets	12	9	1	1
Headline earnings		13 197		11 762

B2 DIVIDENDS

B2.1 ORDINARY SHARES

	Millions of shares	Cents per share	Rm
2024			
Final declared for 2023 – paid 2024	28	14 608,17	4 100
Interim declared for 2024 ¹	28	23 159,30	2 400
Ordinary dividends paid 2024		37 767,47	6 500
Final ordinary dividend declared for 2024¹	28	5 344,45	1 500
2023			
Final declared for 2022 – paid 2023	28	14 608,17	4 100
Interim declared for 2023 ¹	28	25 118,93	7 050
Ordinary dividends paid 2023		39 727,11	11 150
Final ordinary dividend declared for 2023¹	28	14 608,17	4 100

¹ Total dividend declared 28 503,75 cents per share (2023: 39 727,10 cents per share).

B2.2 AMOUNTS ATTRIBUTABLE TO PARTICIPATING PREFERENCE SHAREHOLDERS

	Amount Rm
Profits/(losses) attributable to participating preference shareholders	
2024	
Nedbank (MFC) – share of economic profit ¹	153
	153
2023	
Nedbank (MFC) – share of economic profit ¹	166
	166

¹ Share in economic profit calculated semi-annually.

B3 SHARE CAPITAL

ACCOUNTING POLICY

Share capital

Ordinary share capital, preference share capital or any financial instrument issued by the group is classified as equity when:

- payment of cash, in the form of a dividend or redemption, is at the discretion of the group;
- the instrument does not provide for the exchange of financial instruments under conditions that are potentially unfavourable to the group;
- settlement in the group's own equity instruments is for a fixed number of equity instruments at a fixed price; and
- the instrument represents a residual interest in the assets of the group after all its liabilities have been deducted.

Consideration paid or received for equity instruments is recognised directly in equity. Equity instruments are initially measured at the proceeds received, less incremental directly attributable issue costs, net of any related income tax benefits. No gain or loss is recognised in profit or loss on the purchase, sale, issue or cancellation of the group's equity instruments.

Distributions to holders of equity instruments are recognised as distributions in the statement of changes in equity in the period in which they are payable. Dividends for the year that are declared after the reporting date are disclosed in note B2 to the financial statements.

B3.1 ORDINARY SHARE CAPITAL

	2024 Rm	2023 Rm
Authorised		
30 000 000 (2023: 30 000 000) ordinary shares of R1 each	30	30
Issued		
28 066 479 (2023: 28 066 479) fully paid ordinary shares of R1 each	28	28
	28	28

Subject to the restrictions imposed by the Companies Act, 71 of 2008 (as amended), and by shareholders in terms of the authority previously provided, the unissued shares are under the control of the directors until the forthcoming AGM.

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B3.2 PREFERENCE SHARE CAPITAL

	2024 Rm	2023 Rm
Authorised		
Nedbank Limited preference share capital and premium		
1 000 000 000 (2023: 1 000 000 000) non-redeemable non-cumulative non-participating preference shares of R0,001 each	1	1
5 000 (2023: 5 000) class A redeemable non-cumulative preference shares of R0,0001 each	1	1
5 000 (2023: 5 000) class B redeemable non-cumulative preference shares of R0,0001 each	1	1
Issued		
Nedbank Limited preference share capital and premium		
100 (2023: 100) class B redeemable non-cumulative preference shares of R0,0001 each	1	1

¹ Represents amounts less than R1m.

B4 HOLDERS OF ADDITIONAL TIER 1 CAPITAL INSTRUMENTS

The group has issued additional tier 1 (AT1) capital instruments as follows:

Instrument code	Date of issue	Call date	Instrument terms	2024 Rm	2023 Rm
Subordinated callable notes (rand-denominated)					
NED09U	22 March 2019	25 March 2024	3-month JIBAR + 4,40% per annum		671
NED11U	24 June 2019	15 January 2025	3-month JIBAR + 4,50% per annum	1 829	1 829
NED12U	22 November 2019	22 May 2025	3-month JIBAR + 4,25% per annum	1 000	1 000
NED14U	4 August 2020	5 August 2025	3-month JIBAR + 4,95% per annum	500	500
NED15U	18 November 2020	19 November 2025	3-month JIBAR + 4,55% per annum	472	472
NED16U	8 March 2021	8 September 2026	3-month JIBAR + 4,67% per annum	1 537	1 537
NED17U	15 June 2021	16 June 2026	3-month JIBAR + 4,10% per annum	910	910
NED19U	3 November 2021	4 November 2026	3-month JIBAR + 3,91% per annum	700	700
NED21U	24 December 2021	27 December 2026	3-month JIBAR + 3,91% per annum	350	350
NED22U	22 April 2022	23 April 2027	3-month JIBAR + 3,79% per annum	1 000	1 000
NED24U	9 December 2022	10 December 2027	3-month JIBAR + 3,40% per annum	500	500
NED25U	27 June 2023	28 June 2028	3-month JIBAR + 3,28% per annum	1 000	1 000
NED26U	20 August 2024	21 August 2029	3-month JIBAR + 2,90% per annum	3 000	
Total				12 798	10 469

The additional tier 1 notes represent perpetual, subordinated instruments, with no redemption date. The instruments are redeemable subject to regulatory approval at the sole discretion of the issuer, Nedbank Group Limited or Nedbank Limited, from the applicable call date and following a regulatory or a tax event. The payment of interest is at the discretion of the issuer and interest payments are non-cumulative. In certain circumstances, the regulator may prohibit Nedbank from making interest payments. Accordingly, the instruments are classified as equity instruments and disclosed as a separate category of equity.

ACCOUNTING POLICY

Interest income and interest expense and similar charges

In terms of IFRS 9 interest income and expense are recognised in profit or loss using the effective-interest method, taking into account the expected timing and amount of cash flows. The effective-interest method is a method of calculating the amortised cost of a financial asset or financial liability (or group of financial assets or financial liabilities) and of allocating the interest income or interest expense over the relevant period. Interest income and expense include the amortisation of any discount or premium or other differences between the initial carrying amount of an interest-bearing financial instrument and its amount at maturity calculated on an effective-interest-rate basis. Expenses that are incurred by the group as a result of an underlying financial liability but do not meet the definition of transaction costs are presented as similar charges.

IFRS 15: Revenue from Contracts with Customers

The core principle of the standard is that revenue recognised reflects the consideration to which the company expects to be entitled in exchange for the transfer of promised goods or services to the client. The standard incorporates a 5-step analysis to determine the amount and timing of revenue recognition.

The group has concluded that the loyalty points awarded to clients are considered payable to our clients in terms of IFRS 15. IFRS 15 requires revenue to be decreased by the amount expected to be payable to clients, which is recognised as a liability until payment is effected.

- Revenue

The group assesses the contract and determines whether the fees identified in the contract are in the scope of IFRS 15. If so, the revenue will be recognised only when the group can:

- » identify the contract;
- » identify the performance obligation;
- » determine the transaction price;
- » allocate the transaction price to the performance obligations in the contract; and
- » recognise the revenue as and when the performance obligation is satisfied.

The group is able to identify the contract when both the client and the group have accepted the terms of the agreement. The contract will also identify all the services (performance obligations) the group will render to the client. Based on this, the transaction price is allocated to each identified performance obligation. The group recognises the revenue once the performance obligation has been satisfied, which may occur over time or at a point in time.

- Commission and fees revenue

The group earns fees and commissions from a range of services it provides to clients and these are accounted for as follows:

- » Income earned on the execution of a distinct performance obligation is recognised when the distinct performance obligation has been performed. Revenue is recognised at a point in time.
- » Income earned from the provision of services is recognised over time as the performance obligation is fulfilled.
- » Income that forms an integral part of the effective interest rate of a financial instrument is recognised as an adjustment to the effective interest rate and recorded in interest income in terms of IFRS 9.
- » Fees charged for servicing a loan are recognised in revenue as the performance obligation is provided, which in most instances occurs monthly when the fees are levied.

- Principal versus agent

When the group acts as a principal, it is deemed to be purchasing and selling financial instruments on its own behalf and therefore reports profits or losses as part of net trading income. When the group acts as an agent, the net commission or markup earned is reported as fee income and costs incurred on behalf of the principal are not reported in the statement of comprehensive income.

Where costs are not directly reimbursed, or not included in the cost basis used for calculating a markup, it may be appropriate to gross up and separately report the costs within 'commission and fees expense'.

- Directly attributable and incremental costs

The types of expenses that are presented as part of non-interest revenue and income are those incremental costs that are directly attributable to the revenue generated. The group defines incremental expenses as those that would not have been incurred had it not been for the acquisition of a contract that generated the revenue.

- Commitment fees

The group typically earns commitment fees on lending facilities, such as credit facility fees and revolving-credit-facility fees. The fees are typically charged for making the facilities available to the client.

The group recognises commitment fees as follows:

- Commitment fees that arise from instruments that are not classified and measured at fair value through profit or loss (FVTPL), i.e. financial instruments that are classified and measured at amortised cost or FVOCI:
 - » Where drawdown is unlikely, i.e. remote or uncertain, the related commitment fees should be recognised as revenue in terms of IFRS 15 on a time-proportionate basis and over the period in which the facility is provided.
 - » Where drawdown is probable, the related commitment fee is recognised as part of the effective interest rate over the life of the facility.
- Commitment fees that relate to a loan commitment that is measured and classified as FVTPL will be included in the cash flows used to determine the fair value of the loan commitment.

- **Non-refundable upfront fees**

Non-refundable upfront fees normally relate to the issuing or administration of a loan facility. These fees will be recognised as revenue when the performance obligation is satisfied. This is applicable when the non-refundable performance obligation can be satisfied over time or at a point in time.

To apply this principle, the group first assesses if the contract is satisfied over time. Should this be the case, the revenue is spread over the period of the contract on a time-proportionate basis. If the performance obligation is not satisfied over time but instead is satisfied at a point in time, the revenue is recognised when the service is complete and no further performance obligations are required according to the contract.

The group recognises non-refundable upfront fees that are an integral part of a loan in net interest income through the unwinding of the effective interest rate.

- **Revenue on investment management contracts**

Fees charged for investment management services in conjunction with investment management contracts are recognised as revenue over time when the performance obligation is fulfilled. Initial fees that exceed the level of recurring fees and relate to the future provision of services are deferred and amortised over the projected period over which services will be provided.

Dividend income

Dividend income is recognised when the right to receive payment is established on the ex-dividend date for equity instruments and is included in dividend income under non-interest revenue and income.

Net trading income

Net trading income comprises all gains and losses from changes in the fair value of financial assets and financial liabilities held for trading, together with the related interest, expense, costs and dividends. Interest earned while holding trading securities and interest incurred on trading liabilities are reported within non-interest revenue and income.

Other

Exchange and securities trading income, from investments and net gains on the sale of investment banking assets, is recognised in profit or loss when the amount of revenue from the transaction can be measured reliably. It is probable that the economic benefits of the transaction will flow to the group and the costs associated with the transaction or service can be measured reliably.

Fair-value gains or losses on financial instruments managed on a fair-value basis measured at FVTPL, including derivatives, are included in non-interest revenue and income.

Fair-value gains or losses on all other financial instruments are included in non-interest revenue and income. These fair-value gains or losses are determined after having deducted the interest component, which is recognised separately in interest income and expense.

B5.1 NET INTEREST INCOME

B5.1.1 INTEREST AND SIMILAR INCOME

	2024 Rm	2023 Rm (Restated)
Listed corporate bonds	2 968	2 293
Home loans	21 035	19 635
Commercial mortgages	21 157	20 465
Instalment debtors	20 903	18 866
Credit cards	2 685	2 668
Overdrafts	2 522	2 474
Term and other loans	33 399	30 909
Personal loans	4 996	5 500
Government and other securities	8 548	7 518
Short-term funds and securities	2 178	1 468
	120 391	111 796
Interest and similar income may be analysed as follows:		
– Interest and similar income from financial instruments at amortised cost ¹	115 448	103 970
– Interest and similar income from financial instruments at FVOCI	1 989	3 453
– Interest and similar income from financial instruments at FVTPL ¹	2 954	4 373
	120 391	111 796

¹ Refer to note A4: Restatements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
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B5.1.2 INTEREST EXPENSE AND SIMILAR CHARGES

	2024 Rm	2023 Rm (Restated)
Deposit and loan accounts	48 903	44 500
Current and savings accounts	1 984	1 856
Negotiable certificates of deposit	10 907	10 379
Other interest-bearing liabilities ¹	17 418	14 763
Long-term debt instruments	4 441	4 634
Interest expense related to fair-value activities ²	(797)	(1 487)
	82 856	74 645
Interest expense and similar charges may be analysed as follows:		
– Interest expense and similar charges from financial instruments at amortised cost ³	80 410	71 528
– Interest expense and similar charges from financial instruments at FVTPL ³	2 446	3 117
	82 856	74 645

¹ Includes interest expense of R169m (2023: R147m) related to lease liabilities and Corporation for Depositors Insurance (CODI) levy and premiums of R186m (2023: Rnil).

² Refer to note B5.2.

³ During 2024 the group identified that the 'Interest expense and similar charges from financial instruments at amortised cost' line item was incorrectly overstated and the 'Interest expense and similar charges from financial instruments at FVTPL' line item was incorrectly understated by R1.179m. As a result, the prior-year information has been restated. This restatement has no impact on the total 'Interest expense and similar charges'.

B5.2 NON-INTEREST REVENUE AND INCOME

	2024 Rm	2023 Rm
Commission and fees revenue	22 848	21 599
Administration fees	566	566
Card fees	8 094	7 650
Cash-handling fees	1 162	1 115
Exchange commission	573	581
Guarantee income	210	214
Transaction-based commission	284	270
Other commission	4 825	4 345
Other fees	2 502	2 479
Service charges	4 632	4 379
Commission and fees expense	(5 468)	(5 071)
Card fees	(4 494)	(4 085)
Transaction-based commission	(4)	(3)
Other commission	(632)	(598)
Other fees	(338)	(385)
Net insurance expense²	(63)	(78)
Fair-value adjustments (note B5.2.1)	528	533
Fair-value adjustments	483	253
Hedged-accounted portfolios	45	280
Net trading income³	3 846	3 559
Foreign exchange	1 475	1 441
Debt securities	2 268	2 013
Equities	40	30
Commodities	63	75
Equity investment income	602	689
Realised gains, interest and other income	233	753
Unrealised gains/(losses)	150	(138)
Dividends income	219	74
Investment income	180	125
Dividends income on investments	173	117
Long-term-asset sales	7	8
Net sundry income	1 159	677
Rental income	58	51
Rental income from properties in possession	1	1
Foreign exchange gains(losses)	6	(90)
Other sundry income	1 095	716
	23 632	22 033

¹ Represents amounts less than R1m.

² The 'Net insurance expense' line item excludes amounts relating to IFRS 17 insurance contracts.

³ Trading income includes R797m (2023: R1 487m) of amortised cost funding related to fair-value activities. Refer to note B5.1.2 for further details.

B5.2.1 ANALYSIS OF FAIR-VALUE ADJUSTMENTS

	2024 Rm	2023 Rm
Fair-value adjustments can be analysed as follows:		
– Financial instruments designated as FVTPL	2 329	1 634
– Financial instruments mandatorily at fair value	(1 801)	(1 101)
	528	533

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

B6 TOTAL OPERATING EXPENSES

	2024 Rm	2023 Rm
Staff costs	19 793	18 653
Remuneration and other staff costs	16 419	15 288
Short-term incentives	3 108	2 773
Long-term employee benefits (note G1)	(481)	(422)
Share-based payments expense – employees (note I2)	747	1 014
Computer processing	6 841	6 524
Depreciation of computer equipment	625	704
Depreciation of right-of-use assets: computer equipment	116	99
Amortisation of computer software	1 839	1 800
Short-term lease charges for computer equipment	275	209
Development costs	514	796
Other computer processing expenses	3 472	2 916
Communication and travel	830	793
Depreciation of vehicles	4	2
Other communication and travel expenses	826	791
Occupation and accommodation	1 896	2 047
Depreciation of owner-occupied land and buildings	368	375
Depreciation of right-of-use assets: land and buildings	568	626
Other occupation and accommodation expenses	960	1 046
Marketing and public relations	1 490	1 473
Fees and assurances	4 002	3 667
Auditors' remuneration	276	253
Statutory and regulatory audit	268	240
Non-audit services	8	13
Other fees and assurance costs	3 726	3 414
Furniture, office equipment and consumables	601	543
Depreciation of furniture and other equipment	289	299
Depreciation of right-of-use assets: furniture and other equipment	32	
Short-term lease charge for furniture and other equipment	12	11
Other office equipment and consumables	268	233
Other sundries	37	(75)
	35 490	33 625

ACCOUNTING POLICY

Taxation expense, recognised in the statement of comprehensive income, comprises current and deferred taxation. Current or deferred taxation is recognised in profit or loss, except to the extent that it relates to items recognised directly in equity, in which case it is also recognised in equity, and, to the extent that it relates to items recognised in OCI, in which case it is also recognised in OCI. The group recognises the income tax consequences of dividends in profit or loss, OCI or equity according to where the group originally recognised those past transactions or events.

Current taxation

Current taxation is the expected tax payable on the taxable income for the year, according to taxation rates enacted or substantively enacted at the reporting date, and any adjustment to taxation payable in respect of previous years (prior-period tax paid).

Deferred taxation

Deferred taxation is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Temporary differences are differences between the carrying amounts of assets and liabilities for financial reporting purposes and their respective taxation bases. The amount of deferred taxation provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, and is measured at the taxation rates (enacted or substantively enacted at the reporting date) that are expected to be applied to the temporary differences when they are reversed.

Deferred taxation is recognised in profit or loss for the period, except to the extent that it relates to a transaction that is recognised directly in equity or in OCI, or a business combination that is accounted for as an acquisition. The effect on deferred taxation of any changes in taxation rates is recognised in profit or loss for the period, except to the extent that it relates to items previously charged or credited directly to equity or OCI.

Deferred taxation liabilities are recognised for all taxable temporary differences, and deferred taxation assets are recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be used. Deferred taxation assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related taxation benefits will be realised.

Deferred taxation assets and liabilities are offset if there is a legally enforceable right to offset current taxation liabilities against current taxation assets, and they relate to income taxes levied by the same taxation authority on the same taxable entity, or on different taxation entities, but they intend to settle current tax liabilities and assets on a net basis or their taxation assets and liabilities will be realised simultaneously.

B7.1 INDIRECT TAXATION

	2024 Rm	2023 Rm
Value-added taxation ¹	806	888
Transaction-based taxes	146	131
	952	1 019

¹ Comprises the value-added taxation incurred that is irrecoverable in respect of the making of exempt supplies as defined in the Value-added Tax Act, 89 of 1991.

B7.2 DIRECT TAXATION**B7.2.1 Charge for the year**

	2024 Rm	2023 Rm
South African normal taxation:		
– Current charge	3 108	3 189
– Capital gains taxation – deferred	17	52
– Deferred taxation	322	(91)
Foreign taxation	373	325
Current and deferred taxation on income	3 820	3 475
Prior-year adjustments	(58)	(169)
Total taxation on income	3 762	3 306
Taxation on impairments charge on non-financial instruments and other losses items	(35)	(47)
	3 727	3 259

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued

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B7.2.2 Taxation rate reconciliation

	2024 %	2023 %
Taxation rate reconciliation		
Standard rate of South African normal taxation	27,0	27,0
Dividend income	(2,4)	(1,9)
Capital items	(0,2)	0,1
Non-deductible expenses ¹	0,5	0,5
Additional tier 1 capital instruments	(2,2)	(2,4)
Prior-year adjustments	(0,3)	(1,1)
Share of profits of associate companies	(0,1)	(0,1)
Assessed losses not subject to deferred tax		(0,2)
Non-taxable income ²	(0,4)	(0,3)
Impairments charge on non-financial instruments and other gains and losses	0,1	
Effective taxation rate	22,0	21,6

¹ Non-deductible expenses include the impact of share-based payments and other non-deductible expenses.

² IFRS adjustments and special allowances have been renamed as non-taxable income and consists of non-taxable IFRS 9 accounting adjustments and other non-taxable amounts.

B7.2.3 Income tax recognised in other comprehensive income

Dd Rm	Gross	Taxation	Net of taxation
2024			
Exchange differences on translating foreign operations	32		32
Debt instruments at FVOCI – net change in fair value	132	(42)	90
Remeasurements on long-term employee benefit assets	109	(29)	80
Equity instruments at FVOCI – net change in fair value	(2)		(2)
Property revaluations	(22)	7	(15)
Cash flow hedge losses	(14)	4	(10)
2023			
Exchange differences on translating foreign operations	651		651
Debt instruments at FVOCI – net change in fair value	318	(83)	235
Remeasurements on long-term employee benefit assets	276	(75)	201
Equity instruments at FVOCI – net change in fair value	(29)	6	(23)
Property revaluations	(51)	14	(37)

B7.2.4 Future taxation relief

Deferred tax assets of R24m (2023: R22m) have not been recognised in respect of tax losses of R89m (2023: R80m) because it is not probable that future taxable profit will be available against which the group can use the benefits therefrom.

B7.2.5 International tax reform: Pillar 2 model rules

The group is within the scope of the Pillar 2 global minimum tax rules, as the group is a multinational enterprise with a turnover of more than €750 million in at least 2 of the last 4 fiscal years (preceding the current fiscal year). Consequently a minimum effective corporate tax rate of 15% must be required to be applied in each jurisdiction in which the group operates.

Pillar 2 legislation became effective in the UK in 2024. On 24 December 2024, the Pillar 2 legislation was implemented and included in domestic law in South Africa. The primary legislation includes 2 new acts: the Global Minimum Tax Act, 46 of 2024 and the Global Minimum Tax Administration Act, 47 of 2024 (gazetted on 7 January 2025 and therefore substantively enacted). The legislation refers to the GloBE Rules and has a retrospective commencement date, for reporting entities within scope with fiscal years beginning on or after 1 January 2024.

The group applies the exception to recognise and disclose information about deferred tax assets and liabilities related to Pillar 2 income taxes, as provided in the amendments to IAS 12 issued in May 2023.

No provision is currently required for the group as the transitional safe harbour applies.

B7.3 DEFERRED TAXATION

The analysis of deferred taxation assets and deferred taxation liabilities is as follows:

	2024 Rm	2023 Rm
Deferred taxation assets		
— Deferred taxation assets to be recovered after more than 12 months	178	570
	178	570
Deferred taxation liabilities		
— Deferred taxation liabilities to be recovered after more than 12 months	(206)	(156)
	(206)	(156)
Net deferred taxation (liability)/asset	(28)	414
The gross movement on the deferred income taxation account, is as follows:		
— Balance at the beginning of the year	414	167
— Statement of comprehensive income charge	(337)	127
— Tax credit relating to components of OCI	(60)	(68)
— Exchange differences		(8)
— Tax credit directly to equity	(45)	196
Balance at the end of the year	(28)	414

The movement in deferred taxation assets and liabilities during the year, without taking into consideration the offsetting of balances with the same tax jurisdiction, is as follows:

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Deferred taxation assets

	Capital investments	Credit impairments
Deferred taxation assets		
Balance at 1 January 2023	34	2 551
Credited to the income statement	(53)	170
Credited directly to equity		
Charged to OCI		
Exchange differences		(2)
Balance at 31 December 2023	(19)	2 719
Charged to the income statement		(112)
Credited directly to equity		
Charged to OCI		
Reclassification between taxation types and categories	19	
Exchange differences		4
Balance at 31 December 2024		2 611

Deferred taxation liabilities

	Accelerated asset allowances	Property revaluations	Deferred acquisition costs
Deferred taxation liabilities			
Balance at 1 January 2023	(1 578)	(452)	(978)
Charged/(Credited) to the income statement	143		(71)
Charged/(Credited) to OCI		14	
Charged directly to equity		16	
Exchange differences			
Balance at 31 December 2023	(1 435)	(422)	(1 049)
Charged/(Credited) to the income statement	83		(146)
Charged/(Credited) to OCI		7	
Charged directly to equity		12	
Reclassification between taxation types and categories			
Exchange differences	1		
Balance at 31 December 2024	(1 351)	(403)	(1 195)

Deferred revenue	Provisions	Taxation losses	Total
340	1 689	19	4 633
(3)	95	(9)	200
	(16)		(16)
	70		70
(1)	4		1
336	1 842	10	4 888
(79)	107	6	(78)
	(12)		(12)
	4		4
	11		30
4	7		15
261	1 959	16	4 847

Pension fund	Share-based payments	FVOCI	Capital investments	Total
(1 075)	(189)	(194)		(4 466)
(116)	(29)			(73)
(75)		(77)		(138)
	196			212
		(9)		(9)
(1 266)	(22)	(280)		(4 474)
(131)	(72)		7	(259)
(29)		(42)		(64)
	(45)			(33)
			(30)	(30)
(1)		(15)		(15)
(1 427)	(139)	(337)	(23)	(4 875)

SECTION C: CORE BANKING ASSETS

ACCOUNTING POLICY

Refer to Section H: Financial instruments for the group's accounting policies regarding financial assets and liabilities.

C1 LOANS AND ADVANCES

The group extends advances to individuals and to the corporate, commercial and public sectors. Advances made to individuals are mostly in the form of mortgages, instalment credit, overdrafts, personal loans and credit card borrowings.

C1.1 CATEGORIES OF LOANS AND ADVANCES

	2024 Rm	2023 Rm (Restated)
Mortgage loans	399 884	383 788
Instalment debtors	176 842	162 604
Credit cards	16 931	16 856
Overdrafts	25 491	23 152
Preference shares and debentures	13 626	12 462
Term loans	172 605	146 159
Other loans and advances	189 873	190 670
Properties in possession		79
Personal loans	24 248	27 486
Covid-19 loan guarantee scheme	370	639
Listed corporate bonds	32 980	28 054
Overnight loans	10 033	11 248
Foreign client lending	10 121	10 505
Factoring accounts	7 400	7 631
Deposits placed under reverse repurchase agreements	19 370	17 527
Other loans to clients	85 351	87 501
Fair-value hedge-accounted portfolios	464	(471)
Gross loans and advances	995 716	935 220
Impairment of loans and advances (note C2)	27 252	28 278
	968 464	906 942
Gross loans and advances comprise:		
– Banking loans and advances	948 365	899 046
– Trading loans and advances	47 351	36 174
	995 716	935 220

During the year, the group reviewed the categories of loans and advances disclosure. As a result, the classes of loans and advances included in note C1.1: Categories of loans and advances were amended to ensure consistency with the classes disclosed in note C1.4: Classification of loans and advances. The mortgage loans line item disaggregation has been removed. The overdrafts (2023: R23 152m), preference shares and debentures (2023: R12 462m), term loans (2023: R233 660m) and fair-value hedge-accounted portfolios (2023: R471m) line items have been removed from the other loans and advances subtotal. These reclassifications have no impact on the group's consolidated statement of comprehensive, consolidated statement of financial position, consolidated statement of changes in equity or consolidated statement of cash flows.

C1.2 SECTORAL ANALYSIS

	2024 Rm	2023 Rm (Restated)
Individuals	373 884	356 179
Financial services, insurance and real estate ¹	333 476	299 955
Banks ¹	16 577	25 084
Manufacturing	71 782	74 632
Building and property development	7 615	9 412
Transport, storage and communication	31 852	27 038
Retailers, catering and accommodation	23 233	17 718
Wholesale and trade	36 375	33 591
Mining and quarrying	31 015	23 749
Agriculture, forestry and fishing	23 393	24 254
Government and public sector	20 211	21 084
Other services	26 303	22 524
	995 716	935 220

¹During 2024 the group identified that prior year balances of R1,2bn were incorrectly disclosed in the banks sector instead of the financial services, insurance and real estate sector. As a result, the prior-year information has been restated.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS *continued*
FOR THE YEAR ENDED 31 DECEMBER

C1.3 GEOGRAPHICAL ANALYSIS

	2024 Rm	2023 Rm (Restated)
South Africa (SA)	912 199	849 633
Rest of Africa	34 984	33 321
Europe ¹	31 166	40 371
Asia	7 765	5 245
United States of America ¹	3 424	2 280
Rest of world	6 178	4 370
	995 716	935 220

¹ During 2024 the group identified that certain prior-year balances of R 2,5bn were incorrectly disclosed in the United States of America geographic category instead of the Europe geographic category. As a result, the prior-year information has been restated.

C1.4 CLASSIFICATION OF LOANS AND ADVANCES

Rm	Total		Subject to 12-month ECL (stage 1)		Subject to lifetime ECL (stage 2) – not credit-impaired		Subject to lifetime ECL (stage 3) – credit-impaired	
	2024	2023 (Restated)	2024	2023 (Restated)	2024	2023	2024	2023
Mortgage loans	397 654	383 788	344 840	320 773	30 383	34 920	22 431	28 095
Instalment debtors	176 842	162 604	151 488	134 144	16 777	19 946	8 577	8 514
Credit cards	16 931	16 856	13 236	12 974	1 227	1 480	2 468	2 402
Overdrafts	25 491	23 152	19 299	17 581	3 633	3 162	2 559	2 409
Preference shares and debentures	13 626	12 462	11 564	12 218	2 062	244		
Term loans	142 827	123 170	121 739	96 694	11 974	14 447	9 114	12 029
Other loans ¹	68 259	70 964	64 986	66 719	2 395	2 011	878	2 234
Specialised and other loans to clients ^{2,3}	34 372	37 553	32 046	34 643	1 506	1 631	820	1 279
Properties in possession	–	79						79
Listed corporate bonds	16 454	14 453	16 454	14 021				432
Overnight loans	10 033	11 248	9 960	10 722	73	205		321
Factoring accounts	7 400	7 631	6 526	7 333	816	175	58	123
Loans and advances at amortised cost	841 630	792 996	727 152	661 103	68 451	76 210	46 027	55 683
Loans and advances at FVTPL ³	92 679	87 495						
Loans and advances at FVOCI	60 943	55 200	57 304	51 992	2 541	1 793	1 098	1 415
Fair-value hedge-accounted portfolios	464	(471)						
Gross loans and advances (note C1.1)	995 716	935 220	784 456	713 095	70 992	78 003	47 125	57 098

¹ The 'Other loans' subtotal line represents a group of certain products based on similar nature and size.

² 'Specialised and other loans to clients' includes deposits placed under reverse repurchase agreements.

³ During 2024 the group identified that certain prior-year loans and advances amounting to R42,4bn were incorrectly disclosed as 'Specialised and other loans to clients' instead of 'Loans and advances at FVTPL'. As a result, the prior-year information has been restated. This restatement has no impact on the 'Loans and advances' balance.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
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C1.5 CREDIT QUALITY OF LOANS AND ADVANCES

Rm	Total		NGR 1–12	
	2024	2023 (Restated)	2024	2023 (Restated)
Subject to 12-month ECL (stage 1)	727 616	660 632	259 607	231 716
Mortgage loans	344 840	320 773	118 934	115 488
Instalment debtors	151 488	134 144	5 463	5 481
Credit cards	13 236	12 974	1 196	1 190
Overdrafts	19 299	17 581	4 310	4 254
Preference shares and debentures	11 564	12 218	7 724	6 851
Term loans	121 739	96 694	77 401	53 273
Other loans	64 986	66 719	44 579	45 179
Specialised and other loans to clients ¹	32 046	34 643	19 340	22 036
Listed corporate bonds	16 454	14 021	16 454	13 768
Overnight loans	9 960	10 722	8 543	8 588
Factoring accounts	6 526	7 333	242	787
Fair-value hedge-accounted portfolios	464	(471)		
Subject to lifetime ECL (stage 2) – not credit-impaired	68 451	76 210	6 989	3 953
Mortgage loans	30 383	34 920	2 230	2 230
Instalment debtors	16 777	19 946	24	24
Credit cards	1 227	1 480		1
Overdrafts	3 633	3 162	182	182
Preference shares and debentures	2 062	244	2 062	
Term loans	11 974	14 447	2 397	1 515
Other loans	2 395	2 011	94	1
Specialised and other loans to clients	1 506	1 631	94	1
Overnight loans	73	205		
Factoring accounts	816	175		
Subject to lifetime ECL (stage 3) – credit-impaired	46 027	55 683	–	–
Mortgage loans	22 431	28 095		
Instalment debtors	8 577	8 514		
Credit cards	2 468	2 402		
Overdrafts	2 559	2 409		
Term loans	9 114	12 029		
Other loans	878	2 234		
Specialised and other loans to clients	820	1 279		
Properties in possession	–	79		
Listed corporate bonds	–	432		
Overnight loans	–	321		
Factoring accounts	58	123		
Loans and advances at amortised cost	842 094	792 525	266 596	235 669
Loans and advances at FVOCI	60 943	55 200	46 123	40 855
Subject to 12-month ECL (stage 1)	57 304	51 992	44 968	40 855
Subject to lifetime ECL (stage 2) – not credit-impaired	2 541	1 793	1 155	
Subject to lifetime ECL (stage 3) – credit-impaired	1 098	1 415		
Financial guarantees and loan commitments	184 888	178 093	107 748	103 795
Subject to 12-month ECL (stage 1)	179 855	170 346	107 316	101 705
Subject to lifetime ECL (stage 2) – not credit-impaired	3 535	5 862	432	2 090
Subject to lifetime ECL (stage 3) – credit-impaired	1 498	1 885		
Total credit quality	1 087 925	1 025 818	420 467	380 319

¹ During 2024 the group identified that certain prior-year loans and advances amounting to R42,4bn were incorrectly disclosed as 'Specialised and other loans to clients' instead of 'Loans and advances at FVTPL', which is not disclosed in this note. As a result, the prior-year information has been restated. This restatement has no impact on the 'Loans and advances' balance.

NGR 13–20		NGR 21–25		NP 1–3		Unrated	
2024	2023	2024	2023	2024	2023	2024	2023
429 230	387 867	38 311	41 515	–	–	468	(466)
211 653	194 085	14 253	11 200				
131 508	110 066	14 517	18 597				
9 566	9 044	2 474	2 740				
14 520	12 825	469	502				
3 840	5 367						
39 193	37 697	5 145	5 724				
18 950	18 783	1 453	2 752			4	5
11 263	9 851	1 439	2 751			4	5
	253						
1 417	2 134						
6 270	6 545	14	1				
						464	(471)
28 258	29 604	33 204	42 653	–	–	–	–
16 992	16 992	11 161	15 698				
2 993	2 993	13 760	16 929				
98	118	1 129	1 361				
2 220	2 220	1 231	760				
	244						
4 821	5 976	4 756	6 956				
1 134	1 061	1 167	949				
449	920	963	710				
66	67	7	138				
619	74	197	101				
–	–	–	–	45 853	55 683	174	–
				22 431	28 095		
				8 577	8 514		
				2 468	2 402		
				2 559	2 409		
				8 940	12 029	174	
				878	2 234		
				820	1 279		
					79		
					432		
					321		
				58	123		
457 488	417 471	71 515	84 168	45 853	55 683	642	(466)
13 548	12 061	174	869	1 098	1 415	–	–
12 162	10 938	174	199				
1 386	1 123		670				
				1 098	1 415		
72 651	67 140	2 991	5 273	1 498	1 885	–	–
70 079	65 339	2 460	3 302				
2 572	1 801	531	1 971				
				1 498	1 885		
543 687	496 672	74 680	90 310	48 449	58 983	642	(466)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS *continued*

FOR THE YEAR ENDED 31 DECEMBER

C1.5 CREDIT QUALITY OF LOANS AND ADVANCES (CONTINUED)

During the year the group reviewed the credit quality of loans and advances disclosure. As a result of the review, the classes of loans and advances included in note C1.5: Credit quality of loans and advances were amended to ensure consistency with the classes disclosed in note C1.4: Classification of loans and advances. The 'Other loans and advances' subtotal has been added and includes the 'Specialised and other loans to clients' (2023: R37 532m), 'Properties in possession' (2023: R79m), 'Listed corporate bonds' (2023: R14 453m), 'Overnight loans' (2023: R11 248m), 'Factoring accounts' (2023: R7 631m) and 'Trade, other bills and bankers' acceptances' (2023: less than R1m) line items. The reclassifications have no impact on the group's consolidated statement of comprehensive income, consolidated statement of financial position, consolidated statement of changes in equity or consolidated statement of cash flows.

During the year the group reviewed the credit quality of loans and advances disclosure. As a result of the review, the credit quality of loans and advances at FVOCI and financial guarantees and loan commitments per impairment stage has been disclosed. To provide comparability, the prior-year balances have been restated accordingly.

The group uses a master rating scale for the measurement of credit risk, which is the risk of the borrower defaulting measured on a through-the-cycle basis excluding the effect of collateral or loss mitigation [i.e. probability of default (PD) only]. However, the PD of a counterparty may be substituted for another counterparty's PD where the regulatory requirements for PD substitution are met. The Nedbank Group Rating (NGR) master scale is a comprehensive PD rating scale that is mapped to default probabilities and external rating agency scales. This enables the group to measure credit risk consistently and accurately across its entire portfolio. A brief explanation of the scale follows:

NGR 1–12: Represents borrowers who demonstrate a strong capacity to meet financial obligations, and who have a negligible or low PD. This category typically includes the group's large corporate clients, including financial institutions, parastatals and other government-related institutions.

NGR 13–20: Represents borrowers who demonstrate a satisfactory ability to make payments and who have a low or moderate PD. This category typically includes small and medium businesses, medium corporate clients and individuals.

NGR 21–25: Represents borrowers who are of higher risk. This category typically includes higher-risk individuals or small businesses, as well as borrowers that were rated higher on inception, but have since migrated down the rating scale as a result of poor financial performance. However, the borrower has not defaulted and is continuing to make repayments.

NP 1–3: Represents clients who have defaulted. Refer to note C2.6 for the group's definition of 'default'.

Unrated: Represents borrowers who do not have an NGR or a non-performing (NP) rating.

C2 IMPAIRMENTS CHARGE ON FINANCIAL INSTRUMENTS

CREDIT RISK

Credit risk arises from lending and other financing activities that constitute the group's core business and is managed within the board-approved Credit Risk Appetite. The Group Credit Risk Management Framework covers the group's approach to credit risk management and incorporates credit approval mandates and credit risk monitoring and governance structures. It is a key component of the group's ERMF, Capital Management Framework and Risk Appetite Framework (RAF), and it is reviewed quarterly.

The GCRMF includes two advanced internal-rating-based (AIRB) approach technical forums (wholesale and retail) and the ad hoc Group Credit Ratings Committee, which report into the Executive Credit Committee (ECC), an executive subcommittee that reports into the Group Credit Committee (GCC), a board subcommittee that is chaired by an independent non-executive member of the board. The framework also includes the Large Exposures Approval Committee (LEAC), whose function is the approval of credit applications in excess of the large exposure threshold imposed by the Banks Act, 94 of 1990.

The GCC also acts as the designated committee appointed by the board to monitor, challenge and ultimately approve all material aspects of the group's AIRB rating and risk estimation systems and processes. The current membership includes seven non-executive directors and three executive directors. The board and the GCC are required by the banking regulations to have a general understanding of the AIRB system and the related reports. The GCC also needs to ensure the independence of Group Credit Risk (GCR), which includes the Credit Model Validation Unit (CMVU), from the business units originating credit within the group.

GCR monitors the business units' credit portfolios, risk procedures, policies and credit standards, and maintains the GCRMF. GCR also calculates and aggregates credit regulatory capital, as well as tests and implements all credit regulatory model updates. The CMVU is the bank's independent risk control unit required by banking regulations. It validates the bank's regulatory credit capital models, IFRS 9 impairment models, as well as the banks non-regulatory credit models, including credit valuation, credit origination and pricing models, and the IFRS 9 macroeconomic forecast models.

Group Risk Analytics (GRA), which includes Model Risk Management (MRM), calculates and consolidates credit economic capital and IFRS 9 impairment calculations across the bank, as well as performs credit risk analytics. GRA is the IFRS 9 methodology custodian for the Group and provides advisory support as well as technical challenge for all key credit risk model families such as impairments, capital, originations and pricing. MRM ensures that model risk is optimised and managed effectively across the bank.

KEY ASSUMPTIONS CONCERNING THE FUTURE AND KEY SOURCES OF ESTIMATION

Allowances for loan impairment and other credit risk provisions

The judgements in relation to determining the allowance for loan impairment and other credit risk provisions are as follows:

- Defining what is considered to be a significant increase in credit risk (SICR) – refer to C2.5 for further information.
- Selecting and calibrating PD, loss given default (LGD) and exposure at default (EAD) models and linking these input parameters to macroeconomic drivers – refer to C2.5 and C2.7 for further information.
- Establishing the scenarios over which ECL should be evaluated and their respective probabilities as well as estimating macroeconomic parameters based on forecast macroeconomic scenarios – refer to C2.7 for further information.
- Making judgemental adjustments to account for emerging or developing events, model and data limitations and deficiencies, and the application of expert credit judgement – refer to C2.8 for further information.

Allowances for loan impairment represent management's estimate of the credit losses expected in the loan portfolios at the reporting date.

Within the Nedbank Retail and Business Banking and Nedbank Wealth portfolios, which comprise large numbers of small homogeneous assets with similar risk characteristics where credit-scoring techniques are generally used, statistical techniques are used to calculate impairment allowances on the portfolio. These statistical analyses use, as primary inputs, the extent to which accounts in the portfolio are in arrears and historical information on the eventual losses encountered from such delinquent portfolios, as well as establishing causal relationships with macroeconomic indicators, where applicable. There are many such models in use, each tailored to a product, line-of-business or client category.

Judgement and knowledge are used in selecting the statistical methods to be used when the models are developed or revised. Judgemental adjustments (discussed further in C2.8) may be applied to cater for portfolios where the use of a model is inappropriate or to supplement model outputs to cater for emerging or developing events, model and data limitations and deficiencies, or to cater for the application of expert credit judgement. The impairment allowance reflected in the financial statements for these portfolios is considered to be reasonable and reflective of supportable judgements.

IFRS 9 outlines a 3-stage model for impairment based on changes in credit quality since initial recognition, as summarised below:

- A financial instrument that is not credit-impaired on initial recognition is classified as stage 1.
- Where a SICR since initial recognition is identified, the financial instrument is moved to stage 2, but not deemed to be credit-impaired. Note C2.5 describes how the group determines when a SICR has occurred.
- Where the financial instrument is credit-impaired, the financial instrument is moved to stage 3. Note C2.6 describes how the group defines 'credit-impaired' and 'default'.
- Financial instruments in stage 1 have their ECLs measured at an amount equal to the portion of lifetime ECLs that result from default events expected within the next 12 months. Instruments classified as stages 2 and 3 have their ECLs measured based on a lifetime basis.
- A pervasive concept in measuring the ECL in accordance with IFRS 9 is that forward-looking information should be considered. Note C2.7 includes an explanation of how the group has incorporated forward-looking information into our ECL models.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS *continued*

FOR THE YEAR ENDED 31 DECEMBER

- Financial instruments are written off when the group has no reasonable expectations of recovering the individual asset partially or in its entirety. In addition, post-write-off recoveries are excluded from the calibration of LGDs.
- Purchased or originated credit-impaired financial assets are those financial assets that are credit-impaired on initial recognition. Their ECLs are measured on a lifetime basis.
- Off-balance-sheet items are also subject to the IFRS 9 impairment model and include financial guarantees and undrawn loan commitments.

For individually significant loans with larger exposures, impairment allowances are calculated on an individual basis and all relevant considerations that have a bearing on the expected future cash flows are taken into account, for example, the business prospects for the client, the realisable value of collateral, the group's position relative to other claimants, the reliability of client information and the likely cost and duration of the workout process. The level of the impairment allowance is the difference between the value of the discounted expected future cash flows (discounted at the loan's original effective interest rate) and the carrying amount. Subjective judgements are made in the calculation of future cash flows. Furthermore, judgements change with time as new information becomes available or as workout strategies evolve, resulting in revisions to the impairment allowance as individual decisions are taken. Changes in these estimates would result in a change in the allowances and would have a direct impact on the impairments charge in the income statement.

C2.1 MOVEMENT IN IMPAIRMENTS CHARGE ON FINANCIAL INSTRUMENTS

	2024 Rm	2023 Rm (Restated)
Balance at the beginning of the year	28 515	26 249
Stage 1 ECL allowance	4 411	3 960
Stage 2 ECL allowance	5 199	5 380
Stage 3 ECL allowance	18 905	16 909
Statement of comprehensive income charge net of recoveries	7 695	9 380
Stage 1 ECL allowance	314	440
Stage 2 ECL allowance	(666)	(65)
Stage 3 ECL allowance	7 804	8 578
Off-balance-sheet allowance	94	(75)
Non-loans and advances	(9)	(3)
FVOCI loan impairment charge	158	505
Adjusted for:	(8 584)	(7 114)
Recoveries ¹	1 317	1 401
Interest in suspense ^{1,2}	2 601	2 650
Amounts written off ^{1,2}	(11 473)	(11 108)
Foreign exchange and other transfers ¹	(880)	445
Non-loans and advances	9	3
FVOCI loan impairment charge	(158)	(505)
Balance at the end of the year	27 626	28 515
Stage 1 ECL allowance	4 518	4 411
Stage 2 ECL allowance	4 491	5 199
Stage 3 ECL allowance	18 617	18 905
Split by measurement category	27 626	28 515
Loans and advances	27 252	28 278
Off-balance-sheet allowance	374	237

¹ Amounts written off against the impairment – adjusted for recoveries, interest in suspense, foreign exchange and other recovery costs – total R8 435m (2023: R6 612m) – refer to C2.2. Foreign exchange movements included in this amount resulted in a R6 589m gain (2023: R15m gain). Interest in suspense is interest income on a financial asset that has not been received but is owed to the group. Interest in suspense is calculated as the difference between the interest calculated on the gross carrying amount of the financial asset and the net interest amount, calculated based on the net carrying amount of the financial asset.

² During 2024 the group identified that the prior-year 'Interest in suspense' and 'Amounts written off' reconciling items were incorrectly understated by R1,0bn respectively. As a result, the prior-year information has been restated. This restatement has no impact on the balance at the end of the year.

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FOR THE YEAR ENDED 31 DECEMBER

C2.2 IMPAIRMENT CHARGE ON LOANS AND ADVANCES BY CLASSIFICATION

	Balance at the beginning of the year Rm	Impairments charge/ (release), net of recoveries Rm
Total impairment – 2024		
Home loans	4 271	1 170
Commercial mortgages	2 247	310
Credit cards	2 768	362
Overdrafts	1 550	478
Instalment debtors	7 604	2 993
Preference shares and debentures	96	(48)
Term loans	8 860	2 420
Financial guarantees and loan commitments	169	74
Other loans ¹	950	(213)
Properties in possession	7	
Specialised and other loans to clients	694	(101)
Overnight loans	143	(118)
Factoring accounts	106	6
Impairment on loans and advances at amortised cost	28 515	7 546
Impairment on loans and advances at FVOCI	527	158
Total impairment	29 042	7 704
Total impairment – 2023		
Home loans	3 073	1 409
Commercial mortgages	2 506	1 165
Credit cards	2 682	952
Overdrafts	1 270	407
Instalment debtors	6 943	2 510
Preference shares and debentures	142	(47)
Term loans	8 387	2 594
Financial guarantees and loan commitments	249	(79)
Other loans ¹	997	(33)
Properties in possession	6	9
Specialised and other loans to clients	821	(106)
Overnight loans	138	(10)
Factoring accounts	32	74
Impairment on loans and advances at amortised cost	26 249	8 878
Impairment on loans and advances at FVOCI	346	505
Total impairment	26 595	9 383

¹ The 'Other loans' subtotal line represents a group of certain products based on similar nature and size.

The balance at the end of the year of R28 038m (2023: R29 042m) includes off-balance-sheet items of R374m (2023: R237m).

Post write-off recoveries Rm	Amounts written off against the impairment, adjusted for interest in suspense Rm	Balance at the end of the year Rm
94	(306)	5 229
14	(664)	1 907
505	(1 159)	2 476
56	(290)	1 794
386	(2 807)	8 176
		48
258	(4 391)	7 147
	1	244
4	(136)	605
	(7)	–
4	(91)	506
	(15)	10
	(23)	89
1 317	(9 752)	27 626
	(273)	412
1 317	(10 025)	28 038
94	(305)	4 271
27	(1 451)	2 247
466	(1 332)	2 768
55	(182)	1 550
342	(2 191)	7 604
	1	96
412	(2 533)	8 860
	(1)	169
5	(19)	950
	(8)	7
5	(26)	694
	15	143
		106
1 401	(8 013)	28 515
	(324)	527
1 401	(8 337)	29 042

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

C2.3 SECTORAL ANALYSIS

	Total impairment		Stage 1: 12-month ECL allowance		Stage 2: Lifetime ECL allowance (not credit-impaired)		Stage 3: Lifetime ECL allowance (credit-impaired)	
	2024 Rm	2023 Rm	2024 Rm	2023 Rm	2024 Rm	2023 Rm	2024 Rm	2023 Rm
Individuals	21 993	21 806	3 646	3 573	3 926	4 291	14 421	13 942
Financial services, insurance and real estate	1 976	2 578	357	299	133	352	1 486	1 927
Manufacturing	942	1 518	99	111	155	161	688	1 246
Building and property development	183	190	29	35	21	32	133	123
Transport, storage and communication	436	294	67	57	64	79	305	158
Retailers, catering and accommodation	38	40	12	22	4	2	22	16
Wholesale and trade	484	413	85	80	42	59	357	274
Mining and quarrying	153	146	62	30	3	12	88	104
Agriculture, forestry and fishing	796	779	64	63	38	55	694	661
Government and public sector	102	214	14	14	31	47	57	153
Other services	523	537	83	127	74	109	366	301
	27 626	28 515	4 518	4 411	4 491	5 199	18 617	18 905

C2.4 GEOGRAPHICAL ANALYSIS

	Total impairment		Stage 1: 12-month ECL allowance		Stage 2: Lifetime ECL allowance (not credit-impaired)		Stage 3: Lifetime ECL allowance (credit-impaired)	
	2024 Rm	2023 Rm	2024 Rm	2023 Rm	2024 Rm	2023 Rm	2024 Rm	2023 Rm
SA	27 040	27 965	4 297	4 230	4 407	5 096	18 336	18 639
Other African countries	445	446	174	150	82	93	189	203
Europe	25	70	24	22		10	1	38
Asia	96	27	4	2	1		91	25
Other	20	7	19	7	1			
	27 626	28 515	4 518	4 411	4 491	5 199	18 617	18 905

C2.5 ASSESSMENT OF A SIGNIFICANT INCREASE IN CREDIT RISK (STAGE 2)

At each reporting period, an assessment is conducted on all performing financial instruments to determine whether a SICR since initial recognition has been experienced. Performing financial instruments that have experienced a SICR since initial recognition are classified as stage 2 and lifetime ECL is recognised.

In subsequent reporting periods, if the credit risk of the financial instrument improves to the extent that there is no longer a SICR since initial recognition, the financial instrument is classified as stage 1 and 12-month ECL is recognised. Alternatively, if the credit risk of the financial instrument deteriorates and the stage 3 criteria are met, lifetime ECL is recognised.

The group assesses whether there has been a SICR for financial instruments since initial recognition in 1 or more of the following ways:

- In line with group-wide methodology, the remaining lifetime PD at the reporting date, which importantly considers reasonable and supportable forward-looking information, is compared with the PD on the date of initial recognition over the remaining expected life.
- » The IFRS 9 standard states that 'change in credit risk cannot be assessed simply by comparing the change in the absolute risk of a default occurring over time'. This is because the risk of a default occurring over the expected life usually decreases as time passes if the credit risk is unchanged and the financial instrument is closer to maturity.
- » Therefore, to ensure accurate comparison, the origination curve needs to be adjusted to the reporting date.
- » Applying the principles above, established thresholds for SICR are subsequently based on a percentage change in lifetime PD over the remaining lifetime relative to initial recognition, and more specifically, defined by a logarithmic relationship between the reporting date PD and the resultant scaling factor. Grouping the 25 risk buckets into higher-level bands, the average scalar by band is as follows:

Master scale risk band	Average SICR scalar ¹
1–12	3,54
13–20	2,36
21–25	1,59

¹ Average SICR scalar refers to the scalar applied to the adjusted recognition/ origination PD within the relevant master scale risk band for comparison with the respective adjusted reporting date PD.

- Using a set of portfolio-specific criteria that are indicative of a SICR to enhance the overall SICR assessment. These include partial arrear triggers and bureau score triggers.
- Using the rebuttable presumption that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due.

C2.6 DEFINITION OF 'DEFAULT'

Loans and advances are deemed to have defaulted when the South African banking regulations' default criteria are triggered (these criteria are in line with the Basel III requirements). For retail and specialised-lending portfolios, this is product-centred, and a default would therefore be specific to a borrower account (a specific advance). The remaining portfolios are client- or borrower-centred, meaning that should any transaction with a client default, all transactions with the client would be treated as having defaulted.

Defaulted loans and advances are classified as stage 3 and an appropriate ECL is measured as the difference between the asset's gross carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate.

Default occurs in respect of a client in the following instances:

Quantitative criteria

- The client has exceeded its advised credit limit or is past due for more than 90 days on any material credit obligation to the group.

Qualitative criteria

- The group considers that the client is unlikely to meet its credit obligations to the group in full without the group having recourse to actions such as realising security (if held).
- The group has consented to a distressed restructuring of the credit obligation, in accordance with Directive 7/2015, that is likely to result in a reduced financial obligation.
- The group has applied for the obligor's bankruptcy or similar order in respect of the obligor's credit obligation.
- The client is placed under business rescue in terms of the Companies Act, 71 of 2008 (as amended), and the client requests a restructure of its facilities due to financial distress.

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C2.7 FORWARD-LOOKING INFORMATION INCORPORATED IN THE ECL MODELS

To account for forward-looking information (FLI) the ECL input parameters (PD and LGD) are typically linked to macroeconomic drivers such as the prime rate, gross domestic product (GDP) growth, household debt-to-income ratio, consumer price inflation and credit growth. Judgemental adjustments are applied where the modelling inadequately captures the risks within the portfolio.

The incorporation of FLI into the ECL allows for a range of macroeconomic outcomes to capture non-linearities. The parameter inputs used to estimate the ECL are modelled on 4 macroeconomic scenarios: base (expected), positive, mild stress and high stress. Scenarios are provided by the Nedbank Group Economic Unit and incorporate historical trends, statistical models and expert judgement. The macroeconomic scenarios are updated quarterly, with the option of an out-of-cycle update based on significant macroeconomic events. There is a robust internal governance process to review and approve the forecast macroeconomic factors, which process includes approval by the GCC.

The ECL under each macroeconomic scenario is the sum of the discounted products of the PD, LGD and EAD for that specific scenario. The ECL is calculated to reflect an unbiased and probability-weighted amount, with the scenario weights estimated based on the likelihood of occurrence. The scenario set used and their associated weights are reviewed and approved by an executive-level subcommittee (ECC) annually.

The forecast ranges for some of the key macroeconomic variables used are shown below by using the annual average forecast over the 3-year period per scenario.

Scenario	2024					
	Probability weighting (%)	Total ECL allowance	Economic measures	Economic forecast ¹ (%)		
				2025	2026	2027
Base case	50	27 996	GDP	1,47	1,83	1,49
			Prime	10,50	10,50	10,50
			HPI	5,04	5,34	4,76
Mild stress	21	28 191	GDP	0,52	1,16	0,73
			Prime	11,50	11,50	11,25
			HPI	3,65	4,13	4,07
Positive outcome	21	27 870	GDP	2,01	2,36	2,02
			Prime	10,00	9,50	9,50
			HPI	5,70	6,41	6,28
High stress	8	28 340	GDP	(0,13)	0,84	0,20
			Prime	11,50	12,00	12,00
			HPI	2,26	2,89	3,34
Weighted scenarios	100	28 038				

¹ Forecast at 31 December 2024.

Scenario	2023					
	Probability weighting (%)	Total ECL allowance	Economic measures	Economic forecast ¹ (%)		
				2024	2025	2026
Base case	50	28 988	GDP	1,07	1,60	1,39
			Prime	10,75	10,25	10,25
			HPI	3,15	3,45	4,19
Mild stress	21	29 258	GDP	0,08	1,26	1,06
			Prime	11,50	10,75	10,50
			HPI	2,46	2,64	3,33
Positive outcome	21	28 768	GDP	2,08	1,93	1,87
			Prime	10,50	10,00	9,75
			HPI	4,01	4,63	5,40
High stress	8	29 531	GDP	(0,75)	0,95	0,84
			Prime	12,25	11,50	11,00
			HPI	1,76	1,81	2,44
Weighted scenarios	100	29 042				

¹ Forecast at 31 December 2023.

The total ECL allowance is the sum of the impairment allowance on loans and advances at amortised cost and FVOCI.

After the explicit forecast period, 2025 to 2027, all variables are forecast as a long-term average for modelling purposes. The long-term averages used for modelling purposes are GDP of 1,9% (2023: 2,4%), prime of 10,5% (2023: 10,5%) and the house price index (HPI) of 5,9% (2023: 6,7%).

Base case scenario

Global economic assumptions

- Global growth improves slightly in 2025, as disinflation intensifies, and monetary policy easing accelerates. The uptick is driven by a resilient US economy and a more meaningful recovery in China as recent stimulus measures lift demand and confidence moderately.
- The outlook for the world economy beyond 2025 is murkier, clouded by the uncertainty surrounding the US administration's economic policies, which are centred around tax cuts, deregulation, tariffs, and deportations of illegal immigrants.
- Commodity prices drift sideways in 2025, as opposing forces clash. While global growth improves and US interest rates decline, the US dollar holds firm. Commodities come under renewed pressure from 2026 onwards as tariffs and other protectionist measures undermine global demand and world trade.
- Global disinflation continues in 2025, but at a slower pace. Past policy tightening, smoother supply chains and softer labour markets gradually return inflation to target in most advanced countries.
- Risk-off sentiment stabilises as US interest rates decline, but geopolitical risks and policy uncertainty undermine the upside.

Global policy responses

- Monetary policy easing continues as inflation slowly drifts towards central bank targets. The EU and UK step up rate cuts amid weak demand, while the US moves cautiously in the face of a robust economy and potentially inflationary economic policies.
- Fiscal policy becomes more restrictive, shifting toward debt reduction.

Domestic policy landscape

- Fiscal metrics remain stretched. The budget deficit averages 4,5% of GDP over the next 3 years, while the debt burden climbs to a peak of about 76% of GDP. Expenditure is inflated by high debt service costs, an elevated social burden and further SOE bailouts. Revenue growth improves slowly as economic growth picks up.
- Inflation remains below the SARB's 4,5% target in H1 2025, and then rises gradually towards target, stabilising around the midpoint over the next 3 years. Global disinflation, subdued oil and food prices, improved domestic conditions and limited demand pressure keep inflation in check, outweighing the impact of renewed rand volatility.
- Structural constraints continue to slow progress. Load-shedding is kept at bay by increased private generation, improved efficiencies at Eskom and generally subdued demand driven partly by the switch to renewable energy sources.
- Monetary policy eases further, with the policy rate lowered by 75 bps in 2025 as inflation hovers around 4,5% and the US relaxes its policy stance.

Domestic economic consequences (Outcomes)

- GDP growth improves slightly to 0,5% in 2024, gathering pace to 1,5% in 2025, 1,8% in 2026 and 1,5% in 2027. Less severe load-shedding and smoother logistics enables a gradual recovery in economic activity.

Consumer spending recovers gradually from a fragile position from end-2024 onwards. Lower inflation and falling interest rates boost real incomes and confidence. Withdrawals of contractional savings provide an added boost.

Fixed investment contracts: Fixed investment remains weak but starts to pick up in 2025 as demand recovers and structural constraints ease further.

- Credit
Household credit: The ratio of household debt to income declines gradually as nominal income outpaces borrowing in 2025 but remains sticky around 61%.

Debt service costs to income eases as interest rates decline and income growth accelerates. The ratio ends 2024 at a still-high 8,7%, before gradually easing to reach 7,7% by the end of 2026.

Corporate credit: Credit growth ends 2024 around 4,9%, before recovering as economic growth picks up, the pressure on households' finances subsides and the global economy picks up modest pace.

- Asset prices

Equities: Equity prices rallied in response to the moderate political outcomes following May's peaceful election and the resurgence in global risk sentiment after the US Fed's started easing its monetary policy, amplifying hopes of a soft landing in the US and the world economy. Concerns over the potential impact of Trump's tariffs on emerging markets will contain the upside from lower US interest rates and firmer domestic growth. Overall, the JSE will likely outperform inflation in 2025 and 2026, but gradually lose momentum.

House prices: House prices turned the corner in Q3 2024 and gain further upward traction in 2025 to 2027, supported by firmer household finances and lower interest rates.

Mild-stress scenario

The mild-stress scenario is a set of events that are each modelled based on an occurrence with a probability equivalent to a once-in-four-years event, while a high-stress scenario reflects conditions aligned with a more severe event that is expected to occur once every ten years.

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High-stress scenario

Global economic assumptions

- Geopolitical tensions intensify as the new US administration's inconsistent approach to global challenges threaten the world's rules-based security order. Tariff and non-tariff barriers to trade increase dramatically, coupled with restrictions on cross-border investments and a sharper clampdown on immigration in US and other advanced countries.
- The world economy loses momentum and enters a mild downturn in 2025, followed by a weak recovery in 2026 and 2027.
- Commodity prices are mixed. Metal prices decline sharply, but oil, food and industrial commodity prices are volatile and sticky at elevated levels. As global demand weakens, OPEC+ cuts global supply dramatically to keep prices elevated. Climate change undermines food production and drives food prices up again.
- Global inflation remains sticky, as global supply shocks outweigh the impact of subdued demand. Supply is constrained by prolonged wars, increased near- or on-shoring of supply chains, higher tariffs, persistent labour shortages due reduced immigration and ageing populations, extreme weather events and a poorly managed transition to renewable energy sources.
- Risk-off sentiment intensifies and EMs experience persistent capital outflows.

Global policy responses

- Monetary policies ease in 2025 but not nearly as much as investors expect, settling at higher levels amid sticky inflation.
- Fiscal policy becomes more expansionary, but its effectiveness is undermined by surging public debt burdens and debt service costs, resulting rising risk premiums.

Domestic policy landscape

- Political instability resurfaces as the GNU splinters over ideological and policy differences. A new coalition represents a shift from the centre to the left but proves chaotic and ineffective.
- Fiscal metrics worsen. The budget deficit averages 5,5% of GDP over the next 3 years, driving debt to over 80% of GDP. Weak economic growth weighs on revenue, while expenditure is inflated by above-inflation wage increases, the adoption of a generous basic income grant, Eskom debt relief and other SOE bailouts.
- Inflation remains elevated and rises above 6% in 2025 and 2026, receding only slowly in 2027. The pressures come from rising production costs due to renewed power outages, transport bottlenecks, a weak rand, rising wages, fading productivity and increased cost transfer to consumers. Higher international oil prices and global inflation also add to the upside.
- Structural constraints: Improvements continue at a snail's pace, undermined by political turmoil and competing ideologies. Load-shedding returns in 2025 (stages 2–3), while transport bottlenecks persist.
- Monetary policy pivots back towards a tightening bias, with policy rate rising to 12% in 2026. The MPC remains hawkish as inflation proves persistent and recedes only slowly.

Domestic economic consequences

- GDP
GDP growth: The economy grows by a weak 0,2% in 2024 and declines by 0,13% in 2025. Production and exports are hard hit by continued load-shedding, other logistical constraints, falling global demand, and lower commodity prices. Domestic confidence and spending implode as load-shedding returns, unemployment increases, wage growth falters, inflation remains high, and interest rates rise again.

Consumer spending weakens, with disposable income eroded by renewed job losses, persistently high inflation, and high interest rates.

Fixed investment remains weak throughout 2025 to 2027. Despite increased activity in the renewable energy projects, most private companies scrap or delay projects as infrastructure constraints raise hurdle rates, domestic and global demand contracts, and political and policy uncertainties intensify.

- Credit
Household credit: The ratio of household debt to income climbs to close to 65% in 2025 as household income slows by more than borrowing.

Debt service costs to income stays at around 9% of disposable income.

Corporate credit: Credit growth slows to 3,3% in 2025, hurt by stretched household finances, weak economic growth, and higher interest rates.

- Asset prices
Equities: Equity prices come under pressure in H1 2025, hurt by fading investor sentiment towards SA, heightened general global risk aversion and generally tight global liquidity conditions.

House prices: House price growth remains weak, rising by around 2,8% per year over 2025 to 2027, failing to outpace inflation as high interest rates weigh down demand.

Positive-outcome scenario

Global economic assumptions

- Global growth gathers pace in 2025 and 2026. US and other advanced countries benefit from lower inflation and interest rates, while China's stimulus proves more effective than most anticipated.
- Commodity prices enter a mild upcycle as the world economy strengthens, US interest rates decline, and the US dollar weakens.
- Global inflation recedes much faster than anticipated on falling global oil, food and other commodity prices and material productivity gains caused by new technology and improved supply chains.

- Risk appetites return as the rate-cutting cycle gathers pace, the rise in US tariffs is more modest and selective than expected and China manages to regain upward traction, supporting capital inflows to heavily oversold EMEs.

Global policy responses

- Monetary policy eases rapidly as inflation falls towards central bank targets. The US and other major central banks speed up the pace of interest rate cuts.
- Fiscal policy shifts towards infrastructure investment, with a strong focus on accelerating the transition to renewable energy sources. This effectively raises potential growth rates, helping governments to manage elevated public debt burdens.

Domestic policy landscape

- Political uncertainty fades as the new government of national unity adopts centrist policies. The increase in political competition gradually yields improved accountability and service delivery.
- Fiscal metrics improve slowly. The budget deficit slowly narrows, averaging 3,5% of GDP over the next 3 years, while the debt burden stabilises around 73% of GDP. Revenue is boosted by improved collections and firmer economic growth. Expenditure rises at rates slightly above inflation. Significant wage restraint and cutbacks on wasteful spending enable government to maintain existing social support and fund a greater portion of critical SOEs debt without worsening fiscal risks materially.
- Inflation declines rapidly on lower global oil, food and other commodity prices, a steady rand, and lower domestic production costs.
- Structural constraints: gain moderate traction. Electricity supply improves significantly, while significant progress is made in addressing transport bottlenecks.
- Monetary policy: As inflation implodes, monetary policy easing accelerates in 2025 and 2026.

Domestic economic consequences

- **GDP**
GDP growth: The recovery gains momentum in 2025, supported by reduced load-shedding, gradual improvements in rail and port efficiencies and a strong rebound in the world economy.

Consumer spending regains momentum in 2025, supported by lower inflation and interest rates, reinforced by firmer employment growth and moderate gains in household wealth.

Fixed investment accelerates as the energy crisis gradually fades and business confidence improves on evidence of significant structural reforms.

- **Credit**
Household credit: The ratio of household debt to income declines systematically over the next 3 years, falling to around 60% by the end of 2027.

The ratio of debt service costs to income dips to 8,6% by end-2024 and 7,8% in 2025, and then falls below 7% in 2027 as interest rates decline and income growth accelerates.

Corporate credit: Credit growth improves slightly to 5,4% by end-2024, before growing at a pace of around 6,3% on average over the next 3 years. Faster economic growth, progress in structural reforms and a stronger-than expected rebound in household finances drive the upturn in corporate and household credit demand.

- **Asset prices**
Equities: Equity prices strengthen significantly in 2025 as global financial conditions improve, investors' worst fears around tariffs fail to materialise, and the global economy proves resilient.

House prices: Average house prices regain upward traction, accelerating by an average rate of 6,1% over the 3 years from 2025 to 2027.

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C2.8 APPLICATION OF JUDGEMENTAL ADJUSTMENTS IN ESTABLISHING ECL

Nedbank's ECL impairment allowance is estimated quantitatively through the application of IFRS 9 impairment models and is supplemented by judgemental adjustments. Judgemental adjustments are applied to cater for portfolios where the use of a model is inappropriate or applied in addition to the model (referred to as post-model adjustments) to cater for known model and data deficiencies and to account for emerging or developing information for which there is insufficient data and/or time to update models accordingly.

Approximately 15,17% of the 2024 balance sheet ECL (2023: 13,42%; 2022: 17,97%) is driven by judgemental adjustments.

The tables that follow provide a breakdown of the balance sheet ECL and income statement ECL charge at 31 December 2024 and 31 December 2023 by cluster or business unit, split between the following categories:

- **Model-driven ECL** – Represents the ECL impairment allowance, which is driven quantitatively by the IFRS 9 impairment models across the group. The key drivers of the model driven ECL include book growth, updates to the macroeconomic forecasts, changes in credit risk mix and enhancements made to impairment models.
- **Judgemental adjustments** that are further split into the following:
 - **Individually assessed:** Considering the low-default nature of the Corporate and Investment Banking (CIB) portfolio and the client-specific approaches applied in the resolution of CIB stage 3 clients, the ECL for these clients is based on the judgement of credit experts. This category therefore represents expert-judgement-based ECL estimates on CIB stage 3 clients that are individually assessed as part of the robust business-as-usual monthly watch list process. Potential losses are assessed under 3 different recovery scenarios, namely an expected case, a best-case and a worst-case scenario.
 - **Forward-looking-information adjustments:** The FLI adjustments include catering for a potential deterioration in collateral valuations, impacts not fully captured by the portfolio-level macroeconomic models, and emerging risks or developing events that are not yet reflected in the underlying data or model or macroeconomic forecasts.
 - **Other judgemental adjustments:** Adjustments processed to address known system and model shortcomings and data limitations that have not yet been incorporated into the group's models.

Balance sheet ECL

Rm	2024				
	Model ECL	Individually assessed	Other judgemental adjustments	Total ECL	Modelled ECL as % of total ECL
Investment Banking and Transactional Services	1 049	954		2 003	52,37
Property Finance	156	1 010		1 166	13,38
Retail	21 790		558	22 348	97,51
Commercial Banking	2 010		193	2 203	91,23
Wealth	283		(3)	280	101,04
Centre	38			38	100,00
Total	25 326	1 964	748	28 038	90,33

Rm	2023				
	Model ECL	Individually assessed	Other judgemental adjustments	Total ECL	Modelled ECL as % of total ECL
Investment Banking and Transactional Services	1 267	1 519		2 786	45,48
Property Finance	167	1 266		1 433	11,65
Retail	21 574		647	22 221	97,09
Commercial Banking	1 829		293	2 122	86,19
Wealth	299		21	320	93,44
Centre	10		150	160	6,25
Total	25 146	2 785	1 111	29 042	86,58

Income statement charge

Rm	2024					Modelled ECL charge as % of total ECL charge
	Model ECL	Individually assessed	Forward-looking information adjustments	Other judgemental adjustments	Total ECL	
Investment Banking and Transactional Services	(148)	443			295	(50,17)
Property Finance	(12)	298			286	(4,20)
Retail	7 007		10	(100)	6 917	101,30
Commercial Banking	405			(100)	305	132,79
Wealth	16			(23)	(7)	(228,57)
Centre	49			(150)	(101)	(48,51)
Total	7 317	741	10	(373)	7 695	95,09

Rm	2023					Modelled ECL charge as % of total ECL charge
	Model ECL	Individually assessed	Covid-19 and forward-looking information adjustments	Other judgemental adjustments	Total ECL	
Investment Banking and Transactional Services	(72)	234			162	(44,44)
Property Finance	10	795			805	1,24
Retail	8 046		58	(196)	7 908	101,75
Commercial Banking	585			27	612	95,59
Wealth	76			(38)	38	200,00
Centre	5			(150)	(145)	(3,45)
Total	8 650	1 029	58	(357)	9 380	92,22

Judgemental adjustments, which are inclusive of 'individually assessed' and 'other judgemental adjustments', are recognised in the following stages: R352m in stage 1, R248m in stage 2 and R205m in stage 3 (2023: R345m in stage 1; R434m in stage 2; R356m in stage 3). These adjustments have been allocated based on where the associated downside risk resides.

The Retail portfolios are data-rich and homogeneous in nature. Therefore, a portfolio approach typically is applied, with greater reliance placed on the models when determining ECL. The wholesale portfolios are more client- and industry-specific, and as such there is greater reliance on expert judgement applied, in particular for stage 3 clients, when determining ECL.

During 2024 judgemental adjustments continued to be monitored closely, with an overall reduction noted. Impairment models were updated to incorporate more recent data, to address any known deficiencies, and to enhance macroeconomic sensitivity where required. Updates were performed to ensure that the models perform well historically and provide the most appropriate estimates of forward-looking default risk and losses.

The model-driven component of the balance sheet ECL has increased from 86,58% at YE 2023 to 90,33% at YE 2024. The model-driven contribution to the income statement ECL charge has increased from 92,22% at YE 2023 to 95,09% at YE 2024.

The remaining judgemental adjustments will continue to be reassessed periodically in line with the emergence of risk in the data and/or the updating of models to adequately capture the prevailing economic environment. Other judgemental adjustments reflect items that are more longstanding in nature and that are reassessed periodically.

Judgemental adjustments are approved and managed through strong internal governance processes. The expert-judgement-based ECL raised in respect of the individually assessed clients is governed through the robust business-as-usual monthly watch list process with representation from all lines of defence. Considering the greater reliance on judgement-based post-model adjustments in navigating through the pandemic, existing governance processes and controls were strengthened with key roles and responsibilities outlined below:

- **First line of defence:** Post-model adjustment processes or quantification methodologies are developed by the business units.
- **Second line of defence:** GCR provides assurance by challenging existing overlays, identifying emerging risks and recommending overlays to ensure the completeness and adequacy of impairments. Second-line-of-defence committee oversight is provided through avenues such as Retail and Business Banking (RBB) monthly impairments meetings, cluster credit committees (CCCs), the ECC, and credit rating approval meetings (CRAMs). GCR provides further oversight in ensuring alignment and consistency in the ECL approaches across the various portfolios. GCR also performs a final assessment of the adequacy of impairments and considers emerging risks that should be accounted for as part of the group's FLI adjustments.
- **Third line of defence:** GIA provides third-line-of-defence assurance, while External Audit provides extensive oversight through their year-end audits.

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C2.9 SCENARIO ANALYSIS

Macroeconomic variable (%)

Scenario	2024				2023			
	Probability weighting (%)	Total ECL allowance	Difference to weighted scenario	Percentage difference to weighted scenario	Probability weighting (%)	Total ECL allowance	Difference to weighted scenario	Percentage difference to weighted scenario
Base case	50	27,996	(42)	(0,16)	50	28 988	(54)	(0,19)
Mild stress	21	28,191	153	0,55	21	29 258	216	0,74
Positive outcome	21	27,870	(168)	(0,60)	21	28 768	(274)	(0,94)
High stress	8	28,340	302	1,08	8	29 531	489	1,68
Weighted scenarios	100	28,038			100	29 042		

The total ECL allowance is the sum of the impairment allowance on loans and advances at amortised cost and FVOCI.

Nedbank has used 4 economic scenarios (base case, mild stress, positive outcome and high stress) in the estimation of ECL. These scenarios are prepared by the Nedbank Group Economic Unit and approved by the Nedbank House View Forum and the GCC. The base case is our expected outcome and is accordingly allocated a 50% probability weighting. The other scenarios represent the tails of our expected distribution of outcomes and are thus allocated probability weightings based on the likelihood of their occurrence. The non-Covid-19-related adjustments and Covid-19 key judgement overlays were not flexed in the mild-stress, positive-outcome and high-stress scenarios. The forward-looking macro adjustments relating to Retail portfolios were flexed. The scenarios and the associated probability weightings are reviewed at least quarterly to incorporate any changes in the macroeconomic environment.

The table above summarises the most significant macroeconomic variables impacting ECL for the group that have been weighted and stressed against the final-weighted ECL. The different scenarios are a weighting of the different macroeconomic scenarios (for example interest rate and GDP).

The table above summarises the sensitivity of the ECL outcome against the 4 economic scenarios by calculating the ECL under each scenario described above for selected portfolios, applying a 100% weighting to each scenario in turn. The weighting is reflected in both the determination of a SICR and the measurement of the resulting ECL. The ECL calculated for the positive-outcome and the high-stress scenarios should not be taken to represent the upper and lower limits of possible ECL outcomes.

There is a particularly high degree of estimation uncertainty in numbers representing tail risk scenarios when assigned a 100% weighting.

C2.10 CREDIT RISK EXPOSURE

Maximum exposure to credit risk – financial instruments not subject to impairment

Rm	Maximum exposure to credit risk ¹	
	2024	2023
Other short-term securities	55 294	59 011
Derivative financial instruments	16 866	13 539
Government and other securities	94 178	81 417
Loans and advances	92 678	45 117
Total	259 016	199 084

¹ This amount excludes the impact of any collateral held or credit enhancements.

Credit-impaired financial assets and related collateral held to mitigate potential losses are disclosed below:

Collateral held as security and other credit enhancements relating to credit impaired financial assets

The value of collateral is considered in determining the severity of expected losses. However, in terms of Nedbank's impairment methodology, expected losses are greater than 0% even where there is overcollateralisation.

There have been no significant changes to collateral valuation policies and processes in the reporting period.

The group mitigates the credit risk of derivatives, reverse repurchase agreements and securities lending by entering into master netting arrangements, derivative clearing agreements, global master repurchase agreements and global master securities lending agreements. Refer to notes H5 and H6 for further detail.

2024

Rm	Gross exposure ¹	Impairment allowance	Carrying amount	Fair value of collateral held
Home loans	15 851	4 039	11 812	11 384
Commercial mortgages	6 580	1 604	4 976	4 514
Credit cards and overdrafts	5 027	2 716	2 311	1 105
Term loans	10 212	5 551	4 661	167
Specialised and other loans to clients	820	363	457	419
Instalment debtors	8 577	4 534	4 043	4 043
Factoring accounts	58	27	31	31
Loans and advances at amortised cost and FVOCI	47 125	18 834	28 291	21 663

¹ Included in the total loans and advances at amortised cost and FVOCI is a gross carrying amount of R1 098m relating to term loans at FVOCI.

2023

Rm	Gross exposure ¹	Impairment allowance	Carrying amount	Fair value of collateral held
Home loans	14 219	3 187	11 032	10 648
Commercial mortgages	13 876	1 916	11 960	11 319
Properties in possession	79	7	72	
Credit cards and overdrafts	4 811	2 644	2 167	1 113
Term loans	13 444	6 948	6 496	2 050
Overnight loans	321	118	203	45
Specialised and other loans to clients	1 711	384	1 327	915
Instalment debtors	8 514	3 979	4 535	4 535
Factoring accounts	123	60	63	63
Loans and advances at amortised cost and FVOCI	57 098	19 243	37 855	30 688

¹ Included in the total loans and advances at amortised cost and FVOCI is a gross carrying amount of R1 415m relating to term loans at FVOCI.

The following tables disclose the distribution of loan-to-value (LTV) ratios of credit-impaired financial assets:

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Loans and advances

LTV distributions

2024

Rm	Gross carrying amount of credit-impaired financial assets			
	Home loans	Commercial mortgages	Properties in possession	Credit cards and overdrafts
Lower than 50%	1 511	573		
50% to 75%	2 311	243		6
75% to 100%	5 939	3 819		1 053
Higher than 100%	6 090	1 945		3 968
Total	15 851	6 580	–	5 027

2023

Rm	Gross carrying amount of credit-impaired financial assets			
	Home loans	Commercial mortgages	Properties in possession	Credit cards and overdrafts
Lower than 50%	1 567	529	15	
50% to 75%	2 350	1 307		8
75% to 100%	5 910	4 232	64	1 048
Higher than 100%	4 392	7 808		3 755
Total	14 219	13 876	79	4 811

Gross carrying amount of credit-impaired financial assets				
Term loans	Overnight loans	Specialised and other loans to clients	Instalment debtors	Factoring accounts
3 390		59	131	
		–	309	
484		486	1 030	42
6 338	–	275	7 107	16
10 212	–	820	8 577	58

Gross carrying amount of credit-impaired financial assets				
Term loans	Overnight loans	Specialised and other loans to clients	Instalment debtors	Factoring accounts
2 904		492	139	
		1	387	
1 642		865	1 136	79
8 898	321	353	6 852	44
13 444	321	1 711	8 514	123

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C2.11 LOSS ALLOWANCE

Reconciliation of loss allowance relating to financial assets subsequently measured at amortised cost

The following tables present a reconciliation from the opening balance to the closing balance of the loss allowance, and how significant changes in the gross carrying amount of financial instruments contributed to changes in the loss allowance:

2024

Loans and advances

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year ¹	653 119	4 411	648 708
New financial assets originated or purchased	357 644	3 145	354 499
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements ²	(47 855)	5 360	(53 215)
Final repayments	(220 406)	(1 060)	(219 346)
Transfers to 12-month ECL	32 036	615	31 421
Transfers to lifetime ECL (not credit-impaired)	(40 430)	(2 658)	(37 772)
Transfers to lifetime ECL (credit-impaired)	(16 177)	(5 296)	(10 881)
Foreign exchange movements	1 085	1	1 084
Net balances (refer note C2.2)	719 016	4 518	714 498
Total credit and zero balances ³	8 136	(110)	8 246
Balance at the end of the year	727 152	4 408	722 744
Loans and advances at FVTPL			
Loans at FVOCI			
Off-balance-sheet impairment allowance			
Fair-value hedge-accounted portfolios			
ECL credit and other balances			
Loans and advances			

¹ During 2024 the group identified that certain loans and advances amounting to R42,4bn were incorrectly disclosed as 'Specialised and other loans to clients' instead of 'Loans and advances at FVTPL'. As a result, the prior-year information has been restated. This restatement has no impact on the 'Loans and advances' balance.

² Repayments net of readvances, capitalised interest, fees and ECL remeasurements throughout this note include credit risk changes as a result of SICR, changes in credit risk that did not result in a transfer between stages, changes in model inputs and model input assumptions, and changes due to drawdowns of undrawn commitments.

³ Total credit and zero balances throughout this note refer to the loss allowance on balances that are liabilities to the group at the financial year-end. The group, however, still has credit risk exposure on these facilities.

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
76 166	5 199	70 967	55 646	18 905	36 741	784 931	28 515	756 416
		–			–	357 644	3 145	354 499
		–	(11 473)	(11 473)	–	(11 473)	(11 473)	–
(8 584)	1 050	(9 634)	(6 781)	3 878	(10 659)	(63 220)	10 288	(73 508)
(4 996)	(295)	(4 701)	(10 125)	(1 495)	(8 630)	(235 527)	(2 850)	(232 677)
(27 979)	(431)	(27 548)	(4 057)	(184)	(3 873)	–	–	–
45 570	3 014	42 556	(5 140)	(356)	(4 784)	–	–	–
(11 757)	(4 046)	(7 711)	27 934	9 342	18 592	–	–	–
(11)		(11)			–	1 074	1	1 073
68 409	4 491	63 918	46 004	18 617	27 387	833 429	27 626	805 803
42	(13)	55	23	(1)	24	8 201	(124)	8 325
68 451	4 478	63 973	46 027	18 616	27 411	841 630	27 502	814 128
								92 679
								60 943
								374
								464
								(124)
								968 464

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
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Home loans

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	148 701	347	148 354
New financial assets originated or purchased	27 023	128	26 895
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(5 019)	807	(5 826)
Final repayments	(9 479)	(17)	(9 462)
Transfers to 12-month ECL	10 227	42	10 185
Transfers to lifetime ECL (not credit-impaired)	(9 063)	(366)	(8 697)
Transfers to lifetime ECL (credit-impaired)	(3 349)	(567)	(2 782)
Foreign exchange movements			–
Net balances	159 041	374	158 667
Total credit and zero balances	181	(37)	218
Balance at the end of the year	159 222	337	158 885

Commercial mortgages

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	171 898	191	171 707
New financial assets originated or purchased	51 793	185	51 608
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(3 496)	(150)	(3 346)
Final repayments	(32 694)	(27)	(32 667)
Transfers to 12-month ECL	7 346	124	7 222
Transfers to lifetime ECL (not credit-impaired)	(7 814)	(20)	(7 794)
Transfers to lifetime ECL (credit-impaired)	(1 399)	(114)	(1 285)
Foreign exchange movements	(16)	1	(17)
Net balances	185 618	190	185 428
Total credit and zero balances			–
Balance at the end of the year	185 618	190	185 428

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
23 778	736	23 042	14 212	3 188	11 024	186 691	4 271	182 420
		–			–	27 023	128	26 895
		–	(626)	(626)	–	(626)	(626)	–
(688)	411	(1 099)	(489)	404	(893)	(6 196)	1 622	(7 818)
(1 116)	(30)	(1 086)	(606)	(119)	(487)	(11 201)	(166)	(11 035)
(8 795)	(29)	(8 766)	(1 432)	(13)	(1 419)	–	–	–
11 550	480	11 070	(2 487)	(114)	(2 373)	–	–	–
(3 923)	(753)	(3 170)	7 272	1 320	5 952	–	–	–
(1)		(1)			–	(1)	–	(1)
20 805	815	19 990	15 844	4 040	11 804	195 690	5 229	190 461
2	(1)	3	7	(1)	8	190	(39)	229
20 807	814	19 993	15 851	4 039	11 812	195 880	5 190	190 690

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
11 138	140	10 998	13 876	1 916	11 960	196 912	2 247	194 665
		–			–	51 793	185	51 608
		–	(251)	(251)	–	(251)	(251)	–
(1 980)	3	(1 983)	(2 478)	447	(2 925)	(7 954)	300	(8 254)
(642)	(12)	(630)	(5 374)	(536)	(4 838)	(38 710)	(575)	(38 135)
(6 815)	(60)	(6 755)	(531)	(64)	(467)	–	–	–
8 998	68	8 930	(1 184)	(48)	(1 136)	–	–	–
(1 123)	(26)	(1 097)	2 522	140	2 382	–	–	–
		–			–	(16)	1	(17)
9 576	113	9 463	6 580	1 604	4 976	201 774	1 907	199 867
		–			–	–	–	–
9 576	113	9 463	6 580	1 604	4 976	201 774	1 907	199 867

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

Properties in possession

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year			–
New financial assets originated or purchased			–
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements			–
Final repayments			–
Transfers to 12-month ECL			–
Transfers to lifetime ECL (not credit-impaired)			–
Transfers to lifetime ECL (credit-impaired)			–
Foreign exchange movements			–
Net balances	–	–	–
Total credit and zero balances			–
Balance at the end of the year	–	–	–

Credit card and overdrafts

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	22 743	852	21 891
New financial assets originated or purchased	8 861	134	8 727
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(1 483)	1 064	(2 547)
Final repayments	(2 325)	(37)	(2 288)
Transfers to 12-month ECL	1 693	85	1 608
Transfers to lifetime ECL (not credit-impaired)	(3 084)	(455)	(2 629)
Transfers to lifetime ECL (credit-impaired)	(1 643)	(816)	(827)
Foreign exchange movements	(184)	(1)	(183)
Net balances	24 578	826	23 752
Total credit and zero balances	7 957	(73)	8 030
Balance at the end of the year	32 535	753	31 782

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
		-	79	7	72	79	7	72
		-			-	-	-	-
		-			-	-	-	-
		-			-	-	-	-
		-	(79)	(7)	(72)	(79)	(7)	(72)
		-			-	-	-	-
		-			-	-	-	-
		-			-	-	-	-
-	-	-	-	-	-	-	-	-
		-			-	-	-	-
-	-	-	-	-	-	-	-	-

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
4 602	822	3 780	4 781	2 644	2 137	32 126	4 318	27 808
		-			-	8 861	134	8 727
		-	(1 622)	(1 622)	-	(1 622)	(1 622)	-
191	141	50	(297)	492	(789)	(1 589)	1 697	(3 286)
(399)	(42)	(357)	(484)	(177)	(307)	(3 208)	(256)	(2 952)
(1 556)	(69)	(1 487)	(137)	(16)	(121)	-	-	-
3 184	477	2 707	(100)	(22)	(78)	-	-	-
(1 228)	(601)	(627)	2 871	1 417	1 454	-	-	-
26		26	(1)		(1)	(159)	(1)	(158)
4 820	728	4 092	5 011	2 716	2 295	34 409	4 270	30 139
40	(12)	52	16		16	8 013	(85)	8 098
4 860	716	4 144	5 027	2 716	2 311	42 422	4 185	38 237

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

Specialised and other loans to clients¹

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	48 666	98	48 568
New financial assets originated or purchased	23 083	173	22 910
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(1 501)	(61)	(1 440)
Final repayments	(22 415)	(83)	(22 332)
Transfers to 12-month ECL	892	51	841
Transfers to lifetime ECL (not credit-impaired)	(978)	(4)	(974)
Transfers to lifetime ECL (credit-impaired)	(361)	(80)	(281)
Foreign exchange movements	1 116	1	1 115
Net balances	48 502	95	48 407
Total credit and zero balances	(2)		(2)
Balance at the end of the year	48 500	95	48 405

¹ 'Specialised and other loans to clients' includes deposits placed under reverse repurchase agreement and listed corporate bonds.

Term loans

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	96 694	1 091	95 603
New financial assets originated or purchased	170 428	1 248	169 180
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(6 097)	1 541	(7 638)
Final repayments	(133 232)	(523)	(132 709)
Transfers to 12-month ECL	4 269	79	4 190
Transfers to lifetime ECL (not credit-impaired)	(6 809)	(498)	(6 311)
Transfers to lifetime ECL (credit-impaired)	(3 498)	(1 866)	(1 632)
Foreign exchange movements	(16)		(16)
Net balances	121 739	1 072	120 667
Total credit and zero balances			–
Balance at the end of the year	121 739	1 072	120 667

Instalment debtors

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	134 144	1 676	132 468
New financial assets originated or purchased	67 587	995	66 592
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(22 378)	2 206	(24 584)
Final repayments	(19 777)	(207)	(19 570)
Transfers to 12-month ECL	7 540	196	7 344
Transfers to lifetime ECL (not credit-impaired)	(9 715)	(1 292)	(8 423)
Transfers to lifetime ECL (credit-impaired)	(5 913)	(1 794)	(4 119)
Foreign exchange movements			–
Net balances	151 488	1 780	149 708
Total credit and zero balances			–
Balance at the end of the year	151 488	1 780	149 708

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
1 631	212	1 419	1 711	384	1 327	52 008	694	51 314
		–			–	23 083	173	22 910
		–	(133)	(133)	–	(133)	(133)	–
(579)	(155)	(424)	53	203	(150)	(2 027)	(13)	(2 014)
(101)	(17)	(84)	(704)	(116)	(588)	(23 220)	(216)	(23 004)
(412)		(412)	(480)	(51)	(429)	–	–	–
1 009	12	997	(31)	(8)	(23)	–	–	–
(42)	(2)	(40)	403	82	321	–	–	–
		–	1		1	1 117	1	1 116
1 506	50	1 456	820	361	459	50 828	506	50 322
		–			–	(2)	–	(2)
1 506	50	1 456	820	361	459	50 826	506	50 320

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
14 447	1 243	13 204	12 029	6 526	5 503	123 170	8 860	114 310
		–			–	170 428	1 248	169 180
		–	(5 440)	(5 440)	–	(5 440)	(5 440)	–
(1 654)	600	(2 254)	(98)	1 363	(1 461)	(7 849)	3 504	(11 353)
(1 677)	(103)	(1 574)	(2 547)	(399)	(2 148)	(137 456)	(1 025)	(136 431)
(4 068)	(78)	(3 990)	(201)	(1)	(200)	–	–	–
7 154	554	6 600	(345)	(56)	(289)	–	–	–
(2 218)	(1 343)	(875)	5 716	3 209	2 507	–	–	–
(10)		(10)			–	(26)	–	(26)
11 974	873	11 101	9 114	5 202	3 912	142 827	7 147	135 680
		–			–	–	–	–
11 974	873	11 101	9 114	5 202	3 912	142 827	7 147	135 680

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
19 946	1 949	17 997	8 514	3 979	4 535	162 604	7 604	155 000
		–			–	67 587	995	66 592
		–	(3 361)	(3 361)	–	(3 361)	(3 361)	–
(3 437)	61	(3 498)	(3 067)	1 037	(4 104)	(28 882)	3 304	(32 186)
(1 019)	(79)	(940)	(310)	(80)	(230)	(21 106)	(366)	(20 740)
(6 264)	(157)	(6 107)	(1 276)	(39)	(1 237)	–	–	–
10 666	1 394	9 272	(951)	(102)	(849)	–	–	–
(3 115)	(1 306)	(1 809)	9 028	3 100	5 928	–	–	–
		–			–	–	–	–
16 777	1 862	14 915	8 577	4 534	4 043	176 842	8 176	168 666
		–			–	–	–	–
16 777	1 862	14 915	8 577	4 534	4 043	176 842	8 176	168 666

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
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Preference shares and debentures

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	12 218	53	12 165
New financial assets originated or purchased	5 061	10	5 051
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(3 653)	(14)	(3 639)
Final repayments			–
Transfers to 12-month ECL			–
Transfers to lifetime ECL (not credit-impaired)	(2 062)	(2)	(2 060)
Transfers to lifetime ECL (credit-impaired)			–
Foreign exchange movements			–
Net balances	11 564	47	11 517
Total credit and zero balances			–
Balance at the end of the year	11 564	47	11 517

Overnight loans

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	10 722	9	10 713
New financial assets originated or purchased	2 743	3	2 740
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(3 625)	(6)	(3 619)
Final repayments	(34)		(34)
Transfers to 12-month ECL	52	1	51
Transfers to lifetime ECL (not credit-impaired)	(83)		(83)
Transfers to lifetime ECL (credit-impaired)			–
Foreign exchange movements	185		185
Net balances	9 960	7	9 953
Total credit and zero balances			–
Balance at the end of the year	9 960	7	9 953

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
244	43	201			–	12 462	96	12 366
		–			–	5 061	10	5 051
		–			–	–	–	–
(244)	(44)	(200)			–	(3 897)	(58)	(3 839)
		–			–	–	–	–
		–			–	–	–	–
2 062	2	2 060			–	–	–	–
		–			–	–	–	–
		–			–	–	–	–
2 062	1	2 061	–	–	–	13 626	48	13 578
		–			–	–	–	–
2 062	1	2 061	–	–	–	13 626	48	13 578

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
205	16	189	321	118	203	11 248	143	11 105
		–			–	2 743	3	2 740
		–	(17)	(17)	–	(17)	(17)	–
(50)		(50)	(384)	(113)	(271)	(4 059)	(119)	(3 940)
(7)		(7)			–	(41)	–	(41)
(52)	(1)	(51)			–	–	–	–
83		83			–	–	–	–
(80)	(14)	(66)	80	14	66	–	–	–
(26)		(26)			–	159	–	159
73	1	72	–	2	(2)	10 033	10	10 023
		–			–	–	–	–
73	1	72	–	2	(2)	10 033	10	10 023

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

Factoring accounts

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	7 333	26	7 307
New financial assets originated or purchased	1 065	10	1 055
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(603)	(3)	(600)
Final repayments	(450)	(2)	(448)
Transfers to 12-month ECL	17	2	15
Transfers to lifetime ECL (not credit-impaired)	(822)	(5)	(817)
Transfers to lifetime ECL (credit-impaired)	(14)	(3)	(11)
Foreign exchange movements			–
Net balances	6 526	25	6 501
Total credit and zero balances			–
Balance at the end of the year	6 526	25	6 501

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
175	20	155	123	60	63	7 631	106	7 525
		–			–	1 065	10	1 055
		–	(23)	(23)	–	(23)	(23)	–
(143)	10	(153)	(21)	(4)	(17)	(767)	3	(770)
(35)	(1)	(34)	(21)	(4)	(17)	(506)	(7)	(499)
(17)	(2)	(15)			–	–	–	–
864	11	853	(42)	(6)	(36)	–	–	–
(28)	(1)	(27)	42	4	38	–	–	–
		–			–	–	–	–
816	37	779	58	27	31	7 400	89	7 311
		–			–	–	–	–
816	37	779	58	27	31	7 400	89	7 311

Financial guarantees and loan commitments

	Not credit-impaired		Credit-impaired	
	Subject to 12-month ECL	Subject to lifetime ECL	Subject to lifetime ECL (excluding purchased/originated)	Total
	Allowance for ECL	Allowance for ECL	Allowance for ECL	Allowance for ECL
Rm				
Balance at the beginning of the year	68	18	83	169
New financial assets originated or purchased	259			259
Financial assets written off				–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(24)	23	49	48
Final repayments	(164)	(11)	(57)	(232)
Transfers to 12-month ECL	35	(35)		–
Transfers to lifetime ECL (not credit-impaired)	(16)	16		–
Transfers to lifetime ECL (credit-impaired)	(56)		56	–
Foreign exchange movements				–
Net balances	102	11	131	244
Total credit and zero balances				–
Balance at the end of the year	102	11	131	244

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

2023

Loans and advances

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	680 780	3 960	676 820
New financial assets originated or purchased	319 537	3 371	316 166
Financial assets written off ¹			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements ^{1,2}	(138 229)	5 991	(144 220)
Final repayments ³	(163 129)	(736)	(162 393)
Transfers to 12-month ECL	28 428	634	27 794
Transfers to lifetime ECL (not credit-impaired)	(50 482)	(3 173)	(47 309)
Transfers to lifetime ECL (credit-impaired)	(19 858)	(5 648)	(14 210)
Foreign exchange movements	(3 928)	12	(3 940)
Net balances (refer note C2.2)	653 119	4 411	648 708
Total credit and zero balances ⁴	7 984	(57)	8 041
Balance at the end of the year	661 103	4 354	656 749
Loans and advances at FVTPL			
Loans at FVOCI			
Off-balance-sheet impairment allowance			
Fair-value hedge-accounted portfolios			
ECL credit and other balances			
Loans and advances			

¹ During 2024 the group identified that the prior year 'Interest in suspense' and 'Amounts written off' reconciling line items, included in the 'Financial assets written off' and 'Repayments net of readvances, capitalised interest, fees and ECL remeasurements' line items, were incorrectly overstated and understated by R1,0bn respectively. As a result, the prior-year information has been restated. This restatement has no impact on the 'Loans and advances' balance.

² Includes credit risk changes as a result of SICR, changes in credit risk that did not result in a transfer between stages, changes in model inputs and assumptions and changes due to drawdowns of undrawn commitments.

³ During 2024 the group identified that certain loans and advances amounting to R42,4bn were incorrectly disclosed as 'Specialised and other loans to clients' instead of 'Loans and advances at FVTPL'. As a result, the prior-year information has been restated. This restatement has no impact on the 'Loans and advances' balance.

⁴ Total credit and zero balances throughout this note refer to the loss allowance on balances that are liabilities to the group at the financial year-end. The group, however, still has credit risk exposure on these facilities.

Not credit-impaired			Credit-impaired			Total		
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)					
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
75 323	5 380	69 943	49 153	16 909	32 244	805 256	26 249	779 007
		–			–	319 537	3 371	316 166
		–	(11 108)	(11 108)	–	(11 108)	(11 108)	–
(11 057)	1 045	(12 102)	(5 479)	4 560	(10 039)	(154 765)	11 596	(166 361)
(4 368)	(338)	(4 030)	(2 691)	(541)	(2 150)	(170 188)	(1 615)	(168 573)
(26 134)	(434)	(25 700)	(2 294)	(200)	(2 094)	–	–	–
55 760	3 582	52 178	(5 278)	(409)	(4 869)	–	–	–
(13 427)	(4 041)	(9 386)	33 285	9 689	23 596	–	–	–
69	5	64	58	5	53	(3 801)	22	(3 823)
76 166	5 199	70 967	55 646	18 905	36 741	784 931	28 515	756 416
44	(11)	55	37	(1)	38	8 065	(69)	8 134
76 210	5 188	71 022	55 683	18 904	36 779	792 996	28 446	764 550
								87 495
								55 200
								237
								(471)
								(69)
								906 942

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
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Home loans

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	147 951	304	147 647
New financial assets originated or purchased	26 566	222	26 344
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(4 375)	932	(5 307)
Final repayments	(9 030)	(14)	(9 016)
Transfers to 12-month ECL	5 803	21	5 782
Transfers to lifetime ECL (not credit-impaired)	(14 141)	(429)	(13 712)
Transfers to lifetime ECL (credit-impaired)	(4 073)	(689)	(3 384)
Net balances	148 701	347	148 354
Total credit and zero balances	174	(1)	175
Balance at the end of the year	148 875	346	148 529

Commercial mortgages

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	166 615	126	166 489
New financial assets originated or purchased	67 410	182	67 228
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(9 743)	(43)	(9 700)
Final repayments	(47 738)	(23)	(47 715)
Transfers to 12-month ECL	5 031	52	4 979
Transfers to lifetime ECL (not credit-impaired)	(8 468)	(31)	(8 437)
Transfers to lifetime ECL (credit-impaired)	(1 193)	(72)	(1 121)
Foreign exchange movements	(16)		(16)
Net balances	171 898	191	171 707
Total credit and zero balances			–
Balance at the end of the year	171 898	191	171 707

Not credit-impaired			Credit-impaired			Total		
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)					
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
18 222	644	17 578	9 940	2 125	7 815	176 113	3 073	173 040
		–			–	26 566	222	26 344
		–	(515)	(515)	–	(515)	(515)	–
(213)	368	(581)	(598)	336	(934)	(5 186)	1 636	(6 822)
(781)	(24)	(757)	(476)	(107)	(369)	(10 287)	(145)	(10 142)
(5 215)	(14)	(5 201)	(588)	(7)	(581)	–	–	–
15 731	487	15 244	(1 590)	(58)	(1 532)	–	–	–
(3 966)	(725)	(3 241)	8 039	1 414	6 625	–	–	–
23 778	736	23 042	14 212	3 188	11 024	186 691	4 271	182 420
4	(1)	5	7	(1)	8	185	(3)	188
23 782	735	23 047	14 219	3 187	11 032	186 876	4 268	182 608

Not credit-impaired			Credit-impaired			Total		
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)					
Gross carrying amount ¹	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
10 976	127	10 849	13 771	2 253	11 518	191 362	2 506	188 856
		–			–	67 410	182	67 228
		–	(1 637)	(1 637)	–	(1 637)	(1 637)	–
(1 791)	29	(1 820)	294	1 289	(995)	(11 240)	1 275	(12 515)
(829)	(14)	(815)	(400)	(45)	(355)	(48 967)	(82)	(48 885)
(4 393)	(29)	(4 364)	(638)	(23)	(615)	–	–	–
8 606	48	8 558	(138)	(17)	(121)	–	–	–
(1 431)	(24)	(1 407)	2 624	96	2 528	–	–	–
	3	(3)			–	(16)	3	(19)
11 138	140	10 998	13 876	1 916	11 960	196 912	2 247	194 665
		–			–		–	–
11 138	140	10 998	13 876	1 916	11 960	196 912	2 247	194 665

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
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Properties in possession

	Not credit-impaired		
	Subject to 12-month ECL		
Rm	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements			–
Net balances	–	–	–
Total credit and zero balances			–
Balance at the end of the year	–	–	–

Credit cards and overdrafts

	Not credit-impaired		
	Subject to 12-month ECL		
Rm	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	22 848	855	21 993
New financial assets originated or purchased	6 374	158	6 216
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	57	1 545	(1 488)
Final repayments	(2 216)	(31)	(2 185)
Transfers to 12-month ECL	1 499	90	1 409
Transfers to lifetime ECL (not credit-impaired)	(3 475)	(628)	(2 847)
Transfers to lifetime ECL (credit-impaired)	(2 128)	(1 139)	(989)
Foreign exchange movements	(216)	2	(218)
Net balances	22 743	852	21 891
Total credit and zero balances	7 812	(56)	7 868
Balance at the end of the year	30 555	796	29 759

Not credit-impaired			Credit-impaired			Total		
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)					
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
		–	66	6	60	66	6	60
		–	13	1	12	13	1	12
–	–	–	79	7	72	79	7	72
		–			–	–	–	–
–	–	–	79	7	72	79	7	72

Not credit-impaired			Credit-impaired			Total		
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)					
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
5 313	568	4 745	4 017	2 529	1 488	32 178	3 952	28 226
		–			–	6 374	158	6 216
		–	(1 877)	(1 877)	–	(1 877)	(1 877)	–
(1 284)	143	(1 427)	(206)	579	(785)	(1 433)	2 267	(3 700)
(464)	(47)	(417)	(222)	(106)	(116)	(2 902)	(184)	(2 718)
(1 349)	(44)	(1 305)	(150)	(46)	(104)	–	–	–
3 692	682	3 010	(217)	(54)	(163)	–	–	–
(1 307)	(480)	(827)	3 435	1 619	1 816	–	–	–
1	–	1	1	–	1	(214)	2	(216)
4 602	822	3 780	4 781	2 644	2 137	32 126	4 318	27 808
40	(10)	50	30	–	30	7 882	(66)	7 948
4 642	812	3 830	4 811	2 644	2 167	40 008	4 252	35 756

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

Specialised and other loans to clients¹

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	90 056	88	89 968
New financial assets originated or purchased	29 934	82	29 852
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	1	(17)	18
Final repayments ²	(61 317)	(35)	(61 282)
Transfers to 12-month ECL	1 456	17	1 439
Transfers to lifetime ECL (not credit-impaired)	(1 970)	(18)	(1 952)
Transfers to lifetime ECL (credit-impaired)	(430)	(20)	(410)
Foreign exchange movements	(9 064)	1	(9 065)
Net balances	48 666	98	48 568
Total credit and zero balances	(2)		(2)
Balance at the end of the year	48 664	98	48 566

¹ 'Specialised and other loans to clients' includes deposits placed under reverse repurchase agreement and listed corporate bonds.

² During 2024 the group identified that certain loans and advances amounting to R42,4bn were incorrectly disclosed as 'Specialised and other loans to clients' instead of 'Loans and advances at FVTPL'. As a result, the prior-year information has been restated. This restatement has no impact on the 'Loans and advances' balance.

Term loans

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	103 121	1 097	102 024
New financial assets originated or purchased	114 562	1 561	113 001
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(88 650)	1 731	(90 381)
Final repayments	(23 688)	(345)	(23 343)
Transfers to 12-month ECL	4 612	164	4 448
Transfers to lifetime ECL (not credit-impaired)	(9 053)	(823)	(8 230)
Transfers to lifetime ECL (credit-impaired)	(6 841)	(2 303)	(4 538)
Foreign exchange movements	2 631	9	2 622
Net balances	96 694	1 091	95 603
Total credit and zero balances			–
Balance at the end of the year	96 694	1 091	95 603

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
2 556	355	2 201	2 194	378	1 816	94 806	821	93 985
		–			–	29 934	82	29 852
		–	(109)	(109)	–	(109)	(109)	–
(599)	(143)	(456)	(151)	188	(339)	(749)	28	(777)
(407)	5	(412)	(1 081)	(99)	(982)	(62 805)	(129)	(62 676)
(1 282)	(17)	(1 265)	(174)		(174)	–	–	–
1 986	21	1 965	(16)	(3)	(13)	–	–	–
(623)	(9)	(614)	1 053	29	1 024	–	–	–
		–	(5)	–	(5)	(9 069)	1	(9 070)
1 631	212	1 419	1 711	384	1 327	52 008	694	51 314
		–			–	(2)	–	(2)
1 631	212	1 419	1 711	384	1 327	52 006	694	51 312

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
14 809	1 287	13 522	10 862	6 003	4 859	128 792	8 387	120 405
		–			–	114 562	1 561	113 001
		–	(3 731)	(3 731)	–	(3 731)	(3 731)	–
(4 044)	568	(4 612)	(2 204)	853	(3 057)	(94 898)	3 152	(98 050)
(471)	(87)	(384)	(158)	(92)	(66)	(24 317)	(524)	(23 793)
(4 308)	(61)	(4 247)	(304)	(103)	(201)	–	–	–
10 637	881	9 756	(1 584)	(58)	(1 526)	–	–	–
(2 245)	(1 346)	(899)	9 086	3 649	5 437	–	–	–
69	1	68	62	5	57	2 762	15	2 747
14 447	1 243	13 204	12 029	6 526	5 503	123 170	8 860	114 310
		–			–	–	–	–
14 447	1 243	13 204	12 029	6 526	5 503	123 170	8 860	114 310

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
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Instalment debtors

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	120 342	1 329	119 013
New financial assets originated or purchased	61 877	960	60 917
Financial assets written off			–
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(21 625)	1 892	(23 517)
Final repayments	(17 811)	(170)	(17 641)
Transfers to 12-month ECL	9 183	209	8 974
Transfers to lifetime ECL (not credit-impaired)	(12 729)	(1 172)	(11 557)
Transfers to lifetime ECL (credit-impaired)	(5 093)	(1 372)	(3 721)
Net balances	134 144	1 676	132 468
Total credit and zero balances			–
Balance at the end of the year	134 144	1 676	132 468

Preference shares and debentures

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	10 822	59	10 763
New financial assets originated or purchased	2 385	3	2 382
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(745)	35	(780)
Transfers to lifetime ECL (not credit-impaired)	(244)	(44)	(200)
Net balances	12 218	53	12 165
Total credit and zero balances			–
Balance at the end of the year	12 218	53	12 165

Overnight loans

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	11 332	16	11 316
New financial assets originated or purchased	8 936	7	8 929
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(12 189)	(21)	(12 168)
Final repayments	(96)		(96)
Transfers to 12-month ECL	306	13	293
Transfers to lifetime ECL (not credit-impaired)	(304)	(5)	(299)
Transfers to lifetime ECL (credit-impaired)			–
Foreign exchange movements	2 737	(1)	2 738
Net balances	10 722	9	10 713
Total credit and zero balances			–
Balance at the end of the year	10 722	9	10 713

Not credit-impaired			Credit-impaired			Total		
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)					
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
21 967	2 258	19 709	7 688	3 356	4 332	149 997	6 943	143 054
		–			–	61 877	960	60 917
		–	(3 239)	(3 239)	–	(3 239)	(3 239)	–
(2 611)	49	(2 660)	(2 307)	1 357	(3 664)	(26 543)	3 298	(29 841)
(1 373)	(111)	(1 262)	(304)	(77)	(227)	(19 488)	(358)	(19 130)
(8 743)	(195)	(8 548)	(440)	(14)	(426)	–	–	–
14 462	1 360	13 102	(1 733)	(188)	(1 545)	–	–	–
(3 756)	(1 412)	(2 344)	8 849	2 784	6 065	–	–	–
19 946	1 949	17 997	8 514	3 979	4 535	162 604	7 604	155 000
		–			–	–	–	–
19 946	1 949	17 997	8 514	3 979	4 535	162 604	7 604	155 000

Not credit-impaired			Credit-impaired			Total		
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)					
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
90	24	66	318	59	259	11 230	142	11 088
		–			–	2 385	3	2 382
(90)	(25)	(65)	(318)	(59)	(259)	(1 153)	(49)	(1 104)
244	44	200			–	–	–	–
244	43	201	–	–	–	12 462	96	12 366
		–			–	–	–	–
244	43	201	–	–	–	12 462	96	12 366

Not credit-impaired			Credit-impaired			Total		
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)					
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
646	42	604	190	80	110	12 168	138	12 030
		–			–	8 936	7	8 929
(354)	24	(378)	47	(4)	51	(12 496)	(1)	(12 495)
		–			–	(96)	–	(96)
(306)	(13)	(293)			–	–	–	–
304	5	299			–	–	–	–
(84)	(42)	(42)	84	42	42	–	–	–
(1)		(1)			–	2 736	(1)	2 737
205	16	189	321	118	203	11 248	143	11 105
		–			–	–	–	–
205	16	189	321	118	203	11 248	143	11 105

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
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Factoring accounts

Rm	Not credit-impaired		
	Subject to 12-month ECL		
	Gross carrying amount	Allowance for ECL	Amortised cost
Balance at the beginning of the year	7 693	7	7 686
New financial assets originated or purchased	1 493	10	1 483
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(960)	10	(970)
Final repayments	(1 233)	(1)	(1 232)
Transfers to 12-month ECL	538	6	532
Transfers to lifetime ECL (not credit-impaired)	(98)	(5)	(93)
Transfers to lifetime ECL (credit-impaired)	(100)	(1)	(99)
Net balances	7 333	26	7 307
Total credit and zero balances			–
Balance at the end of the year	7 333	26	7 307

Not credit-impaired			Credit-impaired					
Subject to lifetime ECL			Subject to lifetime ECL (excluding purchased/originated)			Total		
Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost	Gross carrying amount	Allowance for ECL	Amortised cost
744	13	731	107	12	95	8 544	32	8 512
		–			–	1 493	10	1 483
(71)	9	(80)	(49)	43	(92)	(1 080)	62	(1 142)
(43)	(1)	(42)	(50)	4	(54)	(1 326)	2	(1 328)
(538)	(6)	(532)			–	–	–	–
98	5	93			–	–	–	–
(15)		(15)	115	1	114	–	–	–
175	20	155	123	60	63	7 631	106	7 525
		–			–	–	–	–
175	20	155	123	60	63	7 631	106	7 525

Financial guarantees and loan commitments

	Not credit-impaired		Credit-impaired	
	Subject to 12-month ECL	Subject to lifetime ECL	Subject to lifetime ECL (excluding purchased/originated)	Total
	Allowance for ECL	Allowance for ECL	Allowance for ECL	Allowance for ECL
Rm				
Balance at the beginning of the year	79	62	108	249
New financial assets originated or purchased	186			186
Repayments net of readvances, capitalised interest, fees and ECL remeasurements	(73)	23	(23)	(73)
Final repayments	(117)	(59)	(19)	(195)
Transfers to 12-month ECL	62	(55)	(7)	–
Transfers to lifetime ECL (not credit-impaired)	(18)	49	(31)	–
Transfers to lifetime ECL (credit-impaired)	(52)	(3)	55	–
Foreign exchange movements	1	1	–	2
Net balances	68	18	83	169
Total credit and zero balances				–
Balance at the end of the year	68	18	83	169

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER

C2.12 FINANCIAL ASSETS WRITTEN OFF

KEY ASSUMPTIONS CONCERNING THE FUTURE AND KEY SOURCES OF ESTIMATION

Write-off and post-write-off recoveries

Loans and advances are written off when the group has no reasonable expectations of recovering the individual asset partially or in its entirety. This assessment is judgemental and based on both qualitative and quantitative information. To determine the point of write-off, Nedbank has developed policies over several years that consider trends, historical experience, the level of post-write-off recoveries, the macro environment, historical loan growth and recent delinquency trends. These policies are reviewed annually by appropriate governance forums and the appropriateness of the judgement is considered through a backtest that considers historical levels of post-write-off recoveries when compared with the written-off assets and the balance at default. The group may write off financial assets that are still subject to enforcement activity when there is no reasonable expectation of recovery. Details of the further quantitative and qualitative indicators for the write off point assessments are as follows:

LOANS AND ADVANCES	FURTHER QUANTITATIVE AND QUALITATIVE INDICATORS ¹
General (applicable to all categories)	- It is economical to pursue further recovery action. - A court order has been issued, including liquidation and insolvency orders. - There is a confirmed case of fraud. - There is a deceased estate. - There is reputational risk associated with recovering the asset.
Mortgage loans	- The asset is abandoned because it is not financially feasible to maintain or expectations of recovering the asset partially or in its entirety are remote. - The cost to repair a vandalised property exceeds its value.
Instalment debtors	- The asset cannot be traced. - The asset is abandoned because it is not financially feasible to maintain or expectations of recovering the asset partially or in its entirety are remote.
Credit cards and overdrafts	The client has had 3 months (2023: 2 months ²) with no payment at the legal stage, which translates into approximately 9 months (2023: 8 months ²) in default.
Term loans (including personal loans)	Personal loans: - The client has missed 9 consecutive payments (2023: 12 consecutive payments²). - An insurance claim has been repudiated or a shortfall exists after a settlement and further internal collect efforts have been exhausted. - There is a case of confirmed fraud. Term loans: - The amount becomes irrecoverable as a result of an adopted business rescue plan. - The debt collection procedure has been completed, including exhausting the issuance of summons.
Other loans	Judgement is applied to determine whether a write-off, in whole or in part, is appropriate on a case by case basis.

¹ The above is not an exhaustive list.

² The annual review of the write-off policies resulted in changes to the quantitative indicators for the write-off assessments for 'Credit cards and overdrafts' and 'Terms loans (including personal loans)'. These changes represent changes in accounting estimates and have been applied prospectively.

During the year, the group reviewed its presentation of financial assets written off. As a result of this review, the group has enhanced this disclosure by presenting the amount of post-write-off-recoveries recognised in the statement of comprehensive income compared to the date the underlying loan was written-off for material portfolios contributing to post write-off recoveries.

The total amount of post-write-off-recoveries are R1,3bn (2023: R1,4bn). The table below presents the amount post-write-off-recoveries recognised in the statement of comprehensive income compared to the date the underlying loan was written-off. The disclosure is provided for material portfolios contributing 86% (2023: 75%) of post write-off recoveries:

2024

	Total post-write-off-recoveries Rm	Period since write-off		
		0 to 1 year	1 to 5 years	>5 years
Instalment debtors	386	33%	54%	14%
Credit card	505	5%	72%	22%
Personal loans	263	10%	51%	39%

2023

	Total post-write-off-recoveries Rm	Period since write-off		
		0 to 1 year	1 to 5 years	>5 years
Instalment debtors	342	29%	59%	12%
Credit card	466	7%	75%	19%
Personal loans	268	7%	50%	43%

The following contractual amounts outstanding on financial assets were written off during the period, and are still subject to enforcement activity:

Rm	2024	2023
Contractual amount outstanding	9 762	7 432

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C2.13 MODIFICATION OF FINANCIAL ASSETS

The group modifies the terms of loans provided to clients due to commercial renegotiations, due to clients' entering debt counselling or, in cases of distressed loans, to maximise recovery. Such restructuring activities include extended payment terms, payment holidays and payment forgiveness. Restructuring policies and practices are based on indicators or criteria that, in the judgement of management, indicate that payment will most likely continue. These policies are kept under continuous review.

The risk of default of such assets after modification is assessed at the reporting date and compared with the risk under the original terms at initial recognition when the modification is not substantial and does not result in derecognition of the original assets. The group monitors the subsequent performance of the assets. The group may determine that the credit risk has improved significantly after restructure and the assets are then moved from lifetime ECL (stage 2 and stage 3) to 12-month ECL (stage 1). This is the case for assets that have performed in accordance with the new terms during the post-restructure monitoring period, being a period of at least 6 consecutive months.

The group continues to monitor whether there is a subsequent SICR in relation to such assets. The following table includes a summary of financial assets with lifetime ECLs of which the cash flows were modified during the year as part of the group's restructuring activities and their respective effects on the group's financial performance.

Where the modification of a loan did not result in a modification gain or loss being recognised due to the change in the contractual terms and conditions not being considered substantial and the present value of the loan discounted remaining unchanged, these modifications are not included in the disclosure below.

Refer to Section H: Financial instruments for the group's accounting policies regarding financial assets and liabilities, including modification of loans.

Rm	2024	2023
Modification during the year for which the loss allowance reflects lifetime ECL		
Amortised cost before modification	4 651	4 440
Net modification loss	462	571
Modification since initial recognition of the financial asset for which the loss allowance has changed		
Gross carrying amount at the end of the year	1 001	248
Impact of modification on the ECL allowances associated with these assets	24	2

C3 GOVERNMENT AND OTHER SECURITIES

C3.1 ANALYSIS

	2024 Rm	2023 Rm
Government and government-guaranteed securities	189 248	166 049
Other dated securities ¹	5 346	3 563
Fair-value hedge-accounted portfolios	902	(1 086)
Impairment of government and other securities	(2)	(2)
	195 494	168 524

¹ Includes securitised assets. See note E5.

C3.2 SECTORAL ANALYSIS

	2024 Rm	2023 Rm
Financial services, insurance and real estate	1 150	732
Banks	600	552
Transport, storage and communication	2 112	1 618
Government and public sector	191 632	165 622
	195 494	168 524

C4 OTHER SHORT-TERM SECURITIES

C4.1 ANALYSIS

	2024 Rm	2023 Rm
Negotiable certificates of deposit	5 837	4 750
Treasury bills and other bonds	49 457	54 549
CODI's liquidity tier	3 269	
	58 563	59 299

During the year, the South African Reserve Bank (SARB) launched the CODI, which became operational on 1 April 2024, building further confidence in South Africa's resilient financial sector. In line with the SARB's mandate to ensure financial stability, CODI will protect qualifying depositors, including individuals and non-financial businesses, as well as inform them of CODI's protection benefits and limitations, should a bank fail. CODI, which is the newest SARB subsidiary, provides cover of up to R100 000 to each qualifying depositor per bank in the unlikely event of a bank's collapse. This coverage limit fully protects 9 out of 10 qualifying depositors in the country. Under the auspices of the Financial Sector Regulation Act 9 of 2017, CODI has established and will maintain and administer the Deposit Insurance Fund.

The group is a participating bank of the fund. The funding structure of the fund includes the following:

- CODI's own funds – A monthly flat premium of 0,2% and an annual levy of 0,015% of covered deposits paid by the participating banks.
- Liquidity tier – A contractual loan issued by the participating banks to CODI, adjusted monthly at 3% of the deposit balance.
- As needed – An emergency funding facility provided by the SARB as needed.

The liquidity tier is rolled over monthly and adjusted for changes in the participating banks covered deposit balance.

C4.2 SECTORAL ANALYSIS

	2024 Rm	2023 Rm
Banks	5 702	79
Government and public sector	52 822	54 549
Other sectors	39	4 671
	58 563	59 299

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C5 CREDIT ANALYSIS OF OTHER SHORT-TERM SECURITIES, AND GOVERNMENT AND OTHER SECURITIES

CREDIT RATINGS

	Investment grade ¹		Subinvestment grade ¹		Total	
	2024 Rm	2023 Rm	2024 Rm	2023 Rm	2024 Rm	2023 Rm
Other short-term securities	57 907	57 473	656	1 826	58 563	59 299
Negotiable certificates of deposit	5 837	4 671		79	5 837	4 750
Treasury bills and other bonds	48 801	52 802	656	1 747	49 457	54 549
CODI's liquidity tier	3 269				* 3 269	
Government and other securities	193 134	166 886	2 360	1 638	195 494	168 524
Government and government-guaranteed	187 942	165 369	1 306	680	189 248	166 049
Other dated securities	4 292	2 605	1 054	958	5 346	3 563
Fair-value hedge-accounted portfolios	902	(1 086)			902	(1 086)
Impairment of government and other securities	(2)	(2)			(2)	(2)
	251 041	224 359	3 016	3 464	254 057	227 823

¹ Debt securities that are purchased by the group are rated using an internal rating system, being the Nedbank Group Rating (NGR) scale. The group requires that investments be rated on the NGR scale to ensure that credit risk is measured consistently and accurately across the group. This ensures compliance with the group's policy on the rating of investments. The NGR scale has been mapped to the credit-rating scales of external credit-rating agencies. According to the NGR scale, investment grade can be equated to a Standard & Poor's and Fitch rating of at least BB+ and a Moody's rating of at least Ba1. The group's investment grade includes credit ratings from NGR01 to NGR12 and subinvestment grade includes credit ratings from NGR13 to NGR25.

C6 CASH AND CASH EQUIVALENTS

	2024 Rm	2023 Rm
Coins and banknotes	4 940	5 333
Money at call and short notice	969	1 532
Balances with central banks – other than mandatory reserve deposits	9 840	9 532
Cash and cash equivalents excluding mandatory reserve deposits with central banks	15 749	16 397
Mandatory reserve deposits with central banks	27 568	24 214
	43 317	40 611

Money at call and short notice constitute amounts withdrawable in 32 days or fewer. Mandatory reserve deposits with central banks are subject to certain restrictions and limitations levelled by the central banks in the countries of operation.

ACCOUNTING POLICY

Derivative financial instruments and hedge accounting

Derivatives are classified as financial assets when their fair value is positive, or as financial liabilities when their fair value is negative, subject to the offsetting principles as described under 'Offsetting financial assets and financial liabilities'. The method of recognising fair-value gains and losses depends on whether derivatives are designated as hedging instruments and the nature of the risks being hedged.

- **Derivatives that qualify for hedge accounting**

The group applies hedge accounting when transactions meet the criteria set out in IAS 39. The group's hedging strategy makes use of fair-value hedges, which are hedges of the change in fair value of recognised assets or liabilities or firm commitments. The group manages its interest rate risk exposure by entering into interest rate swaps. The interest rate risk exposure is frequently updated due to new loans and deposits being originated, contractual repayments, and early withdrawals or prepayments made by clients in each period. As a result, the group adopted a macro fair-value hedge strategy to hedge the designated risk profile by designating new swap agreements into the macro fair-value hedge-accounting solution at the beginning of every month. The group uses the macro fair-value hedge to recognise fair value changes related to the interest rate risk to reduce the profit or loss volatility that would otherwise arise from changes in fair value of the interest rate swaps alone.

- **Fair-value hedges**

Where a hedging relationship is designated as a fair-value hedge, the hedged item is adjusted for the change in fair value in respect of the risk being hedged. Fair-value gains and losses arising on the measurement of both the hedging instrument and the hedged item are recognised in profit or loss, for as long as the hedging relationship is effective at each testing date. Any hedge ineffectiveness is recognised in profit or loss. The main sources of hedge ineffectiveness in these hedging relationships are the cash flow mismatches between the hedged items and the hedging instruments and the movement in the benchmark overnight index swap curves relative to the designated risk curve. Residual accounting volatility is mainly as a result of the straight-line amortisation of fair-value adjustments on the designated risk to the income statement versus the fair-value unwind of swaps and as a result of the granularity of the fair-value methodology applied by Nedbank in the fair-value measurement of the designated risk.

If the derivative expires, is sold, is terminated, is exercised, or no longer meets the criteria for fair-value hedge accounting, or the designation is revoked, then hedge accounting is discontinued. The fair-value adjustment to the hedged item is amortised to profit or loss over the life of the designated relationship in line with IFRS Accounting Standards. The unamortised fair-value adjustment of the hedged items is immediately recognised in profit or loss in the event that the hedged item is repaid or sold.

- **Derivatives that do not qualify for hedge accounting**

All gains and losses from changes in the fair value of derivatives that are not designated as being subject to hedge accounting are recognised immediately in non-interest revenue and income.

Embedded derivatives

Derivatives in a host contract that is a financial or non-financial instrument, such as an equity conversion option in a convertible bond, are separated from the host contract when all of the following conditions are met:

- The economic characteristics and risks of the embedded derivative are not closely related to those of the host contract.
- A separate instrument with the same terms as the embedded derivative would meet the definition of a derivative.
- The combined contract is not measured at fair value, with changes in fair value recognised in profit or loss.

The host contract is accounted for:

- under IFRS 9 if it is a financial instrument; and
- in accordance with other appropriate IFRS Accounting Standards if it is not a financial instrument.

If an embedded derivative is required to be separated from its host contract, but it is not possible to measure the fair value of the embedded derivative separately, either at acquisition or at a subsequent financial reporting date, the entire hybrid instrument is categorised as at FVTPL and measured at fair value.

Principal types of derivatives

These transactions have been entered into in the normal course of business and are carried at fair value. The principal types of derivative contracts into which the group enters are swaps, options, futures and forwards.

Collateral

The group may require collateral in respect of the credit risk present in derivative transactions. The amount of credit risk is principally the positive fair value of the contract. Collateral may be in the form of cash or in the form of a lien over a client's assets, entitling the group to make a claim for current and future liabilities.

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South African benchmark reform

South Africa is progressing well in the process of local benchmark reform with the upcoming discontinuation of the legacy Johannesburg Interbank Agreed Rate (JIBAR) used prominently in local cash as well as derivative markets, with the designated replacement rate being the newer South African Rand Overnight Index Average Rate (ZARONIA). The local benchmark transition follows the recent completion of the corresponding reform of the London Interbank Offer Rate (IBOR) in international markets and is being coordinated extensively through local regulators and the wider industry. The overall timeline of the local benchmark reform is approximately 5 years with target completion expected in 2026.

Benchmark reform is a critical market infrastructure initiative to improve the integrity and stability of financial markets and is not intended to be any form of value transfer between parties or a change in the price of liquidity and interest rate risk. The process of reform however does present a range of risks to the bank and its clients, including notably operational and reputational risk, that need to be carefully managed and mitigated.

The group has established a comprehensive steering committee consisting of all impacted stakeholders and relevant personnel to oversee the successful preparation and implementation of benchmark reform in the bank. The group is impacted by local benchmark reform across a range of products. This steering committee carefully considers the full spectrum of risks covering both the successful migration of historical impacted transactions as well as the implementation of new transactions.

A number of critical milestones were achieved in 2024 with the notable release of the revised ZARONIA First for Derivatives as the next key milestone for the industry. Additionally, the determination of fair transition credit spreads has also been proposed and formally endorsed by the South African Reserve Bank (SARB) and will serve as a critical input to further milestones in the process.

Financial assets that are impacted by reference rate reform:

Rm	2024 JIBAR
Derivative financial instruments (assets) ¹	18 562
Other short-term securities	4 663
Government and other securities	27 654
Loans and advances ¹	254 564
Total assets recognised on the balance sheet	305 443
Loan commitments	26 356
Total off-balance sheet exposure	26 356
Total asset exposure subject to reference rate reform	331 799

¹ The gross notional amount of derivative financial instruments assets directly impacted by the reference rate reform is R975bn (including intergroup derivative financial instruments assets of R19bn).

Equity and financial liabilities that are impacted by reference rate reform:

Rm	2024 JIBAR
Holders of additional tier 1 capital instruments	12 798
Total equity recognised subject to reference rate reform	12 798
Derivative financial instruments (liabilities) ¹	18 332
Amounts owed to depositors ¹	198 788
Long-term debt instruments	37 730
Total liabilities recognised subject to reference rate reform	254 850

¹The gross notional amount of derivative financial instruments liabilities directly impacted by the reference rate reform is R942bn (including intergroup derivative financial instruments liabilities of R35bn).

C7.1 TOTAL CARRYING AMOUNT OF DERIVATIVE FINANCIAL INSTRUMENTS

	2024 Rm	2023 Rm
Gross carrying amount of assets	16 866	13 539
Gross carrying amount of liabilities	(11 445)	(13 802)
Net carrying amount	5 421	(263)

A detailed breakdown of the carrying amount (fair value) and notional principal of the various types of derivative financial instruments held by the group is presented in the following tables in notes C7.2–C7.3.

C7.2 NOTIONAL PRINCIPAL OF DERIVATIVE FINANCIAL INSTRUMENTS

This represents the gross notional amounts of all outstanding contracts at year-end. This gross notional amount is the sum of the absolute amount of all purchases and sales of derivative instruments. The notional amounts do not represent amounts exchanged by the parties and therefore represent only the measure of involvement by the group in derivative contracts and not its exposure to market or credit risks arising from such contracts. The amounts actually exchanged are calculated on the basis of the notional amounts and other terms of the derivative, which relate to interest rates, exchange rates, securities or commodity prices or financial and other indices.

Rm	2024			2023		
	Notional principal	Positive value	Negative value	Notional principal	Positive value	Negative value
Equity derivatives	190 310	150 791	39 519	267 965	232 498	35 467
Options written	31 456		31 456	30 070		30 070
Options purchased	142 428	142 428		227 466	227 466	
Futures ¹	16 426	8 363	8 063	10 429	5 032	5 397
Commodity derivatives	444	172	272	172	86	86
Options written	210		210			
Options purchased	110	110		144	72	72
Swaps	36	18	18	26	13	13
Futures	88	44	44	2	1	1
Exchange rate derivatives	1 038 861	522 565	516 296	1 022 500	523 180	499 320
Forwards	856 516	432 109	424 407	793 922	413 125	380 797
Futures	764		764	589		589
Currency swaps	144 567	71 982	72 585	148 232	69 253	78 979
Options purchased	18 475	18 474	1			
Options written	18 539		18 539	79 757	40 802	38 955
Interest rate derivatives	2 050 934	1 040 302	1 010 632	3 826 644	2 033 371	1 793 273
Interest rate swaps	1 824 667	927 468	897 199	3 467 286	1 823 784	1 643 502
Forward rate agreements	93 604	64 567	29 037	221 894	134 882	87 012
Futures	46 170	9 505	36 665	71 454	54 895	16 559
Caps	9 528	2 615	6 913	15 421	6 013	9 408
Floors	1 200	300	900	1 522	461	1 061
Credit default swaps	7 929	3 368	4 561	11 241	4 672	6 569
Total return swaps	67 836	32 479	35 357	37 826	8 664	29 162
Total notional principal	3 280 549	1 713 830	1 566 719	5 117 281	2 789 135	2 328 146

¹ Includes contracts for difference with positive notional of R0m (2023: R0) and negative notional of R0m (2023: R0). The equity forward agreement has positive notional of R8m (2023: R5m) and negative notional of R8m (2023: R5m).

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C7.3 CARRYING AMOUNT OF DERIVATIVE FINANCIAL INSTRUMENTS

The amounts disclosed represent the fair value of all derivative instruments held at year-end. The fair value of a derivative financial instrument is the amount at which it could be exchanged in an orderly transaction between market participants at the measurement date other than a forced liquidation or sale. Fair values are obtained from quoted market prices, discounted-cash-flow models and market-accepted option-pricing models.

Rm	2024			2023		
	Net carrying amount	Carrying amount of assets	Carrying amount of liabilities	Net carrying amount	Carrying amount of assets	Carrying amount of liabilities
Equity derivatives	2 313	5 540	3 227	20	2 001	1 981
Options written	(2 952)		2 952	(1 602)		1 602
Options purchased	4 914	4 914		1 648	1 648	
Futures ²	351	626	275	(26)	353	379
Commodity derivatives	1 248	2 050	802	244	719	475
Options written	(311)		311			
Options purchased	556	556		32	347	315
Swaps	(17)	251	268	(4)	33	37
Futures	1 020	1 243	223	216	339	123
Exchange rate derivatives	(1 086)	3 722	4 808	(846)	4 149	4 995
Forwards	(341)	2 177	2 518	138	1 518	1 380
Futures	(6)		6	(29)		29
Currency swaps	(885)	926	1 811	(1 032)	1 789	2 821
Options purchased	619	619	¹			
Options written	(473)		473	77	842	765
Interest rate derivatives	2 946	5 554	2 608	319	6 670	6 351
Interest rate swaps	2 355	3 904	1 549	1 665	5 770	4 105
Forward rate agreements	¹	¹	¹	1	4	3
Options written	24	24				
Futures	4	49	45	(135)	146	281
Caps	(95)	1	96	(151)	10	161
Floors	2	2	¹	¹	¹	¹
Credit default swaps	(3)	16	19	(70)	86	156
Total return swaps	659	1 558	899	(991)	654	1 645
Total carrying amount	5 421	16 866	11 445	(263)	13 539	13 802

¹ Represents amounts less than R1m.

² Includes contracts for difference and an equity forward agreement. The fair value of the contracts for difference is zero as the variation margin is settled at the end of every day.

C7.4 ANALYSIS OF DERIVATIVE FINANCIAL INSTRUMENTS

Rm	Equity derivatives	Commodity derivatives	Exchange rate derivatives	Interest rate derivatives	Total
Derivative assets					
2024					
Maturity analysis					
Under 1 year	2 321	1 537	2 862	1 630	8 350
1 to 5 years	3 219	513	555	850	5 137
Over 5 years			305	3 074	3 379
	5 540	2 050	3 722	5 554	16 866
2023					
Maturity analysis					
Under one year	924	584	2 703	824	5 035
One to five years	1 077	135	654	1 283	3 149
Over five years			792	4 563	5 355
	2 001	719	4 149	6 670	13 539
Derivative liabilities					
2024					
Maturity analysis					
Under 1 year	2 506	614	3 205	1 229	7 554
1 to 5 years	721	188	1 099	471	2 479
Over 5 years			504	908	1 412
	3 227	802	4 808	2 608	11 445
2023					
Maturity analysis					
Under 1 year	985	349	2 335	1 924	5 593
1 to 5 years	996	126	536	1 620	3 278
Over 5 years			2 124	2 807	4 931
	1 981	475	4 995	6 351	13 802
Notional principal of derivatives					
2024					
Maturity analysis					
Under 1 year	98 045	356	908 457	1 557 567	2 564 425
1 to 5 years	92 265	88	87 079	279 227	458 659
Over 5 years			43 325	214 140	257 465
	190 310	444	1 038 861	2 050 934	3 280 549
2023					
Maturity analysis					
Under 1 year	77 870	166	898 399	3 052 348	4 028 783
1 to 5 years	190 095	6	75 439	460 306	725 846
Over 5 years			48 662	313 990	362 652
	267 965	172	1 022 500	3 826 644	5 117 281

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C7.5 DERIVATIVES DESIGNATED AS FAIR-VALUE HEDGES IN TERMS OF THE GROUP'S FAIR-VALUE HEDGE ACCOUNTING SOLUTION

As part of its hedging activities, the group enters into transactions that are designated as fair-value hedge transactions.

Fair-value hedges are used by the group to mitigate the risk of changes in the fair value of financial instruments due to movements in market interest rates. Derivatives that are designated by the group to form part of these fair-value hedge transactions consist principally of interest rate swaps. The corresponding hedged items forming part of these fair-value hedges, designated into the fair-value hedge-accounting solution, consist primarily of fixed-rate government bonds, loans, deposits and capital market issuances.

For qualifying fair-value hedges, all changes in the fair value of the derivative and in the fair value of the hedged item, in relation to the risk being hedged, are recognised in profit or loss monthly if the hedge-accounting criteria are met.

IAS 39 does not specify a single method for assessing hedge effectiveness. The method an entity adopts for assessing hedge effectiveness depends on its risk management strategy. The group considers the linear-regression method as the appropriate hedge effectiveness test to be used for prospective and retrospective hedge effectiveness testing. Linear regression is a statistical method that investigates the strength of the statistical relationship between the hedged item and the hedging instrument.

Linear-regression analysis involves determining a 'line of best fit' (slope) and then assessing the 'goodness of fit' (R-square) of this line. It provides a means of expressing, in a systematic fashion, the extent to which 1 variable, 'the dependent', will vary with changes in another variable, 'the independent'. In the context of assessing hedge effectiveness, it establishes whether changes in the hedged item and hedging instrument are highly correlated.

The total day-to-day movement of the hedged item (due to the hedged risk) is regressed against the total day-to-day movement of the designated external swaps to calculate the hedge effectiveness, i.e. the degree of offset between the movements in the external swap and the hedged item (due to hedged risk).

Given the respective methodologies applied to perform retrospective and prospective hedge effectiveness testing, the number of data points considered for linear regression will not be consistent between retrospective and prospective testing and will not remain constant for all retrospective tests performed. This is in line with the requirements of IAS39 as it proves hedge effectiveness retrospectively throughout the reporting periods for which the hedge was designated (IAS39 paragraphs 89 to 102) and prospectively up to the next possible rebalancing date as documented as part of the risk management strategy for this particular hedging relationship (IAS39 paragraphs 89 to 102). The hedged risk is designated on the first day of the month for prospective testing purposes and designated for the remainder of the month and with the retrospective run at month-end. The hedged risk is redesignated monthly to reflect the changes in the underlying risk as a result of new or matured deals, early settlements and early withdrawals since the previous risk designation.

The following table contains details of the hedged banking book exposures covered by the group's macro fair-value hedge accounting:

	Carrying amount of hedged items		Nominal amount of hedged items		Accumulated amount of fair-value adjustments on the hedged items	
	Assets	Liabilities	Assets	Liabilities	Assets	Liabilities
Rm						
2024						
Government and other securities	80 844		84 365		902	
Loans and advances	76 248		76 126		464	
Derivative financial instruments						
Amounts owed to depositors		169 247		164 347		(722)
Total	157 092	169 247	160 491	164 347	1 366	(722)
2023						
Government and other securities	74 885		78 100		(1 086)	
Loans and advances	76 709		76 628		(471)	
Derivative financial instruments						
Amounts owed to depositors		186 233		181 347		2
Total	151 594	186 233	154 728	181 347	(1 557)	2

¹ During the year the group reviewed its presentation of derivatives designated as fair-value hedges in terms of its fair-value hedge accounting portfolio. As a result, the group added the carrying amount and nominal amount of hedging instruments to this disclosure. For comparability, this presentation has been applied to the prior and current year.

Hedging is conducted on a PV01 basis between the hedged item and the hedging instrument, rather than on nominal terms. Hedge effectiveness testing was performed monthly and assessed against the effectiveness range of 80% to 125%, as prescribed by IAS 39. The Group consistently remained within the hedge effectiveness range throughout the periods under observation

The table below contains the fair-value change of the hedged item and hedging instrument per month recognised in profit or loss (presented on an external basis):

Rm	2024											
	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Change in the fair value of hedged items	(121)	(1 011)	(526)	(743)	622	2 077	1 761	201	853	(1 507)	1 384	(791)
Change in the fair value of the hedging instruments	201	1 097	609	785	(566)	(1 955)	(1 717)	(156)	(764)	1 573	(1 298)	840
Net fair-value change	80	86	83	42	56	122	44	45	89	66	86	49

Rm	2023											
	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Change in the fair value of hedged items	1 921	(2 013)	559	(929)	(3 087)	2 379	979	424	(1 871)	559	2 121	401
Change in the fair value of the hedging instruments	(1 870)	2 003	(387)	1 081	3 043	(2 221)	(836)	(244)	2 044	(392)	(1 955)	(255)
Net fair-value change	51	(10)	172	152	(44)	158	143	180	173	167	166	146

Carrying amount of hedging instruments ¹		Notional amount of hedging instruments ¹	
Assets	Liabilities	Assets	Liabilities
2 067	(2 526)	205 895	147 408
2 067	(2 526)	205 895	147 408

1 183	(1 195)	207 364	113 008
1 183	(1 195)	207 364	113 008

The following table contains the impact on profit or loss:

Rm	2024	2023
Profit/(losses) on hedged items	2 199	1 443
Profit on hedging instruments	(1 351)	11
Movement in fair value that was recognised in profit or loss¹	848	1 454

¹ Included in non-interest revenue and income.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

SECTION D: CORE BANKING LIABILITIES

D1 AMOUNTS OWED TO DEPOSITORS

ACCOUNTING POLICY

Refer to Section H: Financial instruments for the group's accounting policies regarding financial assets and liabilities.

D1.1 CLASSIFICATIONS

	2024 Rm	2023 Rm
Current accounts	102 504	101 105
Savings deposits	14 885	14 260
Other deposits and loan accounts	863 281	776 715
Call and term deposits	452 697	414 571
Fixed deposits	76 225	70 606
Cash management deposits	107 433	77 653
Other deposits and loan accounts	226 926	213 885
Foreign currency liabilities ¹	37 081	28 962
Negotiable certificates of deposit	111 297	124 475
Deposits received under repurchase agreements ²	18 834	13 120
Macro fair-value hedge-accounted portfolios	721	(3)
	1 148 603	1 058 634
Comprises:		
– Banking deposits	1 092 467	1 000 735
– Trading deposits	56 136	57 899
	1 148 603	1 058 634

¹ Foreign currency liabilities are either matched by advances to clients or hedged against exchange rate fluctuations.

²The group has pledged government and other securities (note C3) and negotiable certificates of deposit (note C4) amounting to R19 003m (2023: R13 491m) as collateral for deposits received under repurchase agreements, of which R18 834m (2023: R13 120m) relates to sell- or buybacks. These amounts represent assets that have been transferred but that do not qualify for derecognition under IFRS 9.

Deposit products include current accounts, savings accounts, call and notice deposits, fixed deposits and negotiable certificates of deposit. Term deposits vary from 6 months to 5 years in both the wholesale and retail markets.

See note D1.3 for a breakdown of amounts owed to depositors by geographical analysis.

D1.2 SECTORAL ANALYSIS

	2024 Rm	2023 Rm (Restated)
Banks	60 636	64 522
Government and public sector	95 657	98 129
Individuals	240 111	223 434
Business sector	752 199	672 549
	1 148 603	1 058 634

During the year the group conducted a review of the sectoral analysis related to the 'Amounts owed to depositors' note. As a result of this review, it was identified that clients were mapped to incorrect sectors. As a result, the prior-year information has been restated. The restatements have no impact on the 'Amounts owed to depositors' balance.

Rm	2023		
	Restated	Restatement	As previously reported
Government and public sector	98 129	186	97 943
Individuals	223 434	1 229	222 205
Business sector	672 549	(1 415)	673 964
	994 112	–	994 112

D1.3 GEOGRAPHICAL ANALYSIS

	2024 Rm	2023 Rm
South Africa (SA)	1 094 465	987 695
Rest of Africa	19 230	18 397
Europe	17 879	32 574
Asia	10 563	13 672
United States of America	5 318	4 851
Rest of world	1 148	1 445
	1 148 603	1 058 634

D2 LONG-TERM DEBT INSTRUMENTS

Instrument type	Maturity dates	Interest rates	2024 Rm	2023 Rm
Basel III subordinated debt				
Callable notes (rand-denominated – floating)	2 July 2030 to 30 April 2034	JIBAR plus 1,86% to 3,85%	8 277	9 073
Callable notes green bonds	4 October 2033 to 8 November 2034	JIBAR plus 1,68% to 1,715%	4 159	2 125
Securitised liabilities				
Callable notes (rand-denominated – floating)	20 February 2037 to 25 November 2053	JIBAR plus 1,24% to 8% and 3-month JIBAR plus 4%	520	1 241
Senior unsecured debt				
Senior unsecured notes – fixed	12 February 2025 to 19 November 2027	9,44% to 11,15%	9 742	11 388
Senior unsecured notes – floating	12 February 2025 to 21 February 2033	JIBAR plus 0,99% to 2,25%	23 217	18 843
Senior unsecured green bonds	30 April 2026 to 15 December 2028	JIBAR plus 1,35% to 1,45%	1 557	2 798
Unsecured debentures	30 November 2029	Zero coupon	86	72
Total long-term debt instruments in issue			47 558	45 540

D2.1 MOVEMENT IN CARRYING AMOUNT

	2024 Rm	2023 Rm
Balance at the beginning of the year	45 540	49 653
Changes arising from cash movements	(2 645)	(8 754)
Issue of long-term debt instruments	12 587	4 842
Redemption of long-term debt instruments	(10 647)	(9 075)
Interest paid	(4 585)	(4 521)
Changes arising from non-cash movements	4 663	4 641
Accrued interest and unwinding of premiums/discount	4 663	4 641
Balance at the end of the year	47 558	45 540

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

D3 CONTRACTUAL MATURITY ANALYSIS FOR FINANCIAL LIABILITIES

Rm	Statement of financial position amount	<3 months	>3 months <6 months	>6 months <1 year
2024				
Long-term debt instruments	47 558	7 496	884	3 625
Amounts owed to depositors	1 148 603	757 249	89 732	179 337
Current accounts	102 504	102 627		
Savings deposits	14 885	14 935		
Other deposits and loan accounts	863 281	578 476	59 559	152 510
Foreign currency liabilities	37 081	31 194	1 005	1 131
Negotiable certificates of deposit	111 297	16 829	29 168	25 696
Deposits received under repurchase agreements	18 834	13 188		
Macro fair-value hedge-accounted portfolios	721			
Derivative financial instruments – liabilities ¹	11 445	8 594	505	564
Lease liabilities	1 838	223	199	399
Provisions and other liabilities	14 336	3 129	109	
	1 223 780	776 691	91 429	183 925
Contingent liabilities, undrawn facilities and commitments				
Financial guarantees on behalf of clients		35 975		
Letters of credit and discounting transactions		11 127		
Irrevocable unutilised facilities and other		183 474		
	–	230 576	–	–
Rm	Statement of financial position amount	<3 months (Restated)	>3 months <6 months (Restated)	>6 months <1 year (Restated)
2023				
Long-term debt instruments	45 540	4 496	2 206	3 224
Amounts owed to depositors	1 058 634	701 302	95 266	180 842
Current accounts	101 105	101 222		
Savings deposits	14 260	14 313		
Other deposits and loan accounts	776 715	523 152	61 534	140 398
Foreign currency liabilities	28 962	22 862	372	2 275
Negotiable certificates of deposit	124 475	26 633	33 360	38 169
Deposits received under repurchase agreements	13 120	13 120		
Macro fair-value hedge-accounted portfolios	(3)			
Derivative financial instruments – liabilities ¹	13 802	12 732	267	219
Lease liabilities	1 819	204	180	359
Provisions and other liabilities	14 578	2 958		
	1 134 373	721 692	97 919	184 644
Contingent liabilities, undrawn facilities and commitments				
Financial guarantees on behalf of clients		29 579		
Letters of credit and discounting transactions		4 715		
Irrevocable unutilised facilities and other		181 336		
	–	215 630	–	–

¹ During the year the group identified that prior year trading derivative financial liabilities included in the 'Derivative financial liabilities' line item were presented across various maturity buckets, whereas trading derivatives are risk managed over short periods of time. In addition, the derivative financial liabilities that are designated as hedging instruments in effective hedge accounting relationships were disclosed on a discounted basis instead of an undiscounted basis. As a result, the prior-year information has been restated.

>1 year <5 years	>5 years	Non- determin- able maturity	Total
36 603	10 097	721	59 426
148 191	22 526	3 124	1 200 159
			102 627
			14 935
79 412	19 360	2 403	891 720
5 220			38 550
57 913	3 166		132 772
5 646			18 834
		721	721
2 156	40		11 859
1 364	6		2 191
44	165	10 889	14 336
188 358	32 834	14 734	1 287 971
			35 975
			11 127
			183 474
-	-	-	230 576

>1 year < 5years (Restated)	>5 years (Restated)	Non- determin- able maturity	Total
30 909	11 353		52 188
128 464	11 261		1 117 135
			101 222
			14 313
76 812	10 091		811 987
5 498			31 007
46 154	1 173		145 489
			13 120
	(3)		(3)
1 058			14 276
1 360			2 103
	13	11 607	14 578
161 791	22 627	11 607	1 200 280
			29 579
			4 715
			181 336
-	-	-	215 630

Derivative financial liabilities are included in the maturity analysis on a contractual, undiscounted basis when contractual maturities are essential for an understanding of the derivatives' future cash flows. The group considers the contractual maturities to be essential for understanding the future cash outflows of derivative financial liabilities that are designated as hedging instruments in effective hedge accounting relationships.

All other derivative financial liabilities are considered trading as they are held for short periods of time. Therefore these derivative financial liabilities are disclosed at fair value in the '< 3months' column.

Provisions and other liabilities are included in this table to provide a reconciliation with the statement of financial position and include current and deferred taxation liabilities and long-term employee benefit liabilities.

SECTION E: INVESTMENTS

E1 INVESTMENT SECURITIES

ACCOUNTING POLICY

Refer to Section H: Financial instruments for the group's accounting policies regarding financial assets and liabilities, note H2.2.1 for the classification of investment securities in terms of the fair-value hierarchy, and Section E.2 for the group's accounting policies on investments in associate companies and joint ventures.

	Carrying amount		Dividends received		Cumulative gains/(losses)	
	2024 Rm	2023 Rm	2024 Rm	2023 Rm	2024 Rm	2023 Rm
Private-equity investments	7 230	6 888	245	77	599	229
Private-equity associates and joint ventures – Property Partners	2 342	1 914	29	16	267	184
Private-equity associates – Investment Banking	909	997			46	22
Private equity (unlisted) – Property Partners	1 268	1 586			507	119
Private equity (unlisted) – Investment Banking	2 711	2 391	216	61	(221)	(96)
Listed investments		1				
Unlisted investments	802	786	2	9	5	7
Strate Limited	180	163		7		
Other	622	623	2	2	5	7
Total listed and unlisted investments	8 032	7 675	247	86	604	236

The group has designated 2 unlisted investments (2023: 2) at FVOCI, as these investments are held with strategic intent. The fair value of these investments was R280m at 31 December 2024 (31 December 2023: R283m). R4m (2023: R4m) was recognised as dividend income and was recognised in the statement of comprehensive income as non-interest revenue and income. No equity investments designated at FVOCI have been derecognised in the current year. There were no transfers of the cumulative gain or loss within equity during the current year.

ACCOUNTING POLICY

Associates

An associate is an entity over which the group has the ability to exercise significant influence, but not control or joint control, through participation in the financial and operating policy decisions of the entity. This is generally demonstrated by the group holding in excess of 20%, but no more than 50%, of the voting rights. The group accounts for its investments in associate companies (other than investments in associate companies designated as FVTPL) using the equity accounting method, i.e. cost plus the group's share of postacquisition changes in net asset value.

The group's share of postacquisition profit or loss and postacquisition movements in OCI are recognised in the income statement and OCI respectively. The group applies the equity method of accounting from the date on which significant influence starts until the date on which significant influence ceases (or the associate is classified as held for sale), i.e. when the group's share of losses exceeds the carrying amount of the associate, the carrying amount is reduced to nil, inclusive of any long-term debt outstanding. The recognition of further losses is discontinued, except to the extent that the group has incurred legal or constructive obligations, or guaranteed obligations, in respect of the associate.

In applying the equity method, the investor should use the financial statements of the associate as of the same date as the financial statements of the investor unless it is impracticable to do so. If it is impracticable, the most recent available financial statements of the associate should be used, with adjustments made for the effects of any significant transactions or events occurring between the ends of accounting periods. However, the difference between the reporting date of the associate and that of the investor cannot be longer than 3 months.

Where an entity in the group transacts with an associate of the group, unrealised profits and losses are eliminated to the extent of the group's interest in the associate, but only to the extent that there is no evidence of impairment.

At each reporting date the group determines whether there is objective evidence that the investments in associates are impaired. Objective evidence of impairment for an associate investment includes information about significant changes with an adverse effect that have taken place in the technological, market, economic or legal environment in which the issuer operates, and indicates that the cost of the associate investment may not be recovered. The carrying amounts of such investments are then reduced to recognise any impairment by applying the impairment methodology described in note F.

Investments in associates that are held with the intention to dispose of them within 12 months are accounted for and classified as non-current assets held for sale in accordance with the methodology described in note G2.

Associate companies held by venture capital divisions

Where the group has an investment in an associate or joint-venture company held by a venture capital division, whose primary business is to purchase and dispose of minority stakes in entities, the group may choose to classify these investments as FVTPL, given that as the divisions are managed on a fair-value basis. The classification of such investments is determined on a case-by-case basis. The fair value of these joint-venture companies is included in note E1 Investment securities as part of 'Private-equity associates and joint-ventures – Property Partners'. Changes in the fair value of these investments are recognised in non-interest revenue and income in profit or loss in the period in which they occur.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS *continued*
FOR THE YEAR ENDED 31 DECEMBER

E2.1 MOVEMENT IN CARRYING AMOUNT OF ASSOCIATE COMPANIES

	2024 Rm	2023 Rm
Carrying amount at the beginning of the year	1 089	1 031
Share of associate companies' gains after taxation for the year	75	80
Acquisition of associate companies	373	
Other movements	(56)	(22)
Carrying amount at the end of the year	1 481	1 089

E2.2 ANALYSIS OF CARRYING AMOUNT OF ASSOCIATE COMPANIES

	2024 Rm	2023 Rm
Associate investments – on acquisition: Net asset value	1 167	794
Share of retained earnings since acquisition	627	552
Other movements	(313)	(257)
	1 481	1 089

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

E2.3 ANALYSIS OF INVESTMENTS IN ASSOCIATE COMPANIES

	Nature of activities	Percentage holding	
		2024 %	2023 %
Private equity: Tracker Technology Holdings Proprietary Limited ¹	Vehicle tracking	18,0%	18,0%
Private equity: other investments	Various		
Other strategic investments	Various		

¹ The group has significant influence over Tracker Technology Holdings Proprietary Limited due to its representation on the board of directors.

Unless otherwise stated above, all entities are domiciled and incorporated in SA. The group has the same proportion of voting rights as its proportion of ownership interest, unless stated otherwise, and has not incurred any contingent liabilities with regard to the associates listed above.

E2.4 ADDITIONAL DISCLOSURE RELATING TO IMMATERIAL ASSOCIATES

	2024 Rm	2023 Rm
Carrying amount of immaterial associates	1 481	1 089
Group's share of:		
Total comprehensive income	390	496
Profit from continuing operations	390	496

			Group			
			Carrying amount		Net exposure to/(from) associates	
Measurement method	Acquisition date	Year-end	2024 Rm	2023 Rm	2024 Rm	2023 Rm
Equity-accounted	November 2018	June	597	565	842	929
Equity-accounted			316	53		
Equity-accounted			568	471		106
			1 481	1 089	842	1 035

ACCOUNTING POLICY

Subsidiary undertakings and consolidated structured entities

Subsidiary undertakings are those entities, including unincorporated entities such as trusts and partnerships, that are controlled by the group. The group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The group is considered to have power over an entity when it has existing rights that give it the current ability to direct the relevant activities of the entity. The group is exposed, or has rights, to variable returns from its involvement with the entity when the investor's returns from its involvement have the potential to vary as a result of the entity's performance. The group considers all facts and circumstances relevant to its involvement with an entity to evaluate whether control exists. The group assesses any changes to the facts and circumstances relevant to the entity and reassesses the consolidation requirements on a continuous basis.

The consolidated financial statements include the assets, liabilities and results of the company plus subsidiaries, including consolidated structured entities from the date control is established until the date that control ceases.

Intragroup balances, transactions, income and expenses, and profits and losses are eliminated in preparation of the consolidated financial statements. Unrealised losses are not eliminated to the extent that they provide objective evidence of impairment.

Subsidiaries include structured entities that are designed so that their activities are not governed by way of voting rights. In assessing whether the group has power over investees it has an interest in, the group considers factors such as the purpose and design of the investee, the group's practical ability to direct the relevant activities of the investee, the nature of the group's relationship with the investee, and the size of the group's exposure to the variability of returns of the investee.

Sponsored entities

Where the group does not have an interest in an unconsolidated structured entity, the group will assess whether it sponsors the specific structured entity. The group will sponsor such an entity by assessing whether the group led the formation of the entity, whether the name of the group is associated with the name of the entity, or whether the group provides certain implicit guarantees to the entity in question.

Company

Investments in group companies are accounted for at cost less impairment losses in the separate financial statements. The carrying amounts of these investments are reviewed annually and impaired, when necessary, by applying the impairment methodology described in note F.

Acquisitions and disposals of stakes in group companies

Acquisitions of subsidiaries (entities acquired) and businesses (assets and liabilities acquired) are accounted for using the acquisition method. The cost of a business combination is measured as the aggregate of the fair values (at the acquisition date) of assets given, liabilities incurred or assumed, and equity instruments issued by the group in exchange for control of the acquiree. Acquisition-related costs are recognised in profit or loss during the period incurred.

Where the cost of acquisition includes any asset or liability resulting from a contingent consideration arrangement, that asset or liability is measured at the acquisition date fair value. Subsequent changes in such fair values are accounted for in profit or loss. Changes in the fair value of a contingent consideration that has been classified as equity are not recognised.

The acquiree's identifiable assets, liabilities and contingent liabilities that meet the conditions for recognition under IFRS 3: Business Combinations are recognised at their fair value at the date of acquisition, except for:

- deferred taxation assets or liabilities, which are recognised and measured in accordance with IAS 12: Income Taxes, and liabilities or assets related to employee benefit arrangements, which are recognised and measured in accordance with IAS 19: Employee Benefits;
- liabilities or equity instruments that relate to the replacement, by the group, of an acquiree's share-based payment awards, which are measured in accordance with IFRS 2: Share-based Payments; and
- assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5: Non-current Assets Held for Sale and discontinued operations, which are measured in accordance with that standard.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the group reports provisional amounts for the items for which the accounting is incomplete. Where provisional amounts were reported, these are adjusted during the measurement period (see below). Additional assets or liabilities are recognised to reflect any new information obtained about the facts and circumstances that existed at the date of acquisition, which, if known, would have affected the amounts recognised on that date.

The measurement period is the period from the date of acquisition to the date the group receives complete information about the facts and circumstances that existed at the acquisition date. This measurement period is subject to a maximum of 1 year after the acquisition date.

Where a business combination is achieved in stages, the group's previously held interests in the acquired entity are remeasured to fair value at the acquisition date on the date the group attains control, and the resulting gain or loss, if any, is recognised in profit or loss. Amounts arising from interests in the acquiree before the acquisition date, which previously have been recognised in OCI, are reclassified to profit or loss, where such treatment would be appropriate if that interest were disposed of.

ACCOUNTING POLICY

Non-controlling interests in the net assets of consolidated subsidiaries are identified separately from the group's equity therein. The interest of non-controlling shareholders is initially measured either at fair value or at the non-controlling interest's proportionate share of the acquiree's identifiable net assets. The choice of measurement basis is made on an acquisition-by-acquisition basis. Subsequent to the acquisition, non-controlling interests consist of the amount attributed to such interests at initial recognition and the non-controlling interest's share of changes in equity since the date of the combination.

The difference between the proceeds from the disposal of a subsidiary, the fair value of any retained investment and its carrying amount at the date of disposal, including the cumulative amount of any exchange differences recognised in the statement of changes in equity that relate to the subsidiary, is recognised as a gain or loss on the disposal of the subsidiary in the group profit or loss for the period.

All changes in the group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions (transactions with owners). Any difference between the amount by which the non-controlling interests are increased or decreased and the fair value of the consideration paid or received is recognised directly in equity and attributed to the group.

Investments in foreign operations

Nedbank Group Limited's presentation currency is South African rand. The assets and liabilities, including goodwill and fair-value adjustments, of group entities (including equity-accounted associates) that have functional currencies other than that of the company (South African rand) are translated at the closing exchange rate. Income and expenses are translated using the exchange rates at the dates of the transactions or for practical purposes the average exchange rate for the period where this approximates actual. The differences that arise on translation of these entities are recognised in OCI in the statement of comprehensive income. The cumulative exchange differences are recognised as a separate component of equity and are represented by the balance in the foreign currency translation reserve.

On disposal of a foreign operation the cumulative amount in the foreign currency translation reserve related to that operation is transferred to profit or loss for the period when the gain or loss on the disposal of the foreign operation is recognised.

The primary and major determinants for non-rand functional currencies are the economic factors that determine the sales price for goods and services as well as costs. Additional supplementary factors to be considered are funding, autonomy and cash flows.

Common-control transactions

Transactions in which combining entities are controlled by the same party or parties before and after the transaction, and where that control is not transitory, are referred to as common-control transactions. The group's accounting policy for the acquiring entity is to account for the transaction at book values as reflected in the consolidated financial statements of the selling entity.

The excess of the cost of the transaction over the acquirer's proportionate share of the net assets value acquired in common-control transactions will be allocated to the common-control reserve in equity.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS *continued*
FOR THE YEAR ENDED 31 DECEMBER

E3.1 ANALYSIS OF INVESTMENTS IN SUBSIDIARY COMPANIES

	Issued capital		Effective holding	
	2024 Rm	2023 Rm	2024 %	2023 %
Non-banking companies²				
Depfin Investments Proprietary Limited	1	1	100	100
Ned Investment Trust	1	1	100	100
BOE Private Equity Investments Limited	1	1	100	100

¹ Represents amounts less than R1m.

² These entities are free of any restrictions imposed on the distribution of funds, save for compliance with any local regulations.

Unless otherwise stated:

- all entities are domiciled in SA;
- the financial statements of the subsidiaries used in the preparation of consolidated financial statements are as of the same date or same period as those of the consolidated financial statements; and
- there are no significant restrictions (eg statutory, contractual and regulatory restrictions) on the group's ability to access or use the assets and settle the liabilities of the group.

E4 INTERESTS IN STRUCTURED CONSOLIDATED ENTITIES

E4.1 Consolidated structured entities

The group holds certain interests in consolidated structured entities to ring-fence certain risks and/or achieve specific objectives. Structured entities are entities that have been designed so that voting rights are not the predominant factor in deciding who controls the entity.

The group has identified the following consolidated structured entities:

- Securitisation vehicles (refer to note E5):
 - » Greenhouse 5 Funding (RF) Limited.

The following judgements have been applied in determining that the group has control over the structured entities below:

Securitisation

The group sponsors the formation of structured entities primarily for the purpose of securitising financial assets for funding diversification purposes and to add flexibility in mitigating structural liquidity risk. Where it is difficult to determine whether the group controls a structured entity, the group makes judgements in terms of IFRS Accounting Standards about whether it has power over the entity, exposure, or rights to variable returns from its involvement with the entity and the ability to use its power over the entity to affect the amount of its returns. In arriving at these judgements, the factors are considered both jointly and separately.

Currently, the only securitisation structure in place is the residential-mortgage-backed securitisation programme Greenhouse Funding 5 (RF) Limited. The group controls this vehicle and has consolidated it since its inception. The activities of this vehicle are predetermined and restricted in terms of the programme documentation established at its inception. The group does, however, exercise some discretion in its decision-making, which includes the selection and transfer of assets and the management of defaulted assets. Through the provision of administration services, the interest rate hedge and credit enhancement, Nedbank Limited has rights to the residual return of the vehicle.

The group has set up securitisation vehicles that acquire the rights, title, interest and related security of commercial and residential mortgage bonds from Nedbank Limited. The group has concluded that it controls these entities.

Refer to note F5 for more information on the securitisation activities of the group.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER

E5 SECURITISATIONS

The group securitises various consumer and commercial financial assets, generally resulting in the sale of these assets to structured entities, which in turn issue securities to investors. Interests in the securitised financial assets may be retained in the form of senior or subordinated tranches or other residual interests (retained interests).

Active securitisation transactions

Nedbank Limited uses securitisation primarily to diversify funds and to add flexibility in mitigating structural liquidity risk. Currently, the group has 1 active traditional securitisation transaction:

- Greenhouse Funding 5 (RF) Limited (Greenhouse 5), a residential-mortgage-backed securitisation programme.

Greenhouse Funding 5 (RF) Limited (Greenhouse 5)

Greenhouse 5 is a securitisation vehicle through which the rights, title, interest and related security in respect of residential home loans were acquired from Nedbank Limited under a segregated-series medium-term-note programme.

Greenhouse 5 is a residential-mortgage-backed securitisation programme implemented during 2019. Greenhouse 5 securitised R1,7bn worth of home loans originated by Nedbank Limited through the issuance of senior notes to the capital market and subordinated notes and a subordinated loan provided by Nedbank Limited. The notes issued by Greenhouse 5 are listed on the JSE and rated by Moody's. The home loans transferred to Greenhouse 5 continue to be recognised as financial assets held by Nedbank Limited.

Greenhouse 5 has been structured as a revolving structure, having the ability to issue new notes and purchase additional mortgage loans.

Greenhouse 5 makes use of an internal risk management policy and uses the Nedbank Group credit risk monitoring process to govern lending activities to external parties.

Nedbank Limited provided Greenhouse 5 with an interest-bearing subordinated loan at the commencement of the programme to provide part of the initial funding. Interest is payable quarterly as part of the priority of payments. The full capital amount outstanding plus any accrued interest will be payable in full on the final maturity date, provided that all outstanding notes have been redeemed in full and all secured creditors have been settled.

In the Greenhouse 5 structure, Nedbank Limited holds the class B and class C notes amounting to R150m. These notes are subordinated to the higher-ranking notes in terms of the priority of payments.

Greenhouse 5 redeemed the GH5A21 note on the scheduled maturity date of 25 November 2024, thereby reducing the the capital value of the notes in issue by R714m.

Rm	2024		2023	
	Carrying amount of assets	Associated liabilities	Carrying amount of assets	Associated liabilities
Loans and advances to clients:				
– Residential mortgage loans	492	521	1 204	1 241
Less: Impairments	(12)		(12)	
Total	480	521	1 192	1 241

E6 RELATED PARTIES

E6.1 Key management personnel compensation

Key management personnel are those persons who have authority and responsibility for planning, directing and controlling the activities of the group, directly or indirectly, including all directors of the company and its parent, as well as members of the executive committee who are not directors.

Compensation paid to the board of directors and to other key management personnel, as well as the number of share instruments held, are shown below. For further information on remuneration, refer to note M3: Directors remuneration.

	Directors	Key management personnel	Total
Compensation (Rm)			
2024			
Directors' fees	26		26
Remuneration – incurred by subsidiaries	222	336	558
Short-term employee benefits	74	141	215
Gain on exercise of share instruments	148	195	343
	248	336	584
2023			
Directors' fees	24		24
Remuneration – incurred by subsidiaries	84	163	247
Short-term employee benefits	67	136	203
Gain on exercise of share instruments	17	27	44
	108	163	271

	Directors	Key management personnel	Total
Number of share instruments			
2024			
Outstanding at the beginning of the year	939 268	1 445 232	2 384 500
Granted	506 473	438 524	944 997
Forfeited		(3 317)	(3 317)
Exercised	(496 133)	(654 559)	(1 150 692)
Transferred ¹	(323 440)		(323 440)
Outstanding at the end of the year	626 168	1 225 880	1 852 048
2023			
Outstanding at the beginning of the year	977 442	1 611 043	2 588 485
Granted	228 098	441 645	669 743
Exercised	(266 272)	(472 674)	(738 946)
Transferred ¹		(134 782)	(134 782)
Outstanding at the end of the year	939 268	1 445 232	2 384 500

¹ Represents the net movement in share instruments of members appointed to and resigning from Group Exco.

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FOR THE YEAR ENDED 31 DECEMBER

E6.2 Related-party transactions

Transactions between Nedbank Limited and its subsidiaries, which are related parties, have been eliminated on consolidation and are not disclosed in this note. Transactions between Nedbank Limited and its other related parties are disclosed below. All these transactions were entered into in the normal course of business.

	Due from/(Owing to)	
	2024	2023
Outstanding balances (Rm)		
Fellow subsidiaries of Nedbank Group Limited		
Bank balances owing to Nedbank Group Limited	(235)	(1 511)
Loans due from/(owing to) from Nedgroup Securities Proprietary Limited	13 733	22 163
Loans owing to Nedbank Group fellow subsidiaries	(3 817)	(2 796)
Bank balances (owing to)/due from Nedgroup Securities Proprietary Limited	(52)	(243)
Deposits owing to Syfrets Securities Limited	(5)	(5)
Bank balances owing to Nedbank Group fellow subsidiaries	(2 043)	(2 629)
Equity derivatives with Nedbank Group fellow subsidiaries	(2 190)	87
Forward exchange rate contracts with various Nedbank Group fellow subsidiaries	23	(23)
Interest rate contracts with various Nedbank Group fellow subsidiaries	(362)	969
Associate companies and joint ventures		
Loans due from associate companies and joint ventures ^{1,2}	8 843	8 523
Deposits owing to associate companies and joint ventures ³	(3 079)	(2 486)
Bank balances owing to associate companies and joint ventures	(82)	(123)
Key management personnel		
Mortgage bonds due from key management personnel ⁴	67	73
Deposits owing to key management personnel ⁴	(268)	(307)
Bank balances due from key management personnel ⁴	2	2
Bank balances owing to key management personnel ⁴	(81)	(121)
Key management personnel – directors	(34)	(114)
Key management personnel – other	(90)	(166)
Share-based payments reserve	(124)	(280)
Long-term employee benefit plans		
Bank balances owing to Nedgroup Pension Fund	(7)	(8)
Bank balances and deposits owing to other funds	(234)	(330)

¹ During 2024 the group identified that the prior-year 'Loans due from associate companies and joint ventures' line item was understated by R1,8bn. As a result, the prior-year information has been restated.

² R1 464bn (2023: R1 362bn) of loans due from associate companies and joint ventures outstanding balance is unsecured.

³ The balance includes derivatives.

⁴ The balance includes transactions with close family members and key management personnel business accounts.

Transactions (Rm)	Income/(Expense)	
	2024	2023 (Restated)
Fellow subsidiaries of Nedbank Group Limited		
Dividend declared to Nedbank Group Limited	1 500	4 100
Interest income from Nedbank Group fellow subsidiaries	704	652
Interest income from Nedgroup Securities Proprietary Limited	2 722	2 923
Interest expense to other Nedbank Group fellow subsidiaries	(1 436)	(1 401)
Interest expense to Nedgroup Securities Proprietary Limited	(1 369)	(913)
Management fee income from Nedbank Group fellow subsidiaries	829	673
Management fee expense to Nedbank Group fellow subsidiaries	(172)	(202)
Associate companies and joint ventures		
Income from associate companies and joint ventures ^{1,2}	859	814
Expense to associate companies and joint ventures ³	(332)	(206)
Key management personnel		
Interest income from key management personnel ⁴	4	6
Interest expense to key management personnel ⁴	(13)	(22)
Key management personnel – directors	(2)	57
Key management personnel – other	24	77
Share-based payments expense (included in staff costs)	22	134

¹ During 2024 the group identified that the prior-year 'Income from associate companies and joint ventures' line item was understated by R150m. As a result, the prior-year information has been restated.

² The balance includes interest income and non-interest revenue.

³ The balance includes interest paid and operating expense.

⁴ The balance includes transactions with close family members and key management personnel business accounts.

Key management personnel paid insurance premiums amounting to less than R1m (2023: R1m).

	Income/(Expense)	
	2024	2023
Long-term employee benefit plans		
Interest expense to other funds	(29)	(34)

SECTION F: GENERAL ASSETS

ACCOUNTING POLICY

Impairment (all assets other than financial assets and deferred taxation assets)

The group assesses all assets (other than financial assets and deferred taxation assets) for indications of impairment or the reversal of a previously recognised impairment at each reporting date. These impairments (where the carrying amount of an asset exceeds its recoverable amount), or the reversal of a previously recognised impairment, are recognised in profit or loss for the period. Intangible assets not yet available for use are tested, at least annually, for impairment.

The recoverable amount of an asset is the higher of its fair value, less cost to sell, and its VIU. The fair value, less cost to sell, is determined by ascertaining the current market value of an asset and deducting any costs related to the realisation of the asset.

In the assessment of VIU, the expected future pre-tax cash flows from the asset are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset the cash flows of which are largely dependent on those of other assets, the recoverable amount is determined for the cash-generating unit (CGU) to which the asset belongs.

A previously recognised impairment loss will be reversed if the recoverable amount increases as a result of a change in the estimates used previously to determine the recoverable amount, but not to an amount higher than the carrying amount that would have been determined, net of depreciation or amortisation, had no impairment loss been recognised in prior periods.

Borrowing costs

Borrowing costs directly attributable to the acquisition, construction and production of qualifying assets are capitalised as part of the costs of these assets. Qualifying assets are assets that necessarily take a substantial period of time to prepare for their intended use or sale. Capitalisation of borrowing costs continues up to the date on which the assets are complete.

All other borrowing costs are expensed in the period in which they are incurred.

Borrowing costs capitalised are disclosed in the notes by asset category and are calculated at the group's average funding cost, except to the extent that funds are borrowed specifically for the purpose of obtaining a qualifying asset. Where this occurs, actual borrowing costs incurred, less any investment income on the temporary investment of those borrowings, are capitalised.

ACCOUNTING POLICY

Items of property and equipment are initially recognised at cost if it is probable that any future economic benefits associated with the items will flow to the group and they have a cost that can be measured reliably.

Subsequent expenditure is capitalised to the carrying amount of items of property and equipment if it is measurable and it is probable that it increases the future economic benefits associated with the asset. All other expenses are recognised in profit or loss as an expense when incurred.

Subsequent to initial recognition, computer equipment, vehicles and furniture and other equipment are measured at cost less accumulated depreciation and accumulated impairment losses.

Land and buildings, the fair values of which can be reliably measured, are carried at revalued amounts, being the fair value at the date of revaluation less any subsequent accumulated depreciation and impairment losses. Revaluation increases are credited directly to other comprehensive income and presented in equity under the heading 'Revaluation reserve'. However, revaluation increases are recognised in profit or loss to the extent that they reverse a revaluation decrease of the same asset previously recognised in profit or loss. Revaluation decreases are recognised in profit or loss. However, decreases are debited directly to equity to the extent of any credit balance existing in the revaluation surplus in respect of the same asset.

Depreciation

Each part of an item of property and equipment with a cost that is significant in relation to the total cost of the item is depreciated separately. Items of property and equipment that are classified as held for sale in terms of IFRS 5: Non-current Assets Held for Sale and Discontinued Operations are not depreciated. The depreciable amounts of property and equipment are recognised in profit or loss on a straight-line basis over the estimated useful lives of the items of property and equipment, unless they are included in the carrying amount of another asset. The useful lives, residual values and depreciation methods for property and equipment are assessed and adjusted (where required) annually.

On revaluation, any accumulated depreciation at the date of the revaluation is eliminated against the gross carrying amount of the item concerned and the net amount restated to the revalued amount. Subsequent depreciation charges are adjusted based on the revalued amount and residual values.

Any difference between the depreciation charge on the revalued amount and that which would have been charged under historic cost is transferred, net of any related deferred taxation, between the revaluation reserve and retained earnings as the property is used. Land is not depreciated.

The initial estimated useful lives are as follows:

Computer equipment	3 to 10 years
Motor vehicles	5 years
Fixtures and furniture	3 to 10 years
Leasehold property	10 years
Significant leasehold property components	10 years
Freehold property	30 to 58 years
Significant freehold property components	5 to 15 years
Land	Indefinite

Change in accounting estimates (computer equipment)

During 2024, the estimated useful life of computer equipment was revised from 3 to 7 years to 3 to 10 years due to regular maintenance and technological advancements increasing the useful life.

Derecognition

Items of property and equipment are derecognised on disposal or when no future economic benefits are expected from their use or disposal. The gain or loss on derecognition is recognised in profit or loss and is determined as the difference between the net disposal proceeds, if any, and the carrying amount of the item. On derecognition any surplus in the revaluation reserve in respect of an individual item of property and equipment is transferred directly to retained earnings in the statement of changes in equity.

Compensation from third parties for items of property and equipment that were impaired, lost or given up is included in profit or loss when the compensation becomes receivable.

Leases

The company as lessee

The group is party to lease contracts for the following:

- ATMs
- Branches
- Campus sites
- Office space

ACCOUNTING POLICY

- Computer and office equipment

Contract assessment and allocation of consideration

At the inception of a new contract the group assesses whether the contract is, or contains, a lease. In assessing whether a contract conveys the right to control the use of an identified asset, the group considers whether:

- the contract involves the use of an asset explicitly or implicitly identified in the contract (This asset must be physically distinct or represent substantially all the capacity of the asset. If the supplier has a substantive substitution right, then the asset is not identified.);
- the company has the right to obtain substantially all the economic benefits from the use of the asset throughout the period of use; and
- the company has the right to direct the use of the asset, i.e. to direct how and for what purpose the asset is used.

At inception or on reassessment of a modified contract that contains a lease component, the group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices and the aggregate stand-alone price of the non-lease components. Non-lease components are recognised as an expense in profit or loss in the period in which they arise.

Lease term

The group determines the lease term as the non-cancellable period of a lease, together with both:

- periods covered by an option to extend the lease if the group is reasonably certain to exercise that option; and
- periods covered by an option to terminate the lease if the group is reasonably certain not to exercise that option.

In assessing whether the group is reasonably certain to exercise an option to extend a lease, or not to exercise an option to terminate a lease, the group considers all relevant facts and circumstances that create an economic incentive for the group to exercise the option to extend the lease, or not to exercise the option to terminate the lease. Lease terms are on average 3 years for ATMs, 5 years for branches, 13 years for office blocks, 10 years for campus sites and 5 years for office and computer equipment.

Right-of-use asset (initial and subsequent measurement)

The right-of-use asset is initially measured at cost, which comprises:

- the initial amount of the lease liability, adjusted for any lease payments made at or before the start date;
- less any lease incentives received;
- plus any initial direct costs incurred; and
- an estimate of costs to dismantle and remove the underlying asset or to restore the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently measured at cost less any accumulated depreciation and impairment losses, adjusted for certain remeasurements of the lease liability. Impairment losses are determined in accordance with IAS 36: Impairment of Assets.

If the lease transfers ownership of the underlying asset to the group by the end of the lease term, or if the cost of the right-of-use asset reflects that it is reasonably certain that the group will exercise a purchase option, the group depreciates the right-of-use asset over the useful life. Otherwise, the group depreciates the right-of-use asset over the shorter of the useful life and the lease term. The group's principles governing estimating useful lives of the right-of-use assets are determined using the same principles as those ascribed for property and equipment.

Onerous leases (impairment assessment)

Onerous leases are dealt with in IAS 36: Impairment of Assets, except for short-term leases, low-value leases and leases that became onerous before the commencement date of the lease, which are dealt with in IAS 37: Provisions, Contingent Liabilities and Contingent Assets.

The company assesses for impairment indicators in the right-of-use asset considering a combination of the following factors:

- Whether a significant decline in expected economic benefits from the full operational effects of the lease contract has occurred.
- Whether the leased asset is underutilised, renounced, relinquished or abandoned.
- An array of factors to make a conclusion as to whether the lease is onerous.
- The prevailing merits, facts and circumstances of each case.

Impairment losses reduce the right-of-use asset and are recognised in profit or loss. In most cases, an onerous lease does not discharge or extinguish the existing lease liability at the time of occurrence of the impairment event. Any additional penalties to cancel the lease are present-valued and included as part of the lease liability in accordance with IFRS 16.

Disclosure for lease liabilities are done in note J1.

The company as lessor

The group determines at lease inception whether each lease is a finance lease or an operating lease. To classify each lease, the group assesses whether the lease transfers substantially all the risks and rewards incidental to ownership of the underlying assets. In this case the lease is classified as a finance lease; otherwise, it is classified as an operating lease. If the arrangement contains lease and non-lease components, the group allocates the consideration in the contract to each component on the basis of their relative stand-alone prices.

Operating leases

Assets leased out under operating leases are included under property and equipment in the statement of financial position. Initial direct costs incurred in negotiating and arranging the lease are added to the carrying amount of the leased asset and recognised as an expense over the lease term on the same basis as the rental income. Leased assets are depreciated over their expected useful lives on a basis consistent with similar assets. Rental income, net of any incentives given to lessees, is recognised on a straight-line basis over the term of the lease. When another systematic basis is more representative of the time pattern of the user's benefit, that method is used.

F1.1 PROPERTY AND EQUIPMENT

	2024 Rm	2023 Rm
Property and equipment (owned) (note F1.2)	7 578	7 608
Right-of-use assets (leased) (note F1.3)	1 818	1 745
Property and equipment	9 396	9 353

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

F1.2 PROPERTY AND EQUIPMENT (OWNED)

	Land		Buildings	
	2024 Rm	2023 Rm	2024 Rm	2023 Rm
Gross carrying amount				
Balance at 1 January	732	780	4 959	5 303
Acquisitions			476	691
Increases/(Decreases) arising from revaluations ¹			(105)	(65)
Transfers to non-current assets held for sale		(48)		(364)
Disposals			(367)	(602)
Transfers between assets			(262)	
Effect of movements in foreign exchange rates and other movements			1	(4)
Balance at 31 December	732	732	4 702	4 959
Accumulated depreciation and impairment losses				
Balance at 1 January			906	1 223
Depreciation charge for the year			368	375
Write-off of accumulated depreciation on revaluations			(67)	(17)
Transfers to non-current assets held for sale			(236)	(94)
Disposals			(347)	(578)
Effect of movements in foreign exchange rates and other movements			(3)	(3)
Balance at 31 December	–	–	621	906
Carrying amount				
At 1 January	732	780	4 053	4 080
At 31 December	732	732	4 081	4 053

¹ Gains on property revaluations are recognised in profit or loss to the extent that they reverse a revaluation decrease of the same asset previously recognised in profit or loss. During the year, a revaluation surplus of R15m (2023: (R51m)) pre-tax was recognised in other comprehensive income. Refer to note B7.2.3: Income tax recognised in other comprehensive income.

Equipment (principally computer equipment, motor vehicles, fixtures and furniture) is stated at cost less accumulated depreciation and impairment losses. Land and buildings are recognised at the revalued amount, which is based on independent external valuations done at 31 December annually in accordance with the group's accounting policy.

The valuers are members or associates of the Institute of Valuers (SA) or a local equivalent in the case of foreign subsidiaries. An annual internal review is also done on those properties not subject to independent external valuation. The carrying amount of properties is the fair value as determined by the valuers less subsequent accumulated depreciation and impairment losses. Adjustments in the valuation of the properties are recorded in the revaluation reserve, which is amortised over the remaining useful life of the property. In determining the fair value of properties, the following factors are considered:

- Property location
- Improvements to the building
- Rentals
- Vacancies
- Property expenses
- Capitalisation rate

Computer equipment		Furniture and other equipment		Vehicles		Total	
2024 Rm	2023 Rm	2024 Rm	2023 Rm	2024 Rm	2023 Rm	2024 Rm	2023 Rm
3 298	3 700	1 745	1 877	27	23	10 761	11 683
533	572	333	355	9	4	1 351	1 622
						(105)	(65)
						–	(412)
(890)	(979)	(348)	(485)	(1)	(11)	(1 606)	(2 077)
(227)	2	490	(13)	(1)	11	–	–
	3	2	11			3	10
2 714	3 298	2 222	1 745	34	27	10 404	10 761
1 381	1 617	849	1 007	17	15	3 153	3 862
625	704	289	299	4	2	1 286	1 380
2		2				(63)	(17)
						(236)	(94)
(861)	(946)	(336)	(453)	(1)	(11)	(1 545)	(1 988)
(97)	6	331	(4)		11	231	10
1 050	1 381	1 135	849	20	17	2 826	3 153
1 917	2 083	896	870	10	8	7 608	7 821
1 664	1 917	1 087	896	14	10	7 578	7 608

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

F1.2 PROPERTY AND EQUIPMENT (OWNED)

Type of property	Valuation method	Significant inputs	Parameters	Land		Buildings	
				2024 Rm	2023 Rm	2024 Rm	2023 Rm
Commercial property	Market-comparable approach and discounted cash flow	Income capitalisation rates	10,00% – 12,00% (2023: 9,00% – 10,40%)	732	732	4 081	4 053
Total land and buildings				732	732	4 081	4 053

In accordance with IFRS 13 the measurement of the group's properties is considered to be recurring. Recurring fair-value measurements are those that IFRS Accounting Standards require or permit to be recognised in the statement of financial position at the end of each reporting period. Furthermore, the group classifies its properties measured at fair value into level 3 of the fair-value hierarchy. Level 3 fair-value measurements are those that include the use of significant unobservable inputs.

In respect of certain properties there are restrictions of title in terms of regulatory restrictions such as servitudes. This does not have a material effect on the ability of the group to transfer these properties. No material plant and equipment have been pledged as security for liabilities.

If land and buildings were carried under the cost model and not the revaluation model, the carrying amount would have been R2 367m (2023: R2 651m).

F1.3 RIGHT-OF-USE ASSETS (LEASED)

Right-of-use assets reconciliation

	2024 Rm	2023 Rm
Balance at the beginning of the year	1 745	1 646
Depreciation charge for the year	(717)	(725)
Additions	464	263
Lease modifications	338	552
(Impairment losses)/Reversal of impairment losses ¹	(12)	(1)
Effect of movements in foreign exchange rates and other movements		10
Balance at the end of the year	1 818	1 745

¹ The impairment indicator is due to the group's plans to implement new ways of work, which results in leased office space becoming redundant. When an impairment indicator is present, the right-of-use asset is tested for impairment by comparing its recoverable amount with its carrying amount. Where the recoverable amount of the right-of-use asset is lower than its carrying value, the right of use is impaired.

Depreciation charge by class of right-of-use assets

	2024 Rm	2023 Rm
Property (ATMs, branches, offices and campus sites)	(601)	(626)
Office equipment	(116)	(99)
	(717)	(725)

Closing balances by class of right-of-use assets

	2024 Rm	2023 Rm
Property (ATMs, branches, offices and campus sites)	1 474	1 642
Office equipment	344	103
	1 818	1 745

ACCOUNTING POLICY

Goodwill

Goodwill arises on the acquisition of subsidiaries and is recognised as an asset on the date that control is acquired, being the acquisition date. Goodwill represents the excess of the sum of the consideration transferred, the amount of any non-controlling interest in the acquiree and the fair value of the acquirer's previously held equity interest (if any) in the entity over the net fair value of the identifiable net assets recognised. If, after reassessment, the group's interest in the net fair value of the acquiree's identifiable net assets exceeds the sum of the consideration transferred plus the amount of any non-controlling interest in the acquiree and the fair value of the acquirer's previously held equity interest (if any), this excess is recognised immediately in profit or loss as a bargain purchase gain.

Goodwill is not amortised but is tested for impairment at least once a year. Any impairment loss is recognised immediately in profit or loss and is not subsequently reversed.

On disposal of a subsidiary the goodwill attributable to the subsidiary is included in the determination of the profit or loss on disposal.

Goodwill impairment

Goodwill is allocated to 1 or more cash-generating units (CGUs), being the smallest identifiable group of assets that generate cash inflows that are largely independent of the cash inflows from other assets or groups of assets. Goodwill is allocated to the CGUs in which the synergies from the business combinations are expected. Each CGU containing goodwill is tested annually for impairment. An impairment loss is recognised whenever the carrying amount of an asset or its CGU exceeds its recoverable amount. Impairment losses that are recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to a CGU and then to reduce the carrying amount of the other assets in the CGU on a pro rata basis. However, the carrying amount of these other assets may not be reduced below the highest of their fair value, less costs to sell, and their VIU and zero.

Impairment testing procedures

The recoverable amount of a CGU is the higher of its fair value, less cost to sell, and its VIU. The fair value less cost to sell is determined by ascertaining the current market value of an asset (or the CGU) and deducting any costs related to the realisation of the asset.

In the assessment of VIU the expected future cash flows from the CGU are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the particular CGU.

Impairment losses relating to goodwill are not reversed and all impairment losses are recognised in the impairments charge on non-financial instruments and other gains and losses items for the period.

Computer software and development costs (not yet commissioned)

Expenditure on research activities, undertaken with the prospect of gaining new scientific or technical knowledge and understanding, and expenditure on internally generated goodwill and brands are recognised as an expense in profit or loss for the period.

If costs can be measured reliably and future economic benefits are available, expenditure on computer software and other development activities, where set procedures and processes are applied to a project for the production of new or substantially improved products and processes, is capitalised if the computer software and other developed products or processes are technically and commercially feasible and the group has intention and sufficient resources to complete development. The expenditure capitalised includes the cost of materials and directly attributable staff and other direct costs. Computer development expenditure is amortised only once the relevant software has become available for use in the manner intended by management. Capitalised software is stated at cost less accumulated amortisation and impairment losses.

Amortisation of computer software and development costs is charged to profit or loss on a straight-line basis over the estimated useful lives of these assets, which do not exceed 10 years and are reviewed annually. Subsequent expenditure relating to computer software is capitalised only when it increases the future economic benefits embodied in the specific asset, in its current condition, to which it relates. All other subsequent expenditure is recognised as an expense in the period in which it is incurred. The profit or loss on the disposal of computer software is recognised in the impairments charge on non-financial instruments and other gains and losses (in profit and loss). The profit or loss on disposal is the difference between the net proceeds received and the carrying amount of the asset.

The amortisation methods and residual values of these intangible assets are reviewed annually.

Contractual client relationships

Contractual client relationships, including the present value of active business in insurance operations, acquired in a business combination, are recognised at fair value at the date of acquisition. The contractual client relationships have indefinite useful lives and are carried at cost. The useful lives and residual values of these client relationships are reviewed annually.

KEY ASSUMPTIONS CONCERNING THE FUTURE AND KEY SOURCES OF ESTIMATION

Goodwill impairment

Management considers at least annually whether the current carrying value of goodwill is to be impaired. The first step of the impairment review process requires the identification of independent CGUs by segmenting the group business into as many largely independent income streams as is reasonably practicable. The goodwill is then allocated to these independent units. The first element of this allocation is based on the areas of the business expected to benefit from the synergies derived from the acquisition. The second element reflects the allocation of the net assets acquired and the difference between the consideration paid for those net assets and their fair value. This allocation is reviewed following business reorganisation. The carrying value of the unit, including the allocated goodwill, is compared with its fair value or VIU to determine whether any impairment exists. If the recoverable amount of a unit is less than its carrying value, goodwill will be impaired.

Detailed calculations may need to be carried out, taking into consideration changes in the market in which a business operates (e.g. competitive activity and regulatory change). In the absence of readily available market price data this calculation is based on discounting expected cash flows at a risk-adjusted interest rate appropriate to the operating unit. The determination of both of these requires the exercise of judgement. The estimation of cash flows is sensitive to the periods for which detailed forecasts are available and to assumptions regarding the long-term sustainable cash flows. While forecasts are compared with actual performance and external economic data, expected cash flows naturally reflect management's view of future performance.

Intangible assets other than goodwill

An internally generated intangible asset, specifically internally developed software generated during the development phase, is recognised as an asset if certain conditions are met. These conditions include technical feasibility, intention to complete the development, ability to use the asset under development, and demonstration of how the asset will generate probable future economic benefits.

The cost of a recognised internally generated intangible asset comprises all costs directly attributable to making the asset capable of being used as intended by management. Conversely, all expenditure arising during the research phase is expensed as incurred.

The decision to recognise internally generated intangible assets requires significant judgement, particularly in the following areas:

- Evaluation of whether activities should be considered research activities or development activities.
- Assumptions about future market conditions, client demand and other developments.
- Assessment of whether completing an asset is technically feasible. The term 'technical feasibility' is not defined in the IFRS Accounting Standards, and therefore requires a group-specific and necessarily judgemental approach.
- Evaluation of the future ability to use or sell the intangible asset arising from the development and the assessment of probability of future benefits from sale or use.
- Evaluation of whether a cost is directly or indirectly attributable to an intangible asset and whether a cost is necessary for completing a development.

All intangible assets of the group have finite useful lives. Consequently, the depreciable amount of the intangible assets is allocated on a systematic basis over their useful lives. Judgement is applied to the following:

- Determining the useful life of an intangible asset, based on estimates regarding the period over which the intangible asset is expected to produce economic benefits to the group.
- Determining the appropriate amortisation method. IFRS Accounting Standards require that the straight-line method be used, unless management can determine reliably the pattern in which the future economic benefits of the asset are expected to be consumed by the group.

Both the amortisation period and the amortisation method have an impact on the amortisation expenses recorded in each period.

In making impairment assessments for the group's intangible assets, management uses certain complex assumptions and estimates about future cash flows that require significant judgement and assumptions about future developments. These assumptions are affected by various factors, including changes in the group's business strategy, internal forecasts and estimation of the group's weighted-average cost of capital. Due to these factors, actual cash flows and values could vary significantly from the forecast future cash flows and related values derived using the discounted-cash-flow method.

F2.1 MOVEMENT IN CARRYING AMOUNT

Rm	Goodwill	Software	Develop- ment costs (not yet com- missioned)	Total
2024				
Cost				
Balance at the beginning of the year	1 617	14 104	1 644	17 365
Acquisitions		706	1 710	2 416
Development costs commissioned to software		958	(958)	–
Disposals and retirements		(133)		(133)
Balance at the end of the year	1 617	15 635	2 396	19 648
Accumulated amortisation and impairment losses				
Balance at the beginning of the year	224	7 639	292	8 155
Amortisation charge		1 839		1 839
Impairment losses ¹		47	53	100
Disposals and retirements		(133)	1	(132)
Balance at the end of the year	224	9 392	346	9 962
Carrying amount				
At the beginning of the year	1 393	6 465	1 352	9 210
At the end of the year	1 393	6 243	2 050	9 686

Rm	Goodwill	Software	Develop- ment costs (not yet com- missioned)	Total
2023				
Cost				
Balance at the beginning of the year	1 617	13 319	1 625	16 561
Acquisitions		291	1 207	1 498
Development costs commissioned to software		1 188	(1 188)	–
Disposals and retirements		(694)		(694)
Balance at the end of the year	1 617	14 104	1 644	17 365
Accumulated amortisation and impairment losses				
Balance at the beginning of the year	224	6 461	282	6 967
Amortisation charge		1 793		1 793
Impairment losses ¹		79	6	85
Disposals and retirements		(694)	4	(690)
Balance at the end of the year	224	7 639	292	8 155
Carrying amount				
At the beginning of the year	1 393	6 858	1 343	9 594
At the end of the year	1 393	6 465	1 352	9 210

¹ Impaired intangible assets consist of projects mainly within the Nedbank Retail and Business Banking Cluster. The main indicators of the impairment of a project are the decommissioning of the project and/or the project not reaching full functionality. When one of these indicators is present, the project is tested for impairment by comparing its recoverable amount with its carrying amount. Where the recoverable amount of a project is lower than its carrying value, the project is impaired.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER

F2.2 ANNUAL IMPAIRMENT TEST – VIU ASSUMPTIONS

The VIU of the various CGUs was based on the following assumptions:

	2024 Rm	2023 Rm
Risk-free rate (%) ¹	10,00	10,00
Beta ¹	1,00	1,00
Equity risk premium (%) ¹	4,80	4,80
Terminal growth rate (%) ²	4,5	4,5
Cash flow projection (years)	3	3
Discount rate range (pre-tax) (%) ³	21,64–23,70	21,64–23,70
Discount rate range (post-tax) (%) ³	15,80–17,30	15,80–17,30

¹ Management determined these key assumptions using information provided by the Nedbank Group Economic Unit, Balance Sheet Management Division and reputable external sources.

² Based on management estimates of sustainable growth rates.

³ Discount rates are based on the weighted-average cost of capitals of the respective CGUs.

F2.3 ANALYSIS OF GOODWILL BY CGU

	2024 Rm	2023 Rm
Goodwill on a geographical basis relates to SA in total and is as follows:		
Property Finance	691	691
Nedbank Retail	702	702
Carrying amount	1 393	1 393

During the year, the group reviewed its presentation for the analysis of goodwill by CGU. As a result of the review, the analysis of goodwill by CGU has been disaggregated to include 2 CGUs in 2024 and 2023, where previously these were presented at an aggregated segment level.

SECTION G: OTHER ASSETS

G1 LONG-TERM EMPLOYEE BENEFITS

ACCOUNTING POLICY

The group operates a number of postemployment defined-benefit and defined-contribution plans for eligible employees. The assets of these plans are generally held in separate trustee-administered funds. These benefits are accounted for in accordance with IAS 19: Employee Benefits.

Defined-benefit plans

The liability recognised in the statement of financial position in respect of defined-benefit pension plans is the present value of the defined-benefit obligation at the reporting date less the fair value of plan assets.

The defined-benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined-benefit obligation is determined by discounting the estimated future cash outflows using yields for government bonds that have maturity dates approximating the terms of the group's obligations.

Gains or losses resulting from remeasurements are recognised immediately in OCI. Remeasurements include actuarial gains and losses, return on plan assets, excluding amounts included in net interest, and the asset ceiling, excluding amounts included in net interest.

Current service costs and net interest on the defined-benefit liability are recognised immediately as an expense in profit or loss. Past service costs are recognised in profit or loss on the earlier of the date of the plan amendment or curtailment, and the date the group recognises related restructuring costs.

Plan assets are offset against plan liabilities only if they are assets held by long-term employee benefit funds or qualifying insurance policies. Qualifying insurance policies exclude any policies held by the related parties.

Defined-contribution plans

Contributions to defined-contribution plans are recognised as an expense in profit or loss in the periods during which services are rendered by employees.

Postemployment benefit plans

The group provides postretirement medical benefits and disability cover for eligible employees. The non-pension postemployment benefits are accounted for, in accordance with their nature, as either a defined-contribution plan or a defined-benefit plan. Similarly, the expected costs associated with such benefits are accounted for in a manner consistent with their classification.

Short-term employee benefits

Short-term employee benefits include salaries, accumulated leave payments, bonuses and non-monetary benefits such as medical aid contributions.

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognised for the amount to be paid under short-term cash bonus plans or accumulated leave if the group has a present, legal or constructive obligation to pay this amount as a result of past services provided by the employee and the obligation can be estimated reliably.

KEY ASSUMPTIONS CONCERNING THE FUTURE AND KEY SOURCES OF ESTIMATION

The group provides pension plans for employees. Arrangements for employee retirement benefits vary from country to country and are made in accordance with local regulations and custom.

For defined-benefit schemes, including postretirement medical aid schemes, actuarial valuation of each of the scheme's obligations using the projected-unit credit method and the fair valuation of each of the scheme's assets is performed annually in accordance with the requirements of IAS 19: Employee Benefits.

The actuarial valuation is dependent on a series of assumptions (note G1.1.2), the key ones being interest rates, mortality, investment returns and inflation. Mortality estimates are based on standard industry and national mortality tables, adjusted, where appropriate, to reflect the group's own experience. The returns on fixed-interest investments are set to market yields at the valuation date (less an allowance for risk) to ensure consistency with the asset valuation. The returns on equities are based on the long-term outlook for global equities at the calculation date, having regard to current market yields and dividend growth expectations. Apart from the risk exposures mentioned above, there are no additional or unique risks to the entity. Refer to section L for information on how the general risks related to the items mentioned are managed.

The inflation assumption reflects long-term expectations of both earnings and retail price inflation.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS *continued*

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POSTEMPLOYMENT AND OTHER LONG-TERM EMPLOYEE BENEFITS

The group has a number of defined-benefit and defined-contribution plans in terms of which it provides pension, postretirement medical aid and long-term disability benefits to employees and their dependants on retirement, death or disablement. All eligible employees and former employees are members of trustee-administered or underwritten schemes within the group, financed by company and employee contributions. All South African retirement plans are governed by the Pension Funds Act, 24 of 1956. The defined-benefit funds are actuarially valued using the projected-unit credit method. Any deficits are funded to ensure the ongoing financial soundness of the funds.

The benefits provided by the defined-benefit schemes are based on years of membership and/or salary levels. These benefits are provided from contributions by employees, the group, and income from the assets of these schemes. The expense or income recorded in profit or loss includes the current service cost, interest income on plan assets as well as interest expense on the defined benefit obligation. It is the Group's policy to ensure that the benefits are adequately funded to provide for the benefits due to members, and particularly to ensure that any shortfall with regard to the defined benefit portion will be met by way of additional contributions.

The abovementioned strategy is known as a liability-driven investment (LDI) strategy. The portion of the assets in the trustee portfolio not invested in the liability matching strategy or reserve accounts are invested in growth assets to create some possible upside for funding increases above the policy increase. The assets in the liability matching strategy will mainly be invested in South African nominal and inflation-linked government bonds and global equities and properties. This strategy aims to fully match the reasonable benefit expectations of the pensioners to receive annual pension increases in line with the inflation target chosen by the fund through its board of trustees.

The group has 2 types of defined-benefit schemes, where the surplus is recognised and where an asset ceiling has been applied. For the schemes where the surplus is recognised, it has determined that the maximum economic benefit available from the defined-benefit plan is in the form of a combination of refunds and reductions in future contributions. This determination is based on the plan's terms and funding policy, which allow for both the refund of surplus assets on the winding up of the plan and the use of surplus assets to offset future service costs. The entity has assessed the plan's rules, funding arrangements, and local regulations and concluded that it has the right to receive a refund of any surplus and to reduce its future contributions.

For the schemes where an asset ceiling has been applied, the group has reviewed the plan's rules and local regulations, which do not allow for refunds of surplus assets or reductions in future contributions. The group has concluded that it cannot derive any economic benefit from these surplus assets, in respect of which it has no unrestricted rights. Where the group has determined that no economic benefit is available from the defined-benefit plan, a ceiling has been applied.

The benefits provided by the defined-contribution schemes are determined by the accumulated contributions and investment earnings.

At the dates of the latest valuations, the defined-benefit plans were in a sound financial position in terms of section 16 of the Pension Funds Act. The funds that constitute the assets and liabilities that the group has recognised in the statement of financial position in respect of its defined-benefit plans are listed below. The latest actuarial valuations were performed at 31 December 2024.

POSTEMPLOYMENT BENEFITS

Defined-benefit pension funds

Nedgroup Pension Fund (including the Optiplus policy).
Nedbank UK Pension Fund.

Defined-benefit medical aid schemes

Nedgroup Medical Aid Scheme for Nedbank employees and pensioners.
Nedgroup Medical Aid Scheme for past BoE employees and pensioners.

OTHER LONG-TERM EMPLOYEE BENEFITS

Nedbank Group Disability Fund (including the OMART policy).
Nedbank Financial Planning (NFP) Earn-Out Scheme.

G1.1 ANALYSIS OF LONG-TERM EMPLOYEE BENEFIT ASSETS

Rm	Assets	Liabilities	Net asset
2024			
Postemployment benefits (note G1.1.1)	5 284		5 284
Other long-term employee benefits		(38)	(38)
	5 284	(38)	5 246
Rm	Assets	Liabilities	Net asset
2023			
Postemployment benefits (note G1.1.1)	4 690		4 690
Other long-term employee benefits		(38)	(38)
	4 690	(38)	4 652

G1.1.1 Net asset/(liability) recognised

Rm	Pension and provident funds	Medical aid funds	Contribution asset	Total
2024				
Present value of defined-benefit obligation	(2 997)	(905)		(3 902)
Fair value of plan assets	6 952	1 251	1 132	9 335
Funded status	3 955	346	1 132	5 433
Unrecognised due to paragraph 65 limit	(149)			(149)
	3 806	346	1 132	5 284

Rm	Pension and provident funds	Medical aid funds	Contribution asset	Total
2023				
Present value of defined-benefit obligation	(3 074)	(895)		(3 969)
Fair value of plan assets	6 605	1 166	1 036	8 807
Funded status	3 531	271	1 036	4 838
Unrecognised due to paragraph 65 limit	(148)			(148)
	3 383	271	1 036	4 690

G1.1.2 Postemployment benefits

Rm	Present value of obligation ¹	Fair value of plan asset	Surplus	Unrecognised due to paragraph 65 limit	Net asset
Analysis of long-term employee benefit assets and 2024					
Pension funds	2 997	6 952	3 955	(149)	3 806
Nedgroup Fund	2 675	6 481	3 806		3 806
Nedbank UK Fund	322	471	149	(149)	
Medical aid funds	905	1 251	346		346
Nedgroup scheme for Nedbank employees	849	1 175	326		326
Nedgroup scheme for BoE employees	56	76	20		20
Contribution asset		1 132	1 132		1 132
Total	3 902	9 335	5 433	(149)	5 284
2023					
Pension funds	3 074	6 605	3 531	(148)	3 383
Nedgroup Fund	2 719	6 102	3 383		3 383
Nedbank UK Fund	355	503	148	(148)	
Medical aid funds	895	1 166	271		271
Nedgroup scheme for Nedbank employees	841	1 094	253		253
Nedgroup scheme for BoE employees	54	72	18		18
Contribution asset		1 036	1 036		1 036
Total	3 969	8 807	4 838	(148)	4 690

¹ The weighted-average duration of the obligation for pension funds for Nedgroup was 10 years (2023: 11 years).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

Rm	Pension and provident funds	Medical aid funds	Total
Present value of defined-benefit obligation			
2024			
Balance at the beginning of the year	3 074	895	3 969
Past service cost	6		6
Interest cost	293	99	392
Contributions by plan participants	3		3
Actuarial (gains)/losses	1	7	8
Benefits paid	(385)	(96)	(481)
Impact of foreign currency exchange rate changes	5		5
Balance at the end of the year	2 997	905	3 902

Rm	Pension and provident funds	Medical aid funds	Total
2023			
Balance at the beginning of the year	3 137	900	4 037
Current service cost	7		7
Interest cost	309	98	407
Contributions by plan participants	3		3
Actuarial gains	(36)	(15)	(51)
Benefits paid	(386)	(88)	(474)
Impact of foreign currency exchange rate changes	40		40
Balance at the end of the year	3 074	895	3 969

G1.1.2 Postemployment benefits

Rm	Pension and provident funds	Medical aid funds	Contribution asset	Total
Fair value of plan assets				
2024				
Balance at the beginning of the year	6 605	1 166	1 036	8 807
Expected return on plan assets	667	131	96	894
Actuarial gains/(losses)	63	50		113
Contributions by the employer	6			6
Contributions by plan participants	3			3
Benefits paid	(385)	(96)		(481)
Scheme-settled administration costs	(8)			(8)
Impact of foreign currency exchange rate changes	1			1
Balance at the end of the year	6 952	1 251	1 132	9 335
2023				
Balance at the beginning of the year	6 045	1 139	940	8 124
Expected return on plan assets	626	126	96	848
Actuarial losses	232	(11)		221
Contributions by the employer	7			7
Contributions by plan participants	3			3
Benefits paid	(386)	(88)		(474)
Scheme-settled administration costs	(5)			(5)
Impact of foreign currency exchange rate changes	83			83
Balance at the end of the year	6 605	1 166	1 036	8 807

Rm	Pension and provident funds	Medical aid funds	Contribution asset	Total
Net (income)/expense recognised				
2024				
Current service cost	–			–
Interest (received)/cost	(367)	(32)	(96)	(495)
Scheme-settled plan administration costs	8			8
Past service cost – vested benefit	6			6
	(353)	(32)	(96)	(481)
2023				
Current service cost	7			7
Interest (received)/cost	(309)	(28)	(96)	(433)
Scheme-settled plan administration costs	5			5
	(297)	(28)	(96)	(421)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

Rm	Pension and provident funds	Medical aid funds	Contribution asset	Total
Movements in net asset/(liability) recognised				
2024				
Balance at the beginning of the year	3 383	271	1 036	4 690
Net income recognised in the statement of comprehensive income	353	32	96	481
Net remeasurements – debit for the year	67	43		110
Contributions paid by the employer	6			6
Impact of foreign currency exchange rate changes	(1)			(1)
Asset ceiling	(2)			(2)
Balance at the end of the year	3 806	346	1 132	5 284

Rm	Pension and provident funds	Medical aid funds	Contribution asset	Total
2023				
Balance at the beginning of the year	2 803	239	940	3 982
Net income recognised in the statement of comprehensive income	297	28	96	421
Net remeasurements – credit for the year	310	4		314
Contributions paid by the employer	7			7
Impact of foreign currency exchange rate changes	9			9
Asset ceiling	(43)			(43)
Balance at the end of the year	3 383	271	1 036	4 690

	Pension and provident funds	Medical aid funds
Distribution of plan assets (%)		
2024		
Equity instruments	16,96	25,00
Debt instruments	24,44	41,00
Property		4,00
Cash	0,43	
International	31,60	30,00
Other	26,57	
	100,00	100,00
2023		
Equity instruments	19,18	25,00
Debt instruments	20,41	42,00
Property		4,00
Cash	1,09	
International	32,52	29,00
Other	26,80	
	100,00	100,00
Actual return on plan assets		
2024		
	730	181
2023		
	69	50

	Pension and provident funds	Medical aid funds
Principal actuarial assumptions (%)		
2024		
Discount rates	5,35–9,90	10,5
Expected rates of return on plan assets	5,35–9,90	10,5
Inflation rate	2,60–4,30	4,8
Expected rates of salary increases	5,30–5,30	4,8
Pension increase allowance	2,60–4,30	
Annual increase to medical aid subsidy		6,8
Average expected retirement age (years)	60–65	
2023		
Discount rates	4,50–10,90	11,70
Expected rates of return on plan assets	4,50–10,90	11,70
Inflation rate	2,50–5,60	6,10
Expected rates of salary increases	6,30–6,30	6,10
Pension increase allowance	2,50–5,60	
Annual increase to medical aid subsidy		8,10
Average expected retirement age (years)	60–65	

Sensitivity analysis

Defined-benefit obligation

The defined-benefit obligation has been recalculated to show the effect of the discount rate and inflation rate assumptions on the defined-benefit obligation by adding and subtracting 1% to each assumption. This sensitivity analysis is for the Nedgroup Pension Fund.

2024

Rm	Main result	Discount rate plus 1%	Discount rate minus 1%	Inflation rate plus 1%	Inflation rate minus 1%
Defined-benefit obligation	2 997	2 518	2 779	2 775	2 497
Change(%)		(16,0)	(7,3)	(7,4)	(16,7)

2023

Rm	Main result	Discount rate plus 1%	Discount rate minus 1%	Inflation rate plus 1%	Inflation rate minus 1%
Defined-benefit obligation	3 074	2 542	2 902	2 864	2 600
Change(%)		(17,3)	(5,6)	(6,8)	(15,4)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER

Medical aid accrued liability

The sensitivity analysis provided below shows the impact of changes to these assumptions on the accrued liability value at 31 December 2024.

2024

Rm	Main result	Medical subsidy rate plus 1%	Medical subsidy rate minus 1%	Discount rate plus 1%	Discount rate minus 1%
Medical aid accrued liability	905	970	848	847	971
Change(%)		7,2	(6,3)	(6,4)	7,3

2023

Rm	Main result	Medical subsidy rate plus 1%	Medical subsidy rate minus 1%	Discount rate plus 0,5%	Discount rate minus 0,5%
Medical aid accrued liability	895	961	836	864	928
Change(%)		7,4	(6,5)	(3,5)	3,7

Pension funds

The expected long-term return is a function of the expected long-term returns on equities, cash and bonds. In setting these assumptions, the asset splits at the latest available date were used and adjustments were made to reflect the effect of expenses.

Weighted-average assumptions (%)	2024	2023
– Discount rate	8,55%	9,36%
– Expected return on plan assets	8,55%	9,36%
– Inflation rate	3,76%	4,62%
– Future salary increases	4,59%	5,53%

Medical aid funds

The overall expected long-term rate of return on plan assets is 10,50%. The expected rate of return is based on market expectations, at the beginning of the period, for returns over the entire life of the related obligation. The expected rate of return is based on the expected performance of the entire portfolio.

Rm	Pension and provident funds	Medical aid funds	Total
Experience adjustments on present value of defined-benefit obligations for the past 5 years			
2024	1	7	8
2023	(36)	(15)	(51)
2022	(189)	(69)	(258)
2021	207	6	213
2020	(227)	(81)	(308)
Experience adjustments on fair value of plan assets for the past 5 years			
2024		50	50
2023		(11)	(11)
2022		(81)	(81)
2021		46	46
2020		(38)	(38)
Estimate of future contributions			
Contributions expected for ensuing year	15		15

Fund surplus for the past 5 years

	Present value of obligation	Fair value of plan asset	Surplus
Pension funds			
2024	2 997	6 952	3 955
2023	3 074	6 605	3 531
2022	3 137	6 045	2 908
2021	3 449	6 617	3 168
2020	3 304	5 750	2 446
Medical aid funds			
2024	905	1 251	346
2023	895	1 166	271
2022	900	1 139	239
2021	957	1 186	229
2020	949	1 120	171

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER

G2 NON-CURRENT ASSETS HELD FOR SALE

ACCOUNTING POLICY

Non-current assets (or disposal groups) are classified as held for sale when their carrying amount will be recovered principally through sale rather than use.

Immediately before classification as held for sale, all assets and liabilities are remeasured in accordance with the group's accounting policies. Non-current assets (or disposal groups) held for sale are measured at the lower of the carrying amount and fair value, less incremental, directly attributable costs to sell (excluding taxation and finance charges), and are not depreciated.

	2024 Rm	2023 Rm
Non-current assets held for sale		
Properties sold but not yet transferred ¹		315
	–	315

¹ The sale and transfer of a property was concluded during 2024 as part of a sale and leaseback transaction. A gain on disposal of R39m has been included in the 'Impairments charge on non-financial instruments and other gains and losses' line item on the consolidated statement of comprehensive income.

G3 OTHER ASSETS

	2024 Rm	2023 Rm
Properties in possession	69	
Sundry debtors and other accounts	8 686	8 647
Trading securities and spot positions	1 159	
Impairment of other assets	(6)	(4)
	9 908	8 643

SECTION H: FINANCIAL INSTRUMENTS

ACCOUNTING POLICY

Financial instruments recognised in the statement of financial position include all financial assets and financial liabilities, including derivative instruments, but excluding investments in subsidiaries, associate companies and joint arrangements (other than investments held by venture capital divisions), employee benefit assets and liabilities, and leases. Financial instruments are accounted for under IAS 32: Financial Instruments – Presentation; IAS 39: Financial Instruments – Recognition and Measurement (Hedging Accounting); IFRS 9: Financial Instruments; IFRS 7: Financial Instruments – Disclosures; and IFRS 13: Fair Value Measurement.

FINANCIAL ASSETS AND FINANCIAL LIABILITIES

Measurement basis of financial instruments

There are 2 bases of measurement, namely amortised cost and fair value.

Initial recognition and measurement

Financial assets and financial liabilities are recognised when the entity becomes a party to the contractual terms of the instrument. Regular-way purchase and sales of financial assets are recognised on the trade date, which is the date on which the group commits to purchase or sell the asset.

At initial recognition the group measures a financial asset or financial liability at its fair value plus or minus, in the case of a financial asset or financial liability not at FVTPL, transaction costs that are incremental and directly attributable to the acquisition or issue of the financial asset or financial liability, such as fees and commissions. Transaction costs of financial assets or financial liabilities carried at FVTPL are expensed in profit or loss. Immediately after initial recognition an ECL is recognised for financial assets measured at amortised cost and investments in debt instruments measured at FVOCI, which results in an accounting loss being recognised in profit or loss when an asset is newly originated.

Amortised cost and effective interest rate

The amortised cost of a financial instrument is the amount at which the financial instrument is measured on initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial contractual amount and the maturity amount, less any cumulative impairment losses.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability to the gross carrying amount of a financial asset (i.e. its amortised cost before any impairment allowance) or to the amortised cost of a financial liability. The calculation does not consider ECL and includes transaction costs, premiums or discounts, and fees and points paid or received that are integral to the effective interest rate, such as origination fees. For purchased or originated credit-impaired financial assets (assets that are credit-impaired at initial recognition) the group calculates the credit-adjusted effective interest rate, which is calculated based on the amortised cost of the financial asset instead of its gross carrying amount and incorporates the impact of the ECL in estimated future cash flows.

When the group revises the estimates of future cash flows, the carrying amount of the respective financial asset or financial liability is adjusted to reflect the new estimate, and discounted using the original effective interest rate. Any changes are recognised in profit or loss.

Interest income

Interest income is calculated by applying the effective interest rate to the gross carrying amount of financial assets, except for:

- purchased or originated credit-impaired financial assets for which the original credit-adjusted effective interest rate is applied to the amortised cost of the financial asset; and
- financial assets that are not purchased or originated credit-impaired, but have subsequently become credit-impaired (or stage 3), for which interest revenue is calculated by applying the effective interest rate to their amortised cost (i.e. net of the ECL allowance).

Fair value

The fair value of a financial instrument is the amount that would be received on selling the asset or paid on transferring a liability in an orderly transaction between market participants at the measurement date.

The fair value of instruments that are quoted in an active market is determined using quoted prices where they represent those at which regularly and recently occurring transactions take place.

The group uses valuation techniques to establish the fair value of instruments where quoted prices in active markets are not available. For a detailed discussion of the fair value of financial instruments refer to note H2.

Financial assets

(i) Classification and measurement

The group applies IFRS 9 and classifies its financial assets in the following measurement categories:

- FVTPL
- FVOCI
- Amortised cost

The classification requirements of investments in debt and equity instruments are described below.

ACCOUNTING POLICY

Debt instruments

The classification of investments in debt instruments depends on:

- the business model within which the financial assets are held and managed; and
- the contractual cash flow characteristics of the financial assets, i.e. whether the cash flows represent 'solely payments of principal and interest'.

Financial assets are measured at amortised cost if they are held within a business model of which the objective is to hold those assets for the purpose of collecting contractual cash flows and those cash flows comprise solely payments of principal and interest (i.e. 'hold to collect' business model).

Financial assets are measured at FVOCI if they are held within a business model of which the objective is achieved by both collecting contractual cash flows and selling financial assets and those contractual cash flows comprise solely payments of principal and interest (i.e. 'hold to collect and sell' business model). Movements in the carrying amount of these financial assets are taken through OCI, except for impairment gains or losses, interest revenue and foreign exchange gains or losses, which are recognised in profit or loss.

Where the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss.

The remaining financial assets are measured at FVTPL. All derivative instruments that are either financial assets or financial liabilities are classified as mandatorily at fair value and measured at FVTPL. Financial assets with embedded derivatives are considered in their entirety when it is being determined whether their cash flows are solely payments of principal and interest.

The group reclassifies debt investments when, and only when, its business model for managing those assets changes. The reclassification takes place from the start of the first reporting period following the change. Such changes are expected to be very infrequent and none occurred during the period.

Investments in equity instruments

For equity investments that are held neither for trading nor for contingent consideration, the group may irrevocably elect to present subsequent changes in the fair value of these equity investments in OCI. Where the equity investment is derecognised, the cumulative gain or loss previously recognised in OCI is not reclassified from equity to profit or loss. However, it may be reclassified in equity.

Alternatively, where the group does not make the above-mentioned election, fair-value changes are recognised in profit or loss. This election is made on an investment-by-investment basis. On initial recognition the group may irrevocably designate a financial asset otherwise meeting the requirements for measurement at amortised cost or FVOCI, as FVTPL, if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

(ii) Impairments

Impairments in terms of IFRS 9 are determined based on an ECL model.

The ECL model applies to financial assets measured at amortised cost and debt instruments at FVOCI, lease receivables and certain loan commitments, as well as financial guarantee contracts.

Under IFRS 9 loss allowances are measured on either of the following bases:

- 12-month ECL: This is ECL that results from possible default events within the 12 months after the reporting date.
- Lifetime ECL: This is ECL that results from all possible default events over the expected life of a financial instrument.

The group is required to recognise an allowance for either 12-month or lifetime ECL, depending on whether there has been a SICR since initial recognition. Indicators of a SICR in the retail portfolio may include any of the following:

- Short-term forbearance
- Direct debit cancellation
- Extension to the terms granted
- Previous arrears within the past months

Indicators of a SICR in the wholesale portfolio may include any of the following:

- Significant increase in the credit spread.
- Significant adverse changes in business, financial and/or economic conditions in which the client operates.
- Actual or expected forbearance or restructuring.
- Significant change in collateral value.
- Early signs of liquidity and cash flow problems, such as a delay in the servicing of trade creditors or loans.

Measurement of expected credit losses

The measurement of ECL reflects a probability-weighted outcome, the time value of money and the entity's best available forward-looking information. The above-mentioned probability-weighted outcome considers the possibility of a credit loss occurring and the possibility of no credit loss occurring, even if the possibility of a credit loss occurring is low. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the group expects to receive). ECL are discounted at the effective interest rate of the financial asset.

The assessment of the ECL of a financial asset or portfolio of financial assets entails estimations of the likelihood of defaults occurring and of default correlations between counterparties. The group measures ECL using PD, EAD and loss given default (LGD).

These 3 components are multiplied together and adjusted for the likelihood of default. The calculated ECL is then discounted using the original effective interest rate of the financial asset.

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The assessment of a SICR and the calculation of ECL both incorporate forward-looking information. The group has performed historical analyses and identified the key economic variables impacting credit risk and ECL for each portfolio. These economic variables and their associated impact on the PD, EAD and LGD vary by financial instrument. The Nedbank Group Economic Unit provides a forecast of economic variables and an overview of the economy quarterly or more often, if necessary. Significant judgement and estimates are applied in this process of incorporating forward-looking information into the SICR assessment and ECL calculation.

Credit-impaired financial assets

At each reporting date the group assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit-impaired. A financial asset is credit-impaired when 1 or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. The group's definition of 'credit-impaired' is aligned with its internal definition of 'default'.

Presentation of impairment

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets, and the amortised cost is presented on the face of the statement of financial position.

For debt securities at FVOCI the loss allowance is recognised in OCI, instead of the carrying amount of the asset being reduced. For off-balance-sheet exposures, such as financial guarantee contracts, the loss allowance is presented in 'Provisions and other liabilities' on the face of the statement of financial position.

(iii) Modification of loans

The group may renegotiate or otherwise modify the contractual cash flows of loans to clients. When this happens, the group assesses whether the new terms are substantially different from the original terms. In the normal course of business restructures a combination of qualitative and quantitative factors needs to be considered to establish whether the change to the contractual cash flows is substantial. However, in a distressed restructure the group needs to determine whether it is merely attempting to recover the original cash flows in the most optimal manner, and as such the original cash flows have not expired, or whether the risks and rewards associated with the cash flows have been altered fundamentally enough for the original instrument to be derecognised.

The group is of the view that the above-mentioned principle can be applied by type of modification for retail exposures, as we assume there is a homogeneous business process and objective underlying each type of modification. The application to wholesale exposures should be dealt with on a case-by-case basis through consultation by the business unit with the group's IFRS Advisory Division, as it may be necessary to take into account whether the modification is considered substantial based on the unique facts and circumstances.

Should the terms be substantially different, the group derecognises the original financial asset and recognises a 'new' financial asset at fair value and recalculates a new effective interest rate for the asset. The date of renegotiation is consequently considered to be the date of initial recognition for impairment calculation purposes and for determining whether a significant increase in credit risk has occurred. However, the group also assesses whether the new financial asset recognised is deemed to be credit-impaired at initial recognition, especially in circumstances where the renegotiation was driven by the debtor being unable to make originally agreed payments. Differences in the carrying amount are also recognised in profit or loss as a gain or loss on derecognition.

Should the terms not be substantially different, the renegotiation or modification does not result in derecognition, and the group recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in profit or loss. The new gross carrying amount is recalculated by discounting the modified cash flows at the original effective interest rate (or credit-adjusted effective interest rate for purchased or originated credit-impaired financial assets).

Revolving products

A revolving credit facility (RCF) may be seen as financial instrument that is either:

- 1 continuous instrument, with 1 origination date that could be many years in the past; or
- a series of 1-year instruments, each of which would have a different origination date.

With respect to revolving credit facilities, the key consideration of whether the issuing of a new card, change in credit limit, or conducting of a credit review results in derecognition of the loan or facility is the robustness of the process followed and the resulting impact on credit risk management. Where the process is not considered to be sufficiently robust, i.e. it is purely procedural in nature, the original RCF will not be derecognised and the date of origination will remain the date at which the facility was first contractually extended (or was subject to a robust process that resulted in derecognition). If the process is considered to be robust, the date of origination would be the date of derecognition of the previous facility or loan.

The group considers the following factors to determine whether a review (annual or otherwise) is robust, i.e. would result in derecognition:

- The effectiveness of the review in mitigating or managing credit risk until the next scheduled review.
- Evidence that specific action is taken as a result of the outcome of the review, for example:
 - » changes in facility limits;
 - » repricing of the facility;
 - » changes in required collateral or security;
 - » changes to the terms and conditions of the facility; or
 - » withdrawal of the facility.
- That the review is performed at a facility or client level (or client group).
- That the review is done holistically, taking into account the income derived from the facility and the other income generated from the client in comparison to the risk taken.
- That increased monitoring or scrutiny of the facility, for example additional controls and/or approvals, is put in place until the next review.

(iv) Derecognition other than a modification

The group derecognises a financial asset (or group of financial assets) or a part of a financial asset (or part of a group of financial assets) when, and only when:

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS *continued*

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- the contractual rights to the cash flows arising from the financial asset have expired; or
- the group transfers the financial asset, including substantially all the risks and rewards of ownership of the asset; or
- the group transfers the financial asset, neither retaining nor transferring substantially all the risks and rewards of ownership of the asset, but no longer retaining control of the asset.

The difference between the carrying amount of a financial asset or financial liability (or part thereof) that is derecognised and the consideration paid or received, including any non-cash assets transferred or liabilities assumed, is recognised in non-interest revenue and income for the period.

The group enters into transactions where it retains the contractual rights to receive cash flows from assets but assumes a contractual obligation to pay those cash flows to other entities and transfers substantially all the risks and rewards. These transactions are accounted for as 'pass through' transfers that result in derecognition when the group:

- has no obligation to make payments unless it collects equivalent amounts from the assets;
- is prohibited from selling or pledging the assets; and
- has an obligation to remit any cash it collects from the assets without material delay.

Collateral (shares and bonds) furnished by the group under standard repurchase agreements and securities lending and borrowing transactions are not derecognised because the group retains substantially all the risks and rewards on the basis of the predetermined repurchase price, and the criteria for derecognition are therefore not met. This also applies to certain securitisation transactions in which the group retains a subordinated residual interest.

Financial liabilities

(i) Classification and measurement

Financial liabilities are classified as subsequently measured at amortised cost, except for the following:

- Financial liabilities at FVTPL – This classification is applied to derivative financial liabilities and other financial liabilities designated as such at initial recognition. Gains or losses on financial liabilities designated as FVTPL are presented partially in OCI (the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability, which is determined as the amount that is not attributable to changes in market conditions that give rise to market risk) and partially in profit or loss (the remaining amount of change in the fair value of the liability).
- Financial liabilities arising from the transfer of financial assets that did not qualify for derecognition, whereby a financial liability is recognised for the consideration received for the transfer. In subsequent periods, the group recognises any expenses incurred on the financial liability.
- Financial guarantee contracts and loan commitments.

(ii) Derecognition

A financial liability (or part of a financial liability) is derecognised when, and only when, the liability is extinguished, i.e. when the obligation specified in the contract is discharged or cancelled or has expired.

Sale and repurchase agreements and lending of securities

Securities sold subject to linked repurchase agreements are recognised as trading securities and the counterparty liability is presented under repurchase agreements as amounts owed to depositors – 'Deposits received under repurchase agreements' on the financial statements. Securities purchased linked to reverse repurchase agreements are not recognised in the financial statements; however, a financial asset for the right to resell the securities is presented as loans and advances – 'Deposits placed under reverse repurchase agreements'. The difference between the sale and repurchase price is treated as interest and recognised over the duration of the agreements using the effective interest method.

Securities lent to counterparties are also retained in the financial statements and any interest earned is recognised in profit or loss using the effective interest method. Securities borrowed are not recognised in the financial statements, unless these are sold to third parties, in which case the purchase and sale are recorded with the gain or loss included in non-interest revenue and income. The obligation to return them is recorded at fair value as a trading liability.

Acceptances

Acceptances comprise undertakings by the group to pay bills of exchange drawn on clients. The group expects most acceptances to be settled simultaneously with the reimbursement from clients. Acceptances are recorded as liabilities within amounts owed to depositors, with the corresponding asset recorded in the statement of financial position within loans and advances.

Cash and cash equivalents

Cash and cash equivalents represent cash on hand and demand deposits and cash equivalents that are short-term (i.e. with a maturity of less than 90 days from acquisition) and highly liquid investments that are readily convertible to known amounts of cash, and that are subject to an insignificant risk of changes in value. Cash and cash equivalents therefore include cash and balances with central banks that can be withdrawn on demand (except where a specific minimum balance at the end of the day is required to be maintained), other eligible bills and amounts due from banks.

Investment contract liabilities

Liabilities for unit-linked and market-linked contracts are reported at fair value. For unit-linked contracts the fair value is calculated as the account value of the units, i.e. the number of units held multiplied by the bid price value of the assets in the underlying fund (adjusted for taxation). For market-linked contracts, the fair value of the liability is determined with reference to the fair value of the underlying assets. This fair value is calculated in accordance with the financial-soundness valuation basis, except that negative rand reserves arising from the

ACCOUNTING POLICY

capitalisation of future margins are not permitted. The fair value of the liability, at a minimum, reflects the initial deposit of the client, which is repayable on demand.

Investment contract liabilities (other than unit-linked and market-linked contracts) are measured at amortised cost.

Contribution income relating to investment contracts

Contribution income includes lump sums received in respect of linked businesses with retirement funds and are accounted for when due. The contribution income is set off directly against the liability under investment contracts.

Benefits relating to investment contracts

Policyholder benefits are accounted for when claims are intimated directly against the liability under investment contracts.

FINANCIAL GUARANTEE CONTRACTS

Financial guarantee contracts are contracts that require the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due in accordance with the terms of a debt instrument.

For loan commitments and financial guarantee contracts, the loss allowance is recognised as a provision. However, for contracts that include both a loan and an undrawn commitment, and where the group cannot identify the ECL separately on the undrawn commitment component from those on the loan component, the ECL on the undrawn commitment are recognised together with the loss allowance for the loan. To the extent that the combined ECL exceed the gross carrying amount of the loan, the ECL are recognised as a provision.

KEY ASSUMPTIONS CONCERNING THE FUTURE AND KEY SOURCES OF ESTIMATION

FAIR VALUE OF FINANCIAL INSTRUMENTS

Certain of the group's financial instruments are carried at FVTPL, such as those designated by management under the fair-value option.

Other non-derivative financial assets may be designated as FVOCI. FVOCI financial investments are initially recognised at fair value and are subsequently held at fair value. Gains and losses arising from changes in fair value of such assets are included as a separate component of OCI and presented in equity.

The fair value of a financial instrument is the amount that would be received on selling the asset or paid on transferring the liability in an orderly transaction at the measurement date between knowledgeable and willing parties, other than in a forced or liquidation sale. Financial instruments entered into as trading transactions, together with any associated hedging, are measured at fair value and the resultant profits and losses are included in net trading income, along with interest and dividends arising from long and short positions and funding costs relating to trading activities. Assets and liabilities resulting from gains and losses on financial instruments held for trading are reported gross in trading portfolio assets and liabilities or derivative financial instruments, reduced by the effects of netting agreements where there is an intention to net-settle with counterparties.

Details of the processes, procedures and assumptions used in the determination of fair value are discussed in note 12. In particular, the areas that involve the greatest amount of judgement and complexity include the following:

- Assessing whether instruments are trading with sufficient frequency and volume that they can be considered liquid.
- The inclusion of a measure of the risk of counterparty non-performance in the fair-value measurement of loans and advances, which involves the modelling of dynamic credit spreads.
- The inclusion of credit valuation adjustments (CVA) and funding valuation adjustments (FVA) in the fair-value measurement of derivative instruments.
- The inclusion of own credit risk in the calculation of the fair value of financial liabilities.

These concepts are developing and evolving continuously. Therefore changes in these assumptions will arise as the market develops.

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FOR THE YEAR ENDED 31 DECEMBER

H1 CONSOLIDATED STATEMENT OF FINANCIAL POSITION – CATEGORIES OF FINANCIAL INSTRUMENTS

			At FVTPL	
	Notes	Total Rm	Mandatorily at fair value Rm	Designated ¹ Rm
2024				
Assets				
Cash and cash equivalents	C6	43 317		
Other short-term securities	C4	58 563	55 294	
Derivative financial instruments	C7	16 866	16 866	
Government and other securities	C3	195 494	94 178	
Loans and advances	C1.1	968 464	85 547	7 131
Other assets	G3	9 908	1 159	
Current taxation assets		61		
Investment securities	E1	8 032	7 723	29
Non-current assets held for sale	G2	–		
Investments in associate companies	E2	1 481		
Deferred taxation assets	B7.3	178		
Property and equipment	F1	9 396		
Long-term employee benefit assets	G1.1	5 284		
Intangible assets	F2	9 686		
Total assets		1 326 730	260 767	7 160
Equity and liabilities				
Ordinary share capital	B3.1	28		
Ordinary share premium		20 073		
Reserves		69 933		
Total equity attributable to ordinary shareholders		90 034	–	–
Holders of participating preference shares		103		
Holders of additional tier 1 capital instruments	B4	12 798		
Non-controlling interest attributable to ordinary shareholders		15		
Total equity		102 950	–	–
Derivative financial instruments	C7	11 445	11 445	
Amounts owed to depositors	D1	1 148 603	79 183	
Provisions and other liabilities	J1.1	15 822	208	
Current taxation liabilities		108		
Deferred taxation liabilities	B7.3	206		
Long-term debt instruments	D2	47 558		
Long-term employee benefit liabilities	G1.1	38		
Total liabilities		1 223 780	90 836	–
Total equity and liabilities		1 326 730	90 836	–

¹ Refer to note H4 in respect of financial instruments designated as FVTPL.

FVOCI			
Debt instruments Rm	Equity instruments Rm	Financial instruments at amortised cost Rm	Non-financial assets, liabilities and equity Rm
		43 317	
		3 269	
		101 316	
60 943		814 843	
		6 875	1 874
			61
	280		—
			1 481
			178
			9 396
			5 284
			9 686
60 943	280	969 620	27 960
			28
			20 073
			69 933
—	—	—	90 034
			103
			12 798
			15
—	—	—	102 950
		1 069 420	
		5 136	10 478
			108
			206
		47 558	
			38
—	—	1 122 114	10 830
—	—	1 122 114	113 780

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

			At FVTPL	
	Notes	Total Rm	Mandatorily at fair value Rm	Designated ¹ Rm
2023				
Assets				
Cash and cash equivalents	C6	40 611		
Other short-term securities	C4	59 299	59 011	
Derivative financial instruments	C7	13 539	13 539	
Government and other securities	C3	168 524	81 417	
Loans and advances ²	C1.1	906 942	81 078	6 417
Other assets	G3	8 643		
Current taxation assets		96		
Investment securities	E1	7 675	7 372	20
Non-current assets held for sale	G2	315		
Investments in associate companies	E2	1 089		
Deferred taxation assets	B7.3	570		
Property and equipment	F1	9 353		
Long-term employee benefit assets	G1.1	4 690		
Intangible assets	F2	9 210		
Total assets		1 230 556	242 417	6 437
Equity and liabilities				
Ordinary share capital	B3.1	28		
Ordinary share premium		20 073		
Reserves		65 485		
Total equity attributable to ordinary shareholders		85 586	–	–
Holders of preference shares		106		
Holders of additional tier 1 capital instruments	B4	10 469		
Non-controlling interest attributable to ordinary shareholders		22		
Total equity		96 183	–	–
Derivative financial instruments	C7	13 802	13 802	
Amounts owed to depositors ²	D1	1 058 634	70 300	
Provisions and other liabilities	J1.1	16 152	13	
Current taxation liabilities		51		
Deferred taxation liabilities	B7.3	156		
Long-term debt instruments	D2	45 540		
Long-term employee benefit liabilities	G1.1	38		
Total liabilities		1 134 373	84 115	–
Total equity and liabilities		1 230 556	84 115	–

¹ Refer to note H4 in respect of financial instruments designated as FVTPL.

² During 2024 the group identified that the 'Loans and advances' and 'Amounts owed to depositors' line items amounting to R42,4bn and R23,1bn respectively were incorrectly disclosed in the 'Financial instruments at amortised cost' column instead of the 'At FVTPL Mandatorily at fair value' column. As a result, the prior-year information has been restated. This restatement has no impact on the 'Loans and advances' and 'Amounts owed to depositors' balance.

Debt instruments Rm	Equity instruments Rm	Financial instruments at amortised cost Rm	Non-financial assets, liabilities and equity Rm
		40 611	
		288	
		87 107	
55 200		764 247	
		7 088	1 555
			96
	283		
			315
			1 089
			570
			9 353
			4 690
			9 210
55 200	283	899 341	26 878
			28
			20 073
			65 485
–	–	–	85 586
			106
			10 469
			22
–	–	–	96 183
		988 332	2
		6 690	9 449
			51
			156
		45 540	
			38
–	–	1 040 562	9 696
–	–	1 040 562	105 879

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

H1.2 CONSOLIDATED STATEMENT OF FINANCIAL POSITION – CURRENT AND NON-CURRENT

During the year, the group reviewed its presentation of assets and liabilities. As a result of this review, the group has enhanced this disclosure by presenting the amount of assets and liabilities expected to be recovered or settled no more than twelve months after the reporting period (current), and more than twelve months after the reporting period (non-current).

	2024			2023		
	Total	Current	Non-current	Total	Current	Non-current
Cash and cash equivalents	43 317	43 317		40 611	40 611	
Other short-term securities	58 563	50 065	8 498	59 299	54 911	4 388
Derivative financial instruments	16 866	8 316	8 550	13 539	5 035	8 504
Government and other securities	195 494	4 123	191 371	168 524	3 143	165 381
Loans and advances	968 464	300 682	667 782	906 942	284 169	622 773
Other assets	9 908	9 908		8 643	8 643	
Current taxation assets	61	61		96	96	
Investment securities	8 032		8 032	7 675		7 675
Non-current assets held for sale	–			315	315	
Investments in associate companies	1 481		1 481	1 089		1 089
Deferred taxation assets	178		178	570		570
Property and equipment	9 396		9 396	9 353		9 353
Long-term employee benefit assets	5 284		5 284	4 690		4 690
Intangible assets	9 686		9 686	9 210		9 210
Total assets	1 326 730	416 472	910 258	1 230 556	396 923	833 633
Derivative financial instruments	11 445	6 710	4 735	13 802	5 593	8 209
Amounts owed to depositors	1 148 603	997 553	151 050	1 058 634	938 783	119 851
Provisions and other liabilities	15 822	14 766	1 057	16 152	15 039	1 113
Current taxation liabilities	108	108		51	51	
Deferred taxation liabilities	206		206	156		156
Long-term employee benefit liabilities	38		38	38		38
Long-term debt instruments	47 558	8 654	38 904	45 540	7 615	37 925
Total liabilities	1 223 780	1 027 791	195 990	1 134 373	967 081	167 292

H2 FAIR-VALUE MEASUREMENT – FINANCIAL INSTRUMENTS

H2.1 VALUATION OF FINANCIAL INSTRUMENTS

BACKGROUND

Information obtained from the valuation of financial instruments is used by the group to assess the performance of the business and, in particular, provide assurance that the risk and return measures that the business has taken are accurate and complete. It is important that the valuation of financial instruments accurately represents the financial position of the group while complying with the requirements of the applicable IFRS Accounting Standards.

The fair value of a financial instrument is the amount that would be received on selling the asset or paid on transferring a liability in an orderly transaction between market participants at the measurement date. Underlying the definition of fair value is a presumption that an entity is a going concern without any intention or need to liquidate, to curtail materially the scale of its operations or to undertake a transaction on adverse terms. Fair value is not, therefore, the amount that an entity would receive or pay in a forced transaction, involuntary liquidation or distressed sale.

CONTROL ENVIRONMENT

Validation and approval

The business unit entering into the transaction is responsible for the initial determination and recording of the fair value of the transaction. There are normalised review protocols for the independent review and validation of fair values separate from the business unit entering into the transaction. These include, but not limited to:

- daily controls over the profit or loss recorded by trading and treasury front-office traders;
- specific controls to ensure consistent pricing policies and procedures are adhered to;
- independent valuation of structures, products and trades; and
- periodic review of all elements of the modelling process.

The review of the modelling process includes the approval of model revisions, the vetting of model inputs, the review of model results and more specifically the verification of risk calculations. All valuation techniques are validated and reviewed by qualified senior employees and are calibrated and backtested for validity by using prices from any observable current market transaction in the same instrument (i.e. without modification or repackaging) or based on any observable market data. The group obtains market data consistently in the same market where the instrument was originated or purchased.

If the fair-value calculation deviates from the quoted market value due to inaccurate observed market data, these deviations in the valuation are documented and presented at a review committee, which is independent of both the business unit and the specialist team. The committee will need to consider both the regulatory and accounting requirements in arriving at an opinion on whether the deviation is acceptable.

The group refines and modifies its valuation techniques as markets and products develop and as the pricing for individual products becomes more or less readily available. While the group believes its valuation techniques are appropriate and consistent with those of other market participants, the use of different methodologies or assumptions may result in different estimates of fair value at the different reporting dates.

Stress testing and sensitivity measures

Comprehensive stress testing is conducted by the group, in which the following, at a minimum, are considered:

- Anticipated future projected trading positions.
- Historical events.
- Scenario testing to evaluate plausible future events.
- Specific testing to supplement the value-at-risk (VaR) methodology (i.e. 1-day holding period and 99% confidence interval).

For further discussion in respect of stress testing and sensitivity measures refer to note H2.7.

VALUATION METHODOLOGIES

The objective of a fair-value measurement is to estimate the price at which an orderly transaction to sell the asset or to transfer the liability would take place between market participants at the measurement date under current market conditions. A fair-value measurement includes consideration of the following:

- The particular asset or liability that is being measured (consistently with its unit of account).
- The principal (or most advantageous) market for the asset or liability.

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- The valuation technique(s) appropriate for the measurement, considering the availability of data with which to develop inputs that represent the assumptions that market participants would use when pricing the asset or liability and the level of the fair-value hierarchy within which the inputs are categorised.

Quoted price

A financial instrument is regarded as quoted in an active market if quoted prices are readily available from an exchange, industry group, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's-length basis. The appropriate quoted market price for an asset held or a liability to be issued is usually the current bid price and, for an asset to be acquired or a liability held, the asking price.

The objective of determining fair value is to arrive at the transaction price of an instrument on the measurement date (i.e. without modifying or repackaging the instrument) in the principal (or most advantageous) active market to which the business has immediate access.

The existence of published price quotations in an active market is the most reliable evidence of fair value and, when they exist, they are used without adjustment to measure the financial asset or financial liability. A market is considered to be active if transactions occur with sufficient volume and frequency to provide pricing information on an ongoing basis.

These quoted prices would generally be classified as level 1 in terms of the fair-value hierarchy prescribed by IFRS 13: Fair Value Measurement.

VALUATION TECHNIQUES

If the market for a financial instrument is not active, the group establishes fair value by using various valuation techniques. These valuation techniques may include:

- using recent arm's-length market transactions between knowledgeable, willing parties;
- making reference to the current fair value of another instrument that is substantially the same in nature;
- making reference to the value of the net asset of the underlying business;
- considering earnings multiples;
- using discounted-cash-flow analysis; and
- applying various option pricing models.

If there is a valuation technique that is commonly used by market participants to price the financial instrument and that technique has been demonstrated to provide reasonable estimates of prices obtained in actual market transactions, the group will use that technique. In applying valuation techniques, and to the extent possible, the group maximises the use of relevant observable inputs and minimises the use of unobservable inputs.

The objective of using a valuation technique is to establish what the transaction price would have been on the measurement date in an arm's-length exchange and motivated by normal business considerations. In applying valuation techniques, the group uses estimates and assumptions that are consistent with available information about the estimates and assumptions that market participants would use in setting a price for the financial instrument.

Fair value is therefore estimated on the basis of the results of a valuation technique that makes use of market inputs and relies as little as possible on entity-specific inputs. A valuation technique would be expected to arrive at a realistic estimate of the fair value if:

- it, as reasonably as possible, reflects how the market could be expected to price the instrument; and
- the inputs to the valuation technique reasonably represent market expectations and measures of the risk–return factors inherent in the financial instrument.

Therefore, a valuation technique:

- will incorporate all relevant factors that market participants would consider in determining a price; and
- is consistent with accepted economic methodologies for pricing financial instruments.

If a published price quotation in an active market does not exist for a financial instrument in its entirety, but active markets exist for its component parts, fair value is determined on the basis of the relevant market prices for the various component parts.

If a rate (rather than a price) is quoted in an active market, the group uses that market-quoted rate as an input into a valuation technique to determine fair value. If the market-quoted rate does not include credit risk or other factors that market participants would include in valuing the instrument, the group adjusts for these factors.

Valuation techniques applied by the group would generally be classified as level 2 or level 3 in terms of the fair-value hierarchy prescribed by IFRS 13: Fair Value Measurement. The determination of whether an instrument is classified as level 2 or level 3 is dependent on the significance of observable inputs versus unobservable inputs in relation to the fair value of the instrument.

OBSERVABLE MARKETS

Quoted market prices in active markets are the best evidence of fair value and are used as the basis of measurement, if available. A determination of what constitutes 'observable market data' will necessitate significant judgement. It is the group's belief that 'observable market data' comprises, in the following hierarchical order:

- prices or quotes from an exchange or listed markets in which there are sufficient liquidity and activity;
- proxy observable market data that is proven to be highly correlated and has a logical and economic relationship with the instrument that is being valued; and
- other direct and indirect market inputs that are observable in the marketplace.

Data is considered by the group to be observable if the data is:

- verifiable;
- readily available;
- regularly distributed;
- from multiple independent sources;
- transparent; and
- not proprietary.

Data is considered by the group to be market-based if the data is:

- reliable;
- based on consensus within reasonably narrow, observable ranges;
- provided by sources that are actively involved in the relevant market; and
- supported by actual market transactions.

It is not the intention to imply that all the above characteristics must be present to conclude that the evidence qualifies as observable market data. Judgement is applied based on the strength and quality of the available evidence.

INPUTS TO VALUATION TECHNIQUES

An appropriate valuation technique for estimating the fair value of a particular financial instrument would incorporate observable market data about the market conditions and other factors that are likely to affect the instrument's fair value. Inputs are selected on a basis that is consistent with the characteristics of the instrument that market participants would take into account in a transaction for that instrument.

Principal inputs to valuation techniques applied by the group include the following:

- Discount rate – Where discounted-cash-flow techniques are used, estimated future cash flows are based on management's best estimates and the discount rate used is a market rate at the reporting date for an instrument with similar terms and conditions.
- The time value of money – The business may use well-accepted and readily observable general interest rates, such as the JIBAR, London Interbank Offered Rate (UK) or an appropriate swap rate, as the benchmark rate to derive the present value of a future cash flow.
- Credit risk – Credit risk is the risk of loss associated with a counterparty's failure or inability to fulfil its contractual obligations. The valuation of the relevant financial instrument takes into account the effect of credit risk on fair value by including an appropriate adjustment for the risk taken.
- Foreign currency exchange prices – Active currency exchange markets exist for most major currencies, and prices are quoted daily on various trading platforms and in financial publications.
- Commodity prices – Observable market prices are available for those commodities that are actively traded on exchanges in SA, London, New York, Chicago and other commercial exchanges.
- Equity prices – Prices (and indices of prices) of traded equity instruments are readily observable on the Johannesburg Stock Exchange (JSE) or any other recognised international exchange. Present-value techniques may be used to estimate the current market price of equity instruments for which there are no observable prices.
- Volatility – Measures of the volatility of actively traded items can be reasonably estimated by the implied volatility in current market prices. The shape and skew of the volatility curve are derived from a combination of observed trades and doubles in the market. In the absence of an active market, a methodology to derive these volatilities from observable market data will be developed and used.
- Recovery rates/LGD – These are used as an input to valuation models as an indicator of the severity of losses on default. Recovery rates are primarily sourced from market data providers or inferred from observable credit spreads.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS *continued*

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- Prepayment risk and surrender risk – Expected repayment patterns for financial assets and expected surrender patterns for financial liabilities can be estimated on the basis of historical data.
- Servicing costs – If the cost of servicing a financial asset or financial liability is significant and other market participants would face comparable costs, the issuer would consider them in determining the fair value of that financial asset or financial liability.
- Dividends – Consistent consensus dividend forecasts adjusted for internal investment analysts' projections can be applied to each share. Forecasts are usually available for the current year plus 1 additional year. Thereafter, a constant growth rate would be applied to the specific dates into the future for each individual share.
- Inception profit (day 1 gain or loss) – The best evidence of the fair value of a financial instrument at initial recognition is the transaction price (i.e. the fair value of the consideration given or received), unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e. without modification or repackaging) or based on a valuation technique, the variables of which include data from observable markets only.

VALUATION ADJUSTMENTS

To estimate a reliable fair value, where appropriate, the group applies certain valuation adjustments to the pricing information derived from the above sources. In making appropriate adjustments, the group considers certain adjustments to the modelled price that market participants would make when pricing that instrument.

Factors that would be considered include, but are not limited to, the following:

- Own credit on financial liabilities – The carrying amount of financial liabilities held at fair value is adjusted to reflect the effect of changes in the group's own credit spreads. As a result, the carrying value of issued bonds and subordinated-debt instruments that have been designated as FVTPL is adjusted by reference to the movement in the appropriate spreads. The effect of changes relating to the group's own credit risk is recognised in OCI and the remaining gain or loss is recognised in profit or loss in the consolidated statement of comprehensive income.
- Counterparty credit spreads – Adjustments are made to market prices when the creditworthiness of the counterparty differs from that of the assumed counterparty in the market price (or parameter).

VALUATION TECHNIQUES BY INSTRUMENT

Other short-term securities and government and other securities

The fair value of these instruments is based on quoted market prices from an exchange dealer, broker, industry group or pricing service, when available. When they are unavailable, the fair value is determined by reference to quoted market prices for similar instruments, adjusted, as appropriate, for the specific circumstances of the instruments.

Where these instruments include corporate bonds, the bonds are valued using observable active quoted prices or recently executed transactions, except where observable price quotations are not available. Where price quotations are not available, the fair value is determined based on cash flow models, where significant inputs may include yield curves and bond or single-name credit default swap spreads.

Derivative financial instruments

Derivative contracts can be traded either through an exchange or over the counter and are valued using market-standard models and quoted parameter inputs. Parameter inputs are obtained from pricing services, consensus pricing services and recently occurring transactions in active markets, whenever possible. Certain inputs may not be observable in the market directly, but can be determined from observable prices through model calibration procedures. Other inputs are not observable, but can generally be estimated from historical data or other sources.

Loans and advances

Loans and advances include mortgage loans (home loans and commercial mortgages), other asset-based loans, including collateralised debt obligations, and other secured and unsecured loans.

In the absence of an observable market for these instruments, the fair value is determined by using internally developed models that are specific to the instrument and that incorporate all available observable inputs. These models involve discounting the contractual cash flows by using an at-inception, credit-adjusted zero-coupon curve. Loans and advances are reviewed for observed and verified changes in credit risk and the credit spread is adjusted at subsequent dates if there has been an observable change in credit risk relating to a particular loan or advance.

Investment securities

Investment securities are debt and equity instruments managed on a fair-value basis and these include private-equity investments, listed investments, and unlisted investments.

The fair value of listed investments is determined with reference to quoted bid prices at the close of business on the relevant securities exchange.

Where private-equity investments are involved, the exercise of judgement is required due to uncertainties inherent in estimating the fair value. The fair value of private equity is determined using appropriate valuation methodologies that, depending on the nature of the investment, may include an analysis of the investee's financial position and results, risk profiles and prospects, discounted-cash-flow analysis, enterprise value comparisons with similar companies, price/earnings comparisons and earnings multiples. For each investment, the relevant methodology is applied consistently over time and may be adjusted for changes in market conditions relative to that instrument.

The fair value of unlisted investments is determined using appropriate valuation techniques that may include, but are not limited to, discounted-cash-flow analysis, net-asset-value calculations and directors' valuations.

Other assets

Short positions or long positions in equities arise in trading activities where equity shares not owned by the group are sold in the market to third parties. The fair value of these instruments is determined by reference to the gross short or long position valued at the offer rate.

Investments in instruments that do not have a quoted market price in an active market and the fair value of which cannot be reliably measured, as well as derivatives that are linked to and have to be settled by delivery of such unquoted equity instruments, are measured at fair value using models considered to be appropriate by management.

Amounts owed to depositors

Amounts owed to depositors include deposits under repurchase agreements, negotiable certificates of deposit and other deposits. These instruments incorporate all market risk factors, including a measure of the group's credit risk relevant for that financial liability when designated as FVTPL.

The fair value of these financial liabilities is determined by discounting the contractual cash flows using a Nedbank Group Limited-specific credit-adjusted yield curve that reflects the level at which the group would issue similar instruments at the reporting date. The market risk parameters are valued consistently to similar instruments held as assets.

The fair value of a financial liability with a demand feature is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid. When the fair value of a financial liability cannot be reliably determined, the liability is recorded at the amount due.

Fair value is considered reliably measurable if:

- the variability in the range of reasonable fair-value estimates is not significant for that instrument; or
- the probabilities of the various estimates within the range can be reasonably assessed and used in estimating fair value.

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Investment contract liabilities

The fair value of investment contract liabilities is determined by reference to the fair value of the underlying assets.

Long-term debt instruments

The fair value of long-term debt instruments is determined by reference to published market values on the relevant exchange, when they are:

- available; and
- considered to be trading with sufficient volume and frequency.

When the above conditions are not met, the fair value is determined using models considered to be appropriate by management. As far as possible, inputs to these models will leverage observable inputs for similar instruments with similar coupons and maturities.

Complex instruments

These instruments are valued by using internally developed models that are specific to the instrument and that have been calibrated to market prices. In less active markets data is obtained from less frequent market transactions and broker quotes, and through extrapolation and interpolation techniques. Where observable prices or inputs are not available, other relevant sources of information such as historical data, fundamental analysis of the economics of the transaction and proxy information from similar transactions are used. These models are reviewed and assessed continually to ensure that the best available data is being used in the determination of fair value.

Other liabilities

Short positions or long positions in equities arise in trading activities where equity shares, not owned by the group, are sold in the market to third parties. The fair value of these instruments is determined by reference to the gross short or long position valued at the offer rate.

Where the group has assets and liabilities with offsetting market risks, it may use middle-market prices as a basis for establishing fair values for the offsetting of risk positions and apply the bid or asking price to the net open position, as appropriate.

SUMMARY OF PRINCIPAL VALUATION TECHNIQUES – LEVEL 2 INSTRUMENTS

The following table sets out the group's principal valuation techniques used in determining the fair value of financial assets and financial liabilities classified as level 2 in the fair-value hierarchy:

	VALUATION TECHNIQUE	KEY INPUTS
Assets		
Other short-term securities	Discounted-cash-flow model	Discount rates
Derivative financial instruments	Discounted-cash-flow model Black–Scholes Valuation Model Multiple valuation techniques	Discount rates Risk-free rates and volatilities Valuation multiples
Government and other securities	Discounted-cash-flow model	Discount rates
Loans and advances	Discounted-cash-flow model	Interest rate curves
Investment securities	Discounted-cash-flow model Adjusted net asset value Dividend yield method	Money market rates and interest rates Underlying price of market-traded instruments Dividend growth rates
Liabilities		
Derivative financial instruments	Discounted-cash-flow model Black–Scholes Valuation Model Multiple valuation techniques	Discount rates Risk-free rates and volatilities Valuation multiples
Amounts owed to depositors	Discounted-cash-flow model	Discount rates
Provisions and other liabilities	Discounted-cash-flow model	Discount rates

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SUMMARY OF PRINCIPAL VALUATION TECHNIQUES – LEVEL 3 INSTRUMENTS

The summary of the valuation techniques applicable to those financial assets and financial liabilities classified as level 3 in the fair-value hierarchy is set out in note H2.2.

H2.2 FAIR-VALUE HIERARCHY

H2.2.1 FINANCIAL ASSETS

Rm	Note				At FVTPL		
		Total financial assets	Total financial assets recognised at amortised cost	Total financial assets recognised at fair value	Mandatorily at fair value		
					Level 1	Level 2	Level 3
2024		1 298 770	969 619	329 151	92 579	158 515	9 674
Cash and cash equivalents	C6	43 317	43 317				
Other short-term securities	C4	58 563	3 269	55 294	1 912	53 382	
Derivative financial instruments	C7	16 866		16 866	3	16 839	24
Government and other securities	C3	195 494	101 316	94 178	89 467	4 711	
Loans and advances	C1	968 464	814 842	153 622		83 317	2 231
Other assets	G3	8 034	6 875	1 159	1 159		
Investment securities	E1	8 032	–	8 032	38	266	7 419

Rm	Note				At FVTPL		
		Total financial assets	Total financial assets recognised at amortised cost	Total financial assets recognised at fair value	Mandatorily at fair value		
			(Restated)	(Restated)	Level 1 (Restated)	Level 2 (Restated)	Level 3
2023		1 203 678	899 341	304 337	79 789	155 771	6 857
Cash and cash equivalents	C6	40 611	40 611				
Other short-term securities ¹	C4	59 299	288	59 011	1 647	57 364	
Derivative financial instruments	C7	13 539		13 539	69	13 450	20
Government and other securities	C3	168 524	87 107	81 417	78 072	3 321	24
Loans and advances ²	C1	906 942	764 247	142 695		81 078	
Other assets	G3	7 088	7 088				
Investment securities	E1	7 675		7 675	1	558	6 813

¹ During 2024 the group identified that certain prior-year 'Other short-term securities' amounting to R10,5bn were incorrectly disclosed in the 'At FVTPL mandatorily at value – Level 1' column instead of the 'At FVTPL mandatorily at value – Level 2' column. As a result, the prior-year information has been restated. This restatement has no impact on the 'Other short-term securities' balance.

² During 2024 the group identified that the prior-year 'Loans and advances' and 'Amounts owed to depositors' line items amounting to R42,4bn and R23,1bn respectively were incorrectly disclosed in the 'Financial instruments at amortised cost' column instead of the 'At FVTPL mandatorily at fair value – Level 2' column. As a result, the prior-year information has been restated. This restatement has no impact on the 'Loans and advances' and 'Amounts owed to depositors' balance.

At FVTPL			At FVOCI					
Designated			Debt instruments			Equity instruments		
Level 1	Level 2	Level 3	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3
–	7 131	29	–	60 943	–	–	–	280
7 131			60 943					
29						280		

At FVTPL			At FVOCI					
Designated			Debt instruments			Equity instruments		
Level 1	Level 2	Level 3	Level 1	Level 2	Level 3	Level 1	Level 2	Level 3
–	6 417	20	–	55 200	–	–	–	283
6 417			55 200					
20						283		

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H2.2.1 Financial assets

Summary of fair-value hierarchies

Rm	Total financial assets recognised at fair value		Total financial assets classified as level 1	
	2024	2023	2024	2023
Other short-term securities	55 294	59 011	1 912	1 647
Derivative financial instruments	16 866	13 539	3	69
Government and other securities	94 178	81 417	89 467	78 072
Loans and advances	153 622	142 695	–	–
Other assets	1 159	–	1 159	–
Investment securities ¹	8 032	7 675	38	1
	329 151	304 337	92 579	79 789

¹ During the year the group identified that investment securities classified as level 2 and level 3 amounting to R558m and R7,1bn respectively were omitted from the prior-year summary of fair-value hierarchies. This does not impact on other note disclosures.

Reconciliation to categorised statement of financial position

Rm	Mandatorily at fair value		Designated as FVTPL	
	2024	2023	2024	2023
Level 1	92 579	79 789	–	–
Level 2	158 515	155 771	7 131	6 417
Level 3	9 674	6 857	29	20
	260 768	242 417	7 160	6 437

Reconciliation to statement of financial position

Rm	Note	2024	2023
Total financial assets	H1	1 298 770	1 203 678
Total non-financial assets	H1	27 960	26 878
Total assets		1 326 730	1 230 556

H2.2.2 Financial liabilities

Rm	Note	Total financial liabilities	Total financial liabilities recognised at amortised cost	Total financial liabilities recognised at fair value
2024		1 212 950	1 122 115	90 835
Derivative financial instruments	C7	11 445	–	11 445
Amounts owed to depositors	D1	1 148 603	1 069 420	79 183
Provisions and other liabilities	J1.1	5 344	5 137	207
Long-term debt instruments	D2	47 558	47 558	–

Rm		Total financial liabilities	Total financial liabilities recognised at amortised cost	Total financial liabilities recognised at fair value
2023		1 124 677	1 040 562	84 115
Derivative financial instruments		13 802	–	13 802
Amounts owed to depositors ²		1 058 632	988 332	70 300
Provisions and other liabilities		6 703	6 690	13
Long-term debt instruments		45 540	45 540	–

²During 2024 the group identified that the prior-year 'Loans and advances' and 'Amounts owed to depositors' line items amounting to R42,4bn and R23,1bn respectively were incorrectly disclosed in the 'Financial instruments at amortised cost' column instead of the 'At FVTPL mandatorily at fair value – Level 2' column. As a result, the prior-year information has been restated. This restatement has no impact on the 'Loans and advances' and 'Amounts owed to depositors' balance.

Total financial assets classified as level 2		Total financial assets classified as level 3	
2024	2023 (Restated)	2024	2023 (Restated)
53 382	57 364		
16 839	13 450	24	20
4 711	3 321		24
151 391	142 695	2 231	
266	558	7 728	7 116
226 589	217 388	9 983	7 160

FVOCI: Debt instruments		FVOCI: Equity instruments	
2024	2023	2024	2023
60 943	55 200		
		280	283
60 943	55 200	280	283

At FVTPL		
Mandatorily at fair value		
Level 1	Level 2	Level 3
216	84 976	5 643
9	11 436	
	73 540	5 643
207		

At FVTPL		
Mandatorily at fair value		
Level 1	Level 2	Level 3
42	84 073	–
29	13 773	
	70 300	
13		

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
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Summary of fair-value hierarchies

Rm	Total financial liabilities recognised at fair value		Total financial liabilities classified as level 1	
	2024	2023	2024	2023
Derivative financial instruments	11 445	13 802	9	29
Amounts owed to depositors	79 183	70 300		
Provisions and other liabilities	207	13	207	13
	90 835	84 115	216	42

Reconciliation to categorised statement of financial position

Rm	Mandatorily at fair value	
	2024	2023
Level 1	216	42
Level 2	84 976	84 073
Level 3	5 643	
	90 835	84 115

Reconciliation to statement of financial position

Rm	Note	2024	2023
Total financial liabilities	H1	1 212 950	1 124 677
Total equity and non-financial liabilities	H1	113 780	105 879
Total equity and liabilities		1 326 730	1 230 556

The tables presented above analyse the financial assets and financial liabilities that are measured at fair value by level of fair-value hierarchy as required by IFRS 13: Fair Value Measurement. The levels of the hierarchy are defined as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that are accessible at the measurement date.

Level 2: Valuation techniques using market data that is either directly or indirectly observable. Various factors influence the availability of observable data and these may vary from product to product and change over time. Factors include, for example, the depth of activity in the relevant market, the type of product, whether the product is new and not widely traded in the market, the maturity of market modelling and the nature of the transaction (bespoke or generic).

Level 3: Valuation techniques that include significant inputs that are unobservable. To the extent that a valuation is based on inputs that are not market-observable, the determination of the fair value can be more subjective, dependent on the significance of the unobservable inputs to the overall valuation. Unobservable inputs are determined based on the best information available and may include reference to similar instruments, similar maturities, appropriate proxies or other analytical techniques.

Total financial liabilities classified as level 2		Total financial liabilities classified as level 3	
2024	2023	2024	2023
11 436	13 773		
73 540	70 300	5 643	
84 976	84 073	5 643	—

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H2.3 DETAILS OF CHANGES IN VALUATION TECHNIQUES

There have been no material changes to valuation techniques.

H2.4 TRANSFERS BETWEEN LEVELS OF THE FAIR-VALUE HIERARCHY

In terms of the group's policy, transfers of financial instruments between levels of the fair-value hierarchy are deemed to have occurred at the end of the reporting period.

H2.5 LEVEL 3 RECONCILIATION

Financial assets

Rm	Opening balance at 1 January	Gains in non-interest revenue and income in profit for the year
2024		
At FVTPL	6 877	1 170
Derivative financial instruments	20	4
Government and other securities	24	13
Loans and advances		216
Investment securities	6 833	937
At FVOCI – Equity instruments	283	–
Investment securities	283	
Total financial assets classified as level 3	7 160	1 170

Rm	Opening balance at 1 January	Gains/ (Losses) in non-interest revenue and income in profit for the year
2023		
At FVTPL – Mandatorily at fair value	6 305	732
Derivative financial instruments		20
Government and other securities	35	3
Investment securities	6 270	709
At FVOCI – Equity instruments	309	–
Investment securities	309	
Total financial assets classified as level 3	6 614	732

Financial liabilities

Rm	Opening balance at 1 January Rm	Losses in non-interest revenue in profit for the year Rm
2024		
At FVTPL	–	198
Amounts owed to depositors	–	198
Total financial liabilities classified as level 3	–	198

Losses relating to investments in equity instruments at FVOCI and debt instruments at FVOCI in OCI for the year	Purchases	Issues	Sales	Settlements	Transfers from level 2 Rm	Closing balance at 31 December
–	3 858	–	(1 780)	(422)	–	9 703
				(37)		24
	2 041		(26)			–
–	1 817		(1 754)	(385)		2 231
(3)	–	–	–	–	–	7 448
(3)						280
(3)						280
(3)	3 858	–	(1 780)	(422)	–	9 983

Losses relating to investments in equity instruments at FVOCI and debt instruments at FVOCI in OCI for the year	Purchases	Issues	Sales	Settlements	Closing balance at 31 December
–	662	656	(549)	(929)	6 877
				(14)	20
	662	656	(549)	(915)	24
(26)	–	–	–	–	6 833
(26)					283
(26)					283
(26)	662	656	(549)	(929)	7 160

Losses relating to investments in equity instruments at FVOCI and debt instruments at FVOCI in OCI for the year	Purchases Rm	Issues Rm	Sales Rm	Settlements Rm	Transfers from level 2 Rm	Closing balance at 30 June Rm
–	–	5 445	–	–	–	5 643
		5 445				5 643
–	–	5 445	–	–	–	5 643

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H2.6 UNREALISED GAINS

The unrealised gains arising on instruments classified as level 3 include the following:

	2024	2023
Equity investment income	1 368	732
	1 368	732

H2.7 EFFECT OF CHANGES IN SIGNIFICANT UNOBSERVABLE ASSUMPTIONS

The fair value of financial instruments is, in certain circumstances, measured using valuation techniques that include assumptions that are not market-observable. Where these scenarios apply, the group performs stress testing on the fair value of the relevant instruments. When performing the stress testing, appropriate levels for the unobservable input parameters are chosen so that they are consistent with prevailing market evidence and in line with the group's approach to valuation control. The following information is intended to illustrate the potential impact of the relative uncertainty in the fair value of financial instruments for which valuation is dependent on unobservable input parameters that are classified as level 3 in the fair-value hierarchy. However, the disclosure is neither predictive nor indicative of future movements in fair value.

Loan and advances are classified as level 3 due to unobservable inputs that are sensitive to changes in rental cash flows. However, the reasonably possible changes in the unobservable inputs do not have a material impact on the fair value.

Financial liabilities are classified as level 3 due to unobservable inputs that are sensitive to changes in the long-term secured non-ZAR funding spreads. However, the reasonably possible changes in the unobservable inputs do not have a material impact on the fair value.

The group discloses level 3 fair-value instruments as follows:

- Material level 3 fair-value instruments are disaggregated into the relevant industries.
- The quantum of the significant unobservable inputs applied is disclosed.
- The valuation techniques, with descriptions of their nature, for each material level 3 fair-value instrument is disclosed.

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The following table shows the effect of changes in unobservable input parameters to reasonable possible alternative assumptions that significantly impact the fair value.

	Valuation technique	Significant unobservable inputs
Financial assets		
2024		
Investment securities – Industry		
Transportation	Earnings before interest, taxation, depreciation and amortisation (EBITDA)	EBITDA
Asset management	EBITDA	EBITDA (Rm) EBITDA multiple
Telecommunications and technology	Net asset value	Net asset value (Rm) Marketability/liquidity discount
Financial Services	Discounted cash flow	EBITDA margin
	Price-to-earnings and price-to-book multiple	Size discount
Speciality chemicals	EBITDA	Marketability/liquidity discount EBITDA (Rm) EBITDA multiple
	Valuation technique	Significant unobservable inputs
Financial assets		
2023		
Investment securities – Industry		
Retail, consumer products and services, and fast-moving consumer goods	EBITDA	EBITDA (Rm)
Telecommunications	Net asset value	Net asset value (Rm) Marketability/Liquidity discount
Speciality chemicals	EBITDA	EBITDA (Rm) EBITDA multiple
Technology	Revenue/EBITDA multiple	Forecast revenue Revenue multiple Forecast EBITDA EBITDA multiple
Transportation	Net asset value	Marketability/Liquidity discount

Actual significant unobservable inputs applied	Reasonable possible percentage change in significant unobservable inputs	Impact of the change in unobservable inputs on fair value
	%	Rm
3bn	5	9
276m	(6)	(15)
8 times	(7)	(12)
423m	25	5
25%	(5)	1
Between 0% and 50%	Between 3 and 25	Between (6) and (0,4)
30%	(30)	180
15%	(25)	159
15%	(25)	159
R53 million	(25)	Between (24) and (8)
4 times	7	7

Range of actual significant unobservable inputs applied	Reasonable possible percentage change in significant unobservable inputs	Impact of the change in unobservable inputs on fair value
	%	Rm
R389m	(13)	(98)
R690m	(53)	(14)
25%	(10)	4
R78m	(17)	(25)
4 times	(13)	(19)
R189m	(10)	(14)
3 times	(17)	(14)
R50m	(10)	(14)
14 times	(14)	(14)
46%	(7)	10

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS *continued*
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VALUATION TECHNIQUE	
Valuation technique	Description
EBITDA	A valuation technique that measures fair value using earnings before interest, tax, depreciation and amortisation. This method approximates cash flows generated.
Discounted-cash-flow model	A valuation technique that discounts future expected cash flows of a financial instrument. The discount rate is determined using a rate that is adjusted to reflect macroeconomic factors relating to the financial instrument.
Net asset value (NAV)	Estimates the equity value of an entity. The equity value represents the net assets and liabilities.
Revenue multiple	A valuation method that measures the fair value of a financial asset relative to the amount of revenue it generates.
Price-to-earnings and price-to-book multiple	Used for comparison of an entity's share price and earnings generated from that instrument. The higher the ratio, the higher the fair-value multiple. The price-to-book ratio compares the share price of a company with its book value. Both ratios are used as an average to track the movement of an entity in order to determine whether they should be sold or continue to be held for investment purposes.

H3 ASSETS AND LIABILITIES NOT MEASURED AT FAIR VALUE FOR WHICH FAIR VALUE IS DISCLOSED

Certain financial instruments of the group are not carried at fair value and are measured at amortised cost. The calculation of the fair value of the financial instruments incorporates the group's best estimate of the value at which the financial assets could be exchanged, or financial liabilities transferred, between market participants at the measurement date. The group's estimate of what fair value is does not necessarily represent what it would be able to sell the asset for or transfer the respective financial liability for in an involuntary liquidation or distressed sale.

The fair values of these respective financial instruments at the reporting dates detailed below are estimated only for the purpose of IFRS Accounting Standards disclosure:

Rm	Carrying value	Fair value	Level 1	Level 2	Level 3
2024					
Financial assets	916 159	916 727	102 629	16 507	797 591
Government and other securities	101 316	102 629	102 629		
Loans and advances	814 843	814 098		16 507	797 591
Financial liabilities	47 558	48 243	26 185	22 058	–
Long-term debt instruments	47 558	48 243	26 185	22 058	
2023					
Financial assets¹	851 354	848 123	85 437	14 717	747 969
Government and other securities	87 107	85 437	85 437		
Loans and advances ²	764 247	762 686		14 717	747 969
Financial liabilities	45 540	46 107	26 481	19 626	–
Long-term debt instruments	45 540	46 107	26 481	19 626	

¹ During the year, the group reviewed the disclosure of assets and liabilities not measured at fair value for which a fair value is disclosed. As a result of the review, the 'Other short-term securities' line item has been removed from the financial assets subtotal as the carrying value is considered a reasonable approximation of fair value due to its short-term nature. For comparability, this presentation has been applied to the prior and current years.

² During 2024 the group identified that the prior-year 'Loans and advances' line item was overstated in the 'Carrying value' and 'Fair value – Level 3' columns by R42,4bn and R42,3bn respectively. As a result, the prior-year information has been restated.

Loans and advances

Loans and advances, recognised in note C1.1, that are not recognised at fair value principally comprise variable-rate financial assets. The interest rates on these variable-rate financial assets are adjusted when the applicable benchmark interest rate changes.

Loans and advances are not traded actively in most markets and it is therefore not possible to determine the fair value of these loans and advances using observable market prices and market inputs. Due to the unique characteristics of the loans and advances portfolio and the fact that there have been no recent transactions involving the disposal of such loans and advances, there is no basis to determine a price that could be negotiated between market participants in an orderly transaction. The group is not currently in the position of a forced sale of such underlying loans and advances and it would therefore be inappropriate to value the loans and advances on a forced-sale basis.

The group has determined the fair value of the gross exposures for loans and advances measured at amortised cost, which resulted in these assets' fair value being 0,10% lower (2023: 0,21% lower) than the carrying value.

For specifically impaired loans and advances, the carrying value as determined after consideration of the group's IFRS 9 ECL is considered the best estimate of fair value.

The group has developed a methodology and model to determine the fair value of the gross exposures for the performing loans and advances measured at amortised cost. This model incorporates the use of average interest rates and projected monthly cash flows per product type. Future cash flows are discounted using interest rates at which similar loans would be granted to borrowers with similar credit ratings and maturities. Methodologies and models are updated on a continuous basis for changes in assumptions, forecasts and modelling techniques. Future forecasts of the group's PDs and LGDs for the periods 2025 to 2027 (2023: for periods 2024 to 2026) are based on the latest available internal data and are applied to the projected cash flows of the first 3 years. Thereafter, PDs and LGDs are gradually reverted to their long-run averages and are applied to the remaining projected cash flows. Inputs into the model include various assumptions used in the pricing of loans and advances. The determination of such inputs is highly subjective and therefore any change to 1 or more of the assumptions (e.g. interest rates, future forecasts of PDs or LGDs, or macroeconomic conditions) may result in a significant change in the determination of the fair value.

Reasonable bounds for the fair value are estimated to be between 1,09% lower and 0,91% higher (2023: between 1,21% lower and 0,79% higher) than the carrying value.

The fair value of corporate bonds is based on the discounted-cash-flow methodology (level 2).

Government and other securities

The fair value of high-quality South African government bonds listed in an active market is based on the available market prices (level 1) and those that use significant unobservable inputs (level 3). The discounted-cash-flow methodology principles (level 3) are the same as those used to determine the fair value of loans and advances. See note C3 for further details.

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Long-term debt instruments

The fair value of long-term debt instruments is based on the available market prices (level 1). The discounted-cash-flow methodology principles are the same as those used to determine the fair value of loans and advances. Where prices are not quoted or where the market is considered to be inactive, it is based on the discounted-cash-flow analysis (level 2).

Amounts owed to depositors

The amounts owed to depositors principally comprise variable-rate liabilities and hedge-accounted fixed-rate liabilities. The carrying value of the amounts owed to depositors approximates fair value because the instruments reprice to current market rates at frequent intervals. In addition, a significant portion of the balance is callable or is short-term in nature.

Cash and cash equivalents, other assets, mandatory deposits with central banks, other short-term securities and provisions and other liabilities

The carrying values of cash and cash equivalents, other assets, mandatory deposits with central banks, other short-term securities and provisions and other liabilities are considered a reasonable approximation of their respective fair values, as they are either short-term in nature or are repriced to current market rates at frequent intervals.

H4 FINANCIAL INSTRUMENTS DESIGNATED AS FAIR VALUE THROUGH PROFIT OR LOSS

The group has satisfied the criteria for designation of financial instruments as FVTPL in terms of the accounting policies.

Various fixed-rate advances and liabilities are entered into by the group. The overall interest rate risk of the group is economically hedged by way of interest rate swaps and managed by Group Asset and Liability Management and Executive Risk Committee (Group ALCO). The interest rate risk is then traded to the market through the central trading desk.

The swaps and front-desk trading instruments meet the definition of 'derivatives', and are measured at fair value in terms of IFRS 9. Fixed-rate advances and liabilities, however, do not meet this definition. Therefore, to avoid any accounting mismatch of holding the advances at amortised cost and the hedging instruments at fair value, the advances and liabilities are designated as FVTPL and are held at fair value.

Various instruments are designated as FVTPL, which is consistent with the group's documented risk management or investment strategy. The fair value of the instruments is managed and reviewed regularly by the risk/investment functions of the group. The risk of the portfolio is measured and monitored on a fair-value basis.

H4.1 Financial assets designated as FVTPL

Rm	Maximum exposure to credit risk	
	2024	2023
Loans and advances (secured and unsecured)	7 131	6 417
Unlisted investments	29	20
	7 160	6 437

Nedbank Group has estimated the change in credit risk as being the amount arising from the change in fair value of the financial instrument that is not attributable to changes in market conditions that give rise to market risk. Individual credit spreads for loans or receivables that have been designated as FVTPL are determined at the inception of the deal. The credit spread is calculated as the difference between the benchmark interest rate and the interest rate the client is charged. Subsequent changes in the benchmark interest rate and the credit spread give rise to changes in fair value in the financial instrument. Loans and advances are reviewed for observable changes in credit risk and the credit spread is adjusted at subsequent dates if there has been an observable change in credit risk relating to a particular loan or advance. No credit derivatives are used to hedge the credit risk on any of the financial assets designated as FVTPL.

A breakdown of the financial assets that are designated as FVTPL can be found in note H1. A detailed explanation of how each financial asset is valued can be found in note H2.1.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER

H5 OFFSETTING FINANCIAL ASSETS AND FINANCIAL LIABILITIES

ACCOUNTING POLICY

Financial assets and liabilities are offset and the net amount is reported in the statement of financial position only when the group has a legally enforceable right to set off the financial asset and financial liability and the group has an intention of settling the asset and liability on a net basis or realising the asset and settling the liability simultaneously. Income and expense items are offset only to the extent that their related instruments have been offset in the statement of financial position.

In accordance with the requirements of IFRS 7: Instruments – Disclosures, the table below sets out the impact of:

- recognised financial instruments that are set off in the statement of financial position in accordance with the requirements of IAS 32: Financial Instruments – Presentation; and
- financial instruments that are subject to an enforceable master netting arrangement or similar agreement that covers similar financial instruments and transactions that did not qualify for presentation on a net basis.

The group reports financial assets and financial liabilities on a net basis in the statement of financial position only if there is a legally enforceable right to set off the recognised amounts and there is intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Certain master netting arrangements may not meet the criteria for offsetting in the statement of financial position because:

- these agreements create a right of set-off that is enforceable only following an event of default, insolvency or bankruptcy; and
- the group and its counterparties do not intend to settle on a net basis or to realise the assets and settle the liabilities simultaneously.

Master netting arrangements and similar agreements include derivative clearing agreements, global master repurchase agreements and global master securities lending agreements. These create a right to offset in the event of default, insolvency or bankruptcy.

Similar financial instruments include derivatives, sales and repurchase agreements, reverse sale and repurchase agreements, and securities borrowing and lending agreements. Only loans and deposits that are offset in the statement of financial position are included in the table below. These consist largely of cash management accounts where the right to offset outstanding balances is created by agreements between the company and the client.

2024

	Effects of netting on the statement of financial position			Related amounts not offset in the statement of financial position			
	Gross amounts	Amounts offset in the statement of financial position in accordance with IAS 32	Net amounts included in the statement of financial position ¹	Amounts that may be netted off on the occurrence of a future event	Net amounts reflecting the effect of master netting arrangements	Amounts not subject to IFRS 7 offsetting disclosure ²	Total amounts recognised in the statement of financial position
Rm							
Financial assets							
Derivative financial assets	44 864	(30 025)	14 839	(6 140)	8 699	2 027	16 866
Loans and advances	82 989	(77 468)	5 521		5 521	962 943	968 464
Cash and cash equivalents	3 050	(2 418)	632		632	42 685	43 317
Total financial assets	130 903	(109 911)	20 992	(6 140)	14 852	1 007 655	1 028 647
Financial liabilities							
Derivative financial liabilities	(42 592)	32 341	(10 251)	6 140	(4 111)	(1 194)	(11 445)
Amounts owed to depositors	(104 359)	77 569	(26 790)		(26 790)	(1 121 813)	(1 148 603)
Total financial liabilities	(146 951)	109 910	(37 041)	6 140	(30 901)	(1 123 007)	(1 160 048)

¹ Includes the net amount of financial assets and financial liabilities where offsetting has been applied in terms of IAS 32 and financial instruments that are subject to master netting agreements, but where no offsetting has been applied. Excludes financial instruments that are subject neither to set-off nor to master netting agreements.

² Includes financial instruments that are subject neither to set-off nor master netting agreements.

2023

	Effects of netting on the statement of financial position			Related amounts not offset in the statement of financial position			
	Gross amounts	Amounts offset in the statement of financial position in accordance with IAS 32	Net amounts included in the statement of financial position ¹	Amounts that may be netted off on the occurrence of a future event	Net amounts reflecting the effect of master netting arrangements	Amounts not subject to IFRS 7 offsetting disclosure ²	Total amounts recognised in the statement of financial position
Rm							
Financial assets							
Derivative financial assets	50 654	(37 976)	12 678	(6 800)	5 878	861	13 539
Loans and advances	65 859	(60 133)	5 726		5 726	901 216	906 942
Cash and cash equivalents	3 316	(1 961)	1 355		1 355	39 256	40 611
Total financial assets	119 829	(100 070)	19 759	(6 800)	12 959	941 333	961 092
Financial liabilities							
Derivative financial liabilities	(48 146)	35 270	(12 876)	6 800	(6 076)	(926)	(13 802)
Amounts owed to depositors	(88 443)	64 800	(23 643)		(23 643)	(1 034 991)	(1 058 634)
Total financial liabilities	(136 589)	100 070	(36 519)	6 800	(29 719)	(1 035 917)	(1 072 436)

¹ Includes the net amount of financial assets and financial liabilities where offsetting has been applied in terms of IAS 32 and financial instruments that are subject to master netting agreements, but where no offsetting has been applied. Excludes financial instruments that are subject neither to set-off nor to master netting agreements.

² Includes financial instruments that are subject neither to set-off nor to master netting agreements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER

H6 COLLATERAL

ACCOUNTING POLICY

Financial and non-financial assets are held as collateral in respect of recognised financial assets. Such collateral, except cash collateral, is not recognised by the group, as the group does not retain the risks and rewards of ownership, and is obliged to return such collateral to counterparties on settlement of the related obligations. Should a counterparty be unable to settle its obligations, the group takes possession of collateral or calls on other credit enhancements as full or part settlement of such amounts. These assets are recognised when the applicable recognition criteria under IFRS Accounting Standards are met, and the group's accounting policies are applied from the date of recognition.

Cash collateral is recognised when the group receives the cash and is reported as amounts owed to depositors. Collateral is also given to counterparties under certain financial arrangements, but such assets are not derecognised where the group retains the risks and rewards of ownership. Such assets are at risk to the extent that the group is unable to fulfil its obligations to counterparties.

H6.1 COLLATERAL PLEDGED

The group has pledged government and other securities (note C3) and negotiable certificates of deposit (note C4) amounting to R19 003m (2023: R13 491m) as collateral for deposits received under repurchase agreements, of which R18 834m (2023: R13 120m) relates to sell- or buybacks. These amounts represent assets that have been transferred but that do not qualify for derecognition under IFRS 9. The associated liabilities of R18 834m (2023: R13 120m), of which Rnil (2023: Rnil) relates to sell- or buybacks, are disclosed in note D1.

H6.2 COLLATERAL HELD TO MITIGATE CREDIT RISK

Credit risk mitigation refers to the actions that can be taken by the group to manage its exposure with credit risk so as to align such exposure with its risk appetite. This action can be proactive or reactive and the level of mitigation that a bank desires may be influenced by external factors such as the economic cycle or internal factors such as a change in risk appetite.

References to credit risk mitigation normally focus on the taking of collateral as well as the management of such collateral. While collateral is an essential component of credit risk mitigation, there are a number of other methods used for mitigating credit risk. The group's credit risk policy acknowledges the role to be played by credit risk mitigation in the management of credit risk, but emphasises that collateral on its own is not necessarily a justification for lending. The primary consideration for any lending opportunity should rather be the borrower's financial position and ability to repay the facility from its own resources and cash flow.

The group generally segregates collateral received into the following 2 classes:

Financial collateral

The group takes financial collateral to support credit exposures in the trading book. This includes cash and debt securities in respect of derivative transactions.

These transactions are entered into under terms and conditions that are standard industry practice in securities borrowing and lending activities.

Non-financial collateral

In secured financial transactions, the group takes other physical collateral to recover outstanding exposure in the event of the borrower being unable or unwilling to fulfil its obligations. This includes mortgages over property (both residential and commercial), liens over business assets (including plant, vehicles, aircraft, inventories, trade debtors and financial securities that have a tradable market, such as shares and other securities) and guarantees from parties other than the borrower.

Should a counterparty be unable to settle its obligations, the group takes possession of collateral as full or part settlement of such amounts. In general, the group seeks to dispose of such property and other assets that are not readily convertible to cash as soon as the market for the relevant asset permits.

The group monitors the concentration levels of collateral to ensure that it is adequately diversified. In particular, the following collateral types are common in the marketplace:

Retail portfolio

- Mortgage lending that is secured by mortgage bonds over residential property.
- Instalment credit transactions that are secured by the assets financed.
- Overdrafts that are either unsecured or secured by guarantees, suretyships or pledged securities.

Wholesale portfolio

- Commercial properties that are supported by the property financed and a cession of the leases.
- Instalment-credit-type transactions that are secured by the assets financed.
- Working capital facilities when secured, usually by either a claim on specific assets (fixed assets, inventories or trade debtors) or other collateral, such as guarantees.
- Term and structured lending, which usually relies on guarantees or credit derivatives (where only internationally recognised and enforceable agreements are used).
- Credit exposure to other banks, where the risk is commonly mitigated through the use of financial control and netting agreements.

The valuation and management of collateral across all business units of the group are governed by the group's credit risk policy.

Management considers collateral held in the retail portfolio to be homogeneous by nature and therefore more reliably identifiable. Generally, valuations in respect of mortgage portfolios are updated using statistical index models, published data by service providers are used for motor vehicles, and physical inspection is performed for other types of collateral. Physical valuations are performed every 6 months on the defaulted book.

Management considers collateral held in the wholesale portfolio to be non-homogeneous and often exhibiting illiquid characteristics and therefore valuing collateral of this nature requires a significant level of judgement. Collateral of this nature is valued at the inception of a transaction and at least annually during the life of the transaction, usually as part of the facility review, which includes a review of the security structure and covenants to ensure that proper title is retained over the relevant collateral.

A further consideration with regard to the valuation and management of collateral is that when credit intervention is required, or in the case of default, all items of collateral relating to that particular client portfolio are immediately revalued. In such instances physical inspection by an expert valuer is required. This process also ensures that an appropriate impairment is evaluated timeously.

As part of the reverse repurchase agreements, the group has received securities as collateral that are allowed to be sold or repledged in the absence of default. The fair value of these securities at the reporting date amounts to R19 281m (2023: R17 544m). None of these securities have been sold or repledged.

H6.3 COLLATERAL TAKEN POSSESSION OF AND RECOGNISED IN THE STATEMENT OF FINANCIAL POSITION

Included in properties in possession (note G3) is an amount of R69m (2023: R79m), which represents retail assets the group has acquired during the year by taking possession of collateral held as security.

SECTION I: SHARE-BASED PAYMENTS

ACCOUNTING POLICY

Equity-settled share-based payment transactions with employees

The group receives services from employees as consideration for equity instruments of the group. The fair value of the employee services is measured at the grant date, by reference to the fair value of the equity instruments.

Where the equity instruments do not vest until the employee has completed a specified period of service, it is assumed that the services rendered by the employee, as consideration for the equity instruments, will be received in the future during the vesting period. The services are accounted for in profit or loss in the statement of comprehensive income as they are rendered during the vesting period, with a corresponding increase in equity. The amount recognised as an expense is adjusted to reflect the number of share awards for which the related service and non-market performance vesting conditions are expected to be met, such that the amount ultimately recognised as an expense is based on the number of share awards that do meet the related service and non-market performance conditions at the vesting date. Where the equity instruments are no longer outstanding, the accumulated share-based payment reserve in respect of those equity instruments is transferred to retained earnings.

Nedbank Group Limited equity instruments in respect of Nedbank Group Limited shares are granted to employees as part of their remuneration package as services are rendered.

Cash-settled share-based payment transactions with employees

The cost of cash-settled transactions is measured initially at fair value at the grant date. The fair value is expensed over the period until the vesting date, with recognition of a corresponding liability. The liability is remeasured to fair value at each reporting date, up to and including the settlement date, with changes in fair value recognised in the statements of comprehensive income as staff costs.

Measurement of fair value of equity instruments granted

The equity instruments granted by the group are measured at fair value at the measurement date using standard-option pricing valuation models. The valuation technique is consistent with generally acceptable valuation methodologies for pricing financial instruments and incorporates all factors and assumptions that knowledgeable, willing market participants would consider in setting the price of the equity instruments. Vesting conditions, other than market conditions, are not taken into account in determining fair value. Vesting conditions are taken into account by adjusting the number of equity instruments included in the measurement of the transaction amount.

Share-based payment transactions with persons or entities other than employees

Transactions in which equity instruments are issued to historically disadvantaged individuals and organisations in South Africa (SA) for less than fair value are accounted for as share-based payments. Where the group has issued such instruments and expects to receive services in return for equity instruments, the share-based payments charge is spread over the related vesting (i.e. service) period. In instances where such services could not be identified, the cost is expensed with immediate effect. The valuation techniques are consistent with those mentioned above.

As the group cannot estimate reliably the fair value of services received or the value of additional benefits received, the group rebuts the presumption that such services and business can be measured reliably. The group therefore measures its fair value by reference to the fair value of the shares, share options or equity instruments granted, in line with the group's accounting policy. For the non-option equity awards, the fair value is measured by reference to the listed share price, which includes the participant's right to dividends over the vesting period.

The following are the share schemes that have been in place during the year. All schemes are equity-settled at group level, except the Nedbank United Kingdom (UK) schemes, the Nedbank Wealth Management International schemes and the Nedbank Africa scheme, all of which are cash-settled. The latter all fall under the umbrella of 1 phantom scheme. For our international and Nedbank Africa Regions operations long-term incentives (LTIs) are made on a phantom basis, mirroring the Nedbank Group (2005) Employee Share Scheme in design and structure.

I1 DESCRIPTION OF ARRANGEMENTS

Traditional employee schemes

SCHEME	TRUST/SPECIAL-PURPOSE VEHICLE (SPV)	DESCRIPTION	VESTING REQUIREMENTS	MAXIMUM TERM
Nedbank Group (2005) Share Option and Restricted-share Scheme	Nedbank Group (2005) Share Scheme Trust	Restricted shares, granted as part of the LTI scheme, are awarded with the joint aim of aligning the interests of stakeholders and retaining employees with regard to whom at least 1 item in both the primary and the secondary lenses applies: Primary lens: • Senior talent with direct influence on strategy; and/or • Truly critical or highly mobile skills with high impact of loss. Secondary lens: • AIC talent, with emphasis on under-represented categories, and acknowledgement of the more urgent category being African. • Evidence of flight risk, such as recent competitor poaching attempts. • Proven gaps to market on competitiveness of total remuneration. • Being mapped to the cluster talent grid and or succession plan. All LTIs are discretionary and motivated by the Group Executive Committee (Group Exco) and approved by Group Remuneration Committee (Group Remco) members in their capacity as trustees of the Nedbank (2005) Employee Share Scheme Trust. Grants are made twice a year for new appointments and annually for existing employees, on a date determined by the trustees.	For the 2021 tranche the 3 years' service and achievement of performance targets are based on average return on equity (including goodwill) and cumulative 3-year DHEPS growth metric. The cost-to-income ratio was replaced by business recovery metrics in 2021. For the 2022 tranche the 3 years' service and achievement of performance targets are based on ROE (including goodwill) at 2024 and DHEPS CAGR growth being higher than CPI + GDP. The business recovery metrics were replaced by a 2024 cost-to-income ratio metric, which is applicable to all employees. In addition, the grants include performance metrics against environmental, social and, strategic commitments (based on Strategic Portfolio Tilt (SPT 2.0), Target Operating Model (TOM2.0) and Managed Evolution metrics) applicable to all employees. For the 2023 tranche the 3 years' service and achievement of performance targets are based on ROE (including goodwill) at 2025 and DHEPS CAGR growth being higher than CPI + GDP and a 2025 cost-to-income metric, which is applicable to all employees. In addition, the grants include performance metrics against environmental, social and, strategic commitments (based on SPT 2.0 metrics) and individual performance conditions applicable to all employees. For the 2024 tranche the 3 years' service and achievement of performance targets are based on ROE (including goodwill) at 2026 and DHEPS CAGR growth being higher than CPI + GDP and a 2026 cost-to-income metric, which is applicable to all employees. In addition, the grants include performance metrics against environmental, social, strategic commitments (based on SPT 2.0, Nedbank Africa Regions and Digital Transformation) and individual performance conditions applicable to all employees.	3 years
Nedbank Group (2005) Matched-share Scheme	Nedbank Group (2005) Share Scheme Trust	All employees of the group are eligible to participate in the scheme. All compulsory bonus scheme participants are obliged to participate. An amount of not more than 50% of their after-tax bonus can be invested, which will be matched by the group with shares.	Completion of 3 years' service and achievement of Nedbank Group Limited ROE performance targets. Failure to meet the performance targets and provided the 3 years' service requirement has been completed will result in the following outcomes: 50% vesting for all employees excluding Group Exco and cluster exco members across all the years of issue. 50% for Group Exco members and cluster exco members, for the 2021 tranche. 0% for Group Exco members and 25% cluster exco members, for the 2022 tranche. 0% for Group Exco and cluster exco members, for the 2023 and 2024 tranches.	3 years

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SCHEME	TRUST/SPECIAL- PURPOSE VEHICLE	DESCRIPTION	VESTING REQUIREMENTS	MAXIMUM TERM
Nedbank UK Long-term Incentive Plan (LTIP)	N/A	Restricted phantom units, granted as part of the LTI scheme, are awarded with the joint aim of aligning the interests of stakeholders and retaining key employees. Restricted phantom units are granted employees with regard to whom at least 1 item in both the primary and secondary lenses applies: Primary lens: • Senior talent with direct influence on strategy. • Truly critical or highly mobile skills with high impact of loss and Secondary lens: • AIC talent, with emphasis on underrepresented categories and acknowledgement of the more urgent category being African. • Evidence of flight risk, such as recent competitor poaching attempts. • Proven gaps to market on competitiveness of total remuneration. • Being mapped to the cluster talent grid and/or succession plan. Grants are made twice a year for new appointments and annually for existing employees on a date determined by the trustees.	Completion of 3 years' service, from the grant date, subject to corporate performance targets (CPTs), same as the Nedbank Group (2005) Share Option and Restricted-share Scheme and individual performance targets being met.	3 years
Nedbank UK Matched-share Scheme	N/A	All UK employees of the group are eligible to participate in the scheme. An amount of not more than 50% of their after-tax bonus can be invested, which will be matched by the group with restricted phantom units.	Completion of 3 years' service, from the grant date, subject to CPTs being met. Where these performance targets are not met, the same criteria will apply as the Nedbank Group (2005) Matched-share Scheme.	3 years
Nedbank Wealth Management International Long-term Incentive Plan (LTIP)	N/A	Restricted phantom units, granted as part of the LTI scheme, are awarded with the joint aim of aligning the interests of stakeholders and retaining key employees. Restricted phantom units are granted employees with regard to whom at least 1 item in both the primary and secondary lenses applies: Primary lens: • Senior talent with direct influence on strategy. • Truly critical or highly mobile skills with high impact of loss. Secondary lens: • AIC talent, with emphasis on underrepresented categories and acknowledgement of the more urgent category being African. • Evidence of flight risk, such as recent competitor poaching attempts. • Proven gaps to market on competitiveness of total remuneration. • Being mapped to the cluster talent grid and/or succession plan. Grants are made twice a year for new appointments and annually for existing employees on a date determined by the trustees.	Completion of 3 years' service, from the grant date, subject to CPTs same as the Nedbank Group (2005) Share Option and Restricted-share Scheme and individual performance targets being met.	3 years

Nedbank Wealth Management International Matched-share Scheme	N/A	All Nedbank Wealth Management International employees of the group are eligible to participate in the scheme. An amount of not more than 50% of their after-tax bonus can be invested, which will be matched by the group with restricted phantom units.	Completion of 3 years' service, from the grant date, subject to CPTs being met. Where these performance targets are not met, the same criteria will apply as the Nedbank Group (2005) Matched-share Scheme.	3 years
Nedbank Africa Restricted-share Scheme	N/A	Restricted phantom units, granted as part of the LTI scheme, are awarded with the joint aim of aligning the interests of stakeholders and retaining key employees. Restricted phantom units are granted employees with regard to whom at least 1 item in both the primary and secondary lenses applies: Primary lens: • Senior talent with direct influence on strategy. • Truly critical or highly mobile skills with high impact of loss. Secondary lens: • AIC talent, with emphasis on underrepresented categories and acknowledgement of the more urgent category being African. • Evidence of flight risk, such as recent competitor poaching attempts. • Proven gaps to market on competitiveness of total remuneration. • Being mapped to the cluster talent grid and/or succession plan. Grants are made twice a year for new appointments and annually for existing employees on a date determined by the trustees.	Completion of 3 years' service, from the grant date, subject to CPTs, same as the Nedbank Group (2005) Share Option and Restricted-share Scheme and individual performance targets being met.	3 years
Nedbank Africa Matched-share Scheme	N/A	All employees of the group are eligible to participate in the scheme. An amount of not more than 50% of their after-tax bonus can be invested, which will be matched by the group with restricted phantom units.	Completion of 3 years' service, from the grant date, subject to CPTs being met. Where these performance targets are not met, the same criteria will apply as the Nedbank Group (2005) Matched-share Scheme.	3 years

12 EFFECT ON PERFORMANCE AND FINANCIAL POSITION

Rm	Share-based payments expense		Share-based payments reserve/liability	
	2024	2023	2024	2023
Traditional employee schemes	747	1 014	3 218	2 688
Nedbank Group (2005) Share Option and Restricted-share Scheme	581	801	2 844	2 293
Nedbank Group (2005) Matched-share Scheme	79	134	245	237
Nedbank UK Long-term Incentive Plan ¹	26	21	34	43
Nedbank UK Matched-share Scheme ¹	4	3	8	4
Nedbank Wealth Management International Long-term Incentive Plan ¹	25	26	37	53
Nedbank Wealth Management International Matched-share Scheme ¹	2	2	3	3
Nedbank Africa Restricted-share Scheme and Matched-share Scheme ¹	30	27	47	55
	747	1 014	3 218	2 688

¹ This scheme is cash-settled and therefore creates a liability.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
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13 MOVEMENTS IN NUMBER OF INSTRUMENTS

	2024		2023	
	Number of instruments	Weighted-average exercise price	Number of instruments	Weighted-average exercise price
Nedbank Group (2005) Share Option and Restricted-share Scheme				
Outstanding at the beginning of the year	16 577 839		16 946 909	
Granted	5 268 545		4 783 068	
Forfeited	(419 835)		(501 653)	
Transfers	(2 279)			
Exercised	(7 637 393)		(4 650 485)	
Outstanding at the end of the year	13 786 877		16 577 839	
Weighted-average share price for share instruments exercised (R)		230,29		207,96
Nedbank Group (2005) Matched-share Scheme				
Outstanding at the beginning of the year	2 917 857		3 238 649	
Granted	1 131 567		1 405 560	
Forfeited	(169 518)		(170 401)	
Exercised	(688 186)		(1 555 951)	
Outstanding at the end of the year	3 191 720		2 917 857	
Weighted-average share price for share instruments exercised (R)		228,67		216,85
Nedbank UK Long-term Incentive Plan				
Outstanding at the beginning of the year	249 687		224 161	
Granted	105 503		62 400	
Forfeited			(1 164)	
Transfers	2 279			
Exercised	(107 226)		(35 710)	
Outstanding at the end of the year	250 243		249 687	
Nedbank UK Matched-share Scheme				
Outstanding at the beginning of the year	40 121		17 913	
Granted	25 376		23 802	
Forfeited	(2 638)			
Exercised	(2 189)		(1 594)	
Outstanding at the end of the year	60 670		40 121	
	2024		2023	
	Number of instruments	Weighted-average exercise price	Number of instruments	Weighted-average exercise price
Nedbank Wealth Management International Long-term Incentive Plan				
Outstanding at the beginning of the year	332 636		274 424	
Granted	131 493		126 437	
Forfeited	(21 163)		(5 999)	
Exercised	(136 064)		(62 226)	
Outstanding at the end of the year	306 902		332 636	
Nedbank Wealth Management International Matched-share Scheme				
Outstanding at the beginning of the year	25 258		24 948	
Granted	10 069		11 201	
Forfeited	(1 500)		(105)	
Exercised	(9 233)		(10 786)	
Outstanding at the end of the year	24 594		25 258	
Nedbank Africa Restricted-share Scheme				
Outstanding at the beginning of the year	374 122		303 390	
Granted	126 583		126 619	
Forfeited	(11 625)		(12 431)	
Exercised	(138 747)		(43 456)	
Outstanding at the end of the year	350 333		374 122	
Nedbank Africa Matched-share Scheme				
Outstanding at the beginning of the year	24 637		19 041	
Granted	19 795		14 584	
Forfeited	(5 897)		(1 855)	
Exercised	(2 515)		(7 133)	
Outstanding at the end of the year	36 020		24 637	

14 INSTRUMENTS OUTSTANDING AT THE END OF THE YEAR

	2024		2023	
	Number of instruments	Weighted-average remaining contractual life (years)	Number of instruments	Weighted-average remaining contractual life (years)
Nedbank Group (2005) Share Option and Restricted-share Scheme	13 786 877	1,3	16 577 839	1,1
Nedbank Group (2005) Matched-share Scheme	3 191 720	1,3	2 917 857	1,5
Nedbank UK Long-term Incentive Plan	250 243	1,3	249 687	1,1
Nedbank UK Matched-share Scheme	60 670	1,4	40 121	1,8
Nedbank Wealth Management International Long-term Incentive Plan	306 902	1,5	332 636	1,5
Nedbank Wealth Management International Matched-share Scheme	24 594	1,4	25 258	1,4
Nedbank Africa Restricted-share Scheme	350 333	1,4	374 122	1,4
Nedbank Africa Matched-share Scheme	36 020	1,6	24 637	1,7

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15 INSTRUMENTS GRANTED DURING THE YEAR

	Nedbank Group (2005) Share Option and Restricted- share Scheme ¹	Nedbank Group (2005) Matched- share Scheme ²
2024		
Number of instruments granted	5 268 545	1 131 567
Weighted-average fair value per instrument granted (R)	232,81	176,86
Weighted-average share price (R)	232,81	228,67
Weighted-average life (years)	3	3
Number of participants	1694	2070
Weighted-average vesting period (years)	3	3
2023		
Number of instruments granted	4 783 068	1 405 560
Weighted-average fair value per instrument granted (R)	212,79	172,16
Weighted-average share price (R)	212,79	216,85
Weighted-average life (years)	3	3
Number of participants	1 696	2 387
Weighted-average vesting period (years)	3	3

¹ The weighted-average fair value of instruments granted during the year has been calculated using the closing price of Nedbank Group Limited quoted on the JSE.

² The weighted-average fair value of instruments granted during the year has been calculated using the closing price of Nedbank Group Limited quoted on the JSE of R176,86 (2023: R172,16), less the present value of dividends anticipated over the vesting period. A dividend yield of 8,94% (2023: 7,99%) has been incorporated into the measurement of the fair value.

Nedbank UK Long-term Incentive Plan ¹	Nedbank UK Matched Scheme ¹	Nedbank Wealth Management International Long-term Incentive Plan ¹	Nedbank Wealth Management International Matched Scheme ¹	Nedbank Africa Restricted- share Scheme ¹	Nedbank Africa Matched- share Scheme ¹
105 503	25 376	131 493	10 069	126 583	19 795
228,16	228,67	229,80	228,67	228,16	228,67
228,16	228,67	229,80	228,67	228,16	228,67
3	3	3	3	3	3
28	9	20	22	73	138
3	3	3	3	3	3
62 400	23 802	126 437	11 201	126 619	14 584
212,95	229,60	211,80	216,85	212,03	216,85
212,95	229,60	211,80	216,85	212,03	216,85
3	3	3	3	3	3
24	9	18	24	80	91
3	3	3	3	3	3

SECTION J: OTHER LIABILITIES

J1 PROVISIONS AND OTHER LIABILITIES

ACCOUNTING POLICY

Provisions

Provisions are recognised when the group has a present legal or constructive obligation as a result of a past event in respect of which it is probable that an outflow of economic benefits will occur and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the reasonable estimate of the expenditure required to settle the obligation at the reporting date. Where the effect of discounting is material, the provision is discounted. The discount rate reflects current market assessments of the time value of money and, where appropriate, risks specific to the liability. Gains from the expected disposal of assets are not taken into account in measuring provisions. Provisions are reviewed at each reporting date and adjusted to reflect the current reasonable estimate. If it is no longer probable that an outflow of resources will be required to settle the obligation, the provision is reversed.

Reimbursements

Where some or all of the expenditure required to settle a provision is expected to be reimbursed by a party outside the group, the reimbursement is recognised when it is virtually certain that it will be received if the group settles the obligation. The reimbursement is recorded as a separate asset at an amount not exceeding the related provision. The expense for the provision is presented net of the reimbursement in profit or loss.

Onerous contracts

A provision for onerous contracts is recognised when the expected benefits to be derived by the group from an executory contract are lower than the unavoidable cost of meeting the obligations under the contract. Future operating costs or losses are not provided for.

Client loyalty

When a cardholder makes a purchase that is regarded as eligible spend, the person or entity is granted points that can be redeemed at a later date for goods or services. Points do not expire, unless a client is delinquent or dormant, in which case the points accrued are forfeited as stated in the terms and conditions. Client loyalty programmes are accounted for in accordance with IFRS 15 and a contract liability is recognised. The revenue normally earned by the group when clients transact on their Nedbank cards is reduced by the expected amount payable arising from the issue of points.

If the expectation regarding the amount to be paid changes, this is recognised in revenue. When the group settles the liability, there will be an additional revenue recognised and the costs will be offset against the liability.

Lease liabilities

Initial and subsequent measurement

The lease liability is initially measured at a present value of unpaid lease payments at the start date (the date the underlying asset is available for use). The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be determined, the group uses the incremental borrowing rate, being the rate that the group would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

The lease payments include:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- amounts expected to be payable by the group under residual-value guarantees;
- variable lease payments that are based on an index or a rate;
- the exercise price of a purchase option if the group is reasonably certain to exercise that option; and
- payments of penalties for terminating the lease, if the group is reasonably certain to exercise that option.

The lease liability is subsequently measured under IFRS 9 at amortised cost using the effective-interest method. Interest expense is recognised in profit or loss and capitalised to the lease liability.

Reassessment of lease liability

After the start date the group remeasures the lease liability to reflect changes to the lease payments. The carrying amount of the lease liability is remeasured by discounting the revised lease payments using a revised discount rate if:

- there is a change in the lease term; or
- the group changes its assessment of whether it will exercise an option to purchase the underlying asset.

The carrying amount of the lease liability is remeasured by discounting the revised lease payments using the original discount rate if there is a change in:

- the amounts expected to be payable under a residual-value guarantee; or
- in future lease payments resulting from a change in an index or a rate used to determine those payments.

If the change in lease payments results from a change in floating rates, the group uses a revised discount rate that reflects changes in the interest rate.

The group recognises the amount of the remeasurement of the lease liability as an adjustment to the right-of-use asset. When corresponding adjustments to the right-of-use asset reduces the carrying amount to zero, the group recognises any remaining amount of the remeasurement in profit or loss.

Lease modifications

The group accounts for modifications as a separate lease using a new discount rate if the modification is a material economic alteration of the initial contract. This would occur if the modification in question:

- increases the scope of the lease by adding the right to use 1 or more underlying assets; and
- the consideration for the lease increases by an amount commensurate with the stand-alone price for the increase in scope and any appropriate adjustments to that stand-alone price to reflect the circumstances of the particular contract.

For a lease modification that does not meet the criteria to be recognised as a separate lease at the effective date of the lease modification, the group accounts for the lease by:

- allocating the consideration in the modified contract between lease and non-lease components;
- determining the lease term of the modified lease; and
- remeasuring the lease liability by discounting the revised lease payments using a revised discount rate. The revised discount rate is determined as the interest rate implicit in the lease for the remainder of the lease term if that rate can be readily determined, or is determined as the group's incremental borrowing rate at the effective date of the modification, if the interest rate implicit in the lease cannot be readily determined.

Additionally, for a lease modification that is not accounted for as a separate lease, the group accounts for the remeasurement of the lease liability by doing the following:

- Decreasing the carrying amount of the right-of-use asset to reflect the partial or full termination of the lease for lease modifications that decrease the scope of the lease. The group recognises in profit or loss any gain or loss relating to the partial or full termination of the lease.
- Making a corresponding adjustment to the right-of-use asset for all other lease modifications.

Variable lease expense

The group recognises variable lease expenses not contingent or dependent on an index or a rate as an expense in profit or loss in the period in which the event or condition that triggers the payment occurs.

Short-term leases and leases of low-value assets

Payments associated with short-term leases and leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or fewer. Low-value assets comprise computer equipment and small items of office furniture. Leases with values of less than R20 000 are considered low-value leases. The group does not recognise right-of-use assets and lease liabilities for short-term and low-value leases.

The group considers a short-term lease to be a new lease if:

- there is a lease modification; or
- there is any change in the lease term (for example the group exercises an option not previously included in its determination of the lease term).

Derecognition

Termination of a lease, partially or fully, results in derecognition of the right-of-use asset and the corresponding lease liability. The group recognises any profit or loss in the period in which the termination occurs.

Critical judgements and assumptions

Discount rates

The group's incremental borrowing rate is lease-specific and is determined using an array of assumptions and judgements surrounding the characteristics of the contract. The group considers:

- the credit risk of the group (swap yield curves are also used as anchors for most leases);
- the tenor of the lease; and
- the economic environment (the country, the currency and the date that the lease is entered into) in which the transaction occurs.

Refer to note F1 for accounting policies applied for right-of-use assets.

J1.1 Analysis of carrying amount

	2024 Rm	2023 Rm
Creditors and other accounts	8 834	9 943
Client loyalty programmes liability	395	369
Short-trading securities and spot positions	208	13
Provision for the impairment of off-balance-sheet items	374	237
Bonus accrual (note J1.2)	3 128	2 785
Leave pay accrual (note J1.3)	1 045	986
Lease liabilities (note J1.5)	1 838	1 819
	15 822	16 152

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J1.2 Bonus accrual

	2024 Rm	2023 Rm
Balance at the beginning of the year	2 785	2 705
Recognised in profit or loss	3 108	2 773
Used during the year	(2 764)	(2 701)
Foreign currency translation and other movements	(1)	8
Balance at the end of the year	3 128	2 785

J1.3 Leave pay accrual

	2024 Rm	2023 Rm
Balance at the beginning of the year	986	985
Recognised in profit or loss	403	393
Used during the year	(344)	(392)
Balance at the end of the year	1 045	986

J1.4 Day 1 gains and losses

The group enters into transactions where the fair value of the financial instruments is determined using valuation models for which certain inputs are not based on market-observable prices or rates. Such financial instruments are initially recognised at the transaction price, which is the best indicator of fair value. The transaction price may differ from the valuation amount obtained, giving rise to a day 1 gain or loss.

The difference between the transaction price and the valuation amount, commonly referred to as 'day 1 gain or loss', is deferred and either amortised over the life of the transaction, deferred until the instrument's fair value can be determined using market-observable inputs, or realised when the financial instrument is derecognised.

	2024 Rm	2023 Rm
Balance at the beginning of the year	98	83
Subsequent recognition	(11)	15
Balance at the end of the year	87	98

J1.5 Lease liabilities

Lease liabilities reconciliation

	2024 Rm	2023 Rm
Balance at the beginning of the year	1 819	1 788
Interest expense	169	147
Additions	462	263
Lease modifications	339	552
Lease payments	(951)	(941)
Derecognition	(1)	(1)
Effect of movements in foreign exchange rates and other movements	1	11
Balance at the end of the year	1 838	1 819

Current and non-current lease liabilities

	2024 Rm	2023 Rm
Current lease liabilities	821	743
Non-current lease liabilities	1 017	1 076
Total lease liabilities	1 838	1 819

J2 CONTINGENT LIABILITIES, UNDRAWN FACILITIES AND COMMITMENTS

J2.1 Contingent liabilities and undrawn facilities

	2024 Rm	2023 Rm (Restated)
Financial guarantees on behalf of clients	35 975	29 579
Letters of credit and discounting transactions	11 127	4 715
Irrevocable unutilised facilities and other	183 474	181 336
	230 576	215 630

During 2024 the group identified that the 'Irrevocable unutilised facilities and other' line item was overstated incorrectly by R13,5bn. For comparability the prior-year information has been restated. There is no impact on the provision for impairment of off-balance-sheet items.

	2023		
Rm	Restated	Restatement	As previously reported
Irrevocable unutilised facilities and other	181 336	(13 491)	194 827

The group, in the ordinary course of business, enters into transactions that expose it to taxation, legal and business risks that could result in litigation matters. Based on internal investigations and consultations with the group's legal counsel, the group does not expect the ultimate resolution of any of these matters to have a material adverse effect on the group's consolidated financial position. Provisions are made for known liabilities that are expected to materialise (refer to note J1). Possible obligations and known liabilities, where no reliable estimate can be made or it is considered improbable that an outflow would result, are reported as a contingent liability.

On 26 July 2024 the group issued a SENS update on the Transnet SOC Limited dispute regarding interest rate swap transactions (swaps) and Nedbank's ongoing engagements with Transnet SOC Limited (Transnet). These swaps were entered into between December 2015 and March 2016, and Regiments Capital (Pty) Ltd had acted as Transnet's appointed financial advisers. The group's media release dated 28 May 2024 and the Nedbank Group voluntary trading update for the 4 months ended 30 April 2024, released through SENS on 31 May 2024, noted the termination of the mediation process with Transnet and Nedbank's position on possible litigation.

In this context, Nedbank confirms that it continues to defend review proceedings served on it by Transnet and the Special Investigating Unit (SIU) in respect of these swaps, as confirmed in Nedbank's SENS announcement on 26 July 2024. Considering internal and independent external reviews commissioned by Nedbank, the board and management remain satisfied that internal governance procedures were followed in respect of these swaps and that there is no evidence of any Nedbank staff dishonesty, corruption or collusion. The joint media statement by Transnet and the SIU of 26 July 2024, which states that Nedbank profited in excess of R2 736 094 704,82 in respect of these swaps, is not a reasonable claim.

In December 2024 the Transnet Second Defined Benefit Fund (fund) served a summons on Nedbank. The fund claims that Nedbank is liable for R106 808 440,00 plus interest, an amount the fund was unable to recover from Regiments Group companies in previous litigation, in which Nedbank was not involved.

Nedbank will strongly defend the litigation against it, including pursuing any counterclaims against the parties and others.

J2.2 Commitments

Capital expenditure approved by directors

	2024 Rm	2023 Rm
Contracted but not provided for	511	458

Funds to meet capital expenditure commitments will be provided from group resources. In addition, capital expenditure is incurred in the normal course of business throughout the year.

Commitments under derivative instruments

The group enters into option contracts, financial futures contracts, forward rate and interest rate swap agreements, and other financial agreements in the normal course of business (refer to note C7).

SECTION K: RISK AND BALANCE SHEET MANAGEMENT

K1 FINANCIAL RISK MANAGEMENT

The group's risk management procedures include credit risk, liquidity risk, interest rate risk in the banking book and market risk.

K2 CAPITAL MANAGEMENT

Nedbank Group's Capital Management Framework reflects the integration of risk, capital, strategy and performance measurement across the group, which is a significant component of the ERMF.

In accordance with the board-approved Solvency and Capital Management Policy, the group is required to maintain capitalisation levels that meet or exceed the greater of the Basel III regulatory capital requirements and economic capital.

The Nedbank Group Strategic Capital Management function forms part of the Balance Sheet Management Division of the Group Finance Cluster, which reports to the CFO. This function is tasked with implementing the Capital Management Framework and Internal Capital Adequacy Assessment Process (ICAAP) across the group. The responsibilities for capital management, including ICAAP, are defined in the terms of reference outlined with the ERMF, applying to both the board and executive management. The board and executive management are supported in the execution of their duties by GRCCM, and Group ALCO.

Capital, reserves, and long-term debt instruments

The group's Capital Management Framework, along with the associated policies and processes, governs the group's capital and reserves in line with the consolidated statement of changes in equity. It also encompasses the management of long-term debt instruments as referenced in note D2.

K3 LIQUIDITY GAP

The primary role of a bank in terms of financial intermediation is the maturity transformation of short-term deposits into longer-term loans and advances. By fulfilling this role, banks are inherently susceptible to liquidity mismatches and consequently funding and market liquidity risks.

In terms of measuring, managing and mitigating liquidity mismatches, Nedbank focuses on 2 types of liquidity risk, namely, funding liquidity risk and market liquidity risk. Funding liquidity risk is the risk that the group is unable to meet its payment obligations as they fall due. These payment obligations could emanate from depositor withdrawals, or the inability to roll over maturing debt or meet contractual commitments to lend. Market liquidity risk is the risk that the group will be unable to sell assets without incurring an unacceptable loss, in order to generate cash required to meet payment obligations under a stress liquidity event.

Nedbank diligently manages funding and market liquidity risks through its robust Liquidity Risk Management Framework (LRMF), which is designed to ensure banking operations continue uninterrupted under normal and stressed conditions. The key objectives that underpin the LRMF include ensuring that every entity within the group can meet its financial obligations seamlessly under normal and stressed market conditions, while maintaining financial-market confidence at all times, protecting key stakeholder interests and consistently complying with regulatory liquidity requirements, thereby safeguarding the stability and integrity of our operations.

The group's LRMF seeks to maintain appropriate liquidity buffers while continually reviewing the appropriateness of the liquidity risk metrics, the liquidity policy, the funding strategy, and the contingency funding and liquidity plan. These individual components of the LRMF should at all times support the board-approved risk appetite, which is to ensure that stress funding sources are sufficient to meet stress funding requirements for a given time horizon. This framework sets out the key responsibilities, processes, reporting and assurance measures, all crucial for effective liquidity risk management.

To ensure regulatory compliance and the ability to meet future liquidity requirements, the group conducts extensive stress testing and scenario analysis, in order to identify and implement appropriate actions designed to reduce the severity of a liquidity crisis, to determine the appropriate funding strategies designed to support liquidity risk mitigations and to right-size the liquidity buffer portfolio (sources of quick liquidity) in the most optimal manner for seasonal, cyclical and stress events.

A portfolio of marketable and highly liquid assets, which could be liquidated to meet unforeseen or unexpected funding requirements, is maintained. The group has sufficient sources of quick liquidity that can be accessed in times of stress, as is evident in the combined portfolio of high-quality liquid assets (HQLA) and other sources of quick liquidity, collectively amounting to R339,0bn at December 2023 (2023: R285,3bn) and representing 23,9% (2023: 21,8%) of total assets. The group actively manages these sources of quick liquidity to ensure adequate levels of diversified funding to meet a stress liquidity event.

Liquidity risk management plays a pivotal role in all entities within the group across all jurisdictions and currencies. It stands as a central focus for the group. Liquidity risk is managed on a consistent basis across all foreign entities within the group. This management is facilitated through individual ALCOs, ensuring compliance with both South African Reserve Bank (SARB) and local central banks regulatory requirements. These foreign entities are required to establish robust governance structures, rigorous processes and best practices designed to identify, measure, manage, and mitigate liquidity risk in accordance with the group's LRMF. These foreign entities are required to report into every Group ALCO meeting, fostering transparency and collective risk oversight.

Nedbank Group's Liquidity Risk Contingency Plan (LRCP), as set out in the LRMF, is designed to protect depositors, creditors and shareholders under adverse liquidity situations. The LRCP has been formulated in the belief that early detection, advance preparations and prompt responses can contribute to liquidity crisis avoidance or minimisation. The LRCP establishes guidelines for managing a liquidity risk crisis, identifying early-warning signs of a possible liquidity stress event, and the need for heightened liquidity risk monitoring and reduced liquidity risk exposure. In addition, Nedbank has also developed detailed recovery plans (RPs) that establish Nedbank's framework for dealing with a crisis emanating from a capital, liquidity and business continuity or an operational event.

The board of directors retains ultimate responsibility for the effective management of liquidity risk. Through the GRCMC (a board committee), the board has delegated its responsibility for the management of liquidity risk to Group ALCO. The LRMF, LRCP and RP are reviewed annually by Group ALCO and approved by the GRCMC.

Refer to the liquidity risk and funding section of the Nedbank Group Annual Results booklet (<https://www.nedbank.co.za/content/nedbank/desktop/gt/en/investor-relations/information-hub/financial-results/2024.html>) for more information.

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K3.1 LIQUIDITY GAP

The below tables represent the group's net liquidity gap based on contractual cash flows of assets and liabilities.

Rm	<3 months	>3 months <6 months	>6 months <1 year	>1 year <5 years	>5 years	Non-deter- mined	Total
2024							
Cash and cash equivalents	43 317						43 317
Other short-term securities	28 134	12 858	9 073	4 715	514	3 269	58 563
Derivative financial instruments	3 934	1 899	2 483	5 161	3 386	3	16 866
Government and other securities	2 813	40	1 270	61 787	129 584		195 494
Loans and advances	194 785	35 737	70 160	425 220	220 724	21 838	968 464
Other assets						9 908	9 908
Investment securities						8 032	8 032
Non-financial assets		61				26 025	26 086
	272 983	50 595	82 986	496 883	354 208	69 075	1 326 730
Total equity						102 950	102 950
Derivative financial instruments	2 929	1 065	2 695	2 021	2 714	21	11 445
Amounts owed to depositors	746 480	79 611	171 462	128 871	19 056	3 123	1 148 603
Provisions and other liabilities	3 312	167	303	1 173	167	10 700	15 822
Long-term debt instruments	6 614	55	1 985	28 700	9 483	721	47 558
Non-financial liabilities		109				243	352
	759 335	81 007	176 445	160 765	31 420	117 758	1 326 730
Net liquidity gap	(486 352)	(30 412)	(93 459)	336 118	322 788	(48 683)	–
Rm	<3 months	>3 months <6 months	>6 months <1 year	>1 year <5 years	>5 years	Non-deter- mined	Total
2023							
Cash and cash equivalents	40 611						40 611
Other short-term securities	24 853	14 713	15 345	3 600	788		59 299
Derivative financial instruments	2 725	753	1 557	3 149	5 355		13 539
Government and other securities	2 764	240	139	53 335	112 046		168 524
Loans and advances	183 234	34 408	66 527	376 791	214 741	31 241	906 942
Other assets						8 643	8 643
Investment securities						7 675	7 675
Non-financial assets		96				25 227	25 323
	254 187	50 210	83 568	436 875	332 930	72 786	1 230 556
Total equity						96 183	96 183
Derivative financial instruments	3 189	746	1 658	3 278	4 931		13 802
Amounts owed to depositors	685 336	86 107	167 340	108 843	11 008		1 058 634
Provisions and other liabilities	3 076	146	257	1 163	97	11 413	16 152
Long-term debt instruments	3 897	1 611	2 107	26 826	11 099		45 540
Non-financial liabilities	51					194	245
	695 549	88 610	171 362	140 110	27 135	107 790	1 230 556
Net liquidity gap	(441 362)	(38 400)	(87 794)	296 765	305 795	(35 004)	–

This note has been prepared on a contractual maturity basis.

K4 INTEREST RATE RISK IN THE BANKING BOOK

	2024 Rm	2023 Rm
Net interest income sensitivity		
1% instantaneous decline in interest rates ¹	(1 351)	(1 284)

¹ Nedbank London: 0,5% instantaneous decline in interest rates.

Management of interest rate risk in the banking book

Nedbank is exposed to interest rate risk in the banking book (IRRBB) due primarily to the following:

- The bank writes a large quantity of prime-linked advances.
- To lengthen the funding profile, term funding is raised across the curve at fixed-term deposit rates that reprice only on maturity.
- Three-month repricing swaps and forward-rate agreements are typically used in the risk management of term deposits and fixed-rate advances.
- Short-term demand funding products reprice to different short-end base rates.
- Certain non-repricing transactional deposit accounts are non-rate-sensitive.
- The bank has a mismatch in net non-rate-sensitive balances, including shareholders' funds that do not reprice for interest rate changes.

The following applies to IRRBB:

- Repricing risk (mismatch risk) – Timing difference in the maturity (for fixed rate) and repricing (for floating rate) of bank assets, liabilities, and off-balance-sheet positions.
- Endowment risk – The net mismatch between non-rate-sensitive assets, liabilities, capital, and non-repricing transactional deposit accounts, effectively invested in rate-sensitive assets.
- Reset or basis risk – Imperfect correlation in the adjustment of the rates earned and paid on different instruments with otherwise similar repricing characteristics.
- Yield curve risk – Changes in the shape and slope of the yield curve.
- Embedded optionality – The risk related to interest-related options embedded in bank products.

Nedbank employs various analytical techniques to measure interest rate sensitivity in the banking book on both an earnings and economic-value basis (where appropriate) for balance sheets in the bank with material exposure to interest rate risk. Assets, liabilities and derivative financial instruments are modelled and reported based on their contractual repricing or maturity characteristics. Where advances are exposed to prepayments and deposits to ambiguous repricing, Group ALCO approves the use of prepayment models for fixed-rate advances and behavioural repricing assumptions for the modelling and reporting of ambiguous repricing deposits, where appropriate. The bank's NII sensitivity is actively managed through on- and off-balance-sheet interest rate risk management strategies based on the bank's assessment of the correlation between interest rate sensitivity and impairment sensitivity over the cycle. In certain low correlation portfolios, endowment income will be structurally hedged over time as opportunities arise through interest rate cycles.

Sensitivity analysis

At the reporting date the net interest income (profit or loss) sensitivity of the banking book for a 1% parallel reduction in interest rates measured over 12 months is a decrease in net interest income of approximately R1 351m before tax (2023: R1 284m), which is within the board's approved risk limit. Nedbank's net interest income sensitivity exhibits very little convexity and will therefore also result in an increase in pre-tax net interest income of a similar amount should interest rates increase by 1%.

Nedbank's economic-value-of-equity sensitivity, measured for a 1% parallel decrease in interest rates, remains at a low level of R737m (2023: R601m). This is as a result of Nedbank's risk management strategies, whereby assets and liabilities are typically positioned to reprice in the less-than-3-months repricing bucket, and net working capital largely offsets the non-rate-sensitive transactional balances from an interest rate sensitivity perspective, thereby positioning ordinary shareholders' equity to be repriced as interest rates change.

Comprehensive IRRBB disclosures are included in the group's unaudited Pillar 3 Risk and Capital Management Report, available on the website.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER

K5 MARKET RISK IN THE TRADING BOOK

Trading market risk is the risk of loss as a result of unfavourable changes in the market value of the trading book because of changes in market risk factors, such as foreign exchange rates, interest rates, equity prices, commodity prices, credit spreads and implied volatilities. The trading book is defined as positions in financial instruments and commodities, including derivative products and other off-balance-sheet instruments, that are held with trading intent or used to hedge other elements of the trading book.

MANAGEMENT OF TRADING MARKET RISK

Trading market risk is governed by board-approved policies that cover management, identification, measurement and monitoring.

Market risk limits, including value at risk (VaR) and stress trigger limits, are approved at board level and reviewed periodically, but at least annually. These limits are then allocated to the trading units using a tiered-limit approach by the Trading Risk Committee. Market risk reports are available at a variety of levels and in various degrees of detail, ranging from individual trader level to a group level view of market risk. Market risk exposures are measured and reported to management and bank executives daily.

In addition to applying business judgement, management uses a number of quantitative measures to manage the exposure to trading market risk. These measures include the following:

- Risk limits based on a portfolio measure of market risk exposures referred to as VaR, including extreme tail loss (ETL).
- Scenario analysis, stress testing and other analytical tools that measure the potential effects on trading revenue in the event of various unexpected market events.

HISTORICAL VALUE AT RISK (99%, 1-DAY) BY RISK TYPE

VaR is the potential loss in pretax profit due to adverse market movements over a defined holding period with a specified confidence level. The VaR methodology is a statistically defined, probability-based approach that takes into account market volatilities as well as risk diversification by recognising offsetting positions and correlations between products and markets. It facilitates the consistent measurement of risk across all markets and products, and risk measures can be aggregated to arrive at a single risk number. The 99% 1-day VaR number used by the group shows, at a 99% confidence level, that the daily loss will not exceed the reported VaR and therefore the daily losses exceeding the VaR figure are likely to occur, on average, once in every 100 business days.

The group uses 1 year of historical data to estimate VaR. Some of the considerations that are taken into account when reviewing the VaR numbers are the following:

- The assumed 1-day holding period will not fully capture the market risk of positions that cannot be liquidated or offset with hedges within 1 day.
- The historical VaR assumes that the past is a good representation of the future, which may not always be the case.
- The 99% confidence level does not indicate the potential loss beyond this interval.
- If a product or listing is new in the market, limited historical data would be available. In such cases, a proxy is chosen to act as an estimate for the historical rates of the relevant risk factor. Depending on the amount of (limited) historical rates available, regression analysis is used on the chosen proxy to refine the link between the proxy and the actual rates.

Additional risk measures are used to monitor the individual trading desks, including performance triggers, approved trading products, concentration of exposures, maximum tenor limits and market liquidity constraints.

All market risk models are subject to periodic independent validation in terms of the Group Market Risk Framework. A formal review of all existing valuation models is conducted at least annually. Should the review process indicate that models need to be updated, a formal independent review will take place. All new risk models developed are validated independently prior to implementation.

The group's current trading activities are focused on liquid markets, which are in line with the current regulatory liquidity horizon assumption of a 10-day holding period, in line with Basel III.

Rm	2024				2023			
	Average	Minimum	Maximum	Year-end	Average	Minimum	Maximum	Year-end
Foreign exchange	3,8	0,6	12,2	2,0	6,3	2,4	17,0	6,0
Interest rate	49,0	22,5	83,9	36,6	71,5	51,2	92,5	80,2
Equity	1,5		10,4	2,0	2,4	0,3	21,7	0,8
Credit	12,2	7,0	15,4	7,0	7,1	3,7	15,1	14,6
Commodity	0,5	0,2	0,9	0,3	0,3		0,7	0,6
Diversification	(19,7)			(13,6)	(19,8)			(26,1)
Total VaR exposure	47,3	22,4	80,3	34,3	67,8	50,1	88,5	76,1

SECTION L: CASH FLOW INFORMATION

L1 NON-CASH ITEMS AND INDIRECT TAXATION

	2024 Rm	2023 Rm
Depreciation and amortisation (note B6)	3 841	3 905
Movement in impairments on financial instruments	9 012	10 781
Unrealised (gains)/losses (note B5.2)	(150)	138
Fair-value adjustments (note B5.2)	(528)	(533)
Foreign exchange (gains)/losses	(13)	99
Short-term incentives and long-term employee benefits	343	80
Share-based payments expense – employees (note B6)	747	1 014
Impairments charge on non-financial instruments and other gains and losses (note B1.2)	171	175
Indirect taxation (note B7.1)	952	1 019
Share of gains of associate companies (note E2.1)	(75)	(80)
	14 300	16 598

L2 INCREASE IN OPERATING ASSETS

	2024 Rm	2023 Rm
Other short-term securities	736	(17 256)
Government and other securities	(26 970)	(10 379)
Loans and advances	(70 006)	(30 316)
Derivative financial instruments and other operating assets	(6 183)	(7 982)
Movement in interest accruals	204	1 774
	(102 219)	(64 159)

L3 INCREASE IN OPERATING LIABILITIES

	2024 Rm	2023 Rm
Current and savings accounts	2 024	1 610
Other deposits, loan accounts and foreign currency liabilities	94 685	43 708
Negotiable certificates of deposit	(13 178)	8 715
Deposits received under repurchase agreements	5 714	(426)
Derivative financial instruments and other operating liabilities	(2 676)	9 561
Movement in interest accruals	(1 309)	(4 378)
	85 260	58 790

L4 TAXATION PAID

	2024 Rm	2023 Rm
Amounts receivable/(payable) at the beginning of the year	45	(169)
Statement of comprehensive income charge (excluding deferred taxation)	(3 390)	(3 387)
Current taxation recognised in equity	61	148
Amounts payable/(receivable) at the end of the year	47	(45)
	(3 237)	(3 453)
Indirect taxation paid	(1 368)	(895)
Taxation paid	(4 605)	(4 348)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS *continued*
FOR THE YEAR ENDED 31 DECEMBER

SECTION M: ADDITIONAL INFORMATION

M1 FOREIGN CURRENCY CONVERSION

Exchange rates

	Average		Closing	
	2024	2023	2024	2023
UK pound to rand	23,42	22,94	23,53	23,54
US dollar to rand	18,33	18,45	18,75	18,53

Geographic analyses

The geographic analyses within various notes are based on the geographic location of the clients or transactions and not the domicile of the group entity.

M2 EVENTS AFTER THE REPORTING PERIOD

The directors are not aware of any material events that have occurred between the reporting date and 3 March 2025, which is the date of approval of the consolidated annual financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

M3 DIRECTORS' EMOLUMENTS

The following disclosures are those required by the Companies Act, 71 of 2008 (as amended), in respect of remuneration of directors and prescribed officers:

M3.1 TOTAL REMUNERATION OF EXECUTIVE DIRECTORS AND PRESCRIBED OFFICERS

R'000	Jason Quinn		Mike Brown ³	
	2024	2023	2024	2023
Cash portion of package	5 576		5 385	8 596
Other benefits	205		223	305
Defined-contribution retirement fund	343		783	1 243
Guaranteed remuneration	6 124	–	6 391	10 144
Cash performance incentive	5 750		5 350	9 887
Cash performance incentive (delivered in shares)	4 250		3 850	8 388
Total short-term incentive (STI)	10 000	–	9 200	18 275
GP and Total STI	16 124	–	15 591	28 419
LTI – Award at face value ¹	80 732		9 000	18 000
Deferred short-term incentive ²	9 150			
Total awarded remuneration	106 006	–	24 591	46 419

R'000	Iolanda Ruggiero ⁴		Ciko Thomas	
	2024	2023	2024	2023
Cash portion of package	4 225	4 015	5 544	5 260
Other benefits	108	98	190	180
Defined-contribution retirement fund	605	574	906	860
Guaranteed remuneration	4 938	4 687	6 640	6 300
Cash performance incentive		5 050	6 750	6 250
Cash performance incentive (delivered in shares)		3 550	5 250	4 750
Total short-term incentive (STI)	–	8 600	12 000	11 000
GP and Total STI	4 938	13 287	18 640	17 300
LTI – Award at face value ¹		8 400	12 250	11 500
Deferred short-term incentive ²				
Total awarded remuneration	4 938	21 687	30 890	28 800

¹ This is the value of the share-based awards made in the following financial year, but in respect of the current financial year. For Mr Quinn, this includes an LTI on-appointment award (R62 732 459,80) made in August 2024. The corporate performance targets in respect of this award were identical to those for the 2024 awards for Group Executive Committee members. This award, together with the deferred short-term incentive award, in accordance with note 2 below, was made in respect of the value of awards that he forfeited on resignation from his previous employer. An annual LTI award (R18 000 000) will also be made to Mr Quinn in March 2025 in respect of the current financial year. For Mr Brown, this includes an LTI award (R9 000 000) made in August 2024, vesting in August 2027, in return for the restraint-of-trade agreement that he agreed to effective until 31 May 2026. The corporate performance targets in respect of this award were identical to those for the 2024 awards for Group Executive Committee members.

² A deferred short-term incentive award was made to Mr Quinn on commencement of service in June 2024. This award (R9 150 000) represents the partial payment of 40% (before tax) of the total DSTI award and is repayable in full should he cease to be employed by Nedbank Group for any reason other than no-fault termination before 30 May 2027. The remainder of the award will be payable on 20 June 2027, subject to ongoing minimum individual performance conditions.

³ Mr Brown stepped down from his CE role at the 2024 AGM, effective 31 May 2024. He remained employed with Nedbank in an advisory role until 31 August 2024, when he retired.

⁴ Ms Ruggiero will take early retirement on 31 March 2025. No incentive awards in respect of the current financial year have been made.

Total direct remuneration is paid 100% by Nedbank Limited for services rendered.

Mfundo Nkuhlu		Michael Davis	
2024	2023	2024	2023
6 029	5 732	5 547	5 108
377	333	272	244
894	847	1 031	948
7 300	6 912	6 850	6 300
7 750	7 000	8 000	7 000
6 250	5 500	6 500	5 500
14 000	12 500	14 500	12 500
21 300	19 412	21 350	18 800
13 250	12 500	13 250	11 500
34 550	31 912	34 600	30 300

Anél Bosman		Terence Sibiya	
2024	2023	2024	2023
5 044	4 735	4 242	4 046
243	217	280	248
398	373	415	394
5 685	5 325	4 937	4 688
11 250	10 000	6 000	6 250
9 750	8 500	4 500	4 750
21 000	18 500	10 500	11 000
26 685	23 825	15 437	15 688
10 000	9 500	10 000	8 400
36 685	33 325	25 437	24 088

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

M3.2 NON-EXECUTIVE DIRECTORS' REMUNERATION

	Note	Nedbank and Nedbank Group board fees	Committee fees	2024	2023
Name		(R000)	(R000)	(R000)	(R000)
HR Brody		870	1 368	2 238	2 079
BA Dames		622	872	1 494	1 495
NP Dongwana		622	952	1 574	1 409
MA Hermanus	1	295	80	375	
EM Kruger	2	622	1 968	3 995	3 754
P Langeni		622	902	1 524	1 243
RAG Leith		622	1 374	1 996	1 562
L Makalima		622	1 296	1 918	1 731
PM Makwana				–	2 760
T Marwala				–	164
MA Matooane				–	449
AD Mminele	3	7 032		7 249	4 021
TM Nombembe	4	622	585	1 207	
M Nyati				–	856
S Subramoney		622	1 796	2 418	2 206
Total		13 173	11 193	25 988	23 729

¹ Mavis Hermanus was appointed to the boards of Nedbank Limited and Nedbank Group Limited, and as a member of the Group Sustainability and Climate Resilience Committee with effect from 15 July 2024.

² Errol Kruger's total fee is inclusive of the Nedbank Private Wealth (Isle of Man) chairperson fees of £60 000 (R1 405 151).

³ Daniel Mminele's fee includes taxable reimbursements and fringe benefit tax.

⁴ Terence Nombembe was appointed to the Boards of Nedbank Limited and Nedbank Group Limited and as a member of the Group Audit Committee with effect from 1 January 2024. He was also appointed as a member of the Group Risk and Capital Management Committee with effect from 1 April 2024.

Where applicable, board fees include travel reimbursements for business mileage.

	Beneficial direct	Beneficial direct	Beneficial indirect	Beneficial indirect
Number of shares	2024	2023	2024	2023
Directors¹				
Hubert Brody	1 094	5 119		3 600
Brian Dames	64	64		
Michael Davis	123 916	69 574	184 625	253 605
Mavis Ann Hermanus				
Mfundo Nkuhlu	45 465	45 465	204 037	283 398
Jason Quinn			237 506	
Stanley Subramoney			2 300	2 300
Directors who retired in 2024				
Mike Brown ²	542 972	552 486	324 365	403 190
Prescribed officers¹				
Ciko Thomas	12 567	13 707	180 099	233 484
Iolanda Ruggiero	130 656	93 236	135 136	174 482
Anél Bosman	66 999	79 719	187 034	224 694
Terence Sibiya	92 397	52 130	139 768	154 505
Total ordinary shares	1 016 130	911 500	1 594 870	1 733 258

¹ No change in the interests of the directors and prescribed officers occurred between 31 December 2024 and 3 March 2025.

² The beneficial indirect shares include 925 ordinary shares held in a family trust.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS *continued*
FOR THE YEAR ENDED 31 DECEMBER

M3.3 SHARE-BASED PAYMENTS TO EXECUTIVE DIRECTORS AND PRESCRIBED OFFICERS

Executive directors	Opening balance at 1 January 2024							
	Number of restricted shares/options	Date of issue/inception	Issue price	Vesting date	Number of restricted shares/options	Date of issue/inception	Issue price	Final vesting/exercise date
			(R)				(R)	
JP Quinn Nedbank restricted shares					237 506	15 August 2024	264,13	16 August 2027
Compulsory Bonus Share Scheme								
Voluntary Bonus Share Scheme								
Total value of dividends								
Total	–				237 506			

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

Executive directors	Opening balance at 1 January 2024							
	Number of restricted shares/options	Date of issue/inception	Issue price	Vesting date	Number of restricted shares/options	Date of issue/inception	Issue price	Final vesting/exercise date
			(R)				(R)	
MWT Brown								
Nedbank restricted shares	158 090	25 March 2021	131,57	26 March 2024				
	39 523	26 March 2021	131,57	27 March 2024				
	75 632	17 March 2022	218,16	18 March 2025				
	75 191	22 March 2023	226,09	23 March 2026				
					79 410	27 March 2024	226,67	28 March 2027
					34 074	15 August 2024	264,13	16 August 2027
Compulsory Bonus Share Scheme ¹	14 347	31 March 2021	134,17	1 April 2024				
	14 394	31 March 2022	238,81	1 April 2025				
	20 601	31 March 2023	213,58	1 April 2026				
					19 919	31 March 2024	231,59	1 April 2027
Voluntary Bonus Share Scheme ²	2 049	31 March 2021	134,17	1 April 2024				
	1 151	31 March 2022	238,81	1 April 2025				
	1 287	31 March 2023	213,58	1 April 2026				
					1 781	31 March 2024	231,59	1 April 2027
Total value of dividends								
Total	402 265				135 184			

Awards vesting/lapsing during 2024					Dividends	Closing balance at 31 December 2024		
Number of restricted shares/options released	Number of restricted shares/options lapsed	Market price at vesting	Value gained on vesting	Notional value of loss on lapsing	Total value of dividends paid in respect of all plans ³	Number of restricted shares/options	End of performance period	Final vesting/exercise date
		(R)	(R)	(R)	(R)			
207 097		230,12	47 657 162					
39 523		227,32	8 984 368					
						75 632	31 December 2024	18 March 2025
						75 191	31 December 2025	23 March 2026
						79 410	31 December 2026	28 March 2027
						34 074	31 December 2026	16 August 2027
28 694		224,07	6 429 465					
						14 394	31 December 2024	1 April 2025
						20 601	31 December 2025	1 April 2026
						19 919	31 December 2026	1 April 2027
4 098		224,07	918 239					
						1 151	31 December 2024	1 April 2025
						1 287	31 December 2025	1 April 2026
						1 781	31 December 2026	1 April 2027
					8 827 547			
279 412	–		63 989 233	–	8 827 547	323 440		

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

Executive directors	Opening balance at 1 January 2024							
	Number of restricted shares/options	Date of issue/inception	Issue price	Vesting date	Number of restricted shares/options	Date of issue/inception	Issue price	Final vesting/exercise date
			(R)				(R)	
MC Nkuhlu								
Nedbank restricted shares	109 447	25 March 2021	131,57	26 March 2024				
	27 362	26 March 2021	131,57	27 March 2024				
	57 297	17 March 2022	218,16	18 March 2025				
	53 076	22 March 2023	226,09	23 March 2026				
					55 146	27 March 2024	226,67	28 March 2027
Compulsory Bonus Share Scheme ¹	8 710	31 March 2021	134,17	1 April 2024				
	9 500	31 March 2022	238,81	1 April 2025				
	13 519	31 March 2023	213,58	1 April 2026				
					13 061	31 March 2024	231,59	1 April 2027
Voluntary Bonus Share Scheme ²	2 049	31 March 2021	134,17	1 April 2024				
	1 151	31 March 2022	238,81	1 April 2025				
	1 287	31 March 2023	213,58	1 April 2026				
Total value of dividends								
Total	283 398				68 207			

Awards vesting/lapsing during 2024					Dividends	Closing balance at 31 December 2024		
Number of restricted shares/options released	Number of restricted shares/options lapsed	Market price at vesting	Value gained on vesting	Notional value of loss on lapsing	Total value of dividends paid in respect of all plans ³	Number of restricted shares/options	End of performance period	Final vesting/exercise date
		(R)	(R)	(R)	(R)			
143 375		230,12	32 993 455					
27 362		227,32	6 219 930					
						57 297	31 December 2024	18 March 2025
						53 076	31 December 2025	23 March 2026
						55 146	31 December 2026	28 March 2027
17 420		224,07	3 903 299					
						9 500	31 December 2024	1 April 2025
						13 519	31 December 2025	1 April 2026
						13 061	31 December 2026	1 April 2027
4 098		224,07	918 239					
						1 151	31 December 2024	1 April 2025
						1 287	31 December 2025	1 April 2026
					5 940 833			
192 255	–		44 034 923	–	5 940 833	204 037		

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

Executive directors	Opening balance at 1 January 2024							
	Number of restricted shares/options	Date of issue/inception	Issue price	Vesting date	Number of restricted shares/options	Date of issue/inception	Issue price	Final vesting/exercise date
			(R)				(R)	
MH Davis Nedbank restricted shares	101 086	25 March 2021	131,57	26 March 2024				
	25 272	26 March 2021	131,57	27 March 2024				
	45 837	17 March 2022	218,16	18 March 2025				
	48 653	22 March 2023	226,09	23 March 2026				
					50 734	27 March 2024	226,67	28 March 2027
Compulsory Bonus Share Scheme ¹	8 198	31 March 2021	134,17	1 April 2024				
	8 924	31 March 2022	238,81	1 April 2025				
	13 197	31 March 2023	213,58	1 April 2026				
					13 061	31 March 2024	231,59	1 April 2027
Voluntary Bonus Share Scheme ²	1 151	31 March 2022	238,81	1 April 2025				
	1 287	31 March 2023	213,58	1 April 2026				
					1 781	31 March 2024	231,59	1 April 2027
Total value of dividends								
Total	253 605				65 576			

Awards vesting/lapsing during 2024					Dividends	Closing balance at 31 December 2024		
Number of restricted shares/options released	Number of restricted shares/options lapsed	Market price at vesting	Value gained on vesting	Notional value of loss on lapsing	Total value of dividends paid in respect of all plans ³	Number of restricted shares/options	End of performance period	Final vesting/exercise date
		(R)	(R)	(R)	(R)			
132 422		230,12	30 472 951					
25 272		227,32	5 744 831					
						45 837	31 December 2024	18 March 2025
						48 653	31 December 2025	23 March 2026
						50 734	31 December 2026	28 March 2027
16 396		224,07	3 673 852					
						8 924	31 December 2024	1 April 2025
						13 197	31 December 2025	1 April 2026
						13 061	31 December 2026	1 April 2027
						1 151	31 December 2024	1 April 2025
						1 287	31 December 2025	1 April 2026
						1 781	31 December 2026	1 April 2027
					5 374 691			
174 090	–		39 891 633	–	5 374 691	184 625		

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

Prescribed officers	Opening balance at 1 January 2024							
	Number of restricted shares/options	Date of issue/inception	Issue price	Vesting date	Number of restricted shares/options	Date of issue/inception	Issue price	Final vesting/exercise date
			(R)				(R)	
C Thomas Nedbank restricted shares	88 166	25 March 2021	131,57	26 March 2024				
	22 041	26 March 2021	131,57	27 March 2024				
	45 837	17 March 2022	218,16	18 March 2025				
	48 653	22 March 2023	226,09	23 March 2026				
					50 734	27 March 2024	226,67	28 March 2027
Compulsory Bonus Share Scheme ¹	5 192	31 March 2021	134,17	1 April 2024				
	10 076	31 March 2022	238,81	1 April 2025				
	13 519	31 March 2023	213,58	1 April 2026				
					11 280	31 March 2024	231,59	1 April 2027
Voluntary Bonus Share Scheme								
Total value of dividends								
Total	233 484				62 014			

Awards vesting/lapsing during 2024					Dividends	Closing balance at 31 December 2024		
Number of restricted shares/options released	Number of restricted shares/options lapsed	Market price at vesting	Value gained on vesting	Notional value of loss on lapsing	Total value of dividends paid in respect of all plans	Number of restricted shares/options	End of performance period	Final vesting/exercise date
		(R)	(R)	(R)	(R)			
115 497		230,12	26 578 170					
22 041		227,32	5 010 360					
						45 837	31 December 2024	18 March 2025
						48 653	31 December 2025	23 March 2026
						50 734	31 December 2026	28 March 2027
10 384		224,07	2 326 743					
						10 076	31 December 2024	1 April 2025
						13 519	31 December 2025	1 April 2026
						11 280	31 December 2026	1 April 2027
					5 101 136			
147 922	–		33 915 273	–	5 101 136	180 099		

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

Prescribed officers	Opening balance at 1 January 2024							
	Number of restricted shares/options	Date of issue/inception	Issue price	Vesting date	Number of restricted shares/options	Date of issue/inception	Issue price	Final vesting/exercise date
			(R)				(R)	
I Ruggiero								
Nedbank restricted shares	62 324	25 March 2021	131,57	26 March 2024				
	15 581	26 March 2021	131,57	27 March 2024				
	34 378	17 March 2022	218,16	18 March 2025				
	35 384	22 March 2023	226,09	23 March 2026				
					37 058	27 March 2024	226,67	28 March 2027
Compulsory Bonus Share Scheme ¹								
	6 661	31 March 2021	134,17	1 April 2024				
	6 333	31 March 2022	238,81	1 April 2025				
	9 334	31 March 2023	213,58	1 April 2026				
					8 430	31 March 2024	231,59	1 April 2027
Voluntary Bonus Share Scheme ²								
	2 049	31 March 2021	134,17	1 April 2024				
	1 151	31 March 2022	238,81	1 April 2025				
	1 287	31 March 2023	213,58	1 April 2026				
					1 781	31 March 2024	231,59	1 April 2027
Total value of dividends								
Total	174 482				47 269			

Awards vesting/lapsing during 2024					Dividends	Closing balance at 31 December 2024		
Number of restricted shares/ options released	Number of restricted shares/ options lapsed	Market price at vesting	Value gained on vesting	Notional value of loss on lapsing	Total value of dividends paid in respect of all plans ³	Number of restricted shares/ options	End of performance period	Final vesting/ exercise date
		(R)	(R)	(R)	(R)			
81 644		230,12	18 787 917					
15 581		227,32	3 541 873					
						34 378	31 December 2024	18 March 2025
						35 384	31 December 2025	23 March 2026
						37 058	31 December 2026	28 March 2027
13 322		224,07	2 985 061					
						6 333	31 December 2024	1 April 2025
						9 334	31 December 2025	1 April 2026
						8 430	31 December 2026	1 April 2027
4 098		224,07	918 239					
						1 151	31 December 2024	1 April 2025
						1 287	31 December 2025	1 April 2026
						1 781	31 December 2026	1 April 2027
					3 738 966			
114 645	–		26 233 090	–	3 738 966	135 136		

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

Prescribed officers	Opening balance at 1 January 2024							
	Number of restricted shares/options	Date of issue/inception	Issue price	Vesting date	Number of restricted shares/options	Date of issue/inception	Issue price	Final vesting/exercise date
			(R)				(R)	
A Bosman Nedbank restricted shares	66 884	25 March 2021	131,57	26 March 2024				
	16 721	26 March 2021	131,57	27 March 2024				
	43 546	17 March 2022	218,16	18 March 2025				
	39 807	22 March 2023	226,09	23 March 2026				
					41 911	27 March 2024	226,67	28 March 2027
Compulsory Bonus Share Scheme ¹	15 884	31 March 2021	134,17	1 April 2024				
	16 121	31 March 2022	238,81	1 April 2025				
	21 244	31 March 2023	213,58	1 April 2026				
					20 186	31 March 2024	231,59	1 April 2027
Voluntary Bonus Share Scheme ²	2 049	31 March 2021	134,17	1 April 2024				
	1 151	31 March 2022	238,81	1 April 2025				
	1 287	31 March 2023	213,58	1 April 2026				
					1 781	31 March 2024	231,59	1 April 2027
Total value of dividends								
Total	224 694				63 878			

Awards vesting/lapsing during 2024					Dividends	Closing balance at 31 December 2024		
Number of restricted shares/options released	Number of restricted shares/options lapsed	Market price at vesting	Value gained on vesting	Notional value of loss on lapsing	Total value of dividends paid in respect of all plans ³	Number of restricted shares/options	End of performance period	Final vesting/exercise date
		(R)	(R)	(R)	(R)			
87 618		230,12	20 162 654					
16 721		227,32	3 801 018					
						43 546	31 December 2024	18 March 2025
						39 807	31 December 2025	23 March 2026
						41 911	31 December 2026	28 March 2027
31 768		224,07	7 118 256					
						16 121	31 December 2024	1 April 2025
						21 244	31 December 2025	1 April 2026
						20 186	31 December 2026	1 April 2027
4 098		224,07	918 239					
						1 151	31 December 2024	1 April 2025
						1 287	31 December 2025	1 April 2026
						1 781	31 December 2026	1 April 2027
					5 034 516			
140 205	–		32 000 167	–	5 034 516	187 034		

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS continued
FOR THE YEAR ENDED 31 DECEMBER

Prescribed officers	Opening balance at 1 January 2024							
	Number of restricted shares/options	Date of issue/inception	Issue price	Vesting date	Number of restricted shares/options	Date of issue/inception	Issue price	Final vesting/exercise date
			(R)				(R)	
T Sibiya								
Nedbank restricted shares	48 643	25 March 2021	131,57	26 March 2024				
	12 161	26 March 2021	131,57	27 March 2024				
	36 670	17 March 2022	218,16	18 March 2025				
	35 384	22 March 2023	226,09	23 March 2026				
					37 058	27 March 2024	226,67	28 March 2027
Compulsory Bonus Share Scheme¹	2 562	31 March 2021	134,17	1 April 2024				
	6 045	31 March 2022	238,81	1 April 2025				
	9 334	31 March 2023	213,58	1 April 2026				
					11 280	31 March 2024	231,59	1 April 2027
Voluntary Bonus Share Scheme²	1 490	31 March 2021	134,17	1 April 2024				
	1 046	31 March 2022	238,81	1 April 2025				
	1 170	31 March 2023	213,58	1 April 2026				
					1 781	31 March 2024	231,59	1 April 2027
Total value of dividends								
Total	154 505				50 119			

¹ Matching on the Compulsory Bonus Share Scheme (CBSS) occurs only on shares in the scheme at the vesting date. If CPTs are met, 100% matching occurs.

² For the VBSS, employees invest their own Nedbank shares in the scheme. After three years, if the CPTs are met, a 100% matching occurs.

³ Plans exclude the VBSS, which consists of own shares.

Awards vesting/lapsing during 2024					Dividends	Closing balance at 31 December 2024		
Number of restricted shares/options released	Number of restricted shares/options lapsed	Market price at vesting	Value gained on vesting	Notional value of loss on lapsing	Total value of dividends paid in respect of all plans ³	Number of restricted shares/options	End of performance period	Final vesting/exercise date
		(R)	(R)	(R)	(R)			
63 722		230,12	14 663 707					
12 161		227,32	2 764 439					
						36 670	31 December 2024	18 March 2025
						35 384	31 December 2025	23 March 2026
						37 058	31 December 2026	28 March 2027
5 124		224,07	1 148 135					
						6 045	31 December 2024	1 April 2025
						9 334	31 December 2025	1 April 2026
						11 280	31 December 2026	1 April 2027
2 980		224,07	667 729					
						1 046	31 December 2024	1 April 2025
						1 170	31 December 2025	1 April 2026
						1 781	31 December 2026	1 April 2027
					3 533 808			
83 987	–		19 244 008	–	3 533 808	139 768		

INFORMATION NOT COVERED BY THE INDEPENDENT AUDITORS' REPORT

10-YEAR REVIEW – CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

Rm	2024	2023	2022	2021
Interest and similar income	120 391	111 796	78 612	62 452
Interest expense and similar charges	82 856	74 645	45 224	32 348
Net interest income	37 535	37 151	33 388	30 104
Non-interest revenue and income ¹	23 632	22 033	20 573	18 801
Share of gains of associate companies	75	80	100	79
Total income¹	61 242	59 264	54 061	48 984
Impairments charge on financial instruments	7 695	9 380	7 154	6 169
Net income¹	53 547	49 884	46 907	42 815
Total operating expenses ¹	35 490	33 625	31 274	29 314
Indirect taxation	952	1 019	1 002	935
Impairments charge on non-financial instruments and other losses	(171)	(175)	50	(205)
Profit before direct taxation	16 934	15 065	14 681	12 361
Direct taxation	3 727	3 259	3 378	3 113
Profit for the year	13 207	11 806	11 303	9 248
Profit attributable to:				
– Ordinary shareholders	13 061	11 634	11 194	9 121
– Holders of participating preference shares	153	166	106	125
– Non-controlling interest – ordinary shareholders	(7)	6	3	2
Profit for the year	13 207	11 806	11 303	9 248
Headline earnings	13 197	11 762	11 160	9 264

The group adopted IFRS 16 on 1 January 2019 and prepared the information for the years ended 31 December 2019 to 2024 in accordance with IFRS 16. Information for 2015 to 2018 has been prepared in accordance with IAS 17 and has not been restated. The group adopted IFRS 9 on 1 January 2018 and prepared the information for the years ended 31 December 2018 to 2024 in accordance with IFRS 9. Information for 2015 to 2017 has been prepared in accordance with IAS 39 and has not been restated.

2020	2019	2018	2017	2016	2015
68 654	79 240	72 739	71 311	69 862	55 128
41 146	51 888	46 774	46 111	45 344	32 724
27 508	27 352	25 965	25 200	24 518	22 404
19 026	20 905	20 884	19 907	19 361	17 514
115	121	(83)	(96)	(20)	(1)
46 649	48 378	46 766	45 011	43 859	39 917
12 425	5 953	3 547	3 030	4 254	4 608
34 224	42 425	43 219	41 981	39 605	35 309
27 705	27 891	27 616	26 192	25 283	23 459
1 017	961	804	858	810	668
(417)	(424)	(164)	(210)	(289)	(144)
5 085	13 149	14 635	14 721	13 223	11 038
1 164	3 076	3 854	3 563	3 286	2 828
3 921	10 073	10 781	11 158	9 937	8 210
3 977	10 087	10 765	11 160	9 896	8 163
(58)					
2	(14)	16	(2)	41	47
3 921	10 073	10 781	11 158	9 937	8 210
4 275	10 382	10 884	11 311	10 143	8 275

10-YEAR REVIEW – CONSOLIDATED STATEMENT OF FINANCIAL POSITION

Rm	2024	2023	2022	2021
Assets				
Cash and cash equivalents	43 317	40 611	36 950	34 056
Other short-term securities	58 563	59 299	42 043	33 425
Derivative financial instruments	16 866	13 539	8 522	38 840
Government and other securities	195 494	168 524	158 145	148 441
Loans and advances	968 464	906 942	886 874	837 272
Other assets	9 908	8 643	6 770	5 798
Current taxation assets	61	96	59	42
Investment securities	8 032	7 675	7 252	6 867
Non-current assets held for sale		315	38	127
Investments in associate companies	1 481	1 089	1 031	944
Deferred taxation assets	178	570	354	573
Investment property				
Property and equipment	9 396	9 353	9 467	9 140
Long-term employee benefit assets	5 284	4 690	3 982	4 216
Intangible assets	9 686	9 210	9 594	10 142
Total assets	1 326 730	1 230 556	1 171 081	1 129 883
Equity and liabilities				
Ordinary share capital	28	28	28	28
Ordinary share premium	20 073	20 073	20 073	20 073
Reserves	69 933	65 485	64 842	60 694
Total equity attributable to ordinary equity holders	90 034	85 586	84 943	80 795
Preference share capital and premium				
Holders of additional tier 1 capital instruments	12 798	10 469	10 219	9 319
Non-controlling interest attributable to:				
– Ordinary shareholders	15	22	16	13
– Preference shareholders	103	106	51	59
Total equity	102 950	96 183	95 229	90 186
Derivative financial instruments	11 445	13 802	9 182	35 623
Amounts owed to depositors	1 148 603	1 058 634	1 003 663	933 870
Provisions and other liabilities	15 822	16 152	12 939	13 939
Current taxation liabilities	108	51	228	260
Deferred taxation liabilities	206	156	187	120
Long-term employee benefit liabilities	38	38		
Long-term debt instruments	47 558	45 540	49 653	55 885
Total liabilities	1 223 780	1 134 373	1 075 852	1 039 697
Total equity and liabilities	1 326 730	1 230 556	1 171 081	1 129 883

The group adopted IFRS 16 on 1 January 2019 and prepared the information for the years ended 31 December 2019 to 2024 in accordance with IFRS 16. Information for 2015 to 2018 has been prepared in accordance with IAS 17 and has not been restated. The group adopted IFRS 9 on 1 January 2018 and prepared the information for the years ended 31 December 2018 to 2024 in accordance with IFRS 9. Information for 2015 to 2017 has been prepared in accordance with IAS 39 and has not been restated.

2020	2019	2018	2017	2016	2015
32 597	29 623	27 720	26 968	38 380	34 341
27 082	42 395	57 844	73 472	68 218	60 078
79 933	34 923	22 412	30 698	18 044	30 948
131 380	99 709	73 487	48 749	50 687	42 733
835 568	815 063	748 428	695 744	691 925	666 807
7 017	10 544	12 040	7 332	8 164	3 925
75	213	105	75	440	904
8 269	9 007	6 787	5 303	4 258	1 648
69	90	305	388	287	2
1 037	1 229	786	224	225	1 400
346	42	40	37	266	67
	56				
9 661	10 403	8 367	7 976	8 197	8 114
5 709	5 505	4 764	5 761	5 042	4 885
10 225	9 508	8 538	7 341	5 928	4 881
1 148 968	1 068 310	971 623	910 068	900 061	860 733
28	28	28	28	28	28
20 073	19 182	19 182	19 182	19 182	18 532
53 512	53 582	49 636	48 215	42 698	37 610
73 613	72 792	68 846	67 425	61 908	56 170
3 561	3 561	3 561	3 561	3 561	3 561
7 822	6 850	3 416	2 600	2 000	
11	9	23	7	253	223
(58)	7	561	561		
84 949	83 219	76 407	74 154	67 722	59 954
64 649	27 621	19 761	23 561	13 469	33 996
926 371	881 297	806 487	742 859	750 319	708 036
12 359	13 473	10 414	14 047	12 717	9 911
516	42	272	191	53	87
155	645	224	351	391	763
2 366	2 401	2 648	3 423	3 328	3 009
57 603	59 612	55 410	51 482	52 062	44 977
1 064 019	985 091	895 216	835 914	832 339	800 779
1 148 968	1 068 310	971 623	910 068	900 061	860 733

COMPLIANCE WITH IFRS ACCOUNTING STANDARDS – FINANCIAL STATEMENT NOTES

Note number	Note description	IFRS required
A1	Material accounting policies	IAS 1
A2	Key assumptions concerning the future and key sources of estimation	IAS 1
A3	New standards and interpretations	IAS 8
B1.2	Headline earnings	IAS 1, IAS 16 and IFRS 16
B2	Dividends	IAS 1, IAS 10, and IAS 32
B3	Share capital	IAS 1 and IAS 32
B4	Holders of additional tier 1 capital instruments	IAS 32, IFRS 7, IFRS 9 and IFRS 13
B5.1	Net interest income	IAS 32, IFRS 7, IFRS 9, IFRS 13 and IFRS 15
B5.2	Non-interest revenue and income	IAS 32, IFRS 7, IFRS 9, IFRS 13 and IFRS 15
B6	Total operating expenses	IAS 1, IAS 16, IAS 19, IFRS 2 and IFRS 16
B7.1	Indirect taxation	IAS 1
B7.2	Direct taxation	IAS 12
B7.3	Deferred taxation	IAS 12
C1	Loans and advances	IAS 32, IFRS 7, IFRS 9 and IFRS 13
C2	Impairments charge on financial instruments	IAS 1, IFRS 7, and IFRS 9
C3	Government and other securities	IAS 1, IAS 32, IFRS 7, IFRS 9 and IFRS 13
C4	Other short-term securities	IAS 1, IAS 32, IFRS 7, IFRS 9 and IFRS 13
C5	Credit analysis of other short-term securities, and government and other securities	IFRS 7
C6	Cash and cash equivalents	IAS 1, IAS 32, IAS 7 and IFRS 7
C7	Derivative financial instruments	IAS 32, IFRS 7, IFRS 9 and IFRS 13
D1	Amounts owed to depositors	IAS 1, IAS 32, IFRS 7, IFRS 9 and IFRS 13
D2	Long-term debt instruments	IAS 32, IFRS 7, IFRS 9 and IFRS 13
D3	Contractual maturity analysis for financial liabilities	IFRS 7
E1	Investment securities	IAS 32, IFRS 7, IFRS 9 and IFRS 13
E2	Investments in associate companies	IAS 24, IAS 28, IFRS 9, IFRS 11, IFRS 12 and IFRS 13
E3	Investments in subsidiary companies and related disclosure	IAS 24, 27, IFRS 10 and IFRS 12
E4	Interests in structured consolidated and unconsolidated structured entities	IFRS 10 and IFRS 12
E5	Securitisations	IFRS 7, IFRS 9, IFRS 12 and IFRS 13
E6	Related parties	IAS 24
F1	Property and equipment	IAS 16, IAS 36, IFRS 13 and IFRS 16
F2	Intangible assets	IAS 38, IAS 36 and IFRS 13
G1	Long-term employee benefits	IAS 19 and IFRIC 14
G2	Non-current assets and liabilities held for sale	IFRS 5 and IFRS 13
G3	Other assets	IAS 1, IAS 2, IFRS 7, IFRS 9 and IFRS 13
H1	Consolidated statement of financial position – categories of financial instruments	IFRS 7 and IFRS 9
H2	Fair-value measurement – financial instruments	IFRS 7, IFRS 9 and IFRS 13
H3	Assets and liabilities not measured at fair value for which fair value is disclosed	IFRS 7, IFRS 9 and IFRS 13
H4	Financial instruments designated as fair value through profit or loss	IAS 32, IFRS 7, IFRS 9 and IFRS 13
H5	Offsetting financial assets and financial liabilities	IAS 32 and IFRS 7
H6	Collateral	IFRS 7
I	Share-based payments	IFRS 2
J1	Provisions and other liabilities	IAS 37, IAS 32, IFRS 7, IFRS 9, IFRS 13 and IFRS 16
J2	Contingent liabilities, undrawn facilities and commitments	IAS 37 and IFRS 7
K1	Financial risk management	IAS 1 and IFRS 7
K2	Capital management	IAS 1 and IFRS 7
K3	Liquidity gap	IFRS 7
K4	Interest rate risk in the banking book	IFRS 7
K5	Market risk in the trading book	IFRS 7
L	Cash flow information	IAS 7
M1	Foreign currency conversion	IAS 21
M2	Events after the reporting period	IAS 10
M3	Directors' emoluments	IAS 19 and IFRS 2

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